MAIN — Calculate card fees and compare balance transfers, 0% APR offers, and deferred interest · Question 2 of 5

Learn: Compare the cost of staying with the cost of transferring: interest avoided minus the transfer fee. Holding the balance constant gives only a rough estimate; if she pays it down, the interest avoided is smaller.

Rough estimate: leaving $4,000 at 22% APR for 15 months, assuming the balance stayed at $4,000, would cost about $1,100 in interest. A transfer costs a $120 fee at 0% APR. About how much does the transfer save if Nia pays it off within 15 months?

A. $120
B. $980
C. $1,100
D. $1,220

CORRECT ANSWER

B. $980

Feedback (shown after answering)

$1,100 − $120 = $980 saved (rough), if the balance is paid off during the 0% period.

Recomputed independently by the build: 980

Why each other choice is wrong (misconception it represents)

A: Gives the fee
C: Ignores the fee
D: Adds the fee

Type: instruction

MAIN — Calculate card fees and compare balance transfers, 0% APR offers, and deferred interest · Question 3 of 5

Learn: A genuine introductory 0% APR charges no interest during the promotion. After it ends, the remaining balance is charged the regular APR going forward.

Nia's 0% transfer period ends in 15 months. What happens to any balance left after that?

A. It is forgiven by the card issuer
B. It stays at 0% forever
C. It moves back to the old card automatically at its old rate
D. It starts being charged the card's regular APR

CORRECT ANSWER

D. It starts being charged the card's regular APR

Feedback (shown after answering)

Remaining balances start accruing interest at the regular rate after the promotion.

Why each other choice is wrong (misconception it represents)

A: Invents forgiveness
B: Ignores the end of the promotion
C: Invents a process

Type: instruction

MAIN — Calculate card fees and compare balance transfers, 0% APR offers, and deferred interest · Question 4 of 5

Learn: Deferred interest is different from a true 0% APR. Interest builds up in the background from the purchase date. If the full promotional balance is not paid by the deadline, all of that interest can be charged at once.

A store card says "No interest if paid in full within 12 months" on a $1,200 TV. This is deferred interest. Ana pays $1,190 by the deadline. What happens?

A. She can owe all interest since the purchase date
B. She pays interest only on the remaining $10
C. Nothing is charged, since she paid almost all of it
D. The store refunds her payments

CORRECT ANSWER

A. She can owe all interest since the purchase date

Feedback (shown after answering)

Missing full payoff by even $10 can trigger interest back to the purchase date.

Why each other choice is wrong (misconception it represents)

B: Treats it like a true 0% APR
C: Ignores the all-or-nothing rule
D: Invents a refund

Type: instruction

MAIN — Calculate card fees and compare balance transfers, 0% APR offers, and deferred interest · Question 5 of 5

Learn: Some cards charge a foreign transaction fee, often about 3%, on purchases made in another currency or processed abroad. Other cards charge none.

Lin uses her card abroad and spends $2,500. Her card charges a 3% foreign transaction fee. How much is the fee?

A. $7.50
B. $75
C. $750
D. $2,575

CORRECT ANSWER

B. $75

Feedback (shown after answering)

$2,500 × 0.03 = $75.

Recomputed independently by the build: 75

Why each other choice is wrong (misconception it represents)

A: Uses 0.3%
C: Uses 30%
D: Gives the total

Type: instruction

BACKWARD B1 · concept review — Percent fees on balances · Question 1 of 5

Learn: A percent fee = amount × rate (as a decimal).

A fee is 4% of $500. What is the fee?

A. $2
B. $20
C. $200
D. $520

CORRECT ANSWER

B. $20

Feedback (shown after answering)

$500 × 0.04 = $20.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Uses 0.4%
C: Uses 40%
D: Gives the total

Type: instruction

BACKWARD B1 · concept review — Percent fees on balances · Question 2 of 5

Learn: Common card fees: annual fee (yearly), late fee (late payment), cash advance fee, balance transfer fee, and foreign transaction fee.

Which is a one-time fee charged when moving a balance from one card to another?

A. An annual membership fee
B. A late fee
C. A balance transfer fee
D. Interest

CORRECT ANSWER

C. A balance transfer fee

Feedback (shown after answering)

A balance transfer fee is charged when a balance is moved.

Why each other choice is wrong (misconception it represents)

A: Charged yearly
B: Charged for late payment
D: Charged over time

Type: instruction

BACKWARD B1 · concept review — Percent fees on balances · Question 3 of 5

Learn: To compare a yearly fee with monthly costs, divide by 12.

A card has a $95 annual fee. About how much is that per month?

A. $7.92
B. $9.50
C. $95.00
D. $1,140.00

CORRECT ANSWER

A. $7.92

Feedback (shown after answering)

$95 ÷ 12 ≈ $7.92.

Recomputed independently by the build: 7.916667

Why each other choice is wrong (misconception it represents)

B: Divides by 10
C: Treats it as monthly
D: Multiplies by 12

Type: instruction

BACKWARD B1 · concept review — Percent fees on balances · Question 4 of 5

Learn: A 0% introductory APR means no interest during the promotion. Minimum payments are still required each month.

What does "0% APR for 12 months" mean on a new card?

A. No payments of any kind are required for 12 months
B. The card has no fees ever
C. No interest on qualifying balances for 12 months
D. Interest is charged only after 12 years

CORRECT ANSWER

C. No interest on qualifying balances for 12 months

Feedback (shown after answering)

Minimum payments are still required; only the interest is 0%.

Why each other choice is wrong (misconception it represents)

A: Confuses 0% interest with no payments
B: Overgeneralizes
D: Misreads months

Type: instruction

BACKWARD B1 · concept review — Percent fees on balances · Question 5 of 5

Learn: Foreign transaction fees can apply without leaving the country: an online purchase from a foreign merchant or in a foreign currency can trigger one.

Which fees would a cardholder most likely avoid if she always pays on time and makes no purchases in foreign currency or processed by foreign merchants (in person or online)?

A. Every fee, including the annual fee
B. Interest on balances carried over
C. Balance transfer fees when transferring
D. Late fees and foreign transaction fees

CORRECT ANSWER

D. Late fees and foreign transaction fees

Feedback (shown after answering)

Paying on time avoids late fees; avoiding foreign-currency or foreign-processed purchases avoids foreign transaction fees.

Why each other choice is wrong (misconception it represents)

A: Annual fees still apply
B: Depends on paying in full
C: Applies when transferring

Type: instruction

GO DEEPER 1 — Deferred interest versus a true 0% intro APR · Question 1 of 5

Learn: True 0% APR: interest starts only on what remains after the promotion ends. Deferred interest: interest builds from the purchase date and is charged in full if any promotional balance remains at the deadline.

Card X offers a true 0% intro APR for 12 months. Card Y offers deferred interest for 12 months at 26.99%. Both have $1,200 purchases and $100 left at month 12. Which statement is TRUE?

A. Only Card Y can charge a year of back interest
B. Both charge the same interest
C. Card Y charges less because its rate is deferred
D. Neither charges any interest ever

CORRECT ANSWER

A. Only Card Y can charge a year of back interest

Feedback (shown after answering)

True 0% never charges back interest; deferred interest does.

Why each other choice is wrong (misconception it represents)

B: Ignores the difference
C: Reverses
D: Ignores both rules

Type: instruction

GO DEEPER 1 — Deferred interest versus a true 0% intro APR · Question 2 of 5

Learn: Deferred interest is all-or-nothing: if any promotional balance remains at the deadline, all the accrued interest can be added.

Ana's deferred-interest statements show $230 of "accrued interest" building over 12 months. She leaves $10 unpaid at the deadline. How much interest is likely added?

A. $0
B. $2.70
C. $10
D. $230

CORRECT ANSWER

D. $230

Feedback (shown after answering)

All of the deferred interest can be charged when any promotional balance remains.

Recomputed independently by the build: 230

Why each other choice is wrong (misconception it represents)

A: Ignores the all-or-nothing rule
B: Charges interest only on $10
C: Confuses balance with interest

Type: instruction

GO DEEPER 1 — Deferred interest versus a true 0% intro APR · Question 3 of 5

Learn: With deferred interest, minimum payments are often too small to pay the promotional balance in time. Divide the balance by the months available.

To avoid deferred interest on a $1,200 purchase over 12 months, what monthly amount pays it off in time?

A. $25
B. $100
C. $120
D. $1,200

CORRECT ANSWER

B. $100

Feedback (shown after answering)

$1,200 ÷ 12 = $100 a month.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Uses a typical minimum
C: Uses 10 months
D: Pays all at once

Type: instruction

GO DEEPER 1 — Deferred interest versus a true 0% intro APR · Question 4 of 5

Learn: "If paid in full" wording usually means deferred interest. "0% intro APR" usually means interest-free during the period.

Which phrase in an ad signals DEFERRED interest rather than a true 0% APR?

A. "No interest if paid in full within 12 months"
B. "0% intro APR on purchases for 12 months"
C. "Regular APR 21.99%"
D. "No annual fee"

CORRECT ANSWER

A. "No interest if paid in full within 12 months"

Feedback (shown after answering)

"If paid in full" is the hallmark of deferred interest.

Why each other choice is wrong (misconception it represents)

B: True 0% language
C: Describes the standard rate
D: About fees

Type: instruction

GO DEEPER 1 — Deferred interest versus a true 0% intro APR · Question 5 of 5

Learn: Minimum payments are set as a small share of the balance, not as the amount needed to pay off a promotional balance by its deadline.

Why are minimum payments on deferred-interest plans risky?

A. They pay off the promo balance before the end date
B. They cancel the promotion as soon as one is made
C. They stop interest from ever being charged
D. They may not clear the promo balance in time

CORRECT ANSWER

D. They may not clear the promo balance in time

Feedback (shown after answering)

A small minimum can leave a balance at the deadline, triggering all the back interest.

Why each other choice is wrong (misconception it represents)

A: Assumes minimum payments are timed to the promotion
B: Misreads promotional terms
C: Believes paying something prevents deferred interest

Type: instruction

GO DEEPER 2 — Using a balance transfer wisely · Question 1 of 5

Learn: To finish during the promotion: monthly payment = total to repay ÷ months in the promotion.

Nia must pay off $4,120 (balance plus fee) during a 15-month 0% period. What monthly payment does that require (nearest cent)?

A. $266.67
B. $274.67
C. $343.33
D. $412.00

CORRECT ANSWER

B. $274.67

Feedback (shown after answering)

$4,120 ÷ 15 ≈ $274.67.

Recomputed independently by the build: 274.666667

Why each other choice is wrong (misconception it represents)

A: Leaves out the fee
C: Uses 12 months
D: Uses 10 months

Type: instruction

GO DEEPER 2 — Using a balance transfer wisely · Question 2 of 5

Learn: At 0% APR, the balance falls by exactly the amount paid.

If Nia pays only $150 a month on the $4,120 during the 15-month 0% period, how much remains when the promotion ends?

A. $0
B. $1,870
C. $2,250
D. $3,970

CORRECT ANSWER

B. $1,870

Feedback (shown after answering)

$4,120 − 15 × $150 = $4,120 − $2,250 = $1,870.

Recomputed independently by the build: 1870

Why each other choice is wrong (misconception it represents)

A: Assumes payoff
C: Gives total paid
D: Counts one payment

Type: instruction

GO DEEPER 2 — Using a balance transfer wisely · Question 3 of 5

Learn: A balance transfer only helps if the debt shrinks. New spending can rebuild the old balance while the transferred one is being paid.

Which habit can undo the benefit of a balance transfer?

A. Paying more than the minimum
B. Setting up autopay
C. Running up new charges on the old card
D. Tracking the date the promotion ends each month

CORRECT ANSWER

C. Running up new charges on the old card

Feedback (shown after answering)

New charges can leave two balances instead of one.

Why each other choice is wrong (misconception it represents)

A: Helps
B: Helps
D: Helps

Type: instruction

GO DEEPER 2 — Using a balance transfer wisely · Question 4 of 5

Learn: Compare the interest avoided during the promotion with the transfer fee. A constant balance gives only a rough comparison.

A transfer offer: 0% for 6 months, 5% fee. Debt: $2,000 at 18% APR. Rough estimate, assuming the balance stays at $2,000: about how much would 6 months at 18% cost (simple), and is the transfer worth it?

A. About $360 vs $100; never worth it
B. About $18 vs $100; always worth it
C. About $180 vs $10; worth it
D. About $180 in interest vs a $100 fee; worth it if paid off in 6 months

CORRECT ANSWER

D. About $180 in interest vs a $100 fee; worth it if paid off in 6 months

Feedback (shown after answering)

$2,000 × 0.18 × 0.5 = $180 vs 5% × $2,000 = $100: saves about $80, if paid off in time.

Recomputed independently by the build: 180

Why each other choice is wrong (misconception it represents)

A: Uses a year; wrong conclusion
B: Misplaces the decimal
C: Miscomputes the fee

Type: instruction

GO DEEPER 2 — Using a balance transfer wisely · Question 5 of 5

Learn: Three numbers decide whether a transfer saves money: the transfer fee, how long the promotional rate lasts, and the rate afterward.

Which fact should Nia check BEFORE transferring?

A. Only the new card's credit limit
B. Only the rewards points
C. The fee, promo length, and later APR
D. Only whether the new card has an annual fee

CORRECT ANSWER

C. The fee, promo length, and later APR

Feedback (shown after answering)

Those three numbers decide whether a transfer saves money.

Why each other choice is wrong (misconception it represents)

A: Ignores fees and later APR
B: Misses costs
D: Misses the transfer fee and promo length

Type: instruction · practical how-to

SET 40 · Credit Cards and Credit Scores

Credit reports

MAIN skill: Explain what credit reports contain, get free reports, and dispute errors

Outcome FL.CREDIT.40 · National topic: Managing Credit · NJSLS 9.1.12: CP, FI

Learning target: Explain credit reports, consumers' rights to access and correct them, and identity protection

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: What "credit history" means (5 questions)

Why: Credit reports make sense once students see them as a record of borrowing behavior.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Reading a credit report line by line (5 questions)

Go Deeper 2: Freezes, fraud alerts, and identity protection (5 questions)

Practical skills beyond the standards: Getting free credit reports; Placing and lifting a credit freeze

Content status: time-sensitive

Source: AnnualCreditReport.com (authorized by federal law) / FTC — Consumers can get free credit reports from Equifax, Experian, and TransUnion; free weekly reports have been made permanent. https://www.annualcreditreport.com

Source: FTC — Credit freezes are free at each of the three nationwide credit bureaus. https://consumer.ftc.gov/articles/what-know-about-credit-freezes-fraud-alerts

Answer key for this set: M-Q1 A, M-Q2 D, M-Q3 A, M-Q4 C, M-Q5 A, B1-Q1 C, B1-Q2 D, B1-Q3 D, B1-Q4 A, B1-Q5 C, F1-Q1 D, F1-Q2 A, F1-Q3 C, F1-Q4 A, F1-Q5 D, F2-Q1 C, F2-Q2 D, F2-Q3 A, F2-Q4 C, F2-Q5 D

MAIN — Explain what credit reports contain, get free reports, and dispute errors · Question 1 of 5

Learn: A credit report is a record of how you have used credit: accounts, balances, payment history, and some collections. Three nationwide credit bureaus (consumer reporting agencies) keep reports: Equifax, Experian, and TransUnion.

Which company is one of the three nationwide credit bureaus?

A. Experian
B. The Federal Reserve
C. The IRS
D. Visa

CORRECT ANSWER

A. Experian

Feedback (shown after answering)

Equifax, Experian, and TransUnion are the three nationwide credit bureaus.

Why each other choice is wrong (misconception it represents)

B: Central bank, not a bureau
C: Tax agency
D: Payment network

Type: instruction

MAIN — Explain what credit reports contain, get free reports, and dispute errors · Question 2 of 5

Learn: Federal law gives you free credit reports. The official site is AnnualCreditReport.com, where free reports from all three bureaus are available (weekly, under a permanent program).

Where can Jordan get free credit reports from all three bureaus?

A. Any website that advertises "free credit score"
B. The bank where Jordan opened checking
C. The IRS website
D. AnnualCreditReport.com

CORRECT ANSWER

D. AnnualCreditReport.com

Feedback (shown after answering)

AnnualCreditReport.com is the official free source.

Why each other choice is wrong (misconception it represents)

A: May sell products
B: Not the official source
C: Wrong agency

Type: instruction · practical how-to

MAIN — Explain what credit reports contain, get free reports, and dispute errors · Question 3 of 5

Learn: Credit reports show identifying information, credit accounts (cards, loans), balances, credit limits, payment history, inquiries, and certain collections. They do not include income, bank balances, race, religion, or medical details.

Which item is generally on a credit report?

A. Whether card payments were on time
B. Your income and salary
C. Your race or religion
D. Your bank account balances

CORRECT ANSWER

A. Whether card payments were on time

Feedback (shown after answering)

Payment history on credit accounts is a core part of credit reports.

Why each other choice is wrong (misconception it represents)

B: Not usually reported
C: Not allowed
D: Not on credit reports

Type: instruction

MAIN — Explain what credit reports contain, get free reports, and dispute errors · Question 4 of 5

Learn: If a report has an error, you can dispute it with the credit bureau (and the company that reported it). The bureau generally must investigate, usually within 30 days. An account you never opened can be a sign of identity theft.

Jordan's report lists a credit card she never opened. What should she do?

A. Ignore it, since reports are always correct
B. Pay off the card to make it go away
C. Dispute it and check for identity theft
D. Ignore it if her score still looks fine

CORRECT ANSWER

C. Dispute it and check for identity theft

Feedback (shown after answering)

Disputing errors is free; an unknown account may mean identity theft.

Why each other choice is wrong (misconception it represents)

A: Assumes accuracy
B: Pays a debt that is not hers
D: Lets fraud continue

Type: instruction · practical how-to

MAIN — Explain what credit reports contain, get free reports, and dispute errors · Question 5 of 5

Learn: Under the Fair Credit Reporting Act, only those with a "permissible purpose" can see your report: lenders, insurers, landlords, and employers (with your written permission), among others.

Who may legally see Jordan's credit report?

A. A lender reviewing her application
B. Any curious neighbor who wants to know
C. A classmate who asks
D. A social media follower

CORRECT ANSWER

A. A lender reviewing her application

Feedback (shown after answering)

Lenders evaluating applications have a permissible purpose.

Why each other choice is wrong (misconception it represents)

B: No permissible purpose
C: No permissible purpose
D: No permissible purpose

Type: instruction

BACKWARD B1 · concept review — What "credit history" means · Question 1 of 5

Learn: Your credit history shows how you have handled borrowing: which accounts you have, how much you owe, and whether you paid on time.

What is a credit history?

A. A list of every purchase a person has made with cash
B. A list of a person's bank account balances
C. A record of how a person has borrowed and repaid
D. A record of a person's income each year

CORRECT ANSWER

C. A record of how a person has borrowed and repaid

Feedback (shown after answering)

Credit history tracks borrowing and repayment.

Why each other choice is wrong (misconception it represents)

A: Not tracked
B: Confuses credit history with bank balances
D: Credit reports do not list income

Type: instruction

BACKWARD B1 · concept review — What "credit history" means · Question 2 of 5

Learn: Credit accounts such as loans and credit cards are reported to credit bureaus. Cash and debit purchases usually are not.

Which activity adds to a person's credit history?

A. Paying cash for groceries
B. Using a debit card
C. Saving money in a piggy bank
D. Repaying a car loan on time

CORRECT ANSWER

D. Repaying a car loan on time

Feedback (shown after answering)

Loans and credit cards build credit history.

Why each other choice is wrong (misconception it represents)

A: Not reported
B: Usually not reported
C: Not reported

Type: instruction

BACKWARD B1 · concept review — What "credit history" means · Question 3 of 5

Learn: Past repayment behavior helps lenders estimate the risk that a borrower will not repay.

Why do lenders look at credit history?

A. To learn which stores a borrower likes best
B. To set the borrower's salary
C. To decide the borrower's taxes
D. To predict whether a borrower will repay

CORRECT ANSWER

D. To predict whether a borrower will repay

Feedback (shown after answering)

Past repayment helps predict future repayment.

Why each other choice is wrong (misconception it represents)

A: Not the purpose
B: Not the purpose
C: Not the purpose

Type: instruction

BACKWARD B1 · concept review — What "credit history" means · Question 4 of 5

Learn: People with few or no credit accounts have "thin" files, which makes it harder for lenders to judge them.

A student with no loans or cards applies for credit. What problem might she face?

A. A "thin" credit file with little history to judge
B. Her report will show many late payments from the past
C. She will be approved for any amount
D. She has a perfect score by default

CORRECT ANSWER

A. A "thin" credit file with little history to judge

Feedback (shown after answering)

No history makes approval harder, not easier.

Why each other choice is wrong (misconception it represents)

B: No accounts, no late payments
C: Overstates
D: Misunderstands

Type: instruction

BACKWARD B1 · concept review — What "credit history" means · Question 5 of 5

Learn: Credit history can affect renting an apartment, insurance prices in many states, and some job applications (with written permission).

Besides lenders, who else may check credit history (with permission when required)?

A. Movie theaters
B. Grocery store cashiers at checkout
C. Landlords and insurers
D. Classmates

CORRECT ANSWER

C. Landlords and insurers

Feedback (shown after answering)

Landlords and insurers may review credit information for permissible purposes.

Why each other choice is wrong (misconception it represents)

A: No purpose
B: No purpose
D: No purpose

Type: instruction

GO DEEPER 1 — Reading a credit report line by line · Question 1 of 5

Learn: Credit report account lines show the creditor, limit or loan amount, balance, and payment status by month. Late payments are usually reported once they are 30 or more days past due.

A report line shows: "Card A — limit $2,000 — balance $600 — status: 30 days late (March)". What does "30 days late" mean?

A. The card was opened 30 days ago
B. The card has 30 days of interest-free time each month
C. The balance is $30
D. A payment was at least 30 days past due in March

CORRECT ANSWER

D. A payment was at least 30 days past due in March

Feedback (shown after answering)

A 30-day late payment was reported for March.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
C: Misreads

Type: instruction

GO DEEPER 1 — Reading a credit report line by line · Question 2 of 5

Learn: A hard inquiry happens when a lender checks your credit because you applied for credit; it can lower scores slightly for a short time. Soft inquiries, such as checking your own report or prescreened offers, do not affect scores.

A report shows two "hard inquiries" from lenders this month. What caused them?

A. Applications for new credit
B. Checking your own report
C. Receiving a preapproved offer in the mail
D. Paying a bill on time

CORRECT ANSWER

A. Applications for new credit

Feedback (shown after answering)

Hard inquiries come from credit applications.

Why each other choice is wrong (misconception it represents)

B: Soft inquiry
C: Soft inquiry
D: Not an inquiry

Type: instruction

GO DEEPER 1 — Reading a credit report line by line · Question 3 of 5

Learn: Soft inquiries, including checking your own credit, do not affect credit scores.

Which inquiry does NOT affect a credit score?

A. Applying for a car loan
B. Applying for a credit card
C. Checking your own credit report
D. Applying for a private student loan

CORRECT ANSWER

C. Checking your own credit report

Feedback (shown after answering)

Checking your own credit is a soft inquiry with no score impact.

Why each other choice is wrong (misconception it represents)

A: Hard inquiry
B: Hard inquiry
D: Hard inquiry

Type: instruction

GO DEEPER 1 — Reading a credit report line by line · Question 4 of 5

Learn: Paying a collection usually updates its status to "paid," but the record can remain for the reporting period allowed by law.

A report shows a collection account that Ana paid in full 2 years ago. What should it show now?

A. The collection, updated to show it was paid
B. Nothing; paid collections vanish immediately
C. A new unpaid collection
D. A higher balance

CORRECT ANSWER

A. The collection, updated to show it was paid

Feedback (shown after answering)

It should be updated as paid; it may remain on the report for the allowed time.

Why each other choice is wrong (misconception it represents)

B: Overstates
C: Misreads
D: Misreads

Type: instruction

GO DEEPER 1 — Reading a credit report line by line · Question 5 of 5

Learn: Lenders choose which bureaus to report to, and reporting dates differ, so the three reports may not match exactly.

Ana reviews her reports from all three bureaus. Why might they differ?

A. One of them must be fake
B. Bureaus copy each other's reports exactly every day
C. Each bureau uses a different person's data
D. Not every lender reports to every bureau

CORRECT ANSWER

D. Not every lender reports to every bureau

Feedback (shown after answering)

Different reporting leads to differences; check all three.

Why each other choice is wrong (misconception it represents)

A: Overreacts
B: Assumes the three bureaus share one file
C: Confuses reporting gaps with mixed files

Type: instruction

GO DEEPER 2 — Freezes, fraud alerts, and identity protection · Question 1 of 5

Learn: A credit freeze (security freeze) restricts access to your credit report, so identity thieves cannot easily open new accounts in your name. Freezes are free at each bureau, and you can lift them temporarily when you apply for credit.

What does a credit freeze do?

A. It lowers your credit score
B. It closes your existing cards
C. It blocks most new lenders from seeing your report
D. It stops you from using your own debit card or checks

CORRECT ANSWER

C. It blocks most new lenders from seeing your report

Feedback (shown after answering)

A freeze blocks most new-credit checks without affecting your score or existing accounts.

Why each other choice is wrong (misconception it represents)

A: Believes a freeze hurts scores
B: Confuses freezing a report with closing accounts
D: Confuses a credit freeze with freezing a bank account

Type: instruction

GO DEEPER 2 — Freezes, fraud alerts, and identity protection · Question 2 of 5

Learn: Since 2018, federal law has required the nationwide credit bureaus to place and lift credit freezes for free.

How much does it cost to place a credit freeze at a nationwide bureau?

A. $10 per bureau each year
B. $100 one time
C. A fee of 1% of your total credit limit
D. Nothing; freezes are free by law

CORRECT ANSWER

D. Nothing; freezes are free by law

Feedback (shown after answering)

Freezes are free at Equifax, Experian, and TransUnion.

Why each other choice is wrong (misconception it represents)

A: Outdated assumption
B: Invents a fee
C: Invents a fee

Type: instruction · rule as of Federal law as of 2026

GO DEEPER 2 — Freezes, fraud alerts, and identity protection · Question 3 of 5

Learn: You can lift a freeze temporarily for a specific time or lender, then it returns.

Ana froze her credit and now wants to apply for a car loan. What should she do?

A. Lift the freeze for a short time
B. Delete her credit history
C. Apply under a friend's name
D. Nothing; lenders can see frozen reports

CORRECT ANSWER

A. Lift the freeze for a short time

Feedback (shown after answering)

A temporary lift lets the lender check her credit.

Why each other choice is wrong (misconception it represents)

B: Impossible
C: Fraud
D: Misunderstands

Type: instruction · practical how-to

GO DEEPER 2 — Freezes, fraud alerts, and identity protection · Question 4 of 5

Learn: A fraud alert asks lenders to take extra steps to verify your identity before opening credit. A credit freeze blocks most access to your report.

How is a fraud alert different from a credit freeze?

A. An alert closes your existing accounts
B. A freeze costs money; an alert is free
C. An alert asks for ID checks; a freeze blocks access
D. They are identical; both close your current accounts

CORRECT ANSWER

C. An alert asks for ID checks; a freeze blocks access

Feedback (shown after answering)

Alerts add verification; freezes restrict access.

Why each other choice is wrong (misconception it represents)

A: Confuses alerts with account closure
B: Freezes are free
D: Ignores the difference

Type: instruction

GO DEEPER 2 — Freezes, fraud alerts, and identity protection · Question 5 of 5

Which teen habit best protects future credit?

A. Posting a full birth date and address online
B. Sharing passwords with friends
C. Using the same password everywhere
D. Keeping a Social Security number private

CORRECT ANSWER

D. Keeping a Social Security number private

Feedback (shown after answering)

Protecting your SSN and personal data prevents thieves from opening accounts in your name.

Why each other choice is wrong (misconception it represents)

A: Exposes identity data
B: Unsafe
C: Unsafe

Type: knowledge check · practical how-to

SET 41 · Credit Cards and Credit Scores

Credit scores

MAIN skill: Explain the factors that affect credit scores and how scores affect borrowing costs

Outcome FL.CREDIT.41 · National topic: Managing Credit · NJSLS 9.1.12: CP
Learning target: Explain factors that affect credit scores and how scores affect the cost of credit

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Percent weights and parts of a whole (5 questions)
  Why: Score factors are percents of a whole; students compare their weights.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Score factors and rates are percents.
- B3 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers
  Why: Comparing loan offers multiplies payment differences by months.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Scores, insurance, renting, and jobs (5 questions)
- Go Deeper 2: Myths about credit scores (5 questions)

Practical skills beyond the standards: Busting common credit score myths

Content status: time-sensitive
Source: myFICO (Fair Isaac Corporation) — FICO score factor weights: payment history 35%, amounts owed 30%, length of credit history 15%, new credit 10%, credit mix 10%; scores range 300-850.
https://www.myfico.com/credit-education/whats-in-your-credit-score

Answer key for this set: M-Q1 A, M-Q2 C, M-Q3 C, M-Q4 C, M-Q5 D, B1-Q1 C, B1-Q2 A, B1-Q3 C, B1-Q4 C, B1-Q5 D, F1-Q1 A, F1-Q2 C, F1-Q3 D, F1-Q4 D, F1-Q5 A, F2-Q1 C, F2-Q2 B, F2-Q3 C, F2-Q4 D, F2-Q5 B

MAIN — Explain the factors that affect credit scores and how scores affect borrowing costs · Question 1 of 5

Learn: A credit score is a number (often 300–850) that summarizes credit risk based on a credit report. FICO's general weights: payment history about 35%, amounts owed about 30%, length of credit history about 15%, new credit about 10%, and credit mix about 10%. Other scoring models exist.

In the widely used FICO model, which factor has the LARGEST weight?

A. Payment history (about 35%)
B. Credit mix (about 10%)
C. New credit (about 10%)
D. Length of credit history (about 15%)

CORRECT ANSWER

A. Payment history (about 35%)

Feedback (shown after answering)

Paying on time matters most.

Why each other choice is wrong (misconception it represents)

B: Smaller factor
C: Smaller factor
D: Smaller factor

Type: instruction

MAIN — Explain the factors that affect credit scores and how scores affect borrowing costs · Question 2 of 5

Learn: Credit scores affect the interest rates lenders offer. A higher score usually means a lower rate, which lowers monthly payments and total cost.

Two applicants want a $20,000, 5-year car loan. Applicant A (strong credit) is offered 6% APR, with a $386.66 payment; Applicant B is offered 12% APR, with a $444.89 payment. How much more does B pay over 5 years?

A. $58.23
B. $1,200.00
C. $3,493.80
D. $26,693.40

CORRECT ANSWER

C. $3,493.80

Feedback (shown after answering)

Difference per month: $444.89 − $386.66 = $58.23; × 60 = $3,493.80.

Recomputed independently by the build: 3493.8

Why each other choice is wrong (misconception it represents)

A: Gives the monthly difference
B: Uses 6% of $20,000
D: Gives B's total

Type: instruction

MAIN — Explain the factors that affect credit scores and how scores affect borrowing costs · Question 3 of 5

Learn: Scores reward on-time payments and low balances compared with limits, and can drop with late payments, high balances, and many new applications.

Which action is MOST likely to raise a credit score over time?

A. Opening several new cards in one month
B. Maxing out a credit card
C. Paying every bill on time
D. Closing your oldest account

CORRECT ANSWER

C. Paying every bill on time

Feedback (shown after answering)

Consistent on-time payments are the strongest positive factor.

Why each other choice is wrong (misconception it represents)

A: Adds inquiries and new accounts
B: Raises utilization
D: Can shorten history

Type: instruction

MAIN — Explain the factors that affect credit scores and how scores affect borrowing costs · Question 4 of 5

Learn: Credit scores use only information in credit reports. Income, employment, savings, age, race, and where you live are not part of the score.

Ana and Ben have identical credit reports, but Ben earns twice as much. How do their FICO scores likely compare?

A. Ben's is much higher
B. Ana's is higher because she borrows more of her income
C. They are about the same
D. Ben's is lower because higher earners spend more

CORRECT ANSWER

C. They are about the same

Feedback (shown after answering)

Income is not in credit reports, so identical reports give about the same score (lenders may still ask about income).

Why each other choice is wrong (misconception it represents)

A: Believes income is part of the score
B: Confuses the score with debt-to-income
D: Invents a rule

Type: instruction

MAIN — Explain the factors that affect credit scores and how scores affect borrowing costs · Question 5 of 5

Ivy's FICO score is 780; Max's is 580. Which statement is MOST accurate?

A. Max will pay lower rates, since lower is better
B. Both will get identical offers
C. Scores do not affect borrowing
D. Max will likely face higher rates or denials

CORRECT ANSWER

D. Max will likely face higher rates or denials

Feedback (shown after answering)

On the 300–850 scale, higher scores indicate lower risk and usually get better terms.

Why each other choice is wrong (misconception it represents)

A: Reverses the scale
B: Ignores score
C: Ignores score

Type: knowledge check

BACKWARD B1 · concept review — Percent weights and parts of a whole · Question 1 of 5

Learn: Parts of a whole are added to find a combined share.

If payment history is 35% of a score and amounts owed is 30%, together they make up what percent?

A. 5%
B. 35%
C. 65%
D. 1,050%

CORRECT ANSWER

C. 65%

Feedback (shown after answering)

35% + 30% = 65%.

Recomputed independently by the build: 65

Why each other choice is wrong (misconception it represents)

A: Subtracts
B: Gives one factor
D: Multiplies

Type: instruction

BACKWARD B1 · concept review — Percent weights and parts of a whole · Question 2 of 5

Learn: Percents of the same whole can be compared directly.

Which is larger: 15% or 10%?

A. 15%
B. 10%
C. They are equal
D. It cannot be compared

CORRECT ANSWER

A. 15%

Feedback (shown after answering)

15% > 10%.

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Misreads
D: Gives up

Type: instruction

BACKWARD B1 · concept review — Percent weights and parts of a whole · Question 3 of 5

Five factors weigh 35%, 30%, 15%, 10%, and 10%. What is their total?

A. 75%
B. 90%
C. 100%
D. 110%

CORRECT ANSWER

C. 100%

Feedback (shown after answering)

They add to 100%: the whole score model.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Arithmetic error
B: Misses one
D: Adds an extra 10

Type: knowledge check

BACKWARD B1 · concept review — Percent weights and parts of a whole · Question 4 of 5

A score went from 650 to 700. By how many points did it rise?

A. 0
B. 7
C. 50
D. 1,350

CORRECT ANSWER

C. 50

Feedback (shown after answering)

700 − 650 = 50 points.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Uses the percent change
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Percent weights and parts of a whole · Question 5 of 5

Learn: FICO's five factors: payment history (paying on time), amounts owed (balances and utilization), length of credit history (age of accounts), new credit (recent applications), and credit mix (types of accounts).

Maya's oldest card is 2 years old; her friend's is 15 years old. Both pay on time and owe little. Which score factor most likely favors her friend?

A. Payment history
B. Amounts owed
C. Credit mix
D. Length of credit history

CORRECT ANSWER

D. Length of credit history

Feedback (shown after answering)

Older accounts help the length-of-history factor.

Why each other choice is wrong (misconception it represents)

A: Both pay on time, so this does not separate them
B: Both owe little
C: Nothing says their account types differ

Type: instruction

GO DEEPER 1 — Scores, insurance, renting, and jobs · Question 1 of 5

Learn: Landlords often review credit reports or scores because past bill-paying predicts rent payment.

A landlord checks Tia's credit before approving an apartment. Why?

A. To predict whether she will pay rent on time
B. To see her school grades
C. To check her medical history and recent doctor visits
D. To learn her income

CORRECT ANSWER

A. To predict whether she will pay rent on time

Feedback (shown after answering)

Credit history helps landlords predict on-time rent.

Why each other choice is wrong (misconception it represents)

B: Not on reports
C: Not on reports
D: Not on reports

Type: instruction

GO DEEPER 1 — Scores, insurance, renting, and jobs · Question 2 of 5

Learn: Many insurers use credit-based insurance scores to help set prices, where state law allows.

In many states, auto insurers use credit-based insurance scores. What does this mean for drivers with weaker credit?

A. They pay lower premiums
B. They cannot buy insurance
C. They may pay higher premiums
D. Their driving record is ignored

CORRECT ANSWER

C. They may pay higher premiums

Feedback (shown after answering)

Weaker credit can raise premiums in states that allow this.

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Overstates
D: Overstates

Type: instruction

GO DEEPER 1 — Scores, insurance, renting, and jobs · Question 3 of 5

Learn: Employers may review credit reports (not scores) for some jobs, but federal law requires your written permission. Some states limit this further.

An employer wants to check Tia's credit report for a job. What must happen first?

A. Nothing; employers can check anyone
B. Tia must pay a fee
C. The employer must pay Tia's credit card bill
D. Tia must give written permission

CORRECT ANSWER

D. Tia must give written permission

Feedback (shown after answering)

Written permission is required for employment checks.

Why each other choice is wrong (misconception it represents)

A: Ignores FCRA
B: Invents a fee
C: Invents a requirement

Type: instruction

GO DEEPER 1 — Scores, insurance, renting, and jobs · Question 4 of 5

Learn: Over long loans, a small rate difference adds up: extra cost = monthly difference × number of payments.

A 100-point lower score raises a $250,000 mortgage rate from 6.5% to 7.5%. Payments rise from $1,580 to $1,748 a month. How much more is paid over 30 years?

A. $168
B. $2,016
C. $2,500
D. $60,480

CORRECT ANSWER

D. $60,480

Feedback (shown after answering)

($1,748 − $1,580) × 360 = $168 × 360 = $60,480.

Recomputed independently by the build: 60480

Why each other choice is wrong (misconception it represents)

A: Gives the monthly difference
B: Gives one year
C: Uses 1% of $250,000

Type: instruction

GO DEEPER 1 — Scores, insurance, renting, and jobs · Question 5 of 5

Learn: FICO and VantageScore both make several versions, and each bureau's data differs, so scores vary.

Which statement about "credit scores" is MOST accurate?

A. Different models give a person many scores
B. Everyone has one official score set by the government
C. Scores are updated only once a year
D. Scores are the same at every bureau

CORRECT ANSWER

A. Different models give a person many scores

Feedback (shown after answering)

Different models and bureaus produce different scores.

Why each other choice is wrong (misconception it represents)

B: Misunderstands
C: Misses that scores change as reports change
D: Assumes identical reports and models

Type: instruction

GO DEEPER 2 — Myths about credit scores · Question 1 of 5

Learn: Checking your own report or score is a soft inquiry and never affects scores.

Myth or fact: "Checking my own credit report lowers my score."

A. Fact: every check lowers your score
B. Fact: only on weekends
C. Myth: your own check is a soft inquiry
D. Fact: each check lowers your score by about 50 points

CORRECT ANSWER

C. Myth: your own check is a soft inquiry

Feedback (shown after answering)

Self-checks are soft inquiries; check as often as you like.

Why each other choice is wrong (misconception it represents)

A: Misunderstands inquiries
B: Invents a rule
D: Invents a penalty

Type: instruction

GO DEEPER 2 — Myths about credit scores · Question 2 of 5

Learn: Card use is reported each month. Paying the full statement balance shows responsible use without paying interest.

Myth or fact: "Carrying a small balance and paying interest helps your score."

A. Fact: interest payments raise scores
B. Myth: paying in full still shows on-time use
C. Fact: only balances over $1,000 count toward building credit
D. Fact: scores need debt to exist

CORRECT ANSWER

B. Myth: paying in full still shows on-time use

Feedback (shown after answering)

You do not need to pay interest to build credit.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
C: Invents a rule
D: Misunderstands

Type: instruction

GO DEEPER 2 — Myths about credit scores · Question 3 of 5

Learn: Credit scores use only information in credit reports.

Myth or fact: "My income determines my credit score."

A. Fact: higher income always means a higher score
B. Fact: scores are a percent of income
C. Myth: income is not in credit reports
D. Fact: only salaried workers have scores

CORRECT ANSWER

C. Myth: income is not in credit reports

Feedback (shown after answering)

Income is not part of the score, though lenders consider it separately.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Misunderstands
D: Misunderstands

Type: instruction

GO DEEPER 2 — Myths about credit scores · Question 4 of 5

Learn: Closing a card removes its credit limit from your total available credit and may eventually shorten your credit history.

Myth or fact: "Closing an old, unused card always raises my score."

A. Fact: fewer cards always means higher scores
B. Fact: closed cards are deleted immediately
C. Fact: closing a card erases its late payments from your report
D. Myth: it can raise utilization and shorten history

CORRECT ANSWER

D. Myth: it can raise utilization and shorten history

Feedback (shown after answering)

Closing a card can raise your utilization ratio and, over time, shorten your history.

Why each other choice is wrong (misconception it represents)

A: Oversimplifies
B: Believes closed accounts vanish from reports
C: Believes closing an account removes its history

Type: instruction

GO DEEPER 2 — Myths about credit scores · Question 5 of 5

Learn: Scoring models usually treat multiple inquiries for the same kind of loan (car, mortgage, student) within a short window as one, so you can shop for the best rate.

Myth or fact: "Shopping for a car loan at several lenders within a short period ruins my score."

A. Fact: each inquiry costs about 50 points every time
B. Myth: they usually count as one inquiry
C. Fact: you must never compare lenders
D. Fact: only the first lender counts

CORRECT ANSWER

B. Myth: they usually count as one inquiry

Feedback (shown after answering)

Rate shopping within a short window is generally treated as a single inquiry.

Why each other choice is wrong (misconception it represents)

A: Overstates
C: Bad advice
D: Misunderstands

Type: instruction

SET 42 · Credit Cards and Credit Scores

Building credit responsibly

MAIN skill: Build a credit history with low utilization, on-time payments, and starter credit products

Outcome FL.CREDIT.42 · National topic: Managing Credit · NJSLS 9.1.12: CP, CDM
Learning target: Build and maintain a positive credit history

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Part-to-whole percents (5 questions)
  Why: Utilization is a part-to-whole percent.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Utilization targets are percents of a limit.
- B3 · Math link → G6-S11-M (Grade 6 6.RP.A.3.c): Find the whole, given a part and the percent
  Why: Finding the limit or balance for a target utilization works backward from a percent.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Credit-builder loans and secured cards in detail (5 questions)
- Go Deeper 2: A first-year credit-building plan (5 questions)

Practical skills beyond the standards: Secured cards and credit-builder loans; Paying before the statement closes

Content status: time-sensitive

Source: myFICO (Fair Isaac Corporation) — FICO score factor weights: payment history 35%, amounts owed 30%, length of credit history 15%, new credit 10%, credit mix 10%; scores range 300-850. https://www.myfico.com/credit-education/whats-in-your-credit-score
Source: AnnualCreditReport.com (authorized by federal law) / FTC — Consumers can get free credit reports from Equifax, Experian, and TransUnion; free weekly reports have been made permanent. https://www.annualcreditreport.com
Source: CFPB (Credit card grace period) — A grace period, if the card offers one, lets you avoid interest on new purchases by paying the full statement balance by the due date; it usually does not apply to cash advances. https://www.consumerfinance.gov/ask-cfpb/what-is-a-grace-period-for-a-credit-card-en-47/

Answer key for this set: M-Q1 B, M-Q2 A, M-Q3 A, M-Q4 C, M-Q5 D, B1-Q1 B, B1-Q2 B, B1-Q3 A, B1-Q4 B, B1-Q5 C, F1-Q1 D, F1-Q2 B, F1-Q3 B, F1-Q4 A, F1-Q5 C, F2-Q1 C, F2-Q2 D, F2-Q3 A, F2-Q4 B, F2-Q5 A

MAIN — Build a credit history with low utilization, on-time payments, and starter credit products · Question 1 of 5

Learn: Credit utilization = card balances ÷ credit limits × 100. It is a major part of the "amounts owed" score factor. Lower utilization generally helps scores; a common guideline is to stay below about 30%, and lower is better.

Tia's card has a $1,500 limit, and her statement balance is $450. What is her credit utilization?

A. 3%
B. 30%
C. 70%
D. 333%

CORRECT ANSWER

B. 30%

Feedback (shown after answering)

$450 ÷ $1,500 = 0.30 = 30%.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Gives available credit percent
D: Divides the wrong way

Type: instruction

MAIN — Build a credit history with low utilization, on-time payments, and starter credit products · Question 2 of 5

Learn: Overall utilization adds all balances and divides by all limits.

Max has two cards: $300 balance on a $1,000 limit and $700 on a $2,500 limit. What is his overall utilization (nearest tenth)?

A. 28.6%
B. 30.0%
C. 35.0%
D. 40.0%

CORRECT ANSWER

A. 28.6%

Feedback (shown after answering)

($300 + $700) ÷ ($1,000 + $2,500) = 1,000 ÷ 3,500 ≈ 28.6%.

Recomputed independently by the build: 28.571429

Why each other choice is wrong (misconception it represents)

B: Averages the two card percents
C: Divides by the larger limit only
D: Uses the smaller limit only

Type: instruction

MAIN — Build a credit history with low utilization, on-time payments, and starter credit products · Question 3 of 5

Learn: Starter options include a secured credit card (you put down a deposit that usually becomes your limit), a credit-builder loan (payments are saved for you and released at the end), and being added as an authorized user on a parent's card. Paying on time builds history.

Leo has no credit history. Which product is designed to help someone start building credit?

A. A secured credit card backed by a cash deposit
B. A payday loan
C. A prepaid debit card
D. A savings account that comes with no card attached

CORRECT ANSWER

A. A secured credit card backed by a cash deposit

Feedback (shown after answering)

A secured card reports like a regular card but is backed by a deposit.

Why each other choice is wrong (misconception it represents)

B: Usually not reported and very costly
C: Not credit
D: Not credit

Type: instruction

MAIN — Build a credit history with low utilization, on-time payments, and starter credit products · Question 4 of 5

Learn: An authorized user can use someone else's card. Many issuers report the account to the authorized user's credit file too, which can help, or hurt if the account is misused.

Leo is added as an authorized user on his mother's card. Her account has a long on-time history and low utilization. What can this do?

A. Make Leo responsible for her past debts
B. Give Leo his own separate credit limit and account
C. Help Leo's credit file show positive history
D. Erase his mother's late payments

CORRECT ANSWER

C. Help Leo's credit file show positive history

Feedback (shown after answering)

The account's positive history may appear on Leo's report.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Misunderstands
D: Misunderstands

Type: instruction

MAIN — Build a credit history with low utilization, on-time payments, and starter credit products · Question 5 of 5

Which plan builds credit with the LEAST cost?

A. Carry a balance each month to show activity
B. Max out the card, then pay the minimum
C. Never use the card at all
D. Charge a small bill and pay it in full

CORRECT ANSWER

D. Charge a small bill and pay it in full

Feedback (shown after answering)

Small, regular purchases paid in full on time build history without purchase interest on a card with a grace period.

Why each other choice is wrong (misconception it represents)

A: Adds interest without helping
B: High utilization and interest
C: May not generate history

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Part-to-whole percents · Question 1 of 5

Learn: Percent = part ÷ whole × 100.

$200 is what percent of $1,000?

A. 2%
B. 20%
C. 80%
D. 500%

CORRECT ANSWER

B. 20%

Feedback (shown after answering)

200 ÷ 1,000 = 0.2 = 20%.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Gives the remaining part
D: Divides the wrong way

Type: instruction

BACKWARD B1 · concept review — Part-to-whole percents · Question 2 of 5

Learn: Part = percent × whole.

A card has a $2,000 limit. What balance equals 10% utilization?

A. $20
B. $200
C. $1,800
D. $2,000

CORRECT ANSWER

B. $200

Feedback (shown after answering)

$2,000 × 0.10 = $200.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

A: Uses 1%
C: Gives available credit
D: Uses 100%

Type: instruction

BACKWARD B1 · concept review — Part-to-whole percents · Question 3 of 5

Which utilization is LOWEST?

A. $100 of a $2,000 limit
B. $100 of a $500 limit
C. $400 of a $1,000 limit
D. $900 of a $3,000 limit

CORRECT ANSWER

A. $100 of a $2,000 limit

Feedback (shown after answering)

$100 ÷ $2,000 = 5%, the lowest.

Why each other choice is wrong (misconception it represents)

B: 20%
C: 40%
D: 30%

Type: knowledge check

BACKWARD B1 · concept review — Part-to-whole percents · Question 4 of 5

Learn: Utilization is balance ÷ limit. A larger limit with the same balance makes the fraction smaller.

If balances stay the same and a credit limit increases, what happens to utilization?

A. It goes up
B. It goes down
C. It stays the same
D. It becomes 100%

CORRECT ANSWER

B. It goes down

Feedback (shown after answering)

A larger denominator lowers the percent.

Why each other choice is wrong (misconception it represents)

A: Reverses
C: Ignores the denominator
D: Misunderstands

Type: instruction

BACKWARD B1 · concept review — Part-to-whole percents · Question 5 of 5

A card with a $500 limit has a $500 balance. What is utilization?

A. 0%
B. 50%
C. 100%
D. 500%

CORRECT ANSWER

C. 100%

Feedback (shown after answering)

$500 ÷ $500 = 100% ("maxed out").

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Arithmetic error
D: Uses dollars

Type: knowledge check

GO DEEPER 1 — Credit-builder loans and secured cards in detail · Question 1 of 5

Learn: With a credit-builder loan, the lender holds the loan amount in an account while you make payments. Payments are reported to bureaus, and you receive the money at the end. The cost is the interest and fees.

A credit-builder loan of $600 is held in a savings account while Ana makes 12 payments of $52. What does she receive at the end, and what did it cost?

A. $624; cost $0
B. $52; cost $548
C. $600; cost $52
D. $600; cost $24

CORRECT ANSWER

D. $600; cost $24

Feedback (shown after answering)

12 × $52 = $624 paid; she receives $600; cost $24.

Recomputed independently by the build: 24

Why each other choice is wrong (misconception it represents)

A: Swaps cost and payout
B: Confuses payments with payout
C: Counts one payment as cost

Type: instruction

GO DEEPER 1 — Credit-builder loans and secured cards in detail · Question 2 of 5

Learn: A secured card works like a regular credit card for utilization: the balance reported to the credit bureaus (usually the statement balance) ÷ the credit limit.

Leo opens a secured card with a $300 deposit and a $300 limit. Each month his statement reports a $30 balance, and he has no other cards. What utilization is reported each month?

A. 1%
B. 10%
C. 30%
D. 100%

CORRECT ANSWER

B. 10%

Feedback (shown after answering)

$30 ÷ $300 = 10%.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Uses the deposit as a percent
D: Uses the limit

Type: instruction

GO DEEPER 1 — Credit-builder loans and secured cards in detail · Question 3 of 5

Learn: Many secured cards review accounts after a period of good use and may convert them to regular (unsecured) cards.

After a year of on-time payments, some issuers "graduate" a secured card. What usually happens?

A. The deposit is kept as a fee
B. It becomes a regular card; the deposit is returned
C. The card is closed and a penalty is charged to Leo
D. Leo must pay a new deposit

CORRECT ANSWER

B. It becomes a regular card; the deposit is returned

Feedback (shown after answering)

Graduation returns the deposit and keeps the account history.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
C: Misunderstands
D: Misunderstands

Type: instruction

GO DEEPER 1 — Credit-builder loans and secured cards in detail · Question 4 of 5

Learn: A secured card helps build credit only if the issuer reports your payments to the credit bureaus.

Which question should Leo ask before opening a secured card?

A. Does the issuer report to all three credit bureaus?
B. Does the card offer cash-back rewards on purchases?
C. Will the deposit earn interest like savings?
D. Will it let me skip payments?

CORRECT ANSWER

A. Does the issuer report to all three credit bureaus?

Feedback (shown after answering)

Reporting to the bureaus is what builds credit.

Why each other choice is wrong (misconception it represents)

B: Focuses on rewards instead of credit building
C: Confuses a secured card deposit with savings
D: Harmful

Type: instruction · practical how-to

GO DEEPER 1 — Credit-builder loans and secured cards in detail · Question 5 of 5

Learn: When you keep a purchase grace period by paying the full balance on time every month, the APR does not affect your cost, but annual fees do.

A secured card has a $49 annual fee and 25.99% APR; another has a $0 fee and 28.99% APR. Both have a grace period on purchases. Leo will use it only for purchases and pay in full on time every month. Which is cheaper?

A. The $49-fee card, because its APR is lower
B. They cost the same
C. The $0-fee card
D. Neither; both charge $49

CORRECT ANSWER

C. The $0-fee card

Feedback (shown after answering)

Paying in full means no purchase interest, so the annual fee is the only cost.

Why each other choice is wrong (misconception it represents)

A: APR does not matter if paid in full
B: Ignores the fee
D: Misreads

Type: instruction

GO DEEPER 2 — A first-year credit-building plan · Question 1 of 5

Learn: The key habits for building credit are on-time payment, low balances, and few new applications.

Which step comes FIRST in a safe credit-building plan for a student?

A. Apply for five cards at once
B. Spend up to the limit each month to show activity
C. Set up autopay for the full statement balance
D. Lend the card to friends

CORRECT ANSWER

C. Set up autopay for the full statement balance

Feedback (shown after answering)

Autopay for the full balance, with enough money in checking, greatly lowers the risk of late payments and purchase interest from day one.

Why each other choice is wrong (misconception it represents)

A: Many inquiries
B: High utilization
D: Risky

Type: instruction · practical how-to

GO DEEPER 2 — A first-year credit-building plan · Question 2 of 5

Learn: Card issuers usually report the balance shown on your statement. Paying before the statement closes lowers the reported balance and utilization.

Tia's statement balance would be $480 on a $600 limit (80%). She pays $400 BEFORE the statement closes. What utilization is reported?

A. 80%
B. 67%
C. 0%
D. About 13%

CORRECT ANSWER

D. About 13%

Feedback (shown after answering)

$480 − $400 = $80; $80 ÷ $600 ≈ 13%.

Recomputed independently by the build: 13.333333

Why each other choice is wrong (misconception it represents)

A: Ignores the early payment
B: Uses the payment
C: Assumes full payoff

Type: instruction

GO DEEPER 2 — A first-year credit-building plan · Question 3 of 5

Learn: Late payments of 30 days or more are usually reported to the bureaus and can stay on a credit report for years.

Which habit could LOWER Tia's score during her first year?

A. Missing a payment by 30+ days
B. Paying in full each month
C. Keeping utilization under 10%
D. Checking her own credit report

CORRECT ANSWER

A. Missing a payment by 30+ days

Feedback (shown after answering)

A 30-day late payment is reported and can hurt a score for years.

Why each other choice is wrong (misconception it represents)

B: Helps
C: Helps
D: No effect

Type: instruction

GO DEEPER 2 — A first-year credit-building plan · Question 4 of 5

Learn: Utilization = balance ÷ limit.

After a year, Tia's issuer offers a higher limit with no fee. If her spending stays the same, what effect does accepting it usually have?

A. Higher utilization
B. Lower utilization
C. A hard inquiry that lowers her score for years
D. A shorter average age of accounts

CORRECT ANSWER

B. Lower utilization

Feedback (shown after answering)

The same balance on a larger limit is a smaller percent, as long as spending does not rise.

Why each other choice is wrong (misconception it represents)

A: Reverses
C: Overstates the effect of a limit increase
D: Confuses a limit increase with opening a new account

Type: instruction

GO DEEPER 2 — A first-year credit-building plan · Question 5 of 5

Learn: You can get free credit reports at AnnualCreditReport.com, and many banks and card issuers show a free score.

Which is the BEST way to check progress on building credit?

A. Check free reports and scores regularly
B. Pay for a "score boost" service
C. Apply for new cards to see if she is approved
D. Apply for loans now and then to see if approved

CORRECT ANSWER

A. Check free reports and scores regularly

Feedback (shown after answering)

Free reports and scores show progress without cost or inquiries.

Why each other choice is wrong (misconception it represents)

B: Unnecessary
C: Each application adds an inquiry
D: Adds inquiries

Type: instruction · practical how-to

SET 43 · Investing, Brokerage Accounts, and Investment Products

Saving versus investing: risk and return

MAIN skill: Distinguish saving from investing and explain the relationship between risk and return

Outcome FL.INVEST.43 · National topic: Investing · NJSLS 9.1.12: FI, RM

Learning target: Explain the relationship between risk and return and compare saving with investing

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Saving versus investing (5 questions)
  Why: Students must tell a safe, insured deposit apart from an investment that can rise or fall before learning about brokerage accounts.
- B2 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
  Why: Investment returns are percent changes.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Volatility and the order of returns (5 questions)
- Go Deeper 2: Matching investments to time horizons (5 questions)

Practical skills beyond the standards: Matching investments to time horizons

Content status: stable

Source: SEC Investor.gov (Save and invest) — Investments are not federally insured, can lose value, and generally carry more risk and more potential return than insured savings.
https://www.investor.gov/introduction-investing/investing-basics/save-and-invest

Answer key for this set: M-Q1 D, M-Q2 B, M-Q3 C, M-Q4 C, M-Q5 B, B1-Q1 A, B1-Q2 C, B1-Q3 D, B1-Q4 C, B1-Q5 A, F1-Q1 B, F1-Q2 C, F1-Q3 B, F1-Q4 D, F1-Q5 C, F2-Q1 D, F2-Q2 A, F2-Q3 B, F2-Q4 C, F2-Q5 B

MAIN — Distinguish saving from investing and explain the relationship between risk and return · Question 1 of 5

Learn: Saving means setting money aside in safe, easy-to-reach places, such as insured bank accounts, for short-term goals and emergencies. Investing means buying assets, such as stocks, bonds, or funds, that may grow over time but can also lose value. Investments are not FDIC insured.

Which statement best describes the difference between saving and investing?

A. Saving and investing are two words for the same thing
B. Investing is guaranteed to earn more than saving every year
C. Saving always loses money, while investing never does
D. Saving keeps money safe and available; investing seeks growth but can lose value

CORRECT ANSWER

D. Saving keeps money safe and available; investing seeks growth but can lose value

Feedback (shown after answering)

Savings protect value and access; investments aim for growth with the risk of loss.

Why each other choice is wrong (misconception it represents)

A: Treats them as identical
B: Treats investing returns as guaranteed
C: Reverses the risks

Type: instruction

MAIN — Distinguish saving from investing and explain the relationship between risk and return · Question 2 of 5

Learn: Time horizon is how long until you need the money. Money needed soon should not be exposed to market drops. Long horizons give investments time to recover from downturns.

Which goal is generally BETTER suited to investing than to a savings account?

A. An emergency fund that must be available next week
B. Retirement in 40 years
C. Rent due at the start of next month
D. A car repair expected in two months

CORRECT ANSWER

B. Retirement in 40 years

Feedback (shown after answering)

Long time horizons suit investing; short-term needs suit savings.

Why each other choice is wrong (misconception it represents)

A: Needs safety and access
C: Short-term need
D: Short-term need

Type: instruction

MAIN — Distinguish saving from investing and explain the relationship between risk and return · Question 3 of 5

Learn: Risk is the chance that an investment's results will differ from what you expect, including losing money. In general, investments with higher expected returns have bigger ups and downs. Past averages do not guarantee future results.

Investment A has averaged 3% a year with small ups and downs. Investment B has averaged 9% a year but sometimes lost 30% in a year. What does this illustrate?

A. Investment B is guaranteed to earn 9% every year
B. Investment A can never lose any money at all
C. Higher potential return usually comes with higher risk
D. Risk and return are completely unrelated to each other

CORRECT ANSWER

C. Higher potential return usually comes with higher risk

Feedback (shown after answering)

The higher-return investment comes with larger swings, including big losses.

Why each other choice is wrong (misconception it represents)

A: Treats an average as a guarantee
B: Overstates safety
D: Ignores the trade-off

Type: instruction

MAIN — Distinguish saving from investing and explain the relationship between risk and return · Question 4 of 5

Learn: Percent return = (ending value − starting value) ÷ starting value × 100.

A stock fund rose from $50 to $58 a share in a year. What was the percent return (no dividends)?

A. 8%
B. 13.8%
C. 16%
D. 116%

CORRECT ANSWER

C. 16%

Feedback (shown after answering)

($58 − $50) ÷ $50 = 0.16 = 16%.

Recomputed independently by the build: 16

Why each other choice is wrong (misconception it represents)

A: Uses the dollar gain as a percent
B: Divides by the ending price
D: Gives the ending value as a percent

Type: instruction

MAIN — Distinguish saving from investing and explain the relationship between risk and return · Question 5 of 5

Which is TRUE about money invested in a stock fund through a brokerage account?

A. It is FDIC insured up to $250,000, like a bank savings account
B. It can lose value and is not FDIC insured
C. It always keeps at least its starting value
D. It is guaranteed by the federal government

CORRECT ANSWER

B. It can lose value and is not FDIC insured

Feedback (shown after answering)

Investments carry market risk and are not deposit-insured.

Why each other choice is wrong (misconception it represents)

A: Confuses investments with deposits
C: Ignores risk
D: Overstates protection

Type: knowledge check

BACKWARD B1 · concept review — Saving versus investing · Question 1 of 5

Learn: Saving keeps money safe and available, usually in insured bank or credit union accounts. Investing buys assets that can rise or fall in value.

Which is an example of SAVING?

A. Putting $50 a month into an insured savings account
B. Buying shares of one technology company every month
C. Buying a stock index fund
D. Buying a corporate bond fund

CORRECT ANSWER

A. Putting $50 a month into an insured savings account

Feedback (shown after answering)

An insured savings account is saving.

Why each other choice is wrong (misconception it represents)

B: Investing
C: Investing
D: Investing

Type: instruction

BACKWARD B1 · concept review — Saving versus investing · Question 2 of 5

Learn: Investing means using money to buy assets, such as stocks, bonds, or funds, hoping they grow in value or pay income.

Which is an example of INVESTING?

A. Opening a checking account
B. Keeping cash in a wallet
C. Buying shares of a company
D. Depositing money in a savings account

CORRECT ANSWER

C. Buying shares of a company

Feedback (shown after answering)

Buying company shares is investing.

Why each other choice is wrong (misconception it represents)

A: Banking
B: Cash
D: Saving

Type: instruction

BACKWARD B1 · concept review — Saving versus investing · Question 3 of 5

Learn: Stock prices change with market conditions and can fall below what you paid. Insured deposits keep their dollar value up to the insurance limit.

Which can LOSE value because of market changes?

A. An FDIC-insured savings account
B. An insured certificate of deposit held to maturity
C. Cash in an insured checking account
D. A stock

CORRECT ANSWER

D. A stock

Feedback (shown after answering)

Stock prices can fall below what you paid.

Why each other choice is wrong (misconception it represents)

A: Insured deposit
B: Insured deposit
C: Insured deposit

Type: instruction

BACKWARD B1 · concept review — Saving versus investing · Question 4 of 5

Why do people invest if investments can lose value?

A. Because investments are guaranteed to rise every year
B. Because investing is the same thing as saving in a bank
C. For the chance of higher long-term growth than savings
D. Because investments are always insured

CORRECT ANSWER

C. For the chance of higher long-term growth than savings

Feedback (shown after answering)

Investing accepts risk for the chance of higher growth over time.

Why each other choice is wrong (misconception it represents)

A: Overstates
B: Confuses terms
D: Confuses investments with insured deposits

Type: knowledge check

BACKWARD B1 · concept review — Saving versus investing · Question 5 of 5

Learn: Money needed very soon should be kept where its value will not drop.

Kim needs $800 for books in one month. Where should that money be?

A. In savings or checking, not invested
B. In a single stock she likes and follows
C. In a 10-year bond
D. In cryptocurrency

CORRECT ANSWER

A. In savings or checking, not invested

Feedback (shown after answering)

Short-term money should not be exposed to market drops.

Why each other choice is wrong (misconception it represents)

B: Too risky short term
C: Too long
D: Too volatile

Type: instruction

GO DEEPER 1 — Volatility and the order of returns · Question 1 of 5

Learn: Percent changes multiply. A loss needs a larger percent gain to recover: after a 20% drop, a 20% gain does not get you back to the start.

An investment falls 20% one year, then rises 20% the next. Starting from $1,000, what is it worth after two years?

A. $800
B. $960
C. $1,000
D. $1,040

CORRECT ANSWER

B. $960

Feedback (shown after answering)

$1,000 × 0.80 = $800; $800 × 1.20 = $960.

Recomputed independently by the build: 960

Why each other choice is wrong (misconception it represents)

A: Ignores the rise
C: Assumes the changes cancel
D: Applies the rise first and ignores order

Type: instruction

GO DEEPER 1 — Volatility and the order of returns · Question 2 of 5

Learn: Recovery gain needed = loss ÷ remaining value.

After an investment falls 50%, what percent gain is needed to return to the original value?

A. 25%
B. 50%
C. 100%
D. 150%

CORRECT ANSWER

C. 100%

Feedback (shown after answering)

$100 → $50 after a 50% loss; doubling (a 100% gain) returns it to $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Halves again
B: Thinks equal percents cancel
D: Adds 100

Type: instruction

GO DEEPER 1 — Volatility and the order of returns · Question 3 of 5

Learn: Volatility describes how much returns swing up and down. Two investments with the same average can have very different risk.

Two investments both average 6% a year. Which is generally riskier?

A. The one with returns between 4% and 8%
B. The one whose yearly returns swing between −25% and +35%
C. They are equally risky because their average returns match
D. The one that is newer to the market

CORRECT ANSWER

B. The one whose yearly returns swing between −25% and +35%

Feedback (shown after answering)

Bigger swings mean more volatility, a common measure of risk.

Why each other choice is wrong (misconception it represents)

A: Smaller swings
C: Ignores volatility
D: Age alone does not show volatility

Type: instruction

GO DEEPER 1 — Volatility and the order of returns · Question 4 of 5

Learn: A longer time horizon allows investors to wait out market declines rather than selling at a loss.

Why might a young investor accept more volatility for long-term goals?

A. Young investors cannot lose money
B. Volatility disappears after age 30
C. Markets rise every single year for young people
D. There is more time to recover from downturns

CORRECT ANSWER

D. There is more time to recover from downturns

Feedback (shown after answering)

Time can allow recovery, though losses remain possible.

Why each other choice is wrong (misconception it represents)

A: Believes youth removes risk
B: Invents an age when risk ends
C: Believes markets rise every year

Type: instruction

GO DEEPER 1 — Volatility and the order of returns · Question 5 of 5

Learn: Selling during a downturn turns a temporary drop in value into a realized loss.

An investor sells everything after a 25% drop and misses the recovery. Which behavior caused the loss to become permanent?

A. Holding a diversified fund through ups and downs
B. Investing regularly each month
C. Panic selling during a downturn
D. Reading the fund's prospectus

CORRECT ANSWER

C. Panic selling during a downturn

Feedback (shown after answering)

Selling low locks in the loss; staying invested could have recovered it.

Why each other choice is wrong (misconception it represents)

A: Usually reduces risk
B: Usually helps
D: Helps understanding

Type: instruction

GO DEEPER 2 — Matching investments to time horizons · Question 1 of 5

Learn: Short horizons call for safety; long horizons can take on more risk for growth.

Which mix is most sensible for money needed in 2 years for a down payment?

A. Mostly individual stocks she picks herself
B. All cryptocurrency
C. A 30-year bond
D. Mostly insured savings or short-term CDs

CORRECT ANSWER

D. Mostly insured savings or short-term CDs

Feedback (shown after answering)

Money needed soon belongs in safe, liquid places.

Why each other choice is wrong (misconception it represents)

A: Too risky for 2 years
B: Too volatile
C: Too long

Type: instruction

GO DEEPER 2 — Matching investments to time horizons · Question 2 of 5

Which goal has the LONGEST time horizon?

A. Retirement savings for a 20-year-old
B. A spring break trip next year
C. A laptop she needs next semester for class
D. A car in 3 years

CORRECT ANSWER

A. Retirement savings for a 20-year-old

Feedback (shown after answering)

Retirement for a 20-year-old is 40+ years away.

Why each other choice is wrong (misconception it represents)

B: Short
C: Short
D: Medium

Type: knowledge check

GO DEEPER 2 — Matching investments to time horizons · Question 3 of 5

Learn: Each goal can have its own strategy based on when the money is needed.

A 16-year-old saving for college in 2 years and for retirement in 50 years should use...

A. the same high-risk investment for both
B. different strategies for each goal
C. cash under the mattress for both
D. no plan for either

CORRECT ANSWER

B. different strategies for each goal

Feedback (shown after answering)

Each goal's timeline decides how much risk fits.

Why each other choice is wrong (misconception it represents)

A: Ignores horizon
C: Ignores growth
D: Unhelpful

Type: instruction

GO DEEPER 2 — Matching investments to time horizons · Question 4 of 5

Learn: Risk tolerance is your ability and willingness to handle investment losses without abandoning your plan.

What is "risk tolerance"?

A. The highest return an investor can expect to earn
B. The minimum deposit needed to open an account
C. How much ups and downs an investor can handle
D. A guarantee against loss

CORRECT ANSWER

C. How much ups and downs an investor can handle

Feedback (shown after answering)

Risk tolerance is about handling volatility without abandoning the plan.

Why each other choice is wrong (misconception it represents)

A: Confuses tolerance for risk with expected return
B: Confuses risk tolerance with account minimums
D: Misreads

Type: instruction

GO DEEPER 2 — Matching investments to time horizons · Question 5 of 5

Learn: The real return is roughly the nominal return minus inflation.

An investment pays 2% while prices rise 3% a year. What happens to purchasing power?

A. It rises by 2% a year
B. It falls by about 1% a year
C. It rises by 5% a year
D. It stays the same as last year

CORRECT ANSWER

B. It falls by about 1% a year

Feedback (shown after answering)

Real return ≈ 2% − 3% = −1%: money buys less over time.

Why each other choice is wrong (misconception it represents)

A: Ignores inflation
C: Adds the rates
D: Ignores the gap

Type: instruction

SET 44 · Investing, Brokerage Accounts, and Investment Products

Brokerage firms and brokerage accounts

MAIN skill: Explain what a brokerage firm and brokerage account are, and how they differ from banks

Outcome FL.INVEST.44 · National topic: Investing · NJSLS 9.1.12: FI

Learning target: Explain the role of brokerage firms and how investor protections differ from deposit insurance

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Banking versus investing accounts (5 questions)

Why: Students who mix up banking and investing accounts cannot follow brokerage questions; this is a financial-concept prerequisite, not a math one.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: What a brokerage account can hold (5 questions)

Go Deeper 2: SIPC and FDIC protections in detail (5 questions)

Practical skills beyond the standards: Checking a broker on FINRA BrokerCheck

Content status: time-sensitive

Source: SIPC — SIPC protects customers of failed member brokerage firms up to $500,000, including a $250,000 limit for cash; it does not protect against declines in investment value. https://www.sipc.org/for-investors/what-sipc-protects

Source: SEC Investor.gov (Save and invest) — Investments are not federally insured, can lose value, and generally carry more risk and more potential return than insured savings. https://www.investor.gov/introduction-investing/investing-basics/save-and-invest

Answer key for this set: M-Q1 A, M-Q2 D, M-Q3 B, M-Q4 A, M-Q5 C, B1-Q1 D, B1-Q2 C, B1-Q3 A, B1-Q4 B, B1-Q5 D, F1-Q1 B, F1-Q2 C, F1-Q3 A, F1-Q4 D, F1-Q5 D, F2-Q1 B, F2-Q2 C, F2-Q3 B, F2-Q4 A, F2-Q5 C

MAIN — Explain what a brokerage firm and brokerage account are, and how they differ from banks · Question 1 of 5

Learn: A brokerage account allows someone to buy and hold investments such as stocks, bonds, and exchange-traded funds. Brokerage firms include Charles Schwab, Fidelity, and E*TRADE. Unlike an ordinary checking account, a brokerage account is commonly used for investing.

Someone wants to purchase shares of a publicly traded company. Which type of account would generally allow them to do that?

A. Brokerage account
B. Standard checking account
C. Traditional savings account
D. Certificate of deposit

CORRECT ANSWER

A. Brokerage account

Feedback (shown after answering)

A brokerage account is the account used to buy and hold stocks and funds.

Why each other choice is wrong (misconception it represents)

B: Confuses a bank account with a brokerage account
C: Confuses saving with investing
D: Confuses a time deposit with an investment account

Type: instruction

MAIN — Explain what a brokerage firm and brokerage account are, and how they differ from banks · Question 2 of 5

Learn: A brokerage firm (broker-dealer) is a company registered to buy and sell securities, such as stocks, bonds, and funds, for its customers. It keeps customers' investments in brokerage accounts and sends statements. Some companies offer both banking and brokerage services, but the accounts are different products.

What does a brokerage firm do?

A. It insures bank deposits up to $250,000 for each depositor
B. It sets the interest rates that every bank must pay to its savers each year
C. It collects federal income taxes from investors
D. It buys and sells investments for customers and holds them in accounts

CORRECT ANSWER

D. It buys and sells investments for customers and holds them in accounts

Feedback (shown after answering)

Brokers execute trades and hold securities for customers.

Why each other choice is wrong (misconception it represents)

A: Confuses a broker with the FDIC
B: Confuses a broker with the Federal Reserve
C: Confuses a broker with the IRS

Type: instruction

MAIN — Explain what a brokerage firm and brokerage account are, and how they differ from banks · Question 3 of 5

Learn: Examples of brokerage firms include Charles Schwab, Fidelity, E*TRADE, and Vanguard. Naming them is not an endorsement; firms differ in fees, services, and investment choices.

Which pair lists two brokerage firms?

A. The FDIC and the NCUA
B. Fidelity and Charles Schwab
C. Equifax and TransUnion, the bureaus
D. Visa and Mastercard

CORRECT ANSWER

B. Fidelity and Charles Schwab

Feedback (shown after answering)

Fidelity and Charles Schwab are brokerage firms.

Why each other choice is wrong (misconception it represents)

A: Deposit insurers
C: Credit bureaus
D: Payment networks

Type: instruction

MAIN — Explain what a brokerage firm and brokerage account are, and how they differ from banks · Question 4 of 5

Learn: A bank deposit is a promise by the bank to repay your dollars, protected by deposit insurance. An investment is ownership of an asset whose market value can change.

Ella keeps $3,000 in a bank savings account and $3,000 in a stock fund in her brokerage account. A market drop cuts stock prices 20%. Which statement is TRUE?

A. The fund falls to about $2,400; the savings stay at $3,000
B. Both fall to $2,400, because both are her money
C. Both stay at $3,000 because both of her accounts are insured
D. The savings fall to $2,400 but the fund stays at $3,000

CORRECT ANSWER

A. The fund falls to about $2,400; the savings stay at $3,000

Feedback (shown after answering)

$3,000 × 0.80 = $2,400 in the fund. The bank deposit keeps its dollar value.

Recomputed independently by the build: 2400

Why each other choice is wrong (misconception it represents)

B: Treats deposits as investments
C: Thinks investments are insured
D: Reverses the risks

Type: instruction

MAIN — Explain what a brokerage firm and brokerage account are, and how they differ from banks · Question 5 of 5

Learn: SIPC (Securities Investor Protection Corporation) protects customers of failed member brokerage firms up to $500,000, including $250,000 for cash, when securities or cash are missing. SIPC does not protect against market losses. The FDIC protects bank deposits, not investments.

Ella's brokerage firm fails, and some customer securities are missing. Which protection may help her?

A. FDIC insurance on her investment losses
B. SIPC payment for any drop in her stock prices
C. SIPC, which restores missing assets up to its limits
D. No protection of any kind exists for brokerage customers

CORRECT ANSWER

C. SIPC, which restores missing assets up to its limits

Feedback (shown after answering)

SIPC replaces missing customer assets when a member firm fails; it does not cover investment losses.

Why each other choice is wrong (misconception it represents)

A: Confuses FDIC with SIPC
B: Thinks SIPC covers market losses
D: Ignores SIPC

Type: instruction · rule as of SIPC limits as of 2026

BACKWARD B1 · concept review — Banking versus investing accounts · Question 1 of 5

Learn: Many workers have their paychecks deposited into bank accounts. Checking accounts are commonly used for paying bills, while savings accounts are used for setting aside money. A brokerage account is generally used to buy and hold investments, such as stocks and funds. Some companies offer both banking and brokerage services.

Which account would generally be used to purchase shares of a publicly traded company?

A. Standard checking account
B. Traditional savings account
C. Certificate of deposit
D. Brokerage account

CORRECT ANSWER

D. Brokerage account

Feedback (shown after answering)

Stocks are bought and held in a brokerage account.

Why each other choice is wrong (misconception it represents)

A: Banking account
B: Banking account
C: Banking product

Type: instruction

BACKWARD B1 · concept review — Banking versus investing accounts · Question 2 of 5

Learn: Checking accounts are designed for frequent payments and debit card use.

Which account is MOST often used to pay rent and everyday bills?

A. A brokerage account
B. A certificate of deposit
C. A checking account
D. A retirement account

CORRECT ANSWER

C. A checking account

Feedback (shown after answering)

Checking accounts handle everyday payments.

Why each other choice is wrong (misconception it represents)

A: For investing
B: Locked for a term
D: For long-term saving

Type: instruction

BACKWARD B1 · concept review — Banking versus investing accounts · Question 3 of 5

Learn: Savings accounts are insured deposits that keep money safe and available.

Which account is MOST often used to set aside money safely for an emergency?

A. A savings account
B. A brokerage account full of stocks
C. A cryptocurrency wallet
D. A collectibles collection

CORRECT ANSWER

A. A savings account

Feedback (shown after answering)

Savings accounts are safe and accessible.

Why each other choice is wrong (misconception it represents)

B: Value can fall
C: Highly volatile
D: Hard to sell quickly

Type: instruction

BACKWARD B1 · concept review — Banking versus investing accounts · Question 4 of 5

Learn: Who sells a product does not change what it is. Investments sold through a bank are still investments.

A bank also offers brokerage services. Ben buys a stock fund through the bank's investment arm. Is the fund a bank deposit?

A. Yes, because the bank's name is on it
B. No; it is an investment, not a deposit
C. Yes, if Ben has a checking account there
D. Yes, but only for the first year

CORRECT ANSWER

B. No; it is an investment, not a deposit

Feedback (shown after answering)

Investments are not deposits, even when bought through a bank.

Why each other choice is wrong (misconception it represents)

A: Confuses the seller with the product
C: Believes bank customers get deposit insurance on investments
D: Invents a rule

Type: instruction

BACKWARD B1 · concept review — Banking versus investing accounts · Question 5 of 5

Which statement is TRUE about stocks held in a brokerage account?

A. Their value is fixed once they are bought
B. They earn a fixed interest rate like savings
C. They are FDIC insured
D. Their value can rise or fall

CORRECT ANSWER

D. Their value can rise or fall

Feedback (shown after answering)

Stock values change with the market.

Why each other choice is wrong (misconception it represents)

A: Confuses stocks with deposits
B: Confuses stocks with deposits
C: Confuses brokerage holdings with bank deposits

Type: knowledge check

GO DEEPER 1 — What a brokerage account can hold · Question 1 of 5

Learn: Brokerage accounts can hold many kinds of securities: individual stocks, bonds, mutual funds, exchange-traded funds (ETFs), and cash (often in a money market fund or bank "sweep" program).

Which investments can a typical brokerage account hold?

A. Only savings deposits and checking accounts
B. Stocks, bonds, mutual funds, and ETFs
C. Only real estate deeds
D. Only gift cards and store credit

CORRECT ANSWER

B. Stocks, bonds, mutual funds, and ETFs

Feedback (shown after answering)

Brokerage accounts hold a wide range of securities.

Why each other choice is wrong (misconception it represents)

A: Confuses with a bank
C: Not typical
D: Not investments

Type: instruction

GO DEEPER 1 — What a brokerage account can hold · Question 2 of 5

Learn: Deposited money sits as cash until you choose investments. Brokers hold that cash in one of two ways: a bank sweep program (cash deposited at partner banks, usually earning a small rate) or a money market fund (a low-risk fund, which is an investment, though usually not the long-term one you meant to choose).

Mia deposits $500 into a brokerage account, and the broker places it in a bank sweep program until she chooses an investment. What is the money doing there?

A. Automatically buying stocks every day
B. Earning the stock market's return
C. Waiting as cash to be invested or withdrawn
D. Paying the broker's taxes

CORRECT ANSWER

C. Waiting as cash to be invested or withdrawn

Feedback (shown after answering)

Cash in a bank sweep waits until she places a trade or withdraws it.

Why each other choice is wrong (misconception it represents)

A: Cash in a sweep is not invested in stocks
B: Cash is not in stocks
D: Misreads the purpose

Type: instruction

GO DEEPER 1 — What a brokerage account can hold · Question 3 of 5

Learn: A brokerage firm holds securities in custody for customers, but the customer owns them. Customer assets must be kept separate from the firm's own assets.

Who OWNS the stocks held in Mia's brokerage account?

A. Mia, the account owner
B. The brokerage firm that holds it
C. The stock exchange
D. The SEC

CORRECT ANSWER

A. Mia, the account owner

Feedback (shown after answering)

The broker holds the stocks for Mia, but they belong to her.

Why each other choice is wrong (misconception it represents)

B: Firm holds them for her
C: Marketplace, not owner
D: Regulator, not owner

Type: instruction

GO DEEPER 1 — What a brokerage account can hold · Question 4 of 5

Learn: The Securities and Exchange Commission (SEC) regulates securities markets. FINRA, a self-regulatory organization overseen by the SEC, supervises brokerage firms and registered brokers.

Which agency regulates brokerage firms in the United States?

A. The FDIC
B. The IRS
C. The CFPB only
D. The SEC, with FINRA overseeing brokers

CORRECT ANSWER

D. The SEC, with FINRA overseeing brokers

Feedback (shown after answering)

The SEC and FINRA oversee brokerage firms.

Why each other choice is wrong (misconception it represents)

A: Bank deposits
B: Taxes
C: Consumer finance, not securities

Type: instruction

GO DEEPER 1 — What a brokerage account can hold · Question 5 of 5

Learn: FINRA BrokerCheck is a free online tool that shows whether a person or firm is registered and any disciplinary actions.

Before using a broker or financial professional, which free tool shows their registration and disciplinary history?

A. The FDIC's BankFind tool
B. A social media review
C. A credit report from one bureau
D. FINRA BrokerCheck

CORRECT ANSWER

D. FINRA BrokerCheck

Feedback (shown after answering)

BrokerCheck shows registration and disciplinary records.

Why each other choice is wrong (misconception it represents)

A: Confuses checking a bank with checking a broker
B: Unreliable
C: Confuses consumer credit with professional registration

Type: instruction · practical how-to

GO DEEPER 2 — SIPC and FDIC protections in detail · Question 1 of 5

Learn: SIPC steps in when a member brokerage firm fails and customer cash or securities are missing. It does not protect against investment losses from market movements or bad advice.

Which loss is protected by SIPC?

A. A stock that falls 30% in value
B. Customer securities missing after a member broker fails
C. Losses from a bad investment choice
D. Losses to an investment scam run outside the brokerage firm

CORRECT ANSWER

B. Customer securities missing after a member broker fails

Feedback (shown after answering)

SIPC covers missing customer assets, not declines in value.

Why each other choice is wrong (misconception it represents)

A: Market loss
C: Market loss
D: Not covered

Type: instruction

GO DEEPER 2 — SIPC and FDIC protections in detail · Question 2 of 5

Learn: SIPC restores missing securities and cash up to its limits; the cash limit is lower than the total limit.

SIPC protection is up to $500,000 per customer, including up to $250,000 for cash. Sam has $400,000 of stocks missing at a failed broker. Up to how much may SIPC restore?

A. $0
B. $250,000
C. $400,000
D. $500,000

CORRECT ANSWER

C. $400,000

Feedback (shown after answering)

Securities claims are covered up to $500,000 total, so $400,000 is within the limit.

Recomputed independently by the build: 400000

Why each other choice is wrong (misconception it represents)

A: Ignores SIPC
B: Applies the cash limit to securities
D: Gives the limit, not the missing amount

Type: instruction · rule as of SIPC limits as of 2026

GO DEEPER 2 — SIPC and FDIC protections in detail · Question 3 of 5

Learn: SIPC limits: up to $500,000 per customer in total, of which no more than $250,000 can be for cash.

Kai has $300,000 of cash missing at a failed SIPC member broker. Up to how much of the cash may SIPC restore?

A. $0
B. $250,000
C. $300,000
D. $500,000

CORRECT ANSWER

B. $250,000

Feedback (shown after answering)

Cash claims are limited to $250,000.

Recomputed independently by the build: 250000

Why each other choice is wrong (misconception it represents)

A: Ignores SIPC
C: Ignores the cash limit
D: Uses the total limit

Type: instruction · rule as of SIPC limits as of 2026

GO DEEPER 2 — SIPC and FDIC protections in detail · Question 4 of 5

Learn: The FDIC insures bank deposits; SIPC protects brokerage customers when member firms fail.

Which protection applies to a savings account at a bank?

A. FDIC deposit insurance
B. SIPC protection
C. FINRA insurance coverage
D. SEC insurance

CORRECT ANSWER

A. FDIC deposit insurance

Feedback (shown after answering)

Bank deposits are protected by the FDIC.

Why each other choice is wrong (misconception it represents)

B: Brokers, not banks
C: FINRA is not an insurer
D: SEC is not an insurer

Type: instruction

GO DEEPER 2 — SIPC and FDIC protections in detail · Question 5 of 5

Learn: Claims that an investment "can never lose money" are false. Every investment carries risk.

A website claims, "Our investments are SIPC insured, so you can never lose money." What is wrong?

A. Nothing; SIPC guarantees all investment returns
B. SIPC covers only bank deposits
C. SIPC does not protect against market losses
D. SIPC protects only crypto

CORRECT ANSWER

C. SIPC does not protect against market losses

Feedback (shown after answering)

SIPC replaces missing assets; investment value can still fall.

Why each other choice is wrong (misconception it represents)

A: Overstates SIPC
B: Confuses with FDIC
D: Misreads SIPC

Type: instruction

SET 45 · Investing, Brokerage Accounts, and Investment Products

Opening and funding a brokerage account

MAIN skill: Complete the steps to open and fund a brokerage account and distinguish funding from investing

Outcome FL.INVEST.45 · National topic: Investing · NJSLS 9.1.12: FI, PB

Learning target: Describe how to open and fund an investment account and the difference between funding and investing

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Moving money between accounts (5 questions)
  - Why: Students must understand transfers between accounts before separating funding from investing.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Comparing brokerage firms (5 questions)
- Go Deeper 2: Custodial accounts and getting started as a teen (5 questions)

Practical skills beyond the standards: Opening and funding a brokerage account step by step; Custodial accounts for minors

Content status: time-sensitive

Source: SEC Investor.gov (Investor Bulletin: Opening a brokerage account) — Opening a brokerage account requires personal information such as Social Security number, date of birth, address, employment, and investment objectives. https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-bulletins-43

Source: SEC — The standard settlement cycle for most broker-dealer securities transactions is T+1 (effective May 28, 2024). https://www.sec.gov/newsroom/press-releases/2023-29

Answer key for this set: M-Q1 C, M-Q2 A, M-Q3 D, M-Q4 B, M-Q5 A, B1-Q1 B, B1-Q2 D, B1-Q3 C, B1-Q4 D, B1-Q5 A, F1-Q1 B, F1-Q2 D, F1-Q3 C, F1-Q4 B, F1-Q5 D, F2-Q1 A, F2-Q2 C, F2-Q3 C, F2-Q4 A, F2-Q5 C

MAIN — Complete the steps to open and fund a brokerage account and distinguish funding from investing · Question 1 of 5

Learn: Brokerage firms must verify your identity and learn about your situation. Applications usually ask for name, address, date of birth, Social Security number (or other taxpayer ID), employment information, and investment experience and goals.

Which information is generally required to open a brokerage account?

A. A credit card number and its security code
B. A copy of your last tax refund check
C. Social Security number, date of birth, address, and employment details
D. Your high school transcript and test scores

CORRECT ANSWER

C. Social Security number, date of birth, address, and employment details

Feedback (shown after answering)

Identity and financial profile information are standard on brokerage applications.

Why each other choice is wrong (misconception it represents)

A: Not required
B: Not required
D: Not required

Type: instruction · practical how-to

MAIN — Complete the steps to open and fund a brokerage account and distinguish funding from investing · Question 2 of 5

Learn: Minors generally cannot open individual brokerage accounts. A custodial account (often under the UTMA or UGMA laws) is opened by an adult custodian for a minor; the assets belong to the minor and are transferred to them at the age set by state law.

Leo, 16, wants to invest. Most brokerage firms require individual account owners to be adults. Which option fits his age?

A. A custodial account managed by an adult for Leo
B. An individual account opened in Leo's name alone
C. Using a parent's individual account without telling them
D. Waiting until age 30, the minimum to invest

CORRECT ANSWER

A. A custodial account managed by an adult for Leo

Feedback (shown after answering)

Custodial accounts let adults invest on a minor's behalf.

Why each other choice is wrong (misconception it represents)

B: Ignores the age rule
C: Unsafe and unauthorized
D: Invents a minimum age

Type: instruction

MAIN — Complete the steps to open and fund a brokerage account and distinguish funding from investing · Question 3 of 5

Learn: Funding means moving money into the account, often by an electronic transfer from a bank. After funding, the money sits as cash until you place an order to buy an investment.

Ana links her checking account and transfers $500 to her new brokerage account. The broker holds new deposits as cash in a bank sweep. What has she done?

A. Bought $500 of stock automatically
B. Bought a $500 savings bond
C. Paid a $500 fee to open the account
D. Funded the account; she has not bought any investment yet

CORRECT ANSWER

D. Funded the account; she has not bought any investment yet

Feedback (shown after answering)

Moving money in is funding; buying requires a separate order.

Why each other choice is wrong (misconception it represents)

A: Confuses funding with buying
B: Confuses funding with buying
C: Confuses funding with a fee

Type: instruction

MAIN — Complete the steps to open and fund a brokerage account and distinguish funding from investing · Question 4 of 5

Learn: Investing requires choosing a specific investment (such as a fund) and placing an order. Many accounts leave deposited money in cash until you do.

Ana's brokerage account shows $500 in uninvested cash (a bank sweep) and $0 in investments. What should she do to invest it?

A. Nothing; the cash is invested automatically
B. Choose an investment and place a buy order
C. Transfer the money back to checking
D. Call the FDIC to activate investing

CORRECT ANSWER

B. Choose an investment and place a buy order

Feedback (shown after answering)

Cash stays cash until she places an order.

Why each other choice is wrong (misconception it represents)

A: Thinks funding invests money
C: Undoes funding
D: Confuses agencies

Type: instruction · practical how-to

MAIN — Complete the steps to open and fund a brokerage account and distinguish funding from investing · Question 5 of 5

Ana places an order and buys $480 of a fund, leaving $20 in cash. What does her account hold?

A. $480 in the fund and $20 in cash
B. $500 in the fund
C. $500 in cash
D. $480 in cash and $20 in the fund

CORRECT ANSWER

A. $480 in the fund and $20 in cash

Feedback (shown after answering)

The purchase moved $480 into the fund; $20 remains as cash.

Why each other choice is wrong (misconception it represents)

B: Ignores remaining cash
C: Ignores the purchase
D: Reverses

Type: knowledge check

BACKWARD B1 · concept review — Moving money between accounts · Question 1 of 5

Learn: Transfers move money between your accounts. The money stays yours; only its location changes.

What is an electronic transfer between your bank and your brokerage account?

A. Borrowing money from the broker
B. Moving your own money from one account to another
C. Buying shares of a fund
D. Buying a stock automatically

CORRECT ANSWER

B. Moving your own money from one account to another

Feedback (shown after answering)

A transfer moves your own money.

Why each other choice is wrong (misconception it represents)

A: Confuses with margin
C: Confuses funding with investing
D: Confuses funding with buying

Type: instruction

BACKWARD B1 · concept review — Moving money between accounts · Question 2 of 5

After $200 moves from checking to brokerage, what happens to the checking balance?

A. It goes up by $200
B. It stays the same until she sells
C. It doubles
D. It goes down by $200

CORRECT ANSWER

D. It goes down by $200

Feedback (shown after answering)

Money leaving checking lowers its balance.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Ignores the transfer
C: Misreads

Type: knowledge check

BACKWARD B1 · concept review — Moving money between accounts · Question 3 of 5

Learn: "Funding" an account means putting money into it. Buying an investment with that money is a separate step.

Ben moves $200 from checking into his brokerage account but buys nothing yet. Which step has he completed?

A. Buying an investment
B. Opening a margin loan
C. Funding the account
D. Selling shares

CORRECT ANSWER

C. Funding the account

Feedback (shown after answering)

Depositing money is funding. Nothing he chooses is bought until he places an order (some firms hold uninvested cash in a bank sweep or money market fund).

Why each other choice is wrong (misconception it represents)

A: Confuses funding with buying
B: Confuses depositing with borrowing
D: Reverses the step

Type: instruction

BACKWARD B1 · concept review — Moving money between accounts · Question 4 of 5

Learn: Electronic transfers use routing and account numbers, never PINs or passwords.

What information links a bank account for transfers?

A. Your debit card PIN
B. Your online banking password
C. Your credit card number and expiration date
D. The bank's routing number and your account number

CORRECT ANSWER

D. The bank's routing number and your account number

Feedback (shown after answering)

Routing and account numbers identify the bank account.

Why each other choice is wrong (misconception it represents)

A: A PIN is never needed to link accounts and should not be shared
B: Passwords are never shared to link accounts
C: Card numbers do not identify a bank account for transfers

Type: instruction · practical how-to

BACKWARD B1 · concept review — Moving money between accounts · Question 5 of 5

Learn: Money in a bank sweep is cash waiting to be invested; it earns only the sweep's small rate.

Ben transfers $100 to his brokerage account, which holds new deposits in a bank sweep, but he forgets to buy anything. What is the $100 doing?

A. Sitting as cash in the account
B. Growing automatically with the stock market
C. Earning a guaranteed 10%
D. Returned to his bank automatically

CORRECT ANSWER

A. Sitting as cash in the account

Feedback (shown after answering)

Uninvested money remains cash.

Why each other choice is wrong (misconception it represents)

B: Not invested
C: Invents a return
D: Assumes uninvested cash is sent back

Type: instruction

GO DEEPER 1 — Comparing brokerage firms · Question 1 of 5

Learn: Brokerage firms differ in commissions and account fees, available investments (for example, low-cost index funds), account minimums, fractional shares, research tools, and customer service.

Which features are most useful to compare when choosing a brokerage firm?

A. How often the firm advertises on TV
B. Fees, investment choices, minimums, and tools
C. Which firm a friend happened to use
D. The number of offices the firm has in other countries

CORRECT ANSWER

B. Fees, investment choices, minimums, and tools

Feedback (shown after answering)

Costs and features determine which broker fits you.

Why each other choice is wrong (misconception it represents)

A: Treats advertising as quality
C: Copies a friend instead of comparing
D: Usually irrelevant

Type: instruction · practical how-to

GO DEEPER 1 — Comparing brokerage firms · Question 2 of 5

Learn: Small yearly fees add up: total = fee × years.

Broker A charges a $25 yearly account fee; Broker B charges none. Over 10 years, how much more does Broker A cost in account fees?

A. $0
B. $2.50
C. $25
D. $250

CORRECT ANSWER

D. $250

Feedback (shown after answering)

$25 × 10 = $250.

Recomputed independently by the build: 250

Why each other choice is wrong (misconception it represents)

A: Ignores the fee
B: Divides
C: Counts one year

Type: instruction

GO DEEPER 1 — Comparing brokerage firms · Question 3 of 5

Learn: With fractional shares, shares bought = dollars invested ÷ price per share.

Fractional shares let investors buy part of a share. A share costs $400, and Sam invests $50. What fraction of a share does he buy?

A. 8
B. 1/4
C. 1/8
D. 1/400

CORRECT ANSWER

C. 1/8

Feedback (shown after answering)

$50 ÷ $400 = 1/8 of a share.

Why each other choice is wrong (misconception it represents)

A: Inverts
B: Arithmetic error
D: Divides 1 by the price

Type: instruction

GO DEEPER 1 — Comparing brokerage firms · Question 4 of 5

Learn: The standard settlement cycle for most U.S. stock trades became T+1 (trade date plus one business day) in May 2024.

Settlement is when ownership and money officially change hands. For most stock trades the standard is "T+1." What does that mean?

A. The trade takes one year
B. The trade settles one business day after the trade date
C. The trade can be reversed for one day
D. The trade costs $1

CORRECT ANSWER

B. The trade settles one business day after the trade date

Feedback (shown after answering)

T+1 = settlement one business day after the trade.

Why each other choice is wrong (misconception it represents)

A: Misreads
C: Misreads
D: Misreads

Type: instruction · rule as of SEC rule effective May 28, 2024

GO DEEPER 1 — Comparing brokerage firms · Question 5 of 5

Learn: Many firms offer brokerage accounts. Examples in this course are for recognition only.

Which statement about mentioning firms like Fidelity, Charles Schwab, or E*TRADE in this course is accurate?

A. They are the only brokers that are legal to use
B. They are recommended by the course as the best choices
C. They are government agencies
D. They are examples, not recommendations

CORRECT ANSWER

D. They are examples, not recommendations

Feedback (shown after answering)

Compare several firms yourself; examples are not endorsements.

Why each other choice is wrong (misconception it represents)

A: Mistakes examples for a required list
B: Mistakes examples for endorsements
C: Confuses private firms with regulators

Type: instruction

GO DEEPER 2 — Custodial accounts and getting started as a teen · Question 1 of 5

Learn: Assets in a UTMA/UGMA custodial account legally belong to the minor. The custodian manages them for the minor's benefit until the age set by state law.

In a custodial account for Leo, who owns the investments?

A. Leo, though an adult manages them until he reaches the age set by law
B. The adult custodian forever
C. The brokerage firm
D. The state government

CORRECT ANSWER

A. Leo, though an adult manages them until he reaches the age set by law

Feedback (shown after answering)

The minor owns the assets; the custodian manages them.

Why each other choice is wrong (misconception it represents)

B: Misunderstands custodial ownership
C: Misunderstands
D: Misunderstands

Type: instruction

GO DEEPER 2 — Custodial accounts and getting started as a teen · Question 2 of 5

Learn: Gifts to UTMA/UGMA accounts are irrevocable: they cannot be taken back.

A custodial account receives a $1,000 gift. Can the custodian later take it back for personal use?

A. Yes, at any time
B. Yes, after one year
C. No; gifts to a custodial account belong to the minor
D. Yes, if the stock falls

CORRECT ANSWER

C. No; gifts to a custodial account belong to the minor

Feedback (shown after answering)

Custodial gifts are the minor's property.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Invents a rule
D: Invents a rule

Type: instruction

GO DEEPER 2 — Custodial accounts and getting started as a teen · Question 3 of 5

Leo puts $25 a month into an index fund in his custodial account. How much does he contribute in 3 years?

A. $75
B. $300
C. $900
D. $9,000

CORRECT ANSWER

C. $900

Feedback (shown after answering)

$25 × 36 = $900.

Recomputed independently by the build: 900

Why each other choice is wrong (misconception it represents)

A: Counts three months
B: Counts one year
D: Adds a zero

Type: knowledge check

GO DEEPER 2 — Custodial accounts and getting started as a teen · Question 4 of 5

Learn: With dollar-cost averaging, you invest the same dollar amount each period, so you automatically buy more shares when prices are low and fewer when prices are high.

Investing a fixed amount on a regular schedule is called dollar-cost averaging. What happens when prices are low?

A. The fixed amount buys more shares
B. The fixed amount buys fewer shares
C. The investor must wait for prices to recover
D. The price is guaranteed to rise next month

CORRECT ANSWER

A. The fixed amount buys more shares

Feedback (shown after answering)

$25 buys more shares at lower prices.

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Believes you cannot buy when prices fall
D: Believes a low price must rebound

Type: instruction

GO DEEPER 2 — Custodial accounts and getting started as a teen · Question 5 of 5

Learn: Shares bought = dollars invested ÷ price per share.

Leo invests $25 when a fund is $5 a share and $25 when it is $10 a share. How many shares does he own?

A. 5 shares
B. 2.5 shares
C. 7.5 shares
D. 10 shares

CORRECT ANSWER

C. 7.5 shares

Feedback (shown after answering)

$25 ÷ $5 = 5 shares; $25 ÷ $10 = 2.5 shares; total 7.5.

Recomputed independently by the build: 7.5

Why each other choice is wrong (misconception it represents)

A: Uses one price
B: Counts only the second purchase
D: Uses the lower price twice

Type: instruction

SET 46 · Investing, Brokerage Accounts, and Investment Products

Stocks: ownership, prices, and dividends

MAIN skill: Explain stock ownership and calculate gains, losses, and dividend income

Outcome FL.INVEST.46 · National topic: Investing · NJSLS 9.1.12: FI

Learning target: Explain stocks, dividends, capital gains, and why stock prices change

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Owners and lenders (5 questions)
  Why: Stock questions depend on separating owning a company (stock) from lending to it (bond) or depositing money (bank).
- B2 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
  Why: Stock returns are percent changes in price.
- B3 · Math link → G7-S20-M (Grade 7 7.NS.A.2.a): Interpret products of rational numbers in real-world situations
  Why: Gains and losses multiply a per-share change (possibly negative) by the number of shares.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: How stock prices change (5 questions)
- Go Deeper 2: Picking individual stocks versus owning many (5 questions)

Practical skills beyond the standards: Researching companies with SEC filings

Content status: stable

Answer key for this set: M-Q1 D, M-Q2 B, M-Q3 C, M-Q4 B, M-Q5 B, B1-Q1 C, B1-Q2 B, B1-Q3 A, B1-Q4 D, B1-Q5 A, F1-Q1 A, F1-Q2 C, F1-Q3 D, F1-Q4 D, F1-Q5 B, F2-Q1 A, F2-Q2 D, F2-Q3 A, F2-Q4 C, F2-Q5 B

MAIN — Explain stock ownership and calculate gains, losses, and dividend income · Question 1 of 5

Learn: A stock (share) is a unit of ownership in a corporation. Shareholders can benefit if the company grows (the share price may rise) and may receive dividends, which are payments from profits. If the company does poorly, the share price can fall, even to zero.

What does owning a share of stock mean?

A. Lending money to a company for a fixed interest rate
B. Depositing money in a company's bank account
C. Having a guaranteed right to a fixed yearly payment
D. Owning a small part of a company

CORRECT ANSWER

D. Owning a small part of a company

Feedback (shown after answering)

A share is partial ownership of a company.

Why each other choice is wrong (misconception it represents)

A: Describes a bond
B: Describes a deposit
C: Describes a fixed obligation

Type: instruction

MAIN — Explain stock ownership and calculate gains, losses, and dividend income · Question 2 of 5

Learn: Gain or loss = (selling price − purchase price) × number of shares.

Jada buys 20 shares at $45 and sells them later at $52. Ignoring fees, what is her gain?

A. $7
B. $140
C. $900
D. $1,040

CORRECT ANSWER

B. $140

Feedback (shown after answering)

($52 − $45) × 20 = $7 × 20 = $140.

Recomputed independently by the build: 140

Why each other choice is wrong (misconception it represents)

A: Gives the gain per share
C: Gives the purchase cost
D: Gives the sale amount

Type: instruction

MAIN — Explain stock ownership and calculate gains, losses, and dividend income · Question 3 of 5

Learn: A dividend is a payment a company may make to shareholders, usually from profits, often quarterly. Dividends are not guaranteed; companies can raise, cut, or stop them.

A stock pays a yearly dividend of $1.80 per share. Omar owns 50 shares. How much dividend income does he receive in a year?

A. $1.80
B. $51.80
C. $90
D. $900

CORRECT ANSWER

C. $90

Feedback (shown after answering)

$1.80 × 50 = $90.

Recomputed independently by the build: 90

Why each other choice is wrong (misconception it represents)

A: Gives one share's dividend
B: Adds
D: Adds a zero

Type: instruction

MAIN — Explain stock ownership and calculate gains, losses, and dividend income · Question 4 of 5

Learn: Percent change = (new − old) ÷ old × 100. A negative result is a decrease.

A stock price falls from $80 to $60. What is the percent change?

A. −33.3%
B. −25%
C. −20%
D. 25%

CORRECT ANSWER

B. −25%

Feedback (shown after answering)

(60 − 80) ÷ 80 = −0.25 = −25%.

Recomputed independently by the build: -25

Why each other choice is wrong (misconception it represents)

A: Divides by the new price, then uses a third
C: Divides by the new price
D: Drops the sign

Type: instruction

MAIN — Explain stock ownership and calculate gains, losses, and dividend income · Question 5 of 5

Why do stock prices change?

A. The government sets stock prices every morning
B. Buyers and sellers change what they are willing to pay
C. Prices rise by the same amount every day
D. Companies choose one price and never change it afterward

CORRECT ANSWER

B. Buyers and sellers change what they are willing to pay

Feedback (shown after answering)

Prices move with supply and demand, which reflect news, company results, interest rates, and investor expectations.

Why each other choice is wrong (misconception it represents)

A: Misunderstands markets
C: Confuses stocks with fixed growth
D: Misunderstands markets

Type: knowledge check

BACKWARD B1 · concept review — Owners and lenders · Question 1 of 5

Learn: Shareholders own part of a company. Bondholders lend to it. Customers buy from it.

Which person is an OWNER of a company?

A. Someone who lent it money through a bond
B. Someone who deposits money in a bank
C. Someone who holds its shares
D. Someone who buys its products

CORRECT ANSWER

C. Someone who holds its shares

Feedback (shown after answering)

Shareholders are part-owners.

Why each other choice is wrong (misconception it represents)

A: Lender
B: Depositor
D: Customer

Type: instruction

BACKWARD B1 · concept review — Owners and lenders · Question 2 of 5

Learn: Owners share in a company's success through price gains and dividends, and in its losses through price declines.

If a company earns larger profits, what can happen to its shareholders?

A. They must pay the company's taxes out of pocket
B. The share price may rise and dividends may grow
C. They lose their shares
D. Nothing ever changes for them

CORRECT ANSWER

B. The share price may rise and dividends may grow

Feedback (shown after answering)

Owners can benefit from profits.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
C: Misunderstands
D: Misunderstands

Type: instruction

BACKWARD B1 · concept review — Owners and lenders · Question 3 of 5

If a company fails, what can happen to its stock?

A. It can lose most or all of its value
B. It is repaid in full by the government
C. It turns into a bond that pays interest
D. Shareholders are paid before lenders

CORRECT ANSWER

A. It can lose most or all of its value

Feedback (shown after answering)

Shareholders can lose their entire investment.

Why each other choice is wrong (misconception it represents)

B: Confuses stock with insured deposits
C: Confuses shareholders with creditors
D: Reverses the order of claims

Type: knowledge check

BACKWARD B1 · concept review — Owners and lenders · Question 4 of 5

Learn: Shareholders can earn money two ways: a capital gain when they sell shares for more than they paid, and a dividend when the company pays out part of its profits.

A company sends each shareholder $0.50 per share from its profits. What is this payment called?

A. Interest
B. A capital gain
C. A premium
D. A dividend

CORRECT ANSWER

D. A dividend

Feedback (shown after answering)

A payment of profits to shareholders is a dividend.

Why each other choice is wrong (misconception it represents)

A: Paid to lenders or savers
B: Earned by selling for more than you paid
C: An insurance payment

Type: instruction

BACKWARD B1 · concept review — Owners and lenders · Question 5 of 5

A share bought for $30 is now worth $36. What is the gain per share?

A. $6
B. 20
C. $36
D. $66

CORRECT ANSWER

A. $6

Feedback (shown after answering)

$36 − $30 = $6.

Recomputed independently by the build: 6

Why each other choice is wrong (misconception it represents)

B: Gives the percent
C: Gives the price
D: Adds

Type: knowledge check

GO DEEPER 1 — How stock prices change · Question 1 of 5

Learn: Stock prices reflect expectations about a company's future profits. News that beats expectations often pushes prices up; disappointing news often pushes them down.

A company reports much higher profits than investors expected. What is the most likely immediate effect on its stock price?

A. It tends to rise
B. It tends to fall
C. It must stay the same by law
D. It drops to zero

CORRECT ANSWER

A. It tends to rise

Feedback (shown after answering)

Better-than-expected results usually raise demand for the stock.

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Invents a rule
D: Overreacts

Type: instruction

GO DEEPER 1 — How stock prices change · Question 2 of 5

Learn: Short-term price moves often reflect changing expectations, news, interest rates, and investor emotions, not just company results.

A stock's price rose 10% one day, though the company's business did not change. Which explanation fits best?

A. The company doubled its size overnight that day
B. The SEC raised the price
C. Investor expectations or market mood shifted
D. Stock prices only change with profits

CORRECT ANSWER

C. Investor expectations or market mood shifted

Feedback (shown after answering)

Short-term moves often reflect sentiment and expectations.

Why each other choice is wrong (misconception it represents)

A: Unlikely
B: Misunderstands
D: Too narrow

Type: instruction

GO DEEPER 1 — How stock prices change · Question 3 of 5

Learn: Higher interest rates make bonds and savings more attractive and raise borrowing costs for companies, which can lower stock prices.

If interest rates rise, many stocks fall. Why might that happen?

A. Stocks pay fixed interest that falls
B. Higher rates raise company profits right away
C. Interest rates and stocks are unrelated
D. Safer investments now pay more, so stocks look less attractive

CORRECT ANSWER

D. Safer investments now pay more, so stocks look less attractive

Feedback (shown after answering)

Competition from higher-yielding safe assets can lower stock prices.

Why each other choice is wrong (misconception it represents)

A: Misunderstands stocks
B: Reverses the effect
C: Ignores the link

Type: instruction

GO DEEPER 1 — How stock prices change · Question 4 of 5

Learn: Total return includes price change plus dividends: (ending price − starting price + dividends) ÷ starting price × 100.

A stock bought at $40 pays $2 in dividends over a year and ends at $44. What is the total return?

A. 5%
B. 6%
C. 10%
D. 15%

CORRECT ANSWER

D. 15%

Feedback (shown after answering)

($44 − $40 + $2) ÷ $40 = $6 ÷ $40 = 15%.

Recomputed independently by the build: 15

Why each other choice is wrong (misconception it represents)

A: Leaves out the price gain
B: Uses the dollar amounts
C: Leaves out dividends

Type: instruction

GO DEEPER 1 — How stock prices change · Question 5 of 5

Which statement about past stock performance is TRUE?

A. A stock that rose last year will rise this year
B. It does not guarantee future results
C. Past returns set future prices by law
D. Only past performance matters

CORRECT ANSWER

B. It does not guarantee future results

Feedback (shown after answering)

Past results are not a promise of future returns.

Why each other choice is wrong (misconception it represents)

A: Assumes momentum
C: Invents a rule
D: Overstates

Type: knowledge check

GO DEEPER 2 — Picking individual stocks versus owning many · Question 1 of 5

Learn: Owning a single company concentrates risk: problems at that one company affect all of your money.

Lia puts all $1,000 of her savings into one company's stock. The company has a major scandal, and the stock falls 70%. How much is her investment worth?

A. $300
B. $700
C. $930
D. $1,000

CORRECT ANSWER

A. $300

Feedback (shown after answering)

$1,000 × 0.30 = $300.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

B: Gives the loss
C: Subtracts 70 dollars
D: Ignores the loss

Type: instruction

GO DEEPER 2 — Picking individual stocks versus owning many · Question 2 of 5

Learn: In a diversified fund, a single company's loss is multiplied by its small share of the fund.

Owning shares of 500 companies through a fund, with one company falling 70%, would affect the whole fund about how much (if that company were 0.2% of the fund)?

A. About 70%
B. About 14%
C. About 0.70%
D. About 0.14%

CORRECT ANSWER

D. About 0.14%

Feedback (shown after answering)

0.2% × 70% = 0.14% of the fund.

Recomputed independently by the build: 0.14

Why each other choice is wrong (misconception it represents)

A: Applies one stock's loss to all
B: Misplaces the decimal
C: Misplaces the decimal

Type: instruction

GO DEEPER 2 — Picking individual stocks versus owning many · Question 3 of 5

Learn: Every dollar of fees comes out of the investor's return, and owning a few stocks concentrates risk. A broad index fund spreads money across many companies at low cost, though it still rises and falls with the market.

Picking stocks that beat the overall market is hard, and stock-picking funds usually charge higher fees than index funds. What does this suggest for beginners building a core long-term holding?

A. Low-cost diversified index funds are a reasonable core choice
B. Beginners should always pick individual stocks instead of funds
C. Stocks should be avoided entirely
D. Fees make no difference to results

CORRECT ANSWER

A. Low-cost diversified index funds are a reasonable core choice

Feedback (shown after answering)

Broad diversification at low cost is a sensible core holding for most beginners; it still carries market risk.

Why each other choice is wrong (misconception it represents)

B: Ignores difficulty and concentration risk
C: Overreacts
D: Ignores costs

Type: instruction

GO DEEPER 2 — Picking individual stocks versus owning many · Question 4 of 5

Learn: Stocks and funds trade on exchanges under short codes called ticker symbols.

What is a "ticker symbol"?

A. The price of a stock
B. A government ID number
C. A short code that identifies a stock or fund on an exchange
D. A type of bond

CORRECT ANSWER

C. A short code that identifies a stock or fund on an exchange

Feedback (shown after answering)

Tickers are short identifiers used to look up and trade securities.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
D: Misreads

Type: instruction

GO DEEPER 2 — Picking individual stocks versus owning many · Question 5 of 5

Learn: Public companies must file reports with the SEC, available free on the SEC's EDGAR database.

Which source gives the official, detailed description of a company's business and risks?

A. A social media post about the stock
B. Its filings with the SEC, such as the annual 10-K report
C. An ad for a trading app
D. A friend's tip

CORRECT ANSWER

B. Its filings with the SEC, such as the annual 10-K report

Feedback (shown after answering)

SEC filings provide official information about businesses and their risks.

Why each other choice is wrong (misconception it represents)

A: Unreliable
C: Promotional
D: Anecdotal

Type: instruction · practical how-to

SET 47 · Investing, Brokerage Accounts, and Investment Products

Bonds: lending to governments and companies

MAIN skill: Explain how bonds work and calculate bond interest

Outcome FL.INVEST.47 · National topic: Investing · NJSLS 9.1.12: FI

Learning target: Compare bonds with stocks and explain bond risks and returns

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Borrowers, lenders, and interest (5 questions)
  - Why: Bonds reverse the roles students know from loans: the investor is the lender.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Coupon interest is a percent of face value.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Types of bonds (5 questions)
- Go Deeper 2: Bond prices and interest rates (5 questions)

Practical skills beyond the standards: After-tax yield comparison

Content status: stable

Source: SEC Investor.gov — When interest rates rise, prices of existing bonds generally fall; bonds carry interest rate risk and credit (default) risk.
https://www.investor.gov/introduction-investing/investing-basics/investment-products/bonds-or-fixed-income-products/bonds

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 B, M-Q4 C, M-Q5 C, B1-Q1 D, B1-Q2 C, B1-Q3 B, B1-Q4 B, B1-Q5 D, F1-Q1 A, F1-Q2 B, F1-Q3 C, F1-Q4 A, F1-Q5 D, F2-Q1 C, F2-Q2 B, F2-Q3 B, F2-Q4 B, F2-Q5 C

MAIN — Explain how bonds work and calculate bond interest · Question 1 of 5

Learn: A bond is a loan from the investor to an issuer, such as a company, a city, or the U.S. government. The issuer promises to pay interest (the coupon) on a schedule and repay the face value at maturity. Bonds are investments, not deposits, and can lose value.

What does an investor do when buying a bond?

A. Lends money to the issuer in return for interest and repayment
B. Buys ownership in the issuer and a vote at shareholder meetings
C. Opens an insured deposit at a bank branch
D. Pays a fee for the right to buy stock later

CORRECT ANSWER

A. Lends money to the issuer in return for interest and repayment

Feedback (shown after answering)

Bondholders are lenders; stockholders are owners.

Why each other choice is wrong (misconception it represents)

B: Describes stock
C: Describes a deposit
D: Describes an option

Type: instruction

MAIN — Explain how bonds work and calculate bond interest · Question 2 of 5

Learn: Yearly coupon interest = face value × coupon rate. Many bonds pay half of it every six months.

A $1,000 bond has a 4% coupon rate. How much interest does it pay per year?

A. $4
B. $40
C. $400
D. $1,040

CORRECT ANSWER

B. $40

Feedback (shown after answering)

$1,000 × 0.04 = $40 a year (often $20 every six months).

Recomputed independently by the build: 40

Why each other choice is wrong (misconception it represents)

A: Uses 0.4%
C: Uses 40%
D: Gives face value plus interest

Type: instruction

MAIN — Explain how bonds work and calculate bond interest · Question 3 of 5

Learn: Existing bond prices move opposite to interest rates. When rates rise, older bonds paying lower coupons become less attractive, so their prices fall; when rates fall, their prices rise. This is interest rate risk.

Ivy owns a bond paying 3%. New bonds now pay 5%. What usually happens to the market price of Ivy's bond?

A. It rises
B. It falls
C. It stays exactly at face value no matter what
D. It turns into a 5% bond automatically

CORRECT ANSWER

B. It falls

Feedback (shown after answering)

Rising rates lower the price of existing lower-coupon bonds.

Why each other choice is wrong (misconception it represents)

A: Reverses the relationship
C: Ignores market pricing
D: Misunderstands fixed coupons

Type: instruction

MAIN — Explain how bonds work and calculate bond interest · Question 4 of 5

Learn: Credit (default) risk is the chance the issuer cannot pay. Ratings agencies grade bonds; "investment grade" bonds have lower risk, and "high-yield" ("junk") bonds have higher risk and higher interest. U.S. Treasury securities are backed by the U.S. government.

Which bond generally has the LOWEST risk of default?

A. A bond from a new company with heavy debt
B. A "junk" bond with a low credit rating
C. A U.S. Treasury bond
D. A bond from a company that recently missed payments

CORRECT ANSWER

C. A U.S. Treasury bond

Feedback (shown after answering)

Treasuries are backed by the U.S. government and have very low default risk.

Why each other choice is wrong (misconception it represents)

A: Higher credit risk
B: Higher credit risk
D: Higher credit risk

Type: instruction

MAIN — Explain how bonds work and calculate bond interest · Question 5 of 5

Learn: Current yield = yearly interest ÷ current price × 100. Buying below face value raises the yield.

A $1,000 bond paying $50 a year is bought for $950. What is its current yield (nearest tenth of a percent)?

A. 4.8%
B. 5.0%
C. 5.3%
D. 95.0%

CORRECT ANSWER

C. 5.3%

Feedback (shown after answering)

$50 ÷ $950 ≈ 0.0526 → 5.3%.

Recomputed independently by the build: 5.263158

Why each other choice is wrong (misconception it represents)

A: Divides by $1,050
B: Uses face value
D: Gives the price as a percent

Type: instruction

BACKWARD B1 · concept review — Borrowers, lenders, and interest · Question 1 of 5

Learn: When an organization sells bonds, it is borrowing from the investors who buy them.

When a city sells bonds to build a bridge, who is borrowing?

A. The investors who buy the bonds
B. The bridge builders
C. The people who drive on the bridge
D. The city

CORRECT ANSWER

D. The city

Feedback (shown after answering)

The city borrows from bond buyers.

Why each other choice is wrong (misconception it represents)

A: Lenders, not borrowers
B: Contractors
C: Users

Type: instruction

BACKWARD B1 · concept review — Borrowers, lenders, and interest · Question 2 of 5

A bond investor is most like which person?

A. A depositor whose money is FDIC insured
B. A company owner who shares profits
C. A lender who receives interest
D. A borrower who pays interest

CORRECT ANSWER

C. A lender who receives interest

Feedback (shown after answering)

Bondholders lend money and receive interest.

Why each other choice is wrong (misconception it represents)

A: Confuses a bond with an insured deposit
B: Describes stock
D: Reverses lender and borrower

Type: knowledge check

BACKWARD B1 · concept review — Borrowers, lenders, and interest · Question 3 of 5

Learn: At maturity, the issuer repays the bond's face value (principal) to the bondholder.

What is a bond's "maturity date"?

A. The date the bond was printed
B. The date the face value is repaid
C. The date the first interest payment is made
D. The date the issuer was founded

CORRECT ANSWER

B. The date the face value is repaid

Feedback (shown after answering)

Maturity is when the principal is repaid.

Why each other choice is wrong (misconception it represents)

A: Misreads
C: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Borrowers, lenders, and interest · Question 4 of 5

Learn: A percent of an amount = amount × rate as a decimal.

What is 3% of $2,000?

A. $6
B. $60
C. $600
D. $2,060

CORRECT ANSWER

B. $60

Feedback (shown after answering)

$2,000 × 0.03 = $60.

Recomputed independently by the build: 60

Why each other choice is wrong (misconception it represents)

A: Uses 0.3%
C: Uses 30%
D: Adds

Type: instruction

BACKWARD B1 · concept review — Borrowers, lenders, and interest · Question 5 of 5

Which pays interest to the investor?

A. A share of common stock
B. A gift card
C. A debit card
D. A bond

CORRECT ANSWER

D. A bond

Feedback (shown after answering)

Bonds pay interest (coupons); stocks may pay dividends.

Why each other choice is wrong (misconception it represents)

A: Pays dividends, not interest
B: No interest
C: No interest

Type: knowledge check

GO DEEPER 1 — Types of bonds · Question 1 of 5

Learn: Municipal bonds are issued by states and cities. Their interest is often exempt from federal income tax, so their after-tax yield can beat a higher taxable yield.

Interest from many municipal bonds is exempt from federal income tax. Why might a high-income investor prefer one paying 3% over a taxable bond paying 4%?

A. After tax, the municipal bond may keep more income
B. Municipal bonds can never lose value
C. Taxable bonds always default
D. The 3% bond pays more before tax, so it always wins

CORRECT ANSWER

A. After tax, the municipal bond may keep more income

Feedback (shown after answering)

Tax-exempt interest can be worth more after tax.

Why each other choice is wrong (misconception it represents)

B: Overstates safety
C: Overstates risk
D: Arithmetic error

Type: instruction

GO DEEPER 1 — Types of bonds · Question 2 of 5

Learn: After-tax yield = taxable yield × (1 − tax rate).

An investor in the 32% federal tax bracket gets 4% from a taxable bond. What is the after-tax yield?

A. 1.28%
B. 2.72%
C. 3.68%
D. 4.00%

CORRECT ANSWER

B. 2.72%

Feedback (shown after answering)

4% × (1 − 0.32) = 2.72%.

Recomputed independently by the build: 2.72

Why each other choice is wrong (misconception it represents)

A: Gives the tax
C: Subtracts 0.32 points
D: Ignores tax

Type: instruction

GO DEEPER 1 — Types of bonds · Question 3 of 5

Learn: Treasury bills mature in a year or less, notes in 2 to 10 years, and bonds in 20 or 30 years.

Which statement about U.S. Treasury bills, notes, and bonds is TRUE?

A. They are issued by private companies, not the government
B. They are FDIC insured deposits
C. They differ mainly by how long until they mature
D. They pay no interest of any kind

CORRECT ANSWER

C. They differ mainly by how long until they mature

Feedback (shown after answering)

Bills, notes, and bonds are Treasury securities of different lengths.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
D: Misreads

Type: instruction

GO DEEPER 1 — Types of bonds · Question 4 of 5

Learn: Riskier borrowers must pay higher interest to attract lenders.

A high-yield ("junk") bond pays 8%, while an investment-grade bond pays 5%. Why the difference?

A. The high-yield issuer is more likely to default
B. High-yield bonds are insured by the federal government
C. Investment-grade bonds have longer maturities, always
D. The difference is random

CORRECT ANSWER

A. The high-yield issuer is more likely to default

Feedback (shown after answering)

Higher yield compensates for higher default risk.

Why each other choice is wrong (misconception it represents)

B: Believes higher yield comes with a guarantee
C: Attributes the gap only to maturity
D: Misses the link between risk and yield

Type: instruction

GO DEEPER 1 — Types of bonds · Question 5 of 5

Learn: Bond funds pool money to buy many bonds. Owning many issuers spreads credit risk (a fund of hundreds of Treasuries, by contrast, has one issuer). Fund prices still change with interest rates.

A bond fund holds bonds from hundreds of different companies and governments. What is one advantage over buying one bond?

A. It can never lose value
B. It always pays the same fixed income each year
C. It is FDIC insured
D. Default risk is spread across many issuers

CORRECT ANSWER

D. Default risk is spread across many issuers

Feedback (shown after answering)

Owning many issuers spreads credit risk, though fund prices still move with rates.

Why each other choice is wrong (misconception it represents)

A: Confuses diversification with a guarantee
B: Confuses a fund with a single bond
C: Confuses funds with deposits

Type: instruction

GO DEEPER 2 — Bond prices and interest rates · Question 1 of 5

Learn: At maturity, a bond repays its face value, no matter what it was bought for. The last interest payment is usually paid at the same time, separately from the principal.

A 2% bond with a $1,000 face value is selling for $900. If held to maturity with no default, how much PRINCIPAL is repaid at maturity (not counting the final interest payment)?

A. $900
B. $920
C. $1,000
D. $1,020

CORRECT ANSWER

C. $1,000

Feedback (shown after answering)

At maturity the issuer repays the full $1,000 face value as principal.

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: Uses the price
B: Adds one year of interest to the price
D: Adds the final interest payment to principal

Type: instruction

GO DEEPER 2 — Bond prices and interest rates · Question 2 of 5

Learn: Gain on price = amount received at maturity − price paid.

Bought at $900 and repaid at $1,000 at maturity, what is the gain on price alone?

A. $20
B. $100
C. $900
D. $1,000

CORRECT ANSWER

B. $100

Feedback (shown after answering)

$1,000 − $900 = $100, plus coupon interest along the way.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Gives one year of interest
C: Gives the price
D: Gives face value

Type: instruction

GO DEEPER 2 — Bond prices and interest rates · Question 3 of 5

Learn: Longer-term bonds lock in their coupon longer, so their prices are more sensitive to rate changes.

Which bond's price usually changes MORE when interest rates change?

A. A 3-month Treasury bill
B. A 30-year bond
C. A 1-year note
D. Neither; maturity does not matter

CORRECT ANSWER

B. A 30-year bond

Feedback (shown after answering)

Longer maturities mean more interest rate risk.

Why each other choice is wrong (misconception it represents)

A: Short maturity
C: Short maturity
D: Ignores duration

Type: instruction

GO DEEPER 2 — Bond prices and interest rates · Question 4 of 5

Learn: Existing bond prices move opposite to interest rates.

If interest rates FALL, what usually happens to the prices of existing bonds?

A. They fall
B. They rise
C. They stay the same
D. They are cancelled

CORRECT ANSWER

B. They rise

Feedback (shown after answering)

Older bonds with higher coupons become more valuable when rates fall.

Why each other choice is wrong (misconception it represents)

A: Reverses
C: Ignores pricing
D: Misreads

Type: instruction

GO DEEPER 2 — Bond prices and interest rates · Question 5 of 5

Learn: Bond prices before maturity change with interest rates; holders who wait for maturity receive face value (if the issuer pays).

Which investor is MOST affected by bond price swings before maturity?

A. One who holds the bond to maturity
B. One who never bought a bond
C. One who must sell the bond early
D. One who only owns savings

CORRECT ANSWER

C. One who must sell the bond early

Feedback (shown after answering)

Selling before maturity exposes you to the current market price.

Why each other choice is wrong (misconception it represents)

A: Receives face value
B: Not affected
D: Not affected

Type: instruction

SET 48 · Investing, Brokerage Accounts, and Investment Products

Mutual funds, ETFs, and index funds

MAIN skill: Compare mutual funds, ETFs, and index funds and explain how they are priced

Outcome FL.INVEST.48 · National topic: Investing · NJSLS 9.1.12: FI

Learning target: Compare mutual funds, ETFs, and index funds, including how they are priced and managed

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Pooling money (5 questions)
  Why: Funds make sense once students see many people's money combined to buy many things.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: A holding's effect on a fund is its percent weight times its change.
- B3 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  Why: NAV per share divides net assets by shares outstanding.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Active versus passive funds (5 questions)
- Go Deeper 2: Choosing among funds (5 questions)

Practical skills beyond the standards: Reading a fund prospectus

Content status: stable

Source: SEC Investor.gov (Mutual funds) — Mutual funds are priced once a day at net asset value; ETF shares trade on exchanges throughout the day at market prices.
https://www.investor.gov/introduction-investing/investing-basics/investment-products/mutual-funds-and-exchange-traded-funds-etfs/mu

Answer key for this set: M-Q1 A, M-Q2 D, M-Q3 D, M-Q4 B, M-Q5 C, B1-Q1 A, B1-Q2 B, B1-Q3 C, B1-Q4 B, B1-Q5 A, F1-Q1 B, F1-Q2 D, F1-Q3 A, F1-Q4 B, F1-Q5 D, F2-Q1 C, F2-Q2 B, F2-Q3 D, F2-Q4 C, F2-Q5 A

MAIN — Compare mutual funds, ETFs, and index funds and explain how they are priced · Question 1 of 5

Learn: A mutual fund pools money from many investors to buy a collection (portfolio) of stocks, bonds, or other securities, managed by professionals. Each investor owns shares of the fund. Mutual fund shares are bought and sold once a day at the net asset value (NAV) calculated after the market closes.

What is a mutual fund?

A. A pool of investors' money that buys many securities
B. A single company's stock sold at a discount
C. An FDIC-insured savings product at a bank
D. A loan that a group of friends makes together to one person

CORRECT ANSWER

A. A pool of investors' money that buys many securities

Feedback (shown after answering)

A mutual fund pools money to buy many securities.

Why each other choice is wrong (misconception it represents)

B: Confuses a fund with one stock
C: Confuses with deposits
D: Misreads "mutual"

Type: instruction

MAIN — Compare mutual funds, ETFs, and index funds and explain how they are priced · Question 2 of 5

Learn: An ETF also holds a basket of securities, but its shares trade on stock exchanges throughout the day at market prices, like stocks. Traditional mutual funds trade once a day at NAV.

How is an ETF (exchange-traded fund) different from a traditional mutual fund?

A. ETFs can hold only one stock at a time
B. ETFs are insured by the FDIC
C. ETFs are bought only once a year at one fixed price
D. ETF shares trade on an exchange throughout the day

CORRECT ANSWER

D. ETF shares trade on an exchange throughout the day

Feedback (shown after answering)

ETFs trade all day like stocks; mutual funds price once a day.

Why each other choice is wrong (misconception it represents)

A: Misunderstands ETFs
B: Confuses funds with deposits
C: Misunderstands trading

Type: instruction

MAIN — Compare mutual funds, ETFs, and index funds and explain how they are priced · Question 3 of 5

Learn: An index is a list that measures part of the market; the S&P 500 tracks about 500 large U.S. companies. An index fund (a mutual fund or ETF) holds the securities in an index to match its performance, not to beat it. Index funds usually have low costs.

What does an S&P 500 index fund try to do?

A. Beat the S&P 500 by picking winning stocks each week
B. Guarantee a 5% return every year
C. Hold only the 5 largest companies
D. Match the performance of the S&P 500 index

CORRECT ANSWER

D. Match the performance of the S&P 500 index

Feedback (shown after answering)

Index funds aim to match an index, typically at low cost.

Why each other choice is wrong (misconception it represents)

A: Describes active management
B: Invents a guarantee
C: Misreads the index

Type: instruction

MAIN — Compare mutual funds, ETFs, and index funds and explain how they are priced · Question 4 of 5

Learn: Net asset value per share = (total assets − total liabilities) ÷ shares outstanding.

A fund has $50,000,000 in assets, $500,000 in liabilities, and 2,000,000 shares outstanding. What is its NAV per share?

A. $0.04
B. $24.75
C. $25.00
D. $25.25

CORRECT ANSWER

B. $24.75

Feedback (shown after answering)

($50,000,000 − $500,000) ÷ 2,000,000 = $24.75.

Recomputed independently by the build: 24.75

Why each other choice is wrong (misconception it represents)

A: Divides the wrong way
C: Ignores liabilities
D: Adds liabilities

Type: instruction

MAIN — Compare mutual funds, ETFs, and index funds and explain how they are priced · Question 5 of 5

Which statement about index funds is TRUE?

A. They are guaranteed never to lose money
B. They are FDIC insured up to $250,000
C. They can lose value when the market falls
D. They always beat every other type of fund

CORRECT ANSWER

C. They can lose value when the market falls

Feedback (shown after answering)

Index funds track the market, including its declines.

Why each other choice is wrong (misconception it represents)

A: Overstates safety
B: Confuses with deposits
D: Overstates

Type: knowledge check

BACKWARD B1 · concept review — Pooling money · Question 1 of 5

Learn: Pooling means combining money from many people. Each person owns a share equal to their part of the pool.

Ten friends each put in $20 to buy a $200 gift together. What fraction of the gift does each friend "own"?

A. 1/10
B. 1/20
C. 10
D. 1/200

CORRECT ANSWER

A. 1/10

Feedback (shown after answering)

$20 of $200 = 1/10.

Why each other choice is wrong (misconception it represents)

B: Uses the dollar amount
C: Inverts
D: Uses the total

Type: instruction

BACKWARD B1 · concept review — Pooling money · Question 2 of 5

Learn: In a fund, each holding is part of the whole, so a holding's drop affects the fund in proportion to its weight.

A fund holds 400 stocks in equal amounts, so each is 0.25% of the fund. If one stock falls 50% and the others do not change, why does the fund fall only a little?

A. The fund refunds the loss
B. That stock is only a small part of the fund
C. Funds sell any stock before it falls
D. The other 399 stocks in it must all rise by 50%

CORRECT ANSWER

B. That stock is only a small part of the fund

Feedback (shown after answering)

0.25% × 50% ≈ 0.125%: one small slice moves the fund only a little.

Why each other choice is wrong (misconception it represents)

A: Believes funds guarantee holdings
C: Believes managers can always avoid drops
D: Misunderstands weighting

Type: instruction

BACKWARD B1 · concept review — Pooling money · Question 3 of 5

Who manages a mutual fund's investments?

A. Each investor votes on every trade
B. The FDIC
C. Professional fund managers
D. The stock exchange

CORRECT ANSWER

C. Professional fund managers

Feedback (shown after answering)

Funds are managed by professionals, for a fee.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Wrong agency
D: Marketplace

Type: knowledge check

BACKWARD B1 · concept review — Pooling money · Question 4 of 5

Learn: A fund share represents a proportional slice of everything the fund holds.

Owning one share of a fund that holds 500 companies gives you…

A. full ownership of one company
B. a tiny piece of all 500 companies
C. a loan to the fund manager, repaid later
D. a bank deposit

CORRECT ANSWER

B. a tiny piece of all 500 companies

Feedback (shown after answering)

A fund share is a slice of everything the fund holds.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
C: Misunderstands
D: Misunderstands

Type: instruction

BACKWARD B1 · concept review — Pooling money · Question 5 of 5

Learn: A broad index fund holds many companies, so even a small purchase spreads money widely. Narrow funds (one sector, or leveraged funds) do not give the same diversification.

Which choice is a BENEFIT of broad index funds for beginning investors?

A. Instant diversification with a small amount
B. No risk of loss
C. Guaranteed returns
D. No fees ever

CORRECT ANSWER

A. Instant diversification with a small amount

Feedback (shown after answering)

Broad funds give wide diversification even for small investments.

Why each other choice is wrong (misconception it represents)

B: Confuses diversification with safety
C: Confuses funds with fixed-rate products
D: Ignores expense ratios

Type: instruction

GO DEEPER 1 — Active versus passive funds · Question 1 of 5

Learn: Active funds try to beat the market by choosing investments; they usually cost more. Passive (index) funds try to match the market at low cost.

An actively managed fund charges 0.80% a year; an index fund tracking a similar market charges 0.05%. On $10,000, how much more does the active fund cost per year?

A. $5
B. $75
C. $80
D. $750

CORRECT ANSWER

B. $75

Feedback (shown after answering)

$10,000 × 0.0080 = $80; $10,000 × 0.0005 = $5; difference $75.

Recomputed independently by the build: 75

Why each other choice is wrong (misconception it represents)

A: Gives the index fee only
C: Gives the active fee only
D: Adds a zero

Type: instruction

GO DEEPER 1 — Active versus passive funds · Question 2 of 5

Learn: Net return ≈ gross return − expense ratio.

An active fund returns 7.5% before its 0.80% expense ratio; the index fund returns 7.0% before its 0.05% ratio. Which has the higher return after expenses?

A. The active fund: 7.5% vs 7.0%
B. They are equal at 7.0%
C. The active fund: 6.95% vs 6.70%
D. The index fund: 6.95% vs 6.70%

CORRECT ANSWER

D. The index fund: 6.95% vs 6.70%

Feedback (shown after answering)

Active: 7.5 − 0.80 = 6.70%. Index: 7.0 − 0.05 = 6.95%.

Recomputed independently by the build: 6.95

Why each other choice is wrong (misconception it represents)

A: Ignores expenses
B: Arithmetic error
C: Swaps the results

Type: instruction

GO DEEPER 1 — Active versus passive funds · Question 3 of 5

Learn: Passive investing aims to match the market's return by owning the whole index, rather than predicting which stocks will do best.

What does "passive" investing mean?

A. Holding an index fund instead of trying to pick winners
B. Never checking your account again
C. Investing only in savings accounts
D. Letting a friend choose your stocks

CORRECT ANSWER

A. Holding an index fund instead of trying to pick winners

Feedback (shown after answering)

Passive investing tracks a market index.

Why each other choice is wrong (misconception it represents)

B: Misreads
C: Misreads
D: Misreads

Type: instruction

GO DEEPER 1 — Active versus passive funds · Question 4 of 5

Learn: Trading inside a fund creates costs and, in taxable accounts, can create capital gains distributions.

A fund's "turnover" is high, meaning it trades often. Why can that matter?

A. High turnover guarantees higher returns
B. Frequent trading can raise costs and taxes
C. Turnover has no effect at all on what investors pay
D. Turnover is a type of insurance

CORRECT ANSWER

B. Frequent trading can raise costs and taxes

Feedback (shown after answering)

Frequent trading adds hidden costs and possible tax bills.

Why each other choice is wrong (misconception it represents)

A: Confuses activity with performance
C: Ignores costs
D: Misreads

Type: instruction

GO DEEPER 1 — Active versus passive funds · Question 5 of 5

Learn: Every mutual fund and ETF publishes a prospectus (and a shorter summary) describing its objectives, strategy, risks, and costs.

Which document gives a fund's goals, risks, fees, and past performance?

A. The fund's quarterly advertisement
B. Form 1099-DIV
C. The brokerage account statement
D. The prospectus

CORRECT ANSWER

D. The prospectus

Feedback (shown after answering)

The prospectus is the official description of a fund.

Why each other choice is wrong (misconception it represents)

A: Confuses marketing with the legal disclosure
B: Confuses a tax form with the fund's disclosure
C: Shows holdings and value, not goals and fees

Type: instruction · practical how-to

GO DEEPER 2 — Choosing among funds · Question 1 of 5

Learn: When two funds hold nearly the same investments, the lower-cost fund usually leaves more of the return for the investor.

Two S&P 500 index funds track the same index. Fund A charges 0.03%; Fund B charges 0.50%. Which is generally the better choice?

A. Fund B, because a higher fee means better management
B. Either, because fees never matter
C. Fund A, because the holdings are nearly identical and it costs less
D. Fund B, because it has a longer track record shown in ads

CORRECT ANSWER

C. Fund A, because the holdings are nearly identical and it costs less

Feedback (shown after answering)

For funds that track the same index, lower cost usually wins.

Why each other choice is wrong (misconception it represents)

A: Equates price with quality
B: Ignores costs
D: Lets marketing outweigh cost

Type: instruction

GO DEEPER 2 — Choosing among funds · Question 2 of 5

Learn: Indexes differ in what they include. The S&P 500 covers about 500 large U.S. companies; total market indexes include thousands of large, medium, and small companies.

A "total stock market" index fund holds thousands of U.S. companies, large and small. How does it differ from an S&P 500 fund?

A. It holds only 5 large U.S. companies
B. It includes smaller companies too
C. It holds only bonds
D. It cannot lose value

CORRECT ANSWER

B. It includes smaller companies too

Feedback (shown after answering)

Total market funds are broader than the S&P 500.

Why each other choice is wrong (misconception it represents)

A: Misreads
C: Misreads
D: Confuses breadth with safety

Type: instruction

GO DEEPER 2 — Choosing among funds · Question 3 of 5

Learn: International funds hold companies in other countries, which can add diversification.

An international index fund mainly adds what to a U.S. stock portfolio?

A. Only U.S. government bonds
B. A guarantee against loss
C. Cash that is kept in banks in foreign countries
D. Companies based outside the United States

CORRECT ANSWER

D. Companies based outside the United States

Feedback (shown after answering)

International funds diversify across countries.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Confuses diversification with a guarantee
C: Misreads

Type: instruction

GO DEEPER 2 — Choosing among funds · Question 4 of 5

Learn: Some mutual funds have minimum initial investments. ETFs usually require only the price of one share (or less, with fractional shares).

A fund's minimum initial investment is $3,000, but its ETF version can be bought for the price of one share, $95. Sam has $200. Which can he buy?

A. The mutual fund version
B. Both, because minimums do not apply to teens
C. The ETF version
D. Neither

CORRECT ANSWER

C. The ETF version

Feedback (shown after answering)

$200 covers one $95 ETF share but not the $3,000 minimum.

Why each other choice is wrong (misconception it represents)

A: Below the minimum
B: Invents a rule
D: Ignores the ETF

Type: instruction

GO DEEPER 2 — Choosing among funds · Question 5 of 5

Which question is MOST important when choosing a fund for a long-term goal?

A. What does it hold, and what does it cost each year?
B. Did it have the best return of any fund last month?
C. Is it the most popular fund this month?
D. Do my friends own it?

CORRECT ANSWER

A. What does it hold, and what does it cost each year?

Feedback (shown after answering)

Holdings and costs matter most for long-term results.

Why each other choice is wrong (misconception it represents)

B: Short-term focus
C: Follows popularity
D: Social proof

Type: knowledge check · practical how-to

SET 49 · Investing, Brokerage Accounts, and Investment Products

Diversification and asset allocation

MAIN skill: Explain diversification and asset allocation and compute a portfolio's weighted return

Outcome FL.INVEST.49 · National topic: Investing · NJSLS 9.1.12: FI, RM

Learning target: Explain diversification and asset allocation as strategies to manage investment risk

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Spreading risk (5 questions)
  Why: Diversification is "don't put all your eggs in one basket"; students need the idea before the math.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Allocations are percents of a portfolio.
- B3 · Math link → G6-S77-M (Grade 6 6.SP.B.5.c): Find the mean of a data set
  Why: A portfolio return is a weighted mean of its parts' returns.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Rebalancing (5 questions)
- Go Deeper 2: Correlation and true diversification (5 questions)

Practical skills beyond the standards: Rebalancing a portfolio

Content status: stable

Answer key for this set: M-Q1 C, M-Q2 C, M-Q3 B, M-Q4 D, M-Q5 A, B1-Q1 D, B1-Q2 A, B1-Q3 D, B1-Q4 B, B1-Q5 B, F1-Q1 C, F1-Q2 C, F1-Q3 B, F1-Q4 C, F1-Q5 A, F2-Q1 D, F2-Q2 C, F2-Q3 B, F2-Q4 D, F2-Q5 C

MAIN — Explain diversification and asset allocation and compute a portfolio's weighted return · Question 1 of 5

Learn: Diversification means spreading money across many investments so that a problem with one has a smaller effect on the whole. It can be across companies, industries, countries, and types of assets (stocks, bonds, cash). Diversification lowers risk but cannot eliminate it or guarantee against loss.

Which portfolio is MOST diversified?

A. Shares of one technology company
B. Three stocks, all airlines
C. A total market index fund plus a bond index fund
D. Shares of a single restaurant chain and its supplier

CORRECT ANSWER

C. A total market index fund plus a bond index fund

Feedback (shown after answering)

Thousands of stocks plus bonds spread risk widely.

Why each other choice is wrong (misconception it represents)

A: Single company
B: One industry
D: Concentrated

Type: instruction

MAIN — Explain diversification and asset allocation and compute a portfolio's weighted return · Question 2 of 5

Learn: Asset allocation is how a portfolio is divided among asset classes such as stocks, bonds, and cash. A portfolio's return is the weighted average: (weight × return) for each part, added together.

Jen's portfolio is 60% stocks and 40% bonds. Stocks return 8% and bonds 3% this year. What is the portfolio's return?

A. 4.8%
B. 5.5%
C. 6%
D. 11%

CORRECT ANSWER

C. 6%

Feedback (shown after answering)

0.60 × 8% + 0.40 × 3% = 4.8% + 1.2% = 6%.

Recomputed independently by the build: 6

Why each other choice is wrong (misconception it represents)

A: Uses only the stock part
B: Averages the two returns equally
D: Adds the returns

Type: instruction

MAIN — Explain diversification and asset allocation and compute a portfolio's weighted return · Question 3 of 5

Which statement about diversification is TRUE?

A. A diversified portfolio cannot lose value
B. It reduces the impact of any single investment but cannot prevent all losses
C. Diversification guarantees a profit every year
D. Owning more shares of one stock is diversification

CORRECT ANSWER

B. It reduces the impact of any single investment but cannot prevent all losses

Feedback (shown after answering)

Broad market declines can still lower a diversified portfolio.

Why each other choice is wrong (misconception it represents)

A: Assumes a diversified investment cannot lose value
C: Overstates
D: Misunderstands

Type: knowledge check

MAIN — Explain diversification and asset allocation and compute a portfolio's weighted return · Question 4 of 5

Jen has $10,000 invested: 60% stocks, 40% bonds. How much is in stocks?

A. $60
B. $600
C. $4,000
D. $6,000

CORRECT ANSWER

D. $6,000

Feedback (shown after answering)

$10,000 × 0.60 = $6,000.

Recomputed independently by the build: 6000

Why each other choice is wrong (misconception it represents)

A: Uses 60 as dollars
B: Misplaces the decimal
C: Uses the bond share

Type: knowledge check

MAIN — Explain diversification and asset allocation and compute a portfolio's weighted return · Question 5 of 5

Learn: A longer time horizon allows more time to recover from stock market declines, so younger investors often hold more stocks. People nearing their goal often shift toward bonds and cash.

Generally, which allocation fits a 20-year-old saving for retirement better than a 70-year-old retiree?

A. More stocks, because the time horizon is longer
B. All cash, because young people cannot handle risk
C. All bonds, because stocks are illegal for young investors
D. Exactly the same allocation for everyone

CORRECT ANSWER

A. More stocks, because the time horizon is longer

Feedback (shown after answering)

Longer horizons can usually tolerate more stock market risk.

Why each other choice is wrong (misconception it represents)

B: Ignores horizon
C: Invents a rule
D: Ignores differences

Type: instruction

BACKWARD B1 · concept review — Spreading risk · Question 1 of 5

Learn: When all your money depends on one thing, a problem with that thing affects everything. Spreading out reduces the damage.

A fruit stand sells only bananas. During a banana shortage it cannot get any bananas, so it cannot make sales. What happens?

A. It is unaffected
B. It earns more because bananas are now scarce
C. Its insurance replaces the lost sales
D. Its whole business suffers

CORRECT ANSWER

D. Its whole business suffers

Feedback (shown after answering)

With only one product and none to sell, the whole business is hit.

Why each other choice is wrong (misconception it represents)

A: Ignores concentration
B: Ignores that it has no bananas to sell
C: Assumes business losses are insured

Type: instruction

BACKWARD B1 · concept review — Spreading risk · Question 2 of 5

Learn: Spreading sales across several products means a problem with one product affects only part of the business.

A second stand sells bananas, apples, and oranges. During a banana shortage it cannot get bananas, but it can still get and sell apples and oranges. What happens?

A. Only part of its business suffers
B. Its whole business suffers just as much
C. It earns nothing at all
D. It earns more on every fruit

CORRECT ANSWER

A. Only part of its business suffers

Feedback (shown after answering)

Selling several fruits spreads the risk.

Why each other choice is wrong (misconception it represents)

B: Ignores diversification
C: Overreacts
D: Assumes the shortage helps all products

Type: instruction

BACKWARD B1 · concept review — Spreading risk · Question 3 of 5

Which saying describes diversification?

A. "Buy low, sell high."
B. "Slow and steady wins the race."
C. "A penny saved is a penny earned, my friend."
D. "Don't put all your eggs in one basket."

CORRECT ANSWER

D. "Don't put all your eggs in one basket."

Feedback (shown after answering)

Spreading eggs across baskets limits the damage if one falls.

Why each other choice is wrong (misconception it represents)

A: A timing saying, not about spreading risk
B: About patience, not spreading risk
C: About saving, not risk

Type: knowledge check

BACKWARD B1 · concept review — Spreading risk · Question 4 of 5

Learn: Diversification can happen across companies, industries, countries, and asset classes (broad types of investments, such as stocks, bonds, and cash).

Jen owns stocks of 20 U.S. companies and adds a bond fund. What kind of diversification does the bond fund add?

A. Across brokerage firms
B. Across asset classes
C. Across account types
D. Across more companies only

CORRECT ANSWER

B. Across asset classes

Feedback (shown after answering)

Stocks and bonds are different asset classes.

Why each other choice is wrong (misconception it represents)

A: Confuses where you invest with what you own
C: Confuses account labels with investments
D: Bonds are a different asset class, not just more companies

Type: instruction

BACKWARD B1 · concept review — Spreading risk · Question 5 of 5

Learn: Percent of an amount = amount × rate as a decimal.

What is 40% of $5,000?

A. $200
B. $2,000
C. $3,000
D. $20,000

CORRECT ANSWER

B. $2,000

Feedback (shown after answering)

$5,000 × 0.40 = $2,000.

Recomputed independently by the build: 2000

Why each other choice is wrong (misconception it represents)

A: Uses 4%
C: Gives 60%
D: Uses 400%

Type: instruction

GO DEEPER 1 — Rebalancing · Question 1 of 5

Learn: Over time, investments grow at different rates, so a portfolio drifts away from its target allocation. Rebalancing means buying or selling to return to the target.

Jen's target is 60% stocks, 40% bonds on $10,000. After a strong year, she has $7,200 in stocks and $3,800 in bonds. What percent is in stocks now (nearest whole percent)?

A. 35%
B. 60%
C. 65%
D. 72%

CORRECT ANSWER

C. 65%

Feedback (shown after answering)

Total $11,000; $7,200 ÷ $11,000 × 100 = 65.4545…%, which rounds to 65%.

Recomputed independently by the build: 65

Why each other choice is wrong (misconception it represents)

A: Gives the bond share
B: Uses the target
D: Uses $10,000 as the total

Type: instruction

GO DEEPER 1 — Rebalancing · Question 2 of 5

Learn: Target amount = total value × target percent.

To rebalance $11,000 to 60% stocks, what should the stock amount be?

A. $4,400
B. $6,000
C. $6,600
D. $7,200

CORRECT ANSWER

C. $6,600

Feedback (shown after answering)

$11,000 × 0.60 = $6,600.

Recomputed independently by the build: 6600

Why each other choice is wrong (misconception it represents)

A: Gives the bond target
B: Uses the old total
D: Current amount

Type: instruction

GO DEEPER 1 — Rebalancing · Question 3 of 5

Learn: Amount to move = current amount − target amount.

Jen's portfolio holds $7,200 in stocks, and her target for stocks is $6,600. How much stock should she sell (moving it to bonds)?

A. $200
B. $600
C. $1,200
D. $6,600

CORRECT ANSWER

B. $600

Feedback (shown after answering)

$7,200 − $6,600 = $600.

Recomputed independently by the build: 600

Why each other choice is wrong (misconception it represents)

A: Arithmetic error
C: Doubles the difference
D: Gives the target

Type: instruction

GO DEEPER 1 — Rebalancing · Question 4 of 5

Learn: Without rebalancing, a portfolio can become riskier than intended as stocks grow.

Why rebalance?

A. To guarantee higher returns
B. Because federal law requires it to be done each month
C. To keep risk at the level the investor chose
D. To avoid ever owning bonds

CORRECT ANSWER

C. To keep risk at the level the investor chose

Feedback (shown after answering)

Rebalancing restores the chosen risk level.

Why each other choice is wrong (misconception it represents)

A: Misreads rebalancing
B: Invents a rule
D: Misunderstands

Type: instruction

GO DEEPER 1 — Rebalancing · Question 5 of 5

Learn: Selling investments at a gain in a taxable account can create capital gains taxes.

Instead of selling, Jen could rebalance by directing new contributions to bonds. Why might that be helpful in a taxable account?

A. It can avoid selling and creating taxable gains
B. It earns guaranteed returns
C. It is required by the IRS
D. It removes all risk

CORRECT ANSWER

A. It can avoid selling and creating taxable gains

Feedback (shown after answering)

Using new money to rebalance can avoid realizing gains.

Why each other choice is wrong (misconception it represents)

B: Believes rebalancing guarantees results
C: Invents a rule
D: Overstates rebalancing

Type: instruction

GO DEEPER 2 — Correlation and true diversification · Question 1 of 5

Learn: Diversification works best when investments do not all move together. Assets that move the same way give little protection; assets that move differently reduce overall swings.

Two stocks always rise and fall together. Does owning both diversify much?

A. Yes, because there are now two different funds
B. Yes, completely
C. No, it doubles the risk
D. Not much, because they move the same way

CORRECT ANSWER

D. Not much, because they move the same way

Feedback (shown after answering)

Investments that move together provide little diversification.

Why each other choice is wrong (misconception it represents)

A: Counts holdings, not behavior
B: Overstates
C: Overstates

Type: instruction

GO DEEPER 2 — Correlation and true diversification · Question 2 of 5

Learn: High-quality bonds often behave differently from stocks, especially in downturns, though not always.

Which pair is more likely to diversify a stock-heavy portfolio?

A. Two technology stocks
B. Two airline stocks
C. Stocks and high-quality bonds
D. Two stock funds holding the same companies

CORRECT ANSWER

C. Stocks and high-quality bonds

Feedback (shown after answering)

High-quality bonds often move differently from stocks.

Why each other choice is wrong (misconception it represents)

A: Same industry
B: Same industry
D: Overlap

Type: instruction

GO DEEPER 2 — Correlation and true diversification · Question 3 of 5

Learn: Funds that track the same index hold the same companies, so owning several adds little diversification.

Sam owns three different S&P 500 index funds. Is he well diversified across funds?

A. Yes, owning three funds triples her overall diversification
B. Not really; the three funds hold almost the same stocks
C. Yes, because each has a different name
D. No, because index funds hold one stock

CORRECT ANSWER

B. Not really; the three funds hold almost the same stocks

Feedback (shown after answering)

Overlapping funds add little real diversification.

Why each other choice is wrong (misconception it represents)

A: Counts funds, not holdings
C: Confuses names with holdings
D: Misreads

Type: instruction

GO DEEPER 2 — Correlation and true diversification · Question 4 of 5

Learn: Market risk affects nearly all stocks at once; diversification mainly reduces the risk of individual companies or industries.

In a severe market crash, many stocks fall together. What does this show about diversification across stocks?

A. Diversification always prevents losses
B. Diversified portfolios are immune to crashes
C. Bonds always fall more than stocks
D. It cannot remove market-wide risk

CORRECT ANSWER

D. It cannot remove market-wide risk

Feedback (shown after answering)

Market-wide declines affect even diversified stock portfolios.

Why each other choice is wrong (misconception it represents)

A: Overstates
B: Overstates diversification
C: Misreads how asset classes behave

Type: instruction

GO DEEPER 2 — Correlation and true diversification · Question 5 of 5

Learn: Target-date funds hold a mix of stock and bond funds and become more conservative over time.

A target-date fund automatically shifts from stocks toward bonds as the target year approaches. What problem does it solve?

A. It guarantees no losses before the target year
B. It removes all fees
C. It manages allocation and rebalancing for you
D. It invests only in cash

CORRECT ANSWER

C. It manages allocation and rebalancing for you

Feedback (shown after answering)

Target-date funds automate allocation changes over time.

Why each other choice is wrong (misconception it represents)

A: Believes target-date funds are guaranteed
B: Ignores expense ratios
D: Misreads

Type: instruction

SET 50 · Investing, Brokerage Accounts, and Investment Products

Placing an order: market and limit orders

MAIN skill: Place basic investment orders and explain market orders, limit orders, and the bid-ask spread

Outcome FL.INVEST.50 · National topic: Investing · NJSLS 9.1.12: FI

Learning target: Describe how investments are bought and sold, including order types and trading costs

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Buying at a price (5 questions)
  - Why: Orders make sense once students understand that buyers and sellers agree on a price.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  - Why: Order costs multiply share prices by numbers of shares.
- B3 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: The spread is the difference between ask and bid.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Limit orders for selling and stop orders (5 questions)
- Go Deeper 2: Trading costs and practical tips (5 questions)

Practical skills beyond the standards: Placing and verifying an order

Content status: stable

Source: SEC Investor.gov — A market order seeks immediate execution at the best available price, which is not guaranteed; a limit order sets a maximum purchase or minimum sale price and may not execute. https://www.investor.gov/introduction-investing/investing-basics/how-stock-markets-work/types-orders

Answer key for this set: M-Q1 B, M-Q2 A, M-Q3 D, M-Q4 B, M-Q5 C, B1-Q1 A, B1-Q2 C, B1-Q3 B, B1-Q4 D, B1-Q5 D, F1-Q1 B, F1-Q2 C, F1-Q3 A, F1-Q4 D, F1-Q5 A, F2-Q1 C, F2-Q2 C, F2-Q3 B, F2-Q4 D, F2-Q5 A

MAIN — Place basic investment orders and explain market orders, limit orders, and the bid-ask spread · Question 1 of 5

Learn: To buy an investment, you place an order with your broker. A market order asks to buy or sell right away at the best available price. It usually executes quickly, but the exact price is not guaranteed and can differ from the last price you saw, especially in fast markets.

Kai places a MARKET order to buy 10 shares. What does this mean?

A. Buy only if the price falls to a set amount
B. Buy promptly at the best price available, which is not guaranteed
C. Buy at yesterday's closing price, guaranteed
D. Buy only after the market closes for the day

CORRECT ANSWER

B. Buy promptly at the best price available, which is not guaranteed

Feedback (shown after answering)

Market orders prioritize speed, not a guaranteed price.

Why each other choice is wrong (misconception it represents)

A: Describes a limit order
C: Thinks the price is fixed
D: Misreads timing

Type: instruction

MAIN — Place basic investment orders and explain market orders, limit orders, and the bid-ask spread · Question 2 of 5

Learn: A limit order sets the most you will pay (to buy) or the least you will accept (to sell). It executes only at the limit price or better, so it may not execute at all.

Lia places a LIMIT order to buy at $50. The stock is trading at $52. What happens?

A. The order fills only if the price falls to $50 or lower
B. It buys immediately at $52
C. It buys at $52 and refunds $2
D. It buys at exactly $50 no matter what the market price is

CORRECT ANSWER

A. The order fills only if the price falls to $50 or lower

Feedback (shown after answering)

A buy limit at $50 fills only at $50 or less.

Why each other choice is wrong (misconception it represents)

B: Describes a market order
C: Invents a refund
D: Thinks the limit forces a price

Type: instruction

MAIN — Place basic investment orders and explain market orders, limit orders, and the bid-ask spread · Question 3 of 5

Learn: The bid is the highest price buyers are offering; the ask is the lowest price sellers will accept. Buyers usually pay the ask, and sellers receive the bid. The difference is the bid-ask spread.

A stock shows: bid $49.95, ask $50.05. If Omar places a market order to BUY, about what price will he pay?

A. $0.10
B. $49.95
C. $50.00
D. $50.05

CORRECT ANSWER

D. $50.05

Feedback (shown after answering)

A market buy order typically fills near the ask, $50.05.

Recomputed independently by the build: 50.05

Why each other choice is wrong (misconception it represents)

A: Gives the spread
B: Uses the bid
C: Averages

Type: instruction

MAIN — Place basic investment orders and explain market orders, limit orders, and the bid-ask spread · Question 4 of 5

Learn: The bid-ask spread = ask − bid. Narrow spreads mean lower trading costs.

Using the bid of $49.95 and ask of $50.05, what is the bid-ask spread?

A. $0.01
B. $0.10
C. $50.00
D. $100.00

CORRECT ANSWER

B. $0.10

Feedback (shown after answering)

$50.05 − $49.95 = $0.10.

Recomputed independently by the build: 0.1

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Averages
D: Adds the prices

Type: instruction

MAIN — Place basic investment orders and explain market orders, limit orders, and the bid-ask spread · Question 5 of 5

Kai buys 10 shares at $50.05 and pays no commission. What is the total cost?

A. $50.05
B. $500.05
C. $500.50
D. $5,005.00

CORRECT ANSWER

C. $500.50

Feedback (shown after answering)

10 × $50.05 = $500.50.

Recomputed independently by the build: 500.5

Why each other choice is wrong (misconception it represents)

A: One share
B: Arithmetic error
D: Adds a zero

Type: knowledge check

BACKWARD B1 · concept review — Buying at a price · Question 1 of 5

Learn: A trade happens when a buyer and a seller agree on a price. Exchanges match buyers and sellers.

In any market, who decides the price of a trade?

A. A buyer and a seller who agree
B. Only the buyer, by bidding higher
C. The government
D. The bank

CORRECT ANSWER

A. A buyer and a seller who agree

Feedback (shown after answering)

Trades happen at prices both sides accept.

Why each other choice is wrong (misconception it represents)

B: Ignores sellers
C: Misunderstands
D: Misunderstands

Type: instruction

BACKWARD B1 · concept review — Buying at a price · Question 2 of 5

Learn: The asking price is what a seller wants; the offer (bid) is what a buyer will pay.

A seller asks $20 for a used game. A buyer offers $18. What must happen for a sale?

A. The sale happens at $18 automatically
B. The sale happens at $20 automatically
C. One of them changes their price until they agree
D. The sale happens at $38, the two prices added together

CORRECT ANSWER

C. One of them changes their price until they agree

Feedback (shown after answering)

No trade occurs until the bid and ask meet.

Why each other choice is wrong (misconception it represents)

A: Ignores the seller
B: Ignores the buyer
D: Adds prices

Type: instruction

BACKWARD B1 · concept review — Buying at a price · Question 3 of 5

Learn: An order tells your broker what to buy or sell, how many shares (or dollars), and at what kind of price.

What is an "order" when investing?

A. A bill from the broker
B. An instruction to a broker to buy or sell
C. A receipt from a store
D. A monthly fee

CORRECT ANSWER

B. An instruction to a broker to buy or sell

Feedback (shown after answering)

Orders are trading instructions.

Why each other choice is wrong (misconception it represents)

A: Misreads
C: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Buying at a price · Question 4 of 5

Buying 4 shares at $25 each costs how much?

A. $6.25
B. $25
C. $29
D. $100

CORRECT ANSWER

D. $100

Feedback (shown after answering)

4 × $25 = $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Divides
B: One share
C: Adds

Type: knowledge check

BACKWARD B1 · concept review — Buying at a price · Question 5 of 5

Learn: The bid is what buyers offer; the ask is what sellers accept.

Which tells you the LOWEST price a seller will accept right now?

A. The bid
B. The dividend
C. The volume
D. The ask

CORRECT ANSWER

D. The ask

Feedback (shown after answering)

The ask is the lowest current selling price.

Why each other choice is wrong (misconception it represents)

A: Buyer's price
B: Payment to owners
C: Number of shares traded

Type: instruction

GO DEEPER 1 — Limit orders for selling and stop orders · Question 1 of 5

Learn: A sell limit order sets the minimum price you will accept. It executes only at that price or higher.

Ana owns a stock trading at $40. She places a SELL limit order at $45. When can it execute?

A. Immediately at $40
B. Only if the price rises to $45 or higher
C. Only if the price falls to $45 or lower
D. At exactly $45, regardless of the market price

CORRECT ANSWER

B. Only if the price rises to $45 or higher

Feedback (shown after answering)

A sell limit at $45 fills at $45 or more.

Why each other choice is wrong (misconception it represents)

A: Describes a market order
C: Reverses sell limits
D: Thinks limits force prices

Type: instruction

GO DEEPER 1 — Limit orders for selling and stop orders · Question 2 of 5

Learn: A stop order becomes a market order once the stop price is reached, so the sale price can be worse than the stop price in a fast-moving market.

A stop-loss (stop) order to sell at $35 becomes a market order when the price falls to $35. The price gaps down overnight to $30. What might happen?

A. It sells at exactly $35, which is guaranteed by the order
B. It cancels itself automatically
C. It may sell near $30, below the $35 stop price
D. It buys more shares

CORRECT ANSWER

C. It may sell near $30, below the $35 stop price

Feedback (shown after answering)

Once triggered, it is a market order and fills at the next available price.

Why each other choice is wrong (misconception it represents)

A: Thinks stops guarantee price
B: Misunderstands
D: Misreads

Type: instruction

GO DEEPER 1 — Limit orders for selling and stop orders · Question 3 of 5

Which order type risks NOT executing at all?

A. A limit order
B. A market order in a heavily traded stock
C. A buy of a widely traded index ETF at market
D. A market sell during trading hours

CORRECT ANSWER

A. A limit order

Feedback (shown after answering)

Limit orders execute only at the limit or better, so they may never fill.

Why each other choice is wrong (misconception it represents)

B: Usually executes
C: Usually executes
D: Usually executes

Type: knowledge check

GO DEEPER 1 — Limit orders for selling and stop orders · Question 4 of 5

Learn: Orders can be day orders (expire at the end of the trading day) or good-'til-canceled (stay open longer, often up to a time limit set by the broker).

An order marked "good 'til canceled" (GTC) means...

A. it lasts only one minute
B. it is canceled at market open
C. it guarantees execution
D. it stays open until filled or canceled, up to the broker's time limit

CORRECT ANSWER

D. it stays open until filled or canceled, up to the broker's time limit

Feedback (shown after answering)

GTC orders remain open until filled, canceled, or they expire under the broker's rules.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
C: Confuses order duration with a fill

Type: instruction

GO DEEPER 1 — Limit orders for selling and stop orders · Question 5 of 5

Learn: For heavily traded funds with narrow spreads, market orders usually fill close to the quoted price, and a limit order at the ask adds price protection.

A long-term investor buys a widely traded index ETF with a narrow spread. Which order type is often reasonable?

A. A limit order near the current ask, or a market order
B. A stop order far below the price
C. A sell limit order
D. A good-till-canceled limit far below the price

CORRECT ANSWER

A. A limit order near the current ask, or a market order

Feedback (shown after answering)

Either works for liquid ETFs; a limit at the ask adds price protection.

Why each other choice is wrong (misconception it represents)

B: Confuses a sell tool with buying
C: Wrong direction
D: May never fill

Type: instruction · practical how-to

GO DEEPER 2 — Trading costs and practical tips · Question 1 of 5

Learn: A wide spread is a hidden trading cost: buying at the ask and selling at the bid loses the spread on each share.

A thinly traded stock has a bid of $9.50 and an ask of $10.50. Kai buys 100 shares at the ask and immediately sells at the bid. How much does he lose?

A. $0
B. $1
C. $100
D. $1,000

CORRECT ANSWER

C. $100

Feedback (shown after answering)

Spread $1.00 × 100 shares = $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

A: Ignores the spread
B: Uses one share's spread
D: Adds a zero

Type: instruction

GO DEEPER 2 — Trading costs and practical tips · Question 2 of 5

Learn: Prices can move quickly at the opening because of overnight news.

Why might placing a market order right when the market opens be risky?

A. Orders are illegal before noon
B. The price is fixed for the first hour
C. Prices can swing sharply at the open
D. Market orders fill only at the previous close

CORRECT ANSWER

C. Prices can swing sharply at the open

Feedback (shown after answering)

Volatile opening prices can fill market orders far from the last quote.

Why each other choice is wrong (misconception it represents)

A: Invents a rule
B: Believes opening prices are locked
D: Confuses the last price with the next price

Type: instruction

GO DEEPER 2 — Trading costs and practical tips · Question 3 of 5

Learn: Most trading mistakes are simple input errors: wrong ticker, wrong side, or wrong quantity.

Before submitting an order, what should Ana double-check?

A. Yesterday's closing price only
B. The ticker, buy or sell, quantity, and order type
C. Her account's credit limit
D. The number of shares other people bought today

CORRECT ANSWER

B. The ticker, buy or sell, quantity, and order type

Feedback (shown after answering)

Checking each field prevents costly mistakes.

Why each other choice is wrong (misconception it represents)

A: Ignores the order details
C: Confuses a brokerage account with a credit card
D: Follows the crowd instead of checking her order

Type: instruction · practical how-to

GO DEEPER 2 — Trading costs and practical tips · Question 4 of 5

Learn: Brokers send trade confirmations showing what was bought or sold, the price, quantity, and any fees.

After an order executes, where can Ana verify it?

A. In a social media feed
B. On her credit report
C. In her bank's checking statement
D. In the account's trade confirmation and activity history

CORRECT ANSWER

D. In the account's trade confirmation and activity history

Feedback (shown after answering)

Trade confirmations and account history show executed orders.

Why each other choice is wrong (misconception it represents)

A: Unreliable
B: Not shown there
C: Not where trades appear

Type: instruction · practical how-to

GO DEEPER 2 — Trading costs and practical tips · Question 5 of 5

Learn: Commission-free trading removes a per-trade fee, but other costs remain.

A trading app offers "$0 commissions." Which cost can still apply?

A. The bid-ask spread and fund expense ratios
B. No costs of any kind
C. Sales tax on every share purchased
D. A monthly fee for logging in

CORRECT ANSWER

A. The bid-ask spread and fund expense ratios

Feedback (shown after answering)

Spreads and fund expenses still cost money.

Why each other choice is wrong (misconception it represents)

B: Believes $0 commission means free
C: Confuses investments with retail purchases
D: Invents a common fee

Type: instruction

SET 51 · Investing, Brokerage Accounts, and Investment Products

Investment fees and expense ratios

MAIN skill: Calculate investment fees and explain how they reduce long-term returns

Outcome FL.INVEST.51 · National topic: Investing · NJSLS 9.1.12: FI

Learning target: Explain how fees and expenses affect investment returns

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Fees as a percent of an amount (5 questions)
  Why: Fee questions are percent-of-an-amount problems with very small percents.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Fees are percents of the amount invested.
- B3 · Math link → ALG1-S55-M (Algebra 1 HSF-LE.A.1.c): Recognize situations in which a quantity grows or decays by a constant percent rate per unit interval
  Why: Fees lower the yearly growth factor, which compounds over time.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Advisory fees and other costs (5 questions)
- Go Deeper 2: Fees and compounding (5 questions)

Practical skills beyond the standards: Reading a fund fee table

Content status: stable

Source: SEC Investor.gov (Mutual fund fees and expenses) — Ongoing fees such as expense ratios reduce investment returns, and the effect compounds over time.
https://www.investor.gov/introduction-investing/investing-basics/glossary/mutual-fund-fees-and-expenses

Answer key for this set: M-Q1 B, M-Q2 B, M-Q3 C, M-Q4 B, M-Q5 D, B1-Q1 A, B1-Q2 B, B1-Q3 B, B1-Q4 B, B1-Q5 B, F1-Q1 C, F1-Q2 D, F1-Q3 B, F1-Q4 D, F1-Q5 C, F2-Q1 A, F2-Q2 A, F2-Q3 D, F2-Q4 B, F2-Q5 C

MAIN — Calculate investment fees and explain how they reduce long-term returns · Question 1 of 5

Learn: An expense ratio is the yearly cost of owning a fund, expressed as a percent of the money invested. It is taken out of the fund's assets automatically, so you never see a bill, but it lowers your return. Annual cost = amount invested × expense ratio.

A fund has an expense ratio of 0.50%. How much does it cost per year on a $8,000 investment?

A. $4
B. $40
C. $50
D. $400

CORRECT ANSWER

B. $40

Feedback (shown after answering)

$8,000 × 0.005 = $40 per year.

Recomputed independently by the build: 40

Why each other choice is wrong (misconception it represents)

A: Uses 0.05%
C: Uses the percent as dollars per hundred
D: Uses 5%

Type: instruction

MAIN — Calculate investment fees and explain how they reduce long-term returns · Question 2 of 5

Learn: Comparing expense ratios in dollars shows how much a fee difference costs you each year.

Two funds hold similar investments. Fund A charges 0.04%; Fund B charges 1.04%. On $20,000, how much more does Fund B cost per year?

A. $8
B. $200
C. $208
D. $2,000

CORRECT ANSWER

B. $200

Feedback (shown after answering)

Difference 1.00% × $20,000 = $200 per year.

Recomputed independently by the build: 200

Why each other choice is wrong (misconception it represents)

A: Gives Fund A's cost
C: Gives Fund B's total cost
D: Uses 10%

Type: instruction

MAIN — Calculate investment fees and explain how they reduce long-term returns · Question 3 of 5

Learn: Fees reduce returns every year, and the lost growth compounds. A difference that looks small each year can become large over decades.

$10,000 grows for 30 years at 7% a year before fees. With a 0.05% fee, it grows to about $75,063; with a 0.75% fee, about $61,641. How much does the higher fee cost over 30 years?

A. About $210
B. About $2,100
C. About $13,422
D. About $61,641

CORRECT ANSWER

C. About $13,422

Feedback (shown after answering)

$75,063 − $61,641 ≈ $13,422 lost to the higher fee.

Recomputed independently by the build: 13422

Why each other choice is wrong (misconception it represents)

A: Uses one year of the fee difference
B: Uses 30 years of simple fees on $10,000
D: Gives the high-fee balance

Type: instruction

MAIN — Calculate investment fees and explain how they reduce long-term returns · Question 4 of 5

Learn: Some mutual funds charge sales loads: a front-end load is taken from each purchase, and a back-end load when you sell. No-load funds do not charge these.

A fund charges a 5.75% "front-end load" (a sales charge) on purchases. Ian invests $1,000. How much is actually invested in the fund?

A. $57.50
B. $942.50
C. $1,000.00
D. $1,057.50

CORRECT ANSWER

B. $942.50

Feedback (shown after answering)

Load: $1,000 × 0.0575 = $57.50. Invested: $942.50.

Recomputed independently by the build: 942.5

Why each other choice is wrong (misconception it represents)

A: Gives the load
C: Ignores the load
D: Adds the load

Type: instruction

MAIN — Calculate investment fees and explain how they reduce long-term returns · Question 5 of 5

Which statement about investment fees is TRUE?

A. Higher fees guarantee better performance
B. Fees do not matter at all in long-term investing plans
C. Expense ratios are paid only when you sell
D. Lower fees leave more of the return for the investor

CORRECT ANSWER

D. Lower fees leave more of the return for the investor

Feedback (shown after answering)

Every dollar paid in fees is a dollar not compounding for you.

Why each other choice is wrong (misconception it represents)

A: Assumes cost equals quality
B: Ignores compounding of costs
C: Misunderstands when fees are charged

Type: knowledge check

BACKWARD B1 · concept review — Fees as a percent of an amount · Question 1 of 5

Learn: To write a percent as a decimal, divide by 100.

Write 0.25% as a decimal.

A. 0.0025
B. 0.025
C. 0.25
D. 25

CORRECT ANSWER

A. 0.0025

Feedback (shown after answering)

0.25 ÷ 100 = 0.0025.

Recomputed independently by the build: 0.0025

Why each other choice is wrong (misconception it represents)

B: Moves the decimal one place too few
C: Does not convert
D: Moves the wrong way

Type: instruction

BACKWARD B1 · concept review — Fees as a percent of an amount · Question 2 of 5

Learn: Percent of an amount = amount × decimal.

What is 0.25% of $4,000?

A. $1
B. $10
C. $100
D. $1,000

CORRECT ANSWER

B. $10

Feedback (shown after answering)

$4,000 × 0.0025 = $10.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Uses 0.025%
C: Uses 2.5%
D: Uses 25%

Type: instruction

BACKWARD B1 · concept review — Fees as a percent of an amount · Question 3 of 5

Which is LARGER: 0.1% or 1%?

A. 0.1%
B. 1%
C. They are equal
D. It cannot be compared

CORRECT ANSWER

B. 1%

Feedback (shown after answering)

1% is ten times 0.1%.

Why each other choice is wrong (misconception it represents)

A: Misreads decimals
C: Misreads
D: Gives up

Type: knowledge check

BACKWARD B1 · concept review — Fees as a percent of an amount · Question 4 of 5

Learn: Percent = part ÷ whole × 100.

A $50 yearly fee on a $5,000 account is what percent?

A. 0.1%
B. 1%
C. 10%
D. 50%

CORRECT ANSWER

B. 1%

Feedback (shown after answering)

$50 ÷ $5,000 = 0.01 = 1%.

Recomputed independently by the build: 1

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Misplaces the decimal
D: Uses dollars

Type: instruction

BACKWARD B1 · concept review — Fees as a percent of an amount · Question 5 of 5

Why are fund fees easy to overlook?

A. They are always zero for index funds
B. They are taken from the fund automatically, not billed
C. They are paid only by the broker
D. They are billed once a year by mail

CORRECT ANSWER

B. They are taken from the fund automatically, not billed

Feedback (shown after answering)

Expense ratios are deducted inside the fund, so no bill arrives.

Why each other choice is wrong (misconception it represents)

A: Believes low-cost means no-cost
C: Believes someone else pays them
D: Misses that fees are deducted from fund assets

Type: knowledge check

GO DEEPER 1 — Advisory fees and other costs · Question 1 of 5

Learn: Some advisors charge a percent of assets under management (AUM) each year, in addition to fund expenses. Others charge flat or hourly fees.

A financial advisor charges 1% of assets per year. On a $50,000 account, what is the yearly fee?

A. $1
B. $50
C. $500
D. $5,000

CORRECT ANSWER

C. $500

Feedback (shown after answering)

$50,000 × 0.01 = $500 per year.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Uses the percent as dollars
B: Uses 0.1%
D: Uses 10%

Type: instruction

GO DEEPER 1 — Advisory fees and other costs · Question 2 of 5

Learn: Different layers of fees add up.

An account pays a 0.80% fund expense ratio plus a 1.00% advisory fee. What is the total yearly cost as a percent?

A. 0.20%
B. 0.80%
C. 1.00%
D. 1.80%

CORRECT ANSWER

D. 1.80%

Feedback (shown after answering)

0.80% + 1.00% = 1.80% per year.

Recomputed independently by the build: 1.8

Why each other choice is wrong (misconception it represents)

A: Subtracts
B: Leaves out the advisory fee
C: Leaves out the fund expense

Type: instruction

GO DEEPER 1 — Advisory fees and other costs · Question 3 of 5

Learn: Net return ≈ gross return − total costs.

If a portfolio earns 7% before costs and pays 1.80% in total costs, what is the approximate net return?

A. 1.80%
B. 5.20%
C. 7.00%
D. 8.80%

CORRECT ANSWER

B. 5.20%

Feedback (shown after answering)

7% − 1.80% = 5.20%.

Recomputed independently by the build: 5.2

Why each other choice is wrong (misconception it represents)

A: Gives costs
C: Ignores costs
D: Adds costs

Type: instruction

GO DEEPER 1 — Advisory fees and other costs · Question 4 of 5

Learn: 12b-1 fees are ongoing fees that some mutual funds charge for marketing and distribution; they are part of the expense ratio.

What does a "12b-1 fee" on a mutual fund pay for?

A. Federal income taxes on fund gains
B. Insurance that protects the fund from losses
C. The fund manager's guaranteed return
D. Marketing and distribution costs, included in the expense ratio

CORRECT ANSWER

D. Marketing and distribution costs, included in the expense ratio

Feedback (shown after answering)

12b-1 fees cover marketing and distribution and raise the expense ratio.

Why each other choice is wrong (misconception it represents)

A: Confuses fees with taxes
B: Believes funds insure against losses
C: Believes fees buy guarantees

Type: instruction

GO DEEPER 1 — Advisory fees and other costs · Question 5 of 5

Learn: Fund prospectuses include a standardized fee table showing sales loads, expense ratios, and other costs.

Where can an investor find all of a fund's fees in one standard table?

A. On the fund's TV commercials
B. On the investor's monthly bank statement
C. The fee table in the fund's prospectus
D. On Form 1099-DIV

CORRECT ANSWER

C. The fee table in the fund's prospectus

Feedback (shown after answering)

The prospectus fee table lists all fund fees.

Why each other choice is wrong (misconception it represents)

A: Incomplete
B: Looks in the wrong document
D: Confuses tax reporting with fee disclosure

Type: instruction · practical how-to

GO DEEPER 2 — Fees and compounding · Question 1 of 5

Learn: The Rule of 72 estimates years to double: 72 ÷ rate.

A 1% yearly fee lowers a 7% return to 6%. Using the Rule of 72, about how much longer does it take money to double?

A. About 2 years longer (12 vs about 10.3)
B. About the same time
C. About 1 month longer
D. Twice as long

CORRECT ANSWER

A. About 2 years longer (12 vs about 10.3)

Feedback (shown after answering)

72 ÷ 7 ≈ 10.3 years; 72 ÷ 6 = 12 years.

Why each other choice is wrong (misconception it represents)

B: Ignores the effect
C: Understates
D: Overstates

Type: instruction

GO DEEPER 2 — Fees and compounding · Question 2 of 5

Learn: Over long periods, the difference between two growth rates compounds.

$10,000 grows at 6% instead of 7% for 30 years. At 7% it reaches about $76,123; at 6% about $57,435. How much does the 1% fee cost?

A. About $18,688
B. About $3,000
C. About $100
D. About $57,435

CORRECT ANSWER

A. About $18,688

Feedback (shown after answering)

$76,123 − $57,435 ≈ $18,688.

Recomputed independently by the build: 18688

Why each other choice is wrong (misconception it represents)

B: Uses 30 years of 1% simple fees
C: Uses one year
D: Gives the lower balance

Type: instruction

GO DEEPER 2 — Fees and compounding · Question 3 of 5

Which choice usually has the biggest effect on long-term costs for a beginner?

A. Trading more often to catch every move
B. Paying a sales load for a famous fund
C. Ignoring the expense ratio
D. Choosing low-cost index funds

CORRECT ANSWER

D. Choosing low-cost index funds

Feedback (shown after answering)

Low ongoing costs compound in the investor's favor.

Why each other choice is wrong (misconception it represents)

A: Raises costs
B: Raises costs
C: Raises costs

Type: knowledge check

GO DEEPER 2 — Fees and compounding · Question 4 of 5

Learn: Yearly savings = amount invested × fee reduction (as a decimal).

A fund's fee drops from 0.60% to 0.10%. On $30,000, how much does that save per year?

A. $30
B. $150
C. $180
D. $1,500

CORRECT ANSWER

B. $150

Feedback (shown after answering)

0.50% × $30,000 = $150.

Recomputed independently by the build: 150

Why each other choice is wrong (misconception it represents)

A: Gives the new fee
C: Gives the old fee
D: Adds a zero

Type: instruction

GO DEEPER 2 — Fees and compounding · Question 5 of 5

Which is a better comparison between two funds?

A. Their returns before any fees are taken out of them
B. Their best single year
C. Their returns after fees over the same period
D. Their star ratings alone

CORRECT ANSWER

C. Their returns after fees over the same period

Feedback (shown after answering)

Compare net-of-fee returns over the same period.

Why each other choice is wrong (misconception it represents)

A: Ignores costs
B: Cherry-picks one year
D: Uses a rating as a shortcut for costs and returns

Type: knowledge check

SET 52 · Investing, Brokerage Accounts, and Investment Products

Measuring investment returns and risk

MAIN skill: Calculate total and annualized returns, compare nominal and real returns, and describe volatility

Outcome FL.INVEST.52 · National topic: Investing · NJSLS 9.1.12: FI, EG

Learning target: Calculate investment returns and explain risk, volatility, and the effect of inflation

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Percent change and averages (5 questions)
  - Why: Return calculations are percent changes and averages.
- B2 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
  - Why: Returns are percent changes from a starting value.
- B3 · Math link → ALG1-S60-M (Algebra 1 HSS-ID.A.2): Compare the center and spread of two or more data sets
  - Why: Volatility compares how spread out two sets of returns are.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Average returns versus actual growth (5 questions)
- Go Deeper 2: Real returns and purchasing power (5 questions)

Practical skills beyond the standards: Comparing compound and average returns

Content status: stable

Answer key for this set: M-Q1 B, M-Q2 C, M-Q3 B, M-Q4 C, M-Q5 A, B1-Q1 B, B1-Q2 A, B1-Q3 B, B1-Q4 D, B1-Q5 B, F1-Q1 B, F1-Q2 B, F1-Q3 C, F1-Q4 B, F1-Q5 C, F2-Q1 B, F2-Q2 A, F2-Q3 D, F2-Q4 A, F2-Q5 A

MAIN — Calculate total and annualized returns, compare nominal and real returns, and describe volatility · Question 1 of 5

Learn: Total return is the percent change over the whole period. The annualized (compound) return is the steady yearly rate that would produce the same result: (ending ÷ starting)^(1 ÷ years) − 1.

Mia invested $1,000, and five years later it is worth $1,610.51 with no additions. Which annual growth rate, compounded, produces this?

A. 6.1%
B. 10%
C. 12.2%
D. 61%

CORRECT ANSWER

B. 10%

Feedback (shown after answering)

1,000 × 1.10^5 = 1,610.51, so the annualized return is 10% (total return 61.05%).

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Divides total growth by 5 years (simple average)
D: Gives total growth

Type: instruction

MAIN — Calculate total and annualized returns, compare nominal and real returns, and describe volatility · Question 2 of 5

Learn: Total return = (ending − starting) ÷ starting × 100.

Mia's investment rose from $1,000 to $1,610.51. What is the TOTAL return?

A. 6.11%
B. 10.00%
C. 61.05%
D. 161.05%

CORRECT ANSWER

C. 61.05%

Feedback (shown after answering)

(1,610.51 − 1,000) ÷ 1,000 = 61.05%.

Recomputed independently by the build: 61.051

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Gives the annualized return
D: Gives the ending value as a percent

Type: instruction

MAIN — Calculate total and annualized returns, compare nominal and real returns, and describe volatility · Question 3 of 5

Learn: The nominal return is the stated return. The real return adjusts for inflation and shows the change in purchasing power: real return ≈ nominal return − inflation (more precisely, (1 + nominal) ÷ (1 + inflation) − 1).

An investment returned 8% last year while inflation was 3%. What was the approximate REAL return?

A. About 11%
B. About 5%
C. About 8%
D. About 2.7%

CORRECT ANSWER

B. About 5%

Feedback (shown after answering)

8% − 3% ≈ 5% (precisely, 1.08 ÷ 1.03 − 1 ≈ 4.85%).

Why each other choice is wrong (misconception it represents)

A: Adds inflation
C: Ignores inflation
D: Divides the rates

Type: instruction

MAIN — Calculate total and annualized returns, compare nominal and real returns, and describe volatility · Question 4 of 5

Learn: Volatility describes how much returns vary from year to year. Investments with the same average return can have very different volatility; more volatility usually means more risk.

Fund X's yearly returns: 6%, 7%, 5%, 6%. Fund Y's: 20%, −10%, 25%, −11%. Both averaged 6%. Which is more volatile?

A. Fund X
B. Both are equally volatile
C. Fund Y
D. Neither; volatility is the same as average return

CORRECT ANSWER

C. Fund Y

Feedback (shown after answering)

Fund Y's returns swing widely; Fund X's stay close to 6%.

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Ignores the spread
D: Confuses concepts

Type: instruction

MAIN — Calculate total and annualized returns, compare nominal and real returns, and describe volatility · Question 5 of 5

Which statement about investment returns is TRUE?

A. Past returns do not guarantee future returns
B. An average return will be earned every single year
C. Returns from last year predict this year exactly
D. Stocks have never lost money in any year

CORRECT ANSWER

A. Past returns do not guarantee future returns

Feedback (shown after answering)

Averages hide year-to-year swings; the future can differ from the past.

Why each other choice is wrong (misconception it represents)

B: Treats an average as a yearly guarantee
C: Assumes momentum
D: Ignores market history

Type: knowledge check

BACKWARD B1 · concept review — Percent change and averages · Question 1 of 5

Learn: Percent change = (new − old) ÷ old × 100.

A value goes from $200 to $250. What is the percent increase?

A. 20%
B. 25%
C. 50%
D. 125%

CORRECT ANSWER

B. 25%

Feedback (shown after answering)

$50 ÷ $200 = 25%.

Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Divides by the new value
C: Uses $50 as a percent
D: Gives the new value as a percent

Type: instruction

BACKWARD B1 · concept review — Percent change and averages · Question 2 of 5

Learn: Always divide by the starting (old) value.

A value goes from $250 to $200. What is the percent decrease?

A. 20%
B. 25%
C. 50%
D. 80%

CORRECT ANSWER

A. 20%

Feedback (shown after answering)

$50 ÷ $250 = 20%.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

B: Divides by the new value
C: Uses dollars
D: Gives the remaining part

Type: instruction

BACKWARD B1 · concept review — Percent change and averages · Question 3 of 5

Learn: Average = sum ÷ number of values.

What is the average of 4%, 8%, and 6%?

A. 4%
B. 6%
C. 8%
D. 18%

CORRECT ANSWER

B. 6%

Feedback (shown after answering)

(4 + 8 + 6) ÷ 3 = 6%.

Recomputed independently by the build: 6

Why each other choice is wrong (misconception it represents)

A: Gives the smallest
C: Gives the largest
D: Adds without dividing

Type: instruction

BACKWARD B1 · concept review — Percent change and averages · Question 4 of 5

Learn: The range (largest − smallest) is a simple measure of spread.

Which set of returns is MOST spread out?

A. 4%, 5%, 6%
B. 5%, 5%, 5%, 5%
C. 3%, 5%, 7%
D. −15%, 5%, 25%

CORRECT ANSWER

D. −15%, 5%, 25%

Feedback (shown after answering)

Range 40 points vs 2, 0, and 4.

Why each other choice is wrong (misconception it represents)

A: Small spread
B: No spread
C: Smaller spread

Type: instruction

BACKWARD B1 · concept review — Percent change and averages · Question 5 of 5

Learn: If prices rise faster than your money grows, it buys less.

Prices rise 3% and your savings earn 1%. Can your savings buy more or less than before?

A. More
B. Less
C. Exactly the same
D. It cannot be known at all

CORRECT ANSWER

B. Less

Feedback (shown after answering)

Prices grew faster than the money, so it buys less.

Why each other choice is wrong (misconception it represents)

A: Ignores inflation
C: Ignores the gap
D: Gives up

Type: instruction

GO DEEPER 1 — Average returns versus actual growth · Question 1 of 5

Learn: A simple average of yearly returns can overstate actual growth when returns swing. The compound (annualized) return reflects what really happened to your money.

An investment returns +50% one year and −50% the next. The simple average is 0%. Starting from $1,000, what is it worth?

A. $500
B. $750
C. $1,000
D. $1,250

CORRECT ANSWER

B. $750

Feedback (shown after answering)

$1,000 × 1.5 = $1,500; × 0.5 = $750.

Recomputed independently by the build: 750

Why each other choice is wrong (misconception it represents)

A: Applies only the loss
C: Trusts the simple average
D: Arithmetic error

Type: instruction

GO DEEPER 1 — Average returns versus actual growth · Question 2 of 5

Learn: Percent changes multiply: a 50% loss after a 50% gain applies to a bigger balance.

For the +50% then −50% example, the compound annual return is about −13.4%. Why is it negative though the simple average is 0%?

A. The bank charged fees
B. Losses hit a larger balance than the gains started from
C. Simple averages are always negative
D. Compound returns ignore losses

CORRECT ANSWER

B. Losses hit a larger balance than the gains started from

Feedback (shown after answering)

The 50% loss came after the gain, on a $1,500 balance.

Why each other choice is wrong (misconception it represents)

A: Not in the example
C: Misreads averages
D: Reverses how compounding works

Type: instruction

GO DEEPER 1 — Average returns versus actual growth · Question 3 of 5

Learn: Apply each year's growth factor in turn: multiply by (1 + return) for each year.

An index rose 20% one year, then 0%, then 20%. Starting at $1,000, what is it worth?

A. $1,200
B. $1,400
C. $1,440
D. $1,600

CORRECT ANSWER

C. $1,440

Feedback (shown after answering)

1,000 × 1.2 × 1.0 × 1.2 = $1,440.

Recomputed independently by the build: 1440

Why each other choice is wrong (misconception it represents)

A: Counts one gain
B: Adds 40% simply
D: Adds 60%

Type: instruction

GO DEEPER 1 — Average returns versus actual growth · Question 4 of 5

Learn: The compound annual growth rate (CAGR) is the single steady yearly rate that turns the starting value into the ending value: start × (1 + rate)^years = end.

$1,000 grows to $1,210 in 2 years. What steady yearly rate (compound annual growth rate) produces that?

A. 5%
B. 10%
C. 10.5%
D. 21%

CORRECT ANSWER

B. 10%

Feedback (shown after answering)

$1,000 × 1.10 × 1.10 = $1,210, so the CAGR is 10%.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Halves the rate
C: Uses the simple average: 21% ÷ 2
D: Gives the total growth

Type: instruction

GO DEEPER 1 — Average returns versus actual growth · Question 5 of 5

Learn: Advertisements can choose time periods that look best.

A fund ad shows only its best 3-year period. What is the problem?

A. Nothing; the best period is most relevant
B. It understates returns
C. It may hide periods of poor performance
D. It hides the fund's name

CORRECT ANSWER

C. It may hide periods of poor performance

Feedback (shown after answering)

Cherry-picked periods can mislead; look at standardized 1-, 5-, and 10-year returns.

Why each other choice is wrong (misconception it represents)

A: Cherry-picking
B: Reverses
D: Misreads the problem

Type: instruction

GO DEEPER 2 — Real returns and purchasing power · Question 1 of 5

Learn: Exact real return = (1 + nominal) ÷ (1 + inflation) − 1.

Using the exact formula, what is the real return on an 8% nominal return with 3% inflation (nearest hundredth)?

A. 2.67%
B. 4.85%
C. 5.00%
D. 11.24%

CORRECT ANSWER

B. 4.85%

Feedback (shown after answering)

1.08 ÷ 1.03 − 1 ≈ 0.0485 = 4.85%.

Recomputed independently by the build: 4.854369

Why each other choice is wrong (misconception it represents)

A: Divides the rates
C: Uses the approximation
D: Multiplies the factors

Type: instruction

GO DEEPER 2 — Real returns and purchasing power · Question 2 of 5

Learn: Real return ≈ nominal return − inflation. A negative real return means money loses purchasing power.

A savings account pays 2% while inflation is 4%. What is the approximate real return?

A. −2%
B. 0.5%
C. 2%
D. 6%

CORRECT ANSWER

A. −2%

Feedback (shown after answering)

2% − 4% ≈ −2%: the money buys less each year.

Why each other choice is wrong (misconception it represents)

B: Divides
C: Ignores inflation
D: Adds

Type: instruction

GO DEEPER 2 — Real returns and purchasing power · Question 3 of 5

Learn: Real growth, the change in what money can buy, is about the growth rate of the money minus the inflation rate.

$1,000 grows to $1,050 in a year when prices rise 5%. What happened to its purchasing power?

A. It rose by about 5%
B. It fell 5%
C. It rose 10%
D. About the same

CORRECT ANSWER

D. About the same

Feedback (shown after answering)

5% − 5% ≈ 0%: purchasing power is about unchanged.

Why each other choice is wrong (misconception it represents)

A: Ignores inflation
B: Ignores the growth
C: Adds

Type: instruction

GO DEEPER 2 — Real returns and purchasing power · Question 4 of 5

Why do long-term investors care about real returns?

A. Goals like retirement depend on what money will buy
B. Real returns are always higher than nominal returns
C. Taxes are based on real returns
D. Inflation affects only cash, not investments

CORRECT ANSWER

A. Goals like retirement depend on what money will buy

Feedback (shown after answering)

Purchasing power, not the number of dollars, determines what goals can be met.

Why each other choice is wrong (misconception it represents)

B: Untrue when inflation is positive
C: Confuses tax rules
D: Believes inflation spares investments

Type: knowledge check

GO DEEPER 2 — Real returns and purchasing power · Question 5 of 5

Learn: Money that earns nothing loses purchasing power whenever prices rise.

Which asset is MOST likely to lose purchasing power over 30 years?

A. Cash kept in a non-interest checking account
B. A diversified stock index fund
C. Treasury inflation-protected securities (TIPS)
D. Series I savings bonds

CORRECT ANSWER

A. Cash kept in a non-interest checking account

Feedback (shown after answering)

Zero interest plus inflation steadily erodes purchasing power.

Why each other choice is wrong (misconception it represents)

B: Has historically outpaced inflation, with risk
C: Inflation-adjusted
D: Inflation-adjusted

Type: instruction

SET 53 · Investing, Brokerage Accounts, and Investment Products

Taxes on investments

MAIN skill: Explain how investment gains and income are taxed and compare taxable and tax-advantaged accounts

Outcome FL.INVEST.53 · National topic: Investing · NJSLS 9.1.12: EG, FI

Learning target: 12-8b tax-deferred versus taxable investing; capital gains on taxable investments

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Cost, sale price, and profit (5 questions)
  - Why: Capital gains are profit = sale price − cost, which students must find before taxes.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Taxes on gains are a percent of the gain.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Capital losses and tax planning (5 questions)
- Go Deeper 2: Investment income in a tax return (5 questions)

Practical skills beyond the standards: Reading Forms 1099-B, 1099-DIV, and 1099-INT

Content status: time-sensitive

Source: IRS (Topic 409, Capital Gains and Losses) — Gains on assets held more than one year are generally long-term and taxed at lower rates (special rules apply to some assets); net capital losses can offset up to $3,000 of other income per year ($1,500 if married filing separately). https://www.irs.gov/taxtopics/tc409

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 A, M-Q4 C, M-Q5 D, B1-Q1 A, B1-Q2 A, B1-Q3 B, B1-Q4 C, B1-Q5 B, F1-Q1 D, F1-Q2 C, F1-Q3 A, F1-Q4 C, F1-Q5 B, F2-Q1 A, F2-Q2 D, F2-Q3 D, F2-Q4 A, F2-Q5 C

MAIN — Explain how investment gains and income are taxed and compare taxable and tax-advantaged accounts · Question 1 of 5

Learn: A capital gain is the profit from selling an investment for more than its cost basis (what you paid, including some fees). In a taxable account, realized gains are generally taxable in the year you sell. A capital loss is the reverse.

Leo bought shares for $2,000 and sold them for $2,600 in a taxable brokerage account. What is his capital gain?

A. $600
B. $2,000
C. $2,600
D. $4,600

CORRECT ANSWER

A. $600

Feedback (shown after answering)

$2,600 − $2,000 = $600 capital gain.

Recomputed independently by the build: 600

Why each other choice is wrong (misconception it represents)

B: Uses the cost
C: Uses the sale amount
D: Adds

Type: instruction

MAIN — Explain how investment gains and income are taxed and compare taxable and tax-advantaged accounts · Question 2 of 5

Learn: For ordinary stock and fund investments in a taxable account, gains on investments held one year or less are short-term and taxed as ordinary income. Gains on investments held more than one year are long-term and generally taxed at lower rates (0%, 15%, or 20%, depending on income). Some assets, such as collectibles, have special rules.

Under federal rules, a gain on an ordinary stock or fund investment in a taxable account held for MORE than one year is...

A. short-term, taxed at ordinary income rates
B. long-term, usually taxed at lower rates
C. always tax-free for everyone
D. taxed only if it exceeds $1 million

CORRECT ANSWER

B. long-term, usually taxed at lower rates

Feedback (shown after answering)

Holding more than one year generally makes the gain long-term, with lower rates.

Why each other choice is wrong (misconception it represents)

A: Reverses the holding period
C: Overstates
D: Invents a threshold

Type: instruction · rule as of Federal rules as of 2026

MAIN — Explain how investment gains and income are taxed and compare taxable and tax-advantaged accounts · Question 3 of 5

Learn: Comparing tax at two rates shows the dollar value of a longer holding period. (Rates here are hypothetical for this example.)

Assume Leo's $600 long-term gain is taxed at 15% and a short-term gain would be taxed at 22%. How much tax does holding over a year save?

A. $42
B. $90
C. $132
D. $222

CORRECT ANSWER

A. $42

Feedback (shown after answering)

Short-term: $600 × 0.22 = $132. Long-term: $600 × 0.15 = $90. Savings: $42.

Recomputed independently by the build: 42

Why each other choice is wrong (misconception it represents)

B: Gives the long-term tax
C: Gives the short-term tax
D: Adds

Type: instruction

MAIN — Explain how investment gains and income are taxed and compare taxable and tax-advantaged accounts · Question 4 of 5

Learn: In a taxable brokerage account, dividends, most interest, and realized gains are generally taxed each year (some interest, such as on many municipal bonds, is exempt). Tax-advantaged accounts, such as IRAs and 401(k)s, let investments grow without yearly taxes; taxes are deferred (traditional) or avoided on qualified withdrawals (Roth).

Which account lets investments grow without yearly taxes on dividends and gains?

A. A regular taxable brokerage account in her own name
B. A standard checking account
C. A tax-advantaged retirement account such as an IRA
D. A high-yield savings account

CORRECT ANSWER

C. A tax-advantaged retirement account such as an IRA

Feedback (shown after answering)

Retirement accounts shelter growth from yearly taxes.

Why each other choice is wrong (misconception it represents)

A: Taxes due each year on distributions and sales
B: Not an investment account
D: Interest is taxed each year

Type: instruction

MAIN — Explain how investment gains and income are taxed and compare taxable and tax-advantaged accounts · Question 5 of 5

Learn: In a taxable account, dividends and interest are generally taxed in the year they are paid, even if reinvested.

A stock fund in a taxable account pays $200 of dividends this year, and Jo does not sell anything. Is anything taxable?

A. No; nothing at all is taxed until she sells the fund
B. No; dividends are never taxed
C. Only if she reinvested the dividends in cash
D. Yes; the dividends are generally taxable this year

CORRECT ANSWER

D. Yes; the dividends are generally taxable this year

Feedback (shown after answering)

Dividends are generally taxable when paid, even if reinvested.

Why each other choice is wrong (misconception it represents)

A: Forgets dividends
B: Ignores dividend taxes
C: Believes reinvesting avoids tax

Type: instruction

BACKWARD B1 · concept review — Cost, sale price, and profit · Question 1 of 5

Learn: Profit = selling price − cost.

Ana buys a used bike for $120 and sells it for $150. What is her profit?

A. $30
B. $120
C. $150
D. $270

CORRECT ANSWER

A. $30

Feedback (shown after answering)

$150 − $120 = $30.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

B: Cost
C: Sale price
D: Adds

Type: instruction

BACKWARD B1 · concept review — Cost, sale price, and profit · Question 2 of 5

Learn: When the selling price is below cost, the difference is a loss.

A share bought for $50 is sold for $40. What is the result?

A. A $10 loss
B. A $10 gain
C. A $90 gain
D. No gain or loss

CORRECT ANSWER

A. A $10 loss

Feedback (shown after answering)

$40 − $50 = −$10, a $10 loss.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Adds
D: Ignores the change

Type: instruction

BACKWARD B1 · concept review — Cost, sale price, and profit · Question 3 of 5

Learn: Tax at a rate = amount × rate.

What is 15% of $400?

A. $6
B. $60
C. $415
D. $600

CORRECT ANSWER

B. $60

Feedback (shown after answering)

$400 × 0.15 = $60.

Recomputed independently by the build: 60

Why each other choice is wrong (misconception it represents)

A: Uses 1.5%
C: Adds
D: Uses 150%

Type: instruction

BACKWARD B1 · concept review — Cost, sale price, and profit · Question 4 of 5

Learn: A gain is long-term if the investment was held more than one year; otherwise it is short-term and taxed like ordinary income.

Jo buys shares on March 1, 2025 and sells them at a gain on February 15, 2026. How is the gain treated?

A. Long-term, since the sale is in a new calendar year
B. Long-term, since she held them close to a year
C. Short-term, since she held them one year or less
D. Tax-free, since she held them over six months

CORRECT ANSWER

C. Short-term, since she held them one year or less

Feedback (shown after answering)

March 1, 2025 to February 15, 2026 is less than a year, so the gain is short-term.

Why each other choice is wrong (misconception it represents)

A: Confuses tax years with holding time
B: Rounds up the holding period
D: Invents a rule

Type: instruction

BACKWARD B1 · concept review — Cost, sale price, and profit · Question 5 of 5

Learn: Cost basis is generally your purchase price, adjusted for some costs and events. Gain = sale proceeds − cost basis.

What is "cost basis"?

A. The current market price
B. What you paid for an investment, used to figure gains
C. The tax rate
D. The broker's profit

CORRECT ANSWER

B. What you paid for an investment, used to figure gains

Feedback (shown after answering)

Cost basis is your starting point for figuring gains.

Why each other choice is wrong (misconception it represents)

A: Confuses with value
C: Confuses with rate
D: Misreads

Type: instruction

GO DEEPER 1 — Capital losses and tax planning · Question 1 of 5

Learn: Capital losses offset capital gains. If losses exceed gains, a net capital loss can offset up to $3,000 of other income each year ($1,500 if married filing separately), with the rest carried forward to future years.

Jo has a $1,500 capital gain and a $3,000 capital loss in the same year. What is her net capital result?

A. A $4,500 gain
B. A $1,500 gain
C. No gain or loss to report
D. A $1,500 net loss

CORRECT ANSWER

D. A $1,500 net loss

Feedback (shown after answering)

$1,500 − $3,000 = −$1,500: a net loss.

Recomputed independently by the build: 1500

Why each other choice is wrong (misconception it represents)

A: Adds both
B: Reverses
C: Ignores the difference

Type: instruction · rule as of Federal rules as of 2026

GO DEEPER 1 — Capital losses and tax planning · Question 2 of 5

Learn: A net capital loss can offset up to $3,000 of other income per year; unused losses carry forward.

Under the federal limit, a net capital loss of $5,000 can offset how much ordinary income this year (single filer)?

A. $0
B. $1,500
C. $3,000
D. $5,000

CORRECT ANSWER

C. $3,000

Feedback (shown after answering)

Up to $3,000 this year; the other $2,000 carries forward.

Recomputed independently by the build: 3000

Why each other choice is wrong (misconception it represents)

A: Ignores the deduction
B: Uses the married-filing-separately limit
D: Ignores the limit

Type: instruction · rule as of Federal rules as of 2026

GO DEEPER 1 — Capital losses and tax planning · Question 3 of 5

Learn: "Asset location" means choosing which account holds which investment to reduce taxes.

Why might placing bond funds (which pay taxable interest) in a tax-advantaged account make sense?

A. It shelters the yearly interest from current taxes
B. Bonds cannot legally be held in taxable brokerage accounts
C. It guarantees higher returns
D. It avoids all risk

CORRECT ANSWER

A. It shelters the yearly interest from current taxes

Feedback (shown after answering)

Tax-advantaged accounts shelter interest that would otherwise be taxed each year.

Why each other choice is wrong (misconception it represents)

B: Invents a rule
C: Confuses tax savings with return guarantees
D: Confuses account type with investment risk

Type: instruction

GO DEEPER 1 — Capital losses and tax planning · Question 4 of 5

Learn: "Tax drag" is the reduction in growth caused by paying taxes each year.

Two investors earn the same 7% return. One pays 1% of the account in taxes each year; the other is in a tax-deferred account. Who likely ends with more before withdrawals?

A. The taxable investor
B. They end with the same amount
C. The tax-deferred investor
D. It is impossible to tell

CORRECT ANSWER

C. The tax-deferred investor

Feedback (shown after answering)

Paying taxes yearly reduces compounding; deferral lets more money grow.

Why each other choice is wrong (misconception it represents)

A: Ignores tax drag
B: Ignores tax drag
D: Gives up

Type: instruction

GO DEEPER 1 — Capital losses and tax planning · Question 5 of 5

Learn: Brokers send tax forms: 1099-DIV for dividends, 1099-INT for interest, and 1099-B for sales.

Which form reports dividends paid in a taxable brokerage account?

A. Form W-2
B. Form 1099-DIV
C. Form W-4
D. Form 1098-T (tuition)

CORRECT ANSWER

B. Form 1099-DIV

Feedback (shown after answering)

Dividends are reported on Form 1099-DIV.

Why each other choice is wrong (misconception it represents)

A: Wages
C: Withholding
D: Tuition

Type: instruction · practical how-to

GO DEEPER 2 — Investment income in a tax return · Question 1 of 5

Learn: Form 1099-B reports the proceeds from sales and, usually, the cost basis. Gain = proceeds − basis.

Rosa sold shares and received Form 1099-B showing proceeds of $3,200 and cost basis of $2,700. What gain does she report?

A. $500
B. $2,700
C. $3,200
D. $5,900

CORRECT ANSWER

A. $500

Feedback (shown after answering)

$3,200 − $2,700 = $500.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

B: Uses basis
C: Uses proceeds
D: Adds

Type: instruction

GO DEEPER 2 — Investment income in a tax return · Question 2 of 5

Learn: Reinvested dividends were already taxed, so they increase your cost basis; ignoring them can cause you to pay tax twice.

Dividends reinvested automatically buy more shares. How does that affect cost basis?

A. They have no effect on basis
B. They lower the cost basis
C. They are taxed again when the shares are sold, with no basis change
D. The reinvested amounts add to the cost basis

CORRECT ANSWER

D. The reinvested amounts add to the cost basis

Feedback (shown after answering)

Reinvested dividends raise basis, which lowers future taxable gains.

Why each other choice is wrong (misconception it represents)

A: Leads to double taxation later
B: Reverses
C: Leads to paying tax twice on the same dividends

Type: instruction

GO DEEPER 2 — Investment income in a tax return · Question 3 of 5

Learn: Common tax forms: 1099-INT reports interest, 1099-DIV reports dividends, 1099-B reports sales of investments, and W-2 reports wages.

Interest from a savings account of $85 is reported on which form?

A. Form 1099-DIV
B. Form 1099-B
C. Form W-2
D. Form 1099-INT

CORRECT ANSWER

D. Form 1099-INT

Feedback (shown after answering)

Interest is reported on Form 1099-INT.

Why each other choice is wrong (misconception it represents)

A: Reports dividends
B: Reports sales of investments
C: Reports wages

Type: instruction

GO DEEPER 2 — Investment income in a tax return · Question 4 of 5

Learn: Trades inside IRAs and 401(k)s do not create yearly taxes; taxes depend on the account type and withdrawals.

Which statement about selling investments inside a Roth IRA is TRUE?

A. Gains inside the account are not taxed when sold
B. Each sale is taxed right away as short-term income
C. Every sale must be reported on Form 1099-B and taxed
D. Sales are prohibited until age 59½

CORRECT ANSWER

A. Gains inside the account are not taxed when sold

Feedback (shown after answering)

Gains inside retirement accounts are sheltered; withdrawal rules decide taxes.

Why each other choice is wrong (misconception it represents)

B: Applies taxable-account rules
C: Applies taxable-account reporting
D: Confuses trading inside the account with withdrawing

Type: instruction

GO DEEPER 2 — Investment income in a tax return · Question 5 of 5

Why should investors keep records of purchase prices and dates?

A. Brokers never keep any records
B. Records raise returns
C. To figure cost basis and holding periods for taxes
D. Records cancel taxes on gains

CORRECT ANSWER

C. To figure cost basis and holding periods for taxes

Feedback (shown after answering)

Purchase records determine the gain and whether it is short- or long-term.

Why each other choice is wrong (misconception it represents)

A: Ignores broker reporting
B: Confuses records with performance
D: Confuses records with tax exemptions

Type: knowledge check · practical how-to

SET 54 · Investing, Brokerage Accounts, and Investment Products

Speculation, crypto assets, and investment fraud

MAIN skill: Recognize speculation and common investment frauds and protect yourself

Outcome FL.INVEST.54 · National topic: Investing · NJSLS 9.1.12: FI, FP

Learning target: Evaluate investment risks, speculation, and fraud, and identify investor protections

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: If it sounds too good to be true (5 questions)
  - Why: Fraud resistance rests on comparing a claim with realistic returns and risks.
- B2 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
  - Why: Judging claimed returns requires comparing percent gains.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Crypto assets: risks and protections (5 questions)
- Go Deeper 2: Protecting yourself and reporting fraud (5 questions)

Practical skills beyond the standards: Checking registration before investing; Reporting investment fraud

Content status: time-sensitive

Source: SEC Investor.gov — Red flags of investment fraud include promises of guaranteed high returns, pressure to act quickly, and unregistered sellers; Ponzi schemes pay earlier investors with new investors' money. https://www.investor.gov/protect-your-investments/fraud/types-fraud

Source: SEC Investor.gov — Crypto asset investments are highly risky and volatile, and are not FDIC insured or SIPC protected in the same way as deposits and securities at member firms. https://www.investor.gov/additional-resources/spotlight/crypto-assets

Answer key for this set: M-Q1 B, M-Q2 A, M-Q3 D, M-Q4 C, M-Q5 B, B1-Q1 A, B1-Q2 B, B1-Q3 C, B1-Q4 D, B1-Q5 A, F1-Q1 A, F1-Q2 D, F1-Q3 B, F1-Q4 C, F1-Q5 C, F2-Q1 B, F2-Q2 D, F2-Q3 A, F2-Q4 C, F2-Q5 A

MAIN — Recognize speculation and common investment frauds and protect yourself · Question 1 of 5

Learn: Red flags of investment fraud include guaranteed high returns with little or no risk, pressure to act quickly, unregistered sellers, and complicated or secret strategies. Legitimate investments carry risk, and no one can guarantee high returns.

A message promises "a guaranteed 20% return every month with no risk." What is the best response?

A. Invest a small amount to test it before investing more
B. Treat it as a likely scam and do not invest
C. Invest quickly before the offer ends tonight
D. Ask the sender for a written guarantee first

CORRECT ANSWER

B. Treat it as a likely scam and do not invest

Feedback (shown after answering)

Guaranteed high returns with no risk is the classic sign of fraud.

Why each other choice is wrong (misconception it represents)

A: Scams often pay small early returns to build trust
C: Responds to pressure
D: A guarantee from a scammer means nothing

Type: instruction

MAIN — Recognize speculation and common investment frauds and protect yourself · Question 2 of 5

Learn: A Ponzi scheme pays existing investors with money from new investors instead of real profits. It collapses when new money slows, and many investors lose money.

In a Ponzi scheme, where does the money paid to early investors come from?

A. From newer investors' money
B. From real profits on the investments
C. From government insurance
D. From interest earned at a bank

CORRECT ANSWER

A. From newer investors' money

Feedback (shown after answering)

Ponzi schemes recycle new investors' money to pay earlier investors.

Why each other choice is wrong (misconception it represents)

B: Believes the story
C: Believes schemes are insured
D: Believes the returns are real interest

Type: instruction

MAIN — Recognize speculation and common investment frauds and protect yourself · Question 3 of 5

Learn: Speculation is buying something mainly hoping its price rises quickly, often without regard to its underlying value. Crypto assets are highly volatile, are not FDIC insured, and have been targets of fraud and "pump-and-dump" schemes.

A crypto token rises 300% in a month after heavy social media promotion. Which statement is MOST accurate?

A. It is guaranteed to keep rising
B. It is protected by FDIC insurance up to $250,000 per owner
C. It is a safe place for an emergency fund
D. It is highly speculative and could fall just as fast

CORRECT ANSWER

D. It is highly speculative and could fall just as fast

Feedback (shown after answering)

Rapid hype-driven gains are speculative and can reverse quickly.

Why each other choice is wrong (misconception it represents)

A: Assumes momentum
B: Confuses crypto with deposits
C: Ignores volatility

Type: instruction

MAIN — Recognize speculation and common investment frauds and protect yourself · Question 4 of 5

Learn: Most people who sell securities or give investment advice must be registered. Investors can check registration and disciplinary history for free.

Before investing through someone, which free tool checks whether they are registered?

A. The person's social media follower count
B. A testimonial video posted online by a satisfied investor
C. FINRA BrokerCheck or the SEC's Investment Adviser search
D. The professional look of their website

CORRECT ANSWER

C. FINRA BrokerCheck or the SEC's Investment Adviser search

Feedback (shown after answering)

Registration checks are free and quick.

Why each other choice is wrong (misconception it represents)

A: Popularity is not registration
B: Can be fake
D: Easy to fake

Type: instruction · practical how-to

MAIN — Recognize speculation and common investment frauds and protect yourself · Question 5 of 5

Learn: In a pump-and-dump, promoters spread false or misleading hype to push up a price, then sell their shares at the high price, leaving others with losses.

Pumpers buy a little-known stock, hype it online, and sell when others rush in. What is this called?

A. Dollar-cost averaging scheme
B. A pump-and-dump scheme
C. Diversification
D. Rebalancing

CORRECT ANSWER

B. A pump-and-dump scheme

Feedback (shown after answering)

Promoters "pump" the price, then "dump" their shares.

Why each other choice is wrong (misconception it represents)

A: Legitimate strategy
C: Legitimate strategy
D: Legitimate strategy

Type: instruction

BACKWARD B1 · concept review — If it sounds too good to be true · Question 1 of 5

Learn: Knowing typical returns helps spot offers that are too good to be true. No legitimate investment offers high returns with no risk.

Insured savings pay about 4% a year, and stocks have historically averaged under 10% a year with large swings. A "no-risk 10% per month" offer is...

A. far beyond any realistic, risk-free return
B. reasonable for a new, fast-growing company
C. the same as a savings account
D. normal for index funds

CORRECT ANSWER

A. far beyond any realistic, risk-free return

Feedback (shown after answering)

10% per month (over 200% a year) with no risk is unrealistic.

Why each other choice is wrong (misconception it represents)

B: Misjudges
C: Misjudges
D: Misjudges

Type: instruction

BACKWARD B1 · concept review — If it sounds too good to be true · Question 2 of 5

A stranger online offers to "double your money in a week." What should you assume?

A. It is a normal investment
B. It is very likely a scam
C. It is insured
D. It is approved by the government

CORRECT ANSWER

B. It is very likely a scam

Feedback (shown after answering)

Promises of quick, huge gains are scam hallmarks.

Why each other choice is wrong (misconception it represents)

A: Misjudges
C: Believes high returns can be insured
D: Believes an offer's claims of approval

Type: knowledge check

BACKWARD B1 · concept review — If it sounds too good to be true · Question 3 of 5

Learn: Scammers create urgency so victims do not stop to check.

Which is a common pressure tactic?

A. "Take your time and compare all your options first."
B. "Read the prospectus first."
C. "Act now — this opportunity closes tonight!"
D. "Talk to someone you trust."

CORRECT ANSWER

C. "Act now — this opportunity closes tonight!"

Feedback (shown after answering)

Urgency discourages careful checking.

Why each other choice is wrong (misconception it represents)

A: Not pressure
B: Not pressure
D: Not pressure

Type: instruction

BACKWARD B1 · concept review — If it sounds too good to be true · Question 4 of 5

Learn: Payments that are fast and hard to reverse are favored by scammers.

Which payment method do investment scammers often ask for because it is hard to reverse?

A. A credit card with dispute rights
B. A check to a registered broker-dealer
C. An ACH transfer to your own brokerage account
D. Crypto transfers, wires, or gift cards

CORRECT ANSWER

D. Crypto transfers, wires, or gift cards

Feedback (shown after answering)

Irreversible payment methods are a scam warning sign.

Why each other choice is wrong (misconception it represents)

A: Easier to dispute
B: Traceable
C: Your own account

Type: instruction

BACKWARD B1 · concept review — If it sounds too good to be true · Question 5 of 5

Learn: Pyramid schemes pay mainly for recruiting others, not for real products or profits, and collapse when recruiting slows.

A friend earned money in a "club" that pays you for recruiting new members, not for selling products. What is this most likely?

A. A pyramid scheme
B. A multilevel marketing company that sells real products
C. An investment club that pools money
D. A referral bonus program

CORRECT ANSWER

A. A pyramid scheme

Feedback (shown after answering)

Paying for recruitment rather than real sales is a pyramid scheme sign.

Why each other choice is wrong (misconception it represents)

B: Confuses recruitment pay with product sales
C: Confuses pooling with recruiting
D: Misses that recruiting is the only source of pay

Type: instruction

GO DEEPER 1 — Crypto assets: risks and protections · Question 1 of 5

Learn: Crypto assets can lose most of their value quickly. Only money you can afford to lose should be used for speculation.

Kai buys $500 of a crypto asset that falls 80%. What is it worth?

A. $100
B. $400
C. $420
D. $500

CORRECT ANSWER

A. $100

Feedback (shown after answering)

$500 × 0.20 = $100.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

B: Gives the loss
C: Subtracts 80 dollars
D: Ignores the loss

Type: instruction

GO DEEPER 1 — Crypto assets: risks and protections · Question 2 of 5

Learn: Crypto assets are not bank deposits and are generally not protected the way deposits or securities at SIPC-member firms are.

Kai's crypto exchange collapses, and customers cannot withdraw. Which protection generally applies to the crypto assets?

A. FDIC insurance up to $250,000 per depositor
B. SIPC insurance on all crypto holdings
C. Automatic refunds from the federal government
D. Usually none like FDIC or SIPC coverage

CORRECT ANSWER

D. Usually none like FDIC or SIPC coverage

Feedback (shown after answering)

Crypto holdings are generally not FDIC insured or SIPC protected.

Why each other choice is wrong (misconception it represents)

A: Crypto is not a deposit
B: Generally not covered
C: Assumes a government backstop

Type: instruction

GO DEEPER 1 — Crypto assets: risks and protections · Question 3 of 5

Learn: Crypto wallets are controlled by private keys or recovery phrases. Anyone who gets them can take the assets, and lost keys can mean lost assets.

Who controls access to crypto held in a "self-custody" wallet?

A. The FDIC
B. Whoever has the private keys or recovery phrase
C. The crypto exchange that sold the coins
D. The wallet app's customer service team

CORRECT ANSWER

B. Whoever has the private keys or recovery phrase

Feedback (shown after answering)

Keys control the wallet; never share a recovery phrase.

Why each other choice is wrong (misconception it represents)

A: Believes crypto wallets are insured
C: Confuses self-custody with an exchange account
D: Believes support can recover keys

Type: instruction

GO DEEPER 1 — Crypto assets: risks and protections · Question 4 of 5

Learn: Legitimate services never need your recovery phrase.

Someone asks Kai for his crypto wallet recovery phrase to "verify his account." What should he do?

A. Share it, since verification requests like this are routine
B. Share only half of it
C. Refuse; sharing it gives away control of the assets
D. Post it publicly to prove ownership

CORRECT ANSWER

C. Refuse; sharing it gives away control of the assets

Feedback (shown after answering)

No legitimate service asks for a recovery phrase.

Why each other choice is wrong (misconception it represents)

A: Gives away control
B: Still unsafe
D: Unsafe

Type: instruction · practical how-to

GO DEEPER 1 — Crypto assets: risks and protections · Question 5 of 5

What share of savings is reasonable for highly speculative assets?

A. All emergency savings
B. Money borrowed on a credit card
C. Only money you could afford to lose entirely
D. Money that is needed for next month's rent payment

CORRECT ANSWER

C. Only money you could afford to lose entirely

Feedback (shown after answering)

Speculation should use only money you can afford to lose.

Why each other choice is wrong (misconception it represents)

A: Too risky
B: Adds debt risk
D: Too risky

Type: knowledge check

GO DEEPER 2 — Protecting yourself and reporting fraud · Question 1 of 5

Learn: The SEC accepts tips and complaints online; state securities regulators also investigate investment fraud.

Where can an investor report suspected securities fraud?

A. Only to the person running the scheme
B. The SEC (sec.gov/tcr) or the state securities regulator
C. A credit bureau
D. The FDIC

CORRECT ANSWER

B. The SEC (sec.gov/tcr) or the state securities regulator

Feedback (shown after answering)

The SEC and state regulators investigate investment fraud.

Why each other choice is wrong (misconception it represents)

A: Unhelpful
C: Wrong agency
D: Wrong agency

Type: instruction · practical how-to

GO DEEPER 2 — Protecting yourself and reporting fraud · Question 2 of 5

Learn: Ponzi schemes pay early investors with new investors' money. Pump-and-dump schemes hype a cheap stock, then sell. Phishing uses fake messages to steal information. Affinity fraud spreads through trust within a religious, ethnic, or community group.

A scam targets members of a club or faith group by using trust within the group. What is this called?

A. A pyramid scheme
B. Pump-and-dump
C. Phishing
D. Affinity fraud

CORRECT ANSWER

D. Affinity fraud

Feedback (shown after answering)

Affinity fraud uses group trust to spread a scam.

Why each other choice is wrong (misconception it represents)

A: Related, but defined by recruiting, not group trust
B: Related, but defined by price hype
C: Related, but uses fake messages

Type: instruction

GO DEEPER 2 — Protecting yourself and reporting fraud · Question 3 of 5

Learn: Recovery scammers target people who already lost money, promising to get it back for an upfront fee.

After losing money to a scam, Lia gets a call offering to "recover your losses for a fee." What is this most likely?

A. A recovery scam targeting past victims
B. A government refund program
C. A bank's fraud department follow-up
D. A legitimate free service in every case

CORRECT ANSWER

A. A recovery scam targeting past victims

Feedback (shown after answering)

Up-front fees to "recover" losses are a common follow-up scam.

Why each other choice is wrong (misconception it represents)

B: Usually untrue
C: Real banks do not charge to recover funds
D: Overstates

Type: instruction

GO DEEPER 2 — Protecting yourself and reporting fraud · Question 4 of 5

Which habit gives the best protection against investment fraud?

A. Trusting anyone with a professional website
B. Investing quickly when friends do
C. Verify registration and take time to research before investing
D. Choosing the highest promised return

CORRECT ANSWER

C. Verify registration and take time to research before investing

Feedback (shown after answering)

Checking registration and slowing down remove the pressure and secrecy that investment scams rely on.

Why each other choice is wrong (misconception it represents)

A: Websites are easy to fake
B: Social pressure
D: Red flag

Type: knowledge check · practical how-to

GO DEEPER 2 — Protecting yourself and reporting fraud · Question 5 of 5

Learn: Paid promotions must be disclosed, but endorsements do not make an investment safe or valuable.

A celebrity endorses a new token on social media. What should an investor remember?

A. Endorsements may be paid and are not evidence of value
B. Celebrities must guarantee results
C. Endorsed tokens are FDIC insured
D. Endorsements prove the SEC approved it

CORRECT ANSWER

A. Endorsements may be paid and are not evidence of value

Feedback (shown after answering)

Promotion is not proof of value; research independently.

Why each other choice is wrong (misconception it represents)

B: Invents a rule
C: Confuses crypto with deposits
D: Confuses fame with regulation

Type: instruction

SET 55 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

Why save for retirement

MAIN skill: Explain why people save for retirement and how decades of compounding affect retirement savings

Outcome FL.RETIRE.55 · National topic: Investing · NJSLS 9.1.12: PB, FI

Learning target: Explain the importance of saving for retirement and the effect of compounding over time

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Retirement means living without a paycheck (5 questions)
  Why: Students need to picture retirement as decades of expenses without wages before retirement accounts make sense.
- B2 · Math link → ALG1-S55-M (Algebra 1 HSF-LE.A.1.c): Recognize situations in which a quantity grows or decays by a constant percent rate per unit interval
  Why: Long-term retirement growth is exponential growth at a percent rate.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Replacement goals and Social Security estimates are percents of income.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Estimating how much to save (5 questions)
- Go Deeper 2: The cost of waiting to save for retirement (5 questions)

Practical skills beyond the standards: Estimating a retirement savings goal

Content status: stable

Answer key for this set: M-Q1 D, M-Q2 B, M-Q3 D, M-Q4 B, M-Q5 B, B1-Q1 A, B1-Q2 C, B1-Q3 D, B1-Q4 C, B1-Q5 B, F1-Q1 D, F1-Q2 D, F1-Q3 A, F1-Q4 C, F1-Q5 C, F2-Q1 B, F2-Q2 A, F2-Q3 B, F2-Q4 D, F2-Q5 B

MAIN — Explain why people save for retirement and how decades of compounding affect retirement savings · Question 1 of 5

Learn: Retirement can last 20 to 30 years or more. Social Security provides a monthly benefit, but for an average worker it replaces only about 40% of pre-retirement earnings. Most people need personal savings, often through workplace plans and IRAs, to cover the rest.

Why do most people need their own retirement savings in addition to Social Security?

A. Social Security pays each retiree twice their old salary
B. Retirement lasts only a few months for most people who retire
C. Employers pay workers forever after they retire
D. Social Security replaces only part of most workers' income

CORRECT ANSWER

D. Social Security replaces only part of most workers' income

Feedback (shown after answering)

Social Security covers only part of most people's needs in retirement.

Why each other choice is wrong (misconception it represents)

A: Overstates benefits
B: Understates retirement length
C: Misunderstands pensions

Type: instruction

MAIN — Explain why people save for retirement and how decades of compounding affect retirement savings · Question 2 of 5

Learn: Money invested for decades can grow far beyond what was put in, because growth compounds: A = P(1 + r)^t. (Real returns vary year to year and are not guaranteed.)

At 15, Ana invests $2,000 that earns an assumed 7% a year until she is 65 (50 years). About how much will it grow to?

A. About $9,000
B. About $58,914
C. About $14,000
D. About $2,140

CORRECT ANSWER

B. About $58,914

Feedback (shown after answering)

2,000 × 1.07^50 ≈ $58,914.

Recomputed independently by the build: 58914.050126

Why each other choice is wrong (misconception it represents)

A: Uses simple interest
C: Uses 7 doublings of $100
D: Uses one year

Type: instruction

MAIN — Explain why people save for retirement and how decades of compounding affect retirement savings · Question 3 of 5

Learn: Growth = ending balance − total contributions.

Ben invests $6,000 a year for 40 years. At an assumed 7% a year, the account reaches about $1,197,811. How much of that is GROWTH rather than his contributions?

A. About $240,000
B. About $1,197,811
C. About $1,437,811
D. About $957,811

CORRECT ANSWER

D. About $957,811

Feedback (shown after answering)

Contributions: $6,000 × 40 = $240,000. Growth: $1,197,811 − $240,000 ≈ $957,811.

Recomputed independently by the build: 957811

Why each other choice is wrong (misconception it represents)

A: Gives contributions
B: Gives the total
C: Adds contributions to the total

Type: instruction

MAIN — Explain why people save for retirement and how decades of compounding affect retirement savings · Question 4 of 5

Learn: A replacement goal is the share of pre-retirement income you want in retirement. Savings must fill the gap between that goal and other income such as Social Security.

Lin earns $60,000 before retiring and wants 80% of that income in retirement. Social Security is expected to replace 40% of it. How much per year must come from savings?

A. $12,000
B. $24,000
C. $36,000
D. $48,000

CORRECT ANSWER

B. $24,000

Feedback (shown after answering)

Goal: 80% × $60,000 = $48,000. Social Security: 40% × $60,000 = $24,000. Gap: $24,000.

Recomputed independently by the build: 24000

Why each other choice is wrong (misconception it represents)

A: Uses 20%
C: Uses 60%
D: Uses the full 80%

Type: instruction

MAIN — Explain why people save for retirement and how decades of compounding affect retirement savings · Question 5 of 5

Which choice gives retirement savings the MOST time to compound?

A. Waiting until age 50 to start saving
B. Starting contributions with a first job
C. Saving only in the final year before retiring
D. Waiting until debt is zero and a house is paid off

CORRECT ANSWER

B. Starting contributions with a first job

Feedback (shown after answering)

Starting early gives the most years of compounding.

Why each other choice is wrong (misconception it represents)

A: Less time
C: Least time
D: Delays saving

Type: knowledge check

BACKWARD B1 · concept review — Retirement means living without a paycheck · Question 1 of 5

Learn: Retirement is the stage of life after someone stops working full time. Without a paycheck, retirees live on savings, Social Security, and any pensions.

What is retirement?

A. The years after a person stops working for pay
B. A type of bank account
C. A two-week vacation
D. A job promotion

CORRECT ANSWER

A. The years after a person stops working for pay

Feedback (shown after answering)

Retirement is the period after paid work ends.

Why each other choice is wrong (misconception it represents)

B: Misreads
C: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Retirement means living without a paycheck · Question 2 of 5

Learn: Years in retirement = age at death − age at retirement.

If someone retires at 65 and lives to 90, how many years must their money last?

A. 65 years
B. 90 years
C. 25 years
D. 155 years

CORRECT ANSWER

C. 25 years

Feedback (shown after answering)

90 − 65 = 25 years.

Recomputed independently by the build: 25

Why each other choice is wrong (misconception it represents)

A: Uses the retirement age
B: Uses the final age
D: Adds

Type: instruction

BACKWARD B1 · concept review — Retirement means living without a paycheck · Question 3 of 5

A retiree spends $3,000 a month. How much is that per year?

A. $250
B. $3,000
C. $30,000
D. $36,000

CORRECT ANSWER

D. $36,000

Feedback (shown after answering)

$3,000 × 12 = $36,000.

Recomputed independently by the build: 36000

Why each other choice is wrong (misconception it represents)

A: Divides
B: One month
C: Uses 10 months

Type: knowledge check

BACKWARD B1 · concept review — Retirement means living without a paycheck · Question 4 of 5

Learn: Social Security is a federal program funded by payroll taxes. 401(k)s, IRAs, and brokerage accounts are savings the worker builds.

Which source of retirement income comes from the government?

A. A 401(k) at work
B. A Roth IRA
C. Social Security
D. A brokerage account

CORRECT ANSWER

C. Social Security

Feedback (shown after answering)

Social Security is the government program.

Why each other choice is wrong (misconception it represents)

A: Employer plan
B: Personal account
D: Personal account

Type: instruction

BACKWARD B1 · concept review — Retirement means living without a paycheck · Question 5 of 5

Why does a 20-year-old have an advantage in saving for retirement?

A. Young people can contribute more each year than older people
B. Decades of time for growth to compound
C. Retirement accounts pay higher interest rates to young savers
D. Young savers can take money out anytime without rules

CORRECT ANSWER

B. Decades of time for growth to compound

Feedback (shown after answering)

Time is the young saver's biggest advantage.

Why each other choice is wrong (misconception it represents)

A: Confuses time with higher limits
C: Believes accounts pay by age
D: Ignores withdrawal rules

Type: knowledge check

GO DEEPER 1 — Estimating how much to save · Question 1 of 5

Learn: Rules of thumb, such as the "4% guideline," give rough targets: savings needed ≈ first-year withdrawal ÷ 0.04. They are estimates, not guarantees; market returns, inflation, and life span all matter.

A common rule of thumb says a retiree might withdraw about 4% of savings in the first year. Using that rule, how much savings would provide $40,000 in the first year?

A. $40,000
B. $160,000
C. $400,000
D. $1,000,000

CORRECT ANSWER

D. $1,000,000

Feedback (shown after answering)

$40,000 ÷ 0.04 = $1,000,000.

Recomputed independently by the build: 1000000

Why each other choice is wrong (misconception it represents)

A: Ignores the rule
B: Multiplies by 4
C: Uses 10%

Type: instruction

GO DEEPER 1 — Estimating how much to save · Question 2 of 5

Learn: Rules of thumb simplify complex questions. They are starting points for planning, not promises.

Why is the 4% guideline only a rough estimate?

A. It is a federal law for retirement accounts
B. It guarantees savings never run out
C. It applies only to people under 30
D. Future returns, inflation, and life span are uncertain

CORRECT ANSWER

D. Future returns, inflation, and life span are uncertain

Feedback (shown after answering)

Uncertain markets and longevity make any rule an approximation.

Why each other choice is wrong (misconception it represents)

A: Mistakes a guideline for a rule
B: Overstates
C: Invents a rule

Type: instruction

GO DEEPER 1 — Estimating how much to save · Question 3 of 5

Learn: Inflation also compounds. At 3% a year, prices double in about 72 ÷ 3 = 24 years.

With prices rising 3% a year, about how much will $40,000 of today's spending cost in 24 years (Rule of 72)?

A. About $80,000
B. About $40,000
C. About $68,800
D. About $160,000

CORRECT ANSWER

A. About $80,000

Feedback (shown after answering)

At 3%, prices double in about 24 years: $40,000 → about $80,000.

Why each other choice is wrong (misconception it represents)

B: Ignores inflation
C: Uses simple inflation
D: Doubles twice

Type: instruction

GO DEEPER 1 — Estimating how much to save · Question 4 of 5

Learn: A savings rate is the percent of income saved: amount = income × rate.

Many planners suggest saving about 10–15% of income for retirement. On a $50,000 salary, what is 15%?

A. $750
B. $5,000
C. $7,500
D. $15,000

CORRECT ANSWER

C. $7,500

Feedback (shown after answering)

$50,000 × 0.15 = $7,500.

Recomputed independently by the build: 7500

Why each other choice is wrong (misconception it represents)

A: Uses 1.5%
B: Uses 10%
D: Uses 30%

Type: instruction

GO DEEPER 1 — Estimating how much to save · Question 5 of 5

Learn: The Social Security Administration provides personalized benefit estimates through online accounts.

Which free tool helps estimate future Social Security benefits?

A. Her most recent pay stub
B. A W-2 form from last year
C. A "my Social Security" account at ssa.gov
D. A retirement calculator on a bank's website

CORRECT ANSWER

C. A "my Social Security" account at ssa.gov

Feedback (shown after answering)

SSA's online account shows earnings records and benefit estimates.

Why each other choice is wrong (misconception it represents)

A: A pay stub shows withholding, not benefit estimates
B: Shows one year of wages, not projected benefits
D: Estimates savings, not the official benefit record

Type: instruction · practical how-to

GO DEEPER 2 — The cost of waiting to save for retirement · Question 1 of 5

Learn: Starting early, even for a few years, can produce more than saving much longer but starting later, because of extra years of compounding. (Examples assume a steady return; real returns vary.)

Saver A invests $3,000 a year from 25 to 34, then stops. At an assumed 7%, the account is about $41,449 at 35 and about $442,537 at 70. How much did Saver A contribute?

A. $3,000
B. $30,000
C. $41,449
D. $442,537

CORRECT ANSWER

B. $30,000

Feedback (shown after answering)

$3,000 × 10 = $30,000.

Recomputed independently by the build: 30000

Why each other choice is wrong (misconception it represents)

A: Gives one year
C: Gives the balance at 35
D: Gives the final balance

Type: instruction

GO DEEPER 2 — The cost of waiting to save for retirement · Question 2 of 5

Learn: Multiple = ending balance ÷ contributions.

Saver A contributed $30,000 and ended with about $442,537. What multiple of the contributions is that (nearest whole)?

A. About 15 times
B. About 4 times
C. About 1.5 times
D. About 44 times

CORRECT ANSWER

A. About 15 times

Feedback (shown after answering)

$442,537 ÷ $30,000 ≈ 14.75, about 15 times.

Recomputed independently by the build: 14.751233

Why each other choice is wrong (misconception it represents)

B: Arithmetic error
C: Misplaces the decimal
D: Divides by 10,000

Type: instruction

GO DEEPER 2 — The cost of waiting to save for retirement · Question 3 of 5

Learn: Present bias is the tendency to value what is close in time over what is far away, which makes distant goals like retirement easy to postpone. Automatic payroll contributions help overcome it.

Dev, 22, says, "Retirement is 45 years away. I'd rather spend now and start saving later." Which idea does this best illustrate?

A. Compound interest
B. Present bias
C. Diversification
D. Inflation

CORRECT ANSWER

B. Present bias

Feedback (shown after answering)

Putting off a distant goal in favor of current wants is present bias.

Why each other choice is wrong (misconception it represents)

A: Describes growth, not the decision to wait
C: Describes spreading investments
D: Describes rising prices

Type: instruction

GO DEEPER 2 — The cost of waiting to save for retirement · Question 4 of 5

Learn: Automatic contributions happen without a new decision each payday.

Which feature helps overcome present bias in retirement saving?

A. Saving only when they happen to remember
B. Waiting for a bonus
C. Keeping savings in a wallet
D. Automatic payroll contributions

CORRECT ANSWER

D. Automatic payroll contributions

Feedback (shown after answering)

Automation makes saving the default.

Why each other choice is wrong (misconception it represents)

A: Relies on memory
B: Delays saving
C: Unsafe

Type: instruction

GO DEEPER 2 — The cost of waiting to save for retirement · Question 5 of 5

Learn: Plan features: auto-enrollment signs workers up by default; automatic escalation raises the contribution rate a little each year; catch-up contributions let workers 50 and older save extra.

Raising a 401(k) contribution by 1% of pay each year until it reaches a target is called...

A. a catch-up contribution
B. automatic escalation
C. a rollover
D. dollar-cost averaging

CORRECT ANSWER

B. automatic escalation

Feedback (shown after answering)

Auto-escalation gradually increases savings.

Why each other choice is wrong (misconception it represents)

A: Confuses with extra contributions allowed at age 50+
C: Confuses with moving money between plans
D: Confuses raising the rate with investing on a schedule

Type: instruction

SET 56 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

401(k) and 403(b) plans at work

MAIN skill: Explain employer retirement plans, employer matching, and the cost of cashing out

Outcome FL.RETIRE.56 · National topic: Investing · NJSLS 9.1.12: PB, FI

Learning target: Compare employer-sponsored retirement plans and explain employer matching and tax treatment

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Employer plans and matching (5 questions)
  Why: Match math depends on understanding that the employer adds money only when the worker contributes.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Contributions and matches are percents of pay.
- B3 · Math link → G7-S07-M (Grade 7 7.RP.A.3): Solve multistep ratio problems
  Why: Match calculations apply two percents in sequence.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Leaving a job: rollover choices (5 questions)
- Go Deeper 2: Plan features: auto-enrollment, Roth options, and loans (5 questions)

Practical skills beyond the standards: Choosing a rollover when changing jobs

Content status: time-sensitive

Source: IRS (401(k) resource guide) — 401(k) plans allow pre-tax or Roth employee deferrals and employer contributions. (403(b) rules are on the IRS 403(b) page, cited separately.) https://www.irs.gov/retirement-plans/401k-plans

Source: IRS (403(b) plans) — 403(b) plans are retirement plans for employees of public schools and certain tax-exempt organizations. https://www.irs.gov/retirement-plans/irc-403b-tax-sheltered-annuity-plans

Source: IRS (Publication 590-B) — Distributions from a traditional IRA that holds only pre-tax money are fully taxable; after-tax basis is recovered under the pro-rata rule; Roth distributions come out in order: regular contributions, then conversions and rollovers, then earnings. https://www.irs.gov/publications/p590b

Answer key for this set: M-Q1 D, M-Q2 B, M-Q3 B, M-Q4 A, M-Q5 A, B1-Q1 C, B1-Q2 C, B1-Q3 A, B1-Q4 B, B1-Q5 A, F1-Q1 C, F1-Q2 C, F1-Q3 D, F1-Q4 B, F1-Q5 D, F2-Q1 A, F2-Q2 C, F2-Q3 A, F2-Q4 C, F2-Q5 B

MAIN — Explain employer retirement plans, employer matching, and the cost of cashing out · Question 1 of 5

Learn: A 401(k) is a retirement plan offered by many private employers. A 403(b) is a similar plan offered by public schools, colleges, hospitals, and many nonprofits. Both let workers save part of each paycheck, often with tax benefits and sometimes an employer match.

Who usually offers a 403(b) plan instead of a 401(k)?

A. Every private technology company and its contractors
B. State and federal tax agencies to taxpayers
C. Banks to their savings customers
D. Public schools and many nonprofit organizations

CORRECT ANSWER

D. Public schools and many nonprofit organizations

Feedback (shown after answering)

403(b) plans are common at public schools and nonprofits.

Why each other choice is wrong (misconception it represents)

A: Usually offers 401(k)
B: Confuses retirement plans with tax programs
C: Confuses an employer plan with a bank IRA

Type: instruction

MAIN — Explain employer retirement plans, employer matching, and the cost of cashing out · Question 2 of 5

Learn: An employer match adds money when you contribute. Contributing at least enough to get the full match is often called "free money."

Raj earns $55,000. His employer matches 50% of his contributions up to 6% of pay. Raj contributes 6%. How much does the employer add per year?

A. $330
B. $1,650
C. $3,300
D. $4,950

CORRECT ANSWER

B. $1,650

Feedback (shown after answering)

Raj contributes $55,000 × 0.06 = $3,300; the employer adds 50% = $1,650.

Recomputed independently by the build: 1650

Why each other choice is wrong (misconception it represents)

A: Uses 0.6%
C: Matches 100%
D: Adds both contributions

Type: instruction

MAIN — Explain employer retirement plans, employer matching, and the cost of cashing out · Question 3 of 5

Learn: Traditional 401(k) contributions are pre-tax: they lower taxable income now. Taxes are paid later on withdrawals. Roth 401(k) contributions are after-tax, with tax-free qualified withdrawals.

Raj contributes $3,300 to a traditional (pre-tax) 401(k), and his top federal tax rate is 12%. About how much federal income tax does this save this year?

A. $39.60
B. $396
C. $2,904
D. $3,300

CORRECT ANSWER

B. $396

Feedback (shown after answering)

$3,300 × 0.12 = $396 less federal tax this year.

Recomputed independently by the build: 396

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Gives the contribution minus the tax
D: Treats the contribution as tax saved

Type: instruction

MAIN — Explain employer retirement plans, employer matching, and the cost of cashing out · Question 4 of 5

Learn: When leaving a job, you can usually leave the money in the old plan, roll it into a new employer's plan, or roll it into an IRA. Cashing out before 59½ usually means income tax plus a 10% additional tax, unless an exception applies.

Maya leaves a job with $10,000 in her 401(k) and is under 59½. If she cashes it out, assume 22% federal income tax plus a 10% additional tax for early withdrawal. How much is left?

A. $6,800
B. $7,800
C. $9,000
D. $10,000

CORRECT ANSWER

A. $6,800

Feedback (shown after answering)

Taxes: $2,200 + $1,000 = $3,200. Left: $6,800.

Recomputed independently by the build: 6800

Why each other choice is wrong (misconception it represents)

B: Leaves out the 10% additional tax
C: Uses only the 10% additional tax
D: Ignores taxes

Type: instruction

MAIN — Explain employer retirement plans, employer matching, and the cost of cashing out · Question 5 of 5

Learn: In a direct rollover, the old plan sends the money straight to an IRA or another plan that accepts it. Moving pre-tax money to a traditional IRA or another pre-tax plan keeps taxes deferred; moving pre-tax money into a Roth account is generally taxable.

Maya is leaving her job. Her old 401(k) holds only pre-tax money. Which choice usually keeps it growing with taxes still deferred?

A. A direct rollover to a traditional IRA or a new pre-tax plan
B. Cashing out and spending it
C. Withdrawing it to pay for a vacation
D. Having a check mailed and keeping it for a year

CORRECT ANSWER

A. A direct rollover to a traditional IRA or a new pre-tax plan

Feedback (shown after answering)

A direct rollover of pre-tax money to a traditional IRA or pre-tax plan keeps taxes deferred, with no penalty.

Why each other choice is wrong (misconception it represents)

B: Taxes and possibly a penalty
C: Taxes and possibly a penalty
D: Can become a taxable distribution

Type: instruction · practical how-to

BACKWARD B1 · concept review — Employer plans and matching · Question 1 of 5

Learn: With a match, the employer contributes to your retirement account in proportion to what you contribute, up to a limit.

What does an employer "match" mean?

A. The employer pays the worker's taxes
B. The worker must repay the employer later, with interest added
C. The employer adds money based on what the worker contributes
D. The employer chooses the worker's investments

CORRECT ANSWER

C. The employer adds money based on what the worker contributes

Feedback (shown after answering)

Matches reward your own contributions.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Employer plans and matching · Question 2 of 5

Learn: Match = matching rate × the worker's contribution, up to the plan's limit.

A plan matches 100% up to 4% of pay. A worker earning $40,000 contributes 4%. How much is the match?

A. $160
B. $800
C. $1,600
D. $3,200

CORRECT ANSWER

C. $1,600

Feedback (shown after answering)

4% × $40,000 = $1,600; 100% match = $1,600.

Recomputed independently by the build: 1600

Why each other choice is wrong (misconception it represents)

A: Uses 0.4%
B: Uses 50%
D: Doubles

Type: instruction

BACKWARD B1 · concept review — Employer plans and matching · Question 3 of 5

Learn: A match is paid only on what the worker contributes.

An employer matches 50% of what a worker contributes, up to 6% of salary. If the worker contributes 0%, what is the match?

A. $0
B. $400
C. $800
D. $1,600

CORRECT ANSWER

A. $0

Feedback (shown after answering)

No contribution means no match.

Recomputed independently by the build: 0

Why each other choice is wrong (misconception it represents)

B: Invents a minimum
C: Halves
D: Assumes an automatic match

Type: instruction

BACKWARD B1 · concept review — Employer plans and matching · Question 4 of 5

What is "free money" in a 401(k)?

A. Money that the government gives every worker each year
B. The employer match a worker receives by contributing
C. A loan from the plan
D. The tax refund a worker gets for contributing

CORRECT ANSWER

B. The employer match a worker receives by contributing

Feedback (shown after answering)

The match is extra pay for saving.

Why each other choice is wrong (misconception it represents)

A: Confuses the match with a government benefit
C: Must be repaid
D: Confuses a match with a tax effect

Type: knowledge check

BACKWARD B1 · concept review — Employer plans and matching · Question 5 of 5

Learn: To get the full match, contribute at least the percent the employer will match.

Which worker gets the FULL match under "50% up to 6% of pay"?

A. One contributing 6% or more
B. One contributing 1%
C. One contributing 3% of salary
D. One contributing nothing

CORRECT ANSWER

A. One contributing 6% or more

Feedback (shown after answering)

Contributing at least 6% earns the full match.

Why each other choice is wrong (misconception it represents)

B: Partial match
C: Partial match
D: No match

Type: instruction

GO DEEPER 1 — Leaving a job: rollover choices · Question 1 of 5

Learn: When you leave a job, you can roll a 401(k) into an IRA or a new employer plan. A direct (trustee-to-trustee) rollover of pre-tax money into a traditional IRA or another pre-tax plan is not taxed and has no penalty. Rolling pre-tax money into a Roth IRA is a conversion and is generally taxable.

Which statement about rolling an eligible pre-tax 401(k) distribution into an IRA is TRUE?

A. Every rollover is fully taxed
B. Rollovers are allowed only at age 65
C. A direct rollover to a traditional IRA is not taxed
D. A check paid to her has no tax withheld

CORRECT ANSWER

C. A direct rollover to a traditional IRA is not taxed

Feedback (shown after answering)

A direct pre-tax-to-pre-tax rollover keeps tax deferral intact.

Why each other choice is wrong (misconception it represents)

A: Confuses a rollover with a cash-out
B: Invents an age rule
D: Misses mandatory withholding on indirect rollovers

Type: instruction

GO DEEPER 1 — Leaving a job: rollover choices · Question 2 of 5

Learn: If a plan pays the money to you instead of directly to the new account, it generally must withhold 20% for taxes; to avoid tax on the withheld part, you must make it up from other funds within 60 days.

With an indirect rollover, the plan withholds 20% and the worker has 60 days to deposit the full amount into an IRA. On $10,000, how much is withheld?

A. $200
B. $1,000
C. $2,000
D. $6,000

CORRECT ANSWER

C. $2,000

Feedback (shown after answering)

$10,000 × 0.20 = $2,000 withheld.

Recomputed independently by the build: 2000

Why each other choice is wrong (misconception it represents)

A: Uses 2%
B: Uses 10%
D: Uses 60%

Type: instruction

GO DEEPER 1 — Leaving a job: rollover choices · Question 3 of 5

Learn: In an indirect rollover, the plan withholds 20%. To complete the rollover tax-free, the full original amount must be deposited within 60 days, making up the withheld part from other money.

A worker's old plan pays out a $10,000 pre-tax distribution by check and withholds 20% ($2,000), so she receives $8,000. To avoid tax on any of the $10,000, how much must she deposit into an IRA within 60 days?

A. $8,000 only
B. $2,000 only
C. Nothing; the rollover is fully automatic for her
D. $10,000, including $2,000 from other money

CORRECT ANSWER

D. $10,000, including $2,000 from other money

Feedback (shown after answering)

She must deposit the full $10,000. The $2,000 withheld counts as tax paid on her return, where it can lower what she owes or add to a refund.

Why each other choice is wrong (misconception it represents)

A: Leaves $2,000 taxable
B: Misreads
C: Misreads

Type: instruction

GO DEEPER 1 — Leaving a job: rollover choices · Question 4 of 5

Learn: Old accounts left at many past employers can be forgotten. Consolidating can simplify tracking.

Why might keeping a small old 401(k) in a former employer's plan be inconvenient?

A. It is illegal to keep money in an old employer's plan
B. It is easy to lose track of old accounts
C. It stops earning returns once she leaves
D. The employer can take back her own contributions

CORRECT ANSWER

B. It is easy to lose track of old accounts

Feedback (shown after answering)

Tracking many old accounts is hard; consolidation helps.

Why each other choice is wrong (misconception it represents)

A: Usually allowed
C: Believes old plans freeze
D: Confuses unvested match with her own money

Type: instruction

GO DEEPER 1 — Leaving a job: rollover choices · Question 5 of 5

Which step should Maya take FIRST when leaving her job?

A. Request a cash check to spend
B. Forget the account
C. Ask the employer to return all the money as cash
D. Ask the plan for her rollover options and set up a direct rollover

CORRECT ANSWER

D. Ask the plan for her rollover options and set up a direct rollover

Feedback (shown after answering)

Asking for a direct rollover keeps the money working for retirement.

Why each other choice is wrong (misconception it represents)

A: Taxes and penalty
B: Risky
C: Triggers taxes and penalties

Type: knowledge check · practical how-to

GO DEEPER 2 — Plan features: auto-enrollment, Roth options, and loans · Question 1 of 5

Learn: Defaults are powerful: people often stick with whatever is set up automatically. Workers can usually change the rate or opt out.

Many plans auto-enroll new workers at 3% of pay unless they opt out. Why does auto-enrollment raise saving?

A. People tend to keep the default
B. It doubles the match automatically
C. It removes all investment risk
D. It lowers the worker's salary

CORRECT ANSWER

A. People tend to keep the default

Feedback (shown after answering)

Default effects keep most auto-enrolled workers saving.

Why each other choice is wrong (misconception it represents)

B: Confuses enrollment with match rules
C: Confuses enrollment with safety
D: Misreads

Type: instruction

GO DEEPER 2 — Plan features: auto-enrollment, Roth options, and loans · Question 2 of 5

Learn: Roth 401(k) contributions are after-tax. Qualified withdrawals, including earnings, are tax-free.

A plan offers a Roth 401(k). How are contributions taxed?

A. Never taxed at any time
B. Deducted now and taxed at withdrawal
C. Taxed now; qualified withdrawals later are tax-free
D. Taxed only if the market rises

CORRECT ANSWER

C. Taxed now; qualified withdrawals later are tax-free

Feedback (shown after answering)

Roth: pay tax now, tax-free qualified withdrawals later.

Why each other choice is wrong (misconception it represents)

A: Confuses Roth with tax-free on both ends
B: Describes a traditional 401(k)
D: Confuses account taxes with gains

Type: instruction

GO DEEPER 2 — Plan features: auto-enrollment, Roth options, and loans · Question 3 of 5

Learn: A 401(k) loan is repaid to your own account, but the money is not invested while borrowed, and leaving your job can make the remaining balance due quickly or treated as a taxable distribution.

Some plans allow loans. Leo borrows $5,000 from his 401(k). What is a key risk?

A. If he leaves his job, the loan may soon be due
B. Loans are always forgiven
C. The loan raises his credit score
D. There is no effect at all on his retirement savings

CORRECT ANSWER

A. If he leaves his job, the loan may soon be due

Feedback (shown after answering)

Job changes can turn an unpaid loan into a taxable distribution.

Why each other choice is wrong (misconception it represents)

B: Believes 401(k) loans need not be repaid
C: Generally unrelated
D: Ignores lost growth

Type: instruction

GO DEEPER 2 — Plan features: auto-enrollment, Roth options, and loans · Question 4 of 5

Learn: Retirement plans have yearly contribution limits that change over time; check the current year's limits at irs.gov. This question uses a stated hypothetical limit.

Assume a yearly 401(k) employee contribution limit of $23,000 for a scenario. Ana earns $100,000. What is the most she can defer?

A. $2,300
B. $10,000
C. $23,000
D. $100,000

CORRECT ANSWER

C. $23,000

Feedback (shown after answering)

She can defer up to the stated limit, $23,000.

Recomputed independently by the build: 23000

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Uses 10%
D: Ignores the limit

Type: instruction · rule as of Hypothetical limit for this scenario

GO DEEPER 2 — Plan features: auto-enrollment, Roth options, and loans · Question 5 of 5

Learn: Plans offer a menu of funds. Target-date funds shift from stocks toward bonds as their target year approaches.

Which investment option inside a 401(k) automatically becomes more conservative as retirement nears?

A. A single company stock fund
B. A target-date fund
C. A money market fund
D. A sector fund

CORRECT ANSWER

B. A target-date fund

Feedback (shown after answering)

Target-date funds adjust their mix over time.

Why each other choice is wrong (misconception it represents)

A: Concentrated
C: Stays conservative
D: Concentrated

Type: instruction

SET 57 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

IRAs: traditional and Roth

MAIN skill: Explain what an IRA is and compare traditional and Roth IRA tax treatment

Outcome FL.RETIRE.57 · National topic: Investing · NJSLS 9.1.12: PB, EG

Learning target: Compare traditional and Roth retirement accounts and their tax treatment

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Pay tax now or pay tax later (5 questions)
  - Why: The Roth versus traditional choice is a financial-concept prerequisite: when the tax is paid.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Comparing accounts applies tax rates to contributions or withdrawals.
- B3 · Math link → G7-S07-M (Grade 7 7.RP.A.3): Solve multistep ratio problems
  - Why: The comparison chains tax and growth factors.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: When Roth or traditional comes out ahead (5 questions)
- Go Deeper 2: IRAs compared with 401(k)s (5 questions)

Practical skills beyond the standards: Choosing between Roth and traditional accounts

Content status: time-sensitive

Source: IRS (Publication 590-A) — IRA contributions require taxable compensation (a spousal IRA can use a working spouse's compensation on a joint return); one annual limit covers traditional and Roth IRAs combined, capped at compensation; Roth contributions are not deductible. https://www.irs.gov/publications/p590a

Source: IRS (Publication 590-B) — Distributions from a traditional IRA that holds only pre-tax money are fully taxable; after-tax basis is recovered under the pro-rata rule; Roth distributions come out in order: regular contributions, then conversions and rollovers, then earnings. https://www.irs.gov/publications/p590b

Answer key for this set: M-Q1 C, M-Q2 D, M-Q3 A, M-Q4 B, M-Q5 C, B1-Q1 D, B1-Q2 A, B1-Q3 B, B1-Q4 C, B1-Q5 D, F1-Q1 C, F1-Q2 D, F1-Q3 A, F1-Q4 B, F1-Q5 B, F2-Q1 C, F2-Q2 A, F2-Q3 B, F2-Q4 D, F2-Q5 A

MAIN — Explain what an IRA is and compare traditional and Roth IRA tax treatment · Question 1 of 5

Learn: An IRA (individual retirement account, officially "arrangement") is a tax-advantaged retirement account. Traditional and Roth IRAs are usually opened by individuals themselves; some employers offer IRA-based plans such as SEP and SIMPLE IRAs. IRAs give tax advantages in exchange for rules about contributions and withdrawals, and the money can be invested in stocks, bonds, funds, and more.

What is an IRA?

A. An insured checking account for retirees
B. A government pension that is paid to every American worker
C. An individual retirement account with tax advantages
D. A loan program for people near retirement

CORRECT ANSWER

C. An individual retirement account with tax advantages

Feedback (shown after answering)

An IRA is a tax-advantaged retirement account, usually opened by the individual.

Why each other choice is wrong (misconception it represents)

A: Confuses with a bank account
B: Confuses with Social Security
D: Confuses saving with borrowing

Type: instruction

MAIN — Explain what an IRA is and compare traditional and Roth IRA tax treatment · Question 2 of 5

Learn: IRAs get special tax treatment. In return, withdrawals of earnings before age 59½ generally face taxes and a 10% additional tax unless an exception applies.

What makes an IRA a RETIREMENT account rather than an ordinary investment account?

A. It can hold only cash, never investments
B. It is insured by the FDIC against losses
C. It is opened only after age 65
D. Tax benefits come with rules that discourage early withdrawals

CORRECT ANSWER

D. Tax benefits come with rules that discourage early withdrawals

Feedback (shown after answering)

Tax advantages plus early-withdrawal rules make it a retirement account.

Why each other choice is wrong (misconception it represents)

A: Confuses IRAs with savings accounts
B: Confuses IRA investments with deposits
C: Confuses opening with withdrawing

Type: instruction

MAIN — Explain what an IRA is and compare traditional and Roth IRA tax treatment · Question 3 of 5

Learn: Roth IRA: you contribute money you have already paid tax on (no deduction now). The account grows tax-free, and qualified withdrawals in retirement are tax-free.

Which describes a ROTH IRA?

A. Contributions are made with after-tax money; qualified withdrawals are tax-free
B. Contributions are always tax-deductible; all withdrawals are taxed as income later
C. There are no taxes at any stage, including contributions
D. Contributions are deductible; qualified withdrawals are tax-free

CORRECT ANSWER

A. Contributions are made with after-tax money; qualified withdrawals are tax-free

Feedback (shown after answering)

Roth = pay tax now, tax-free qualified withdrawals later.

Why each other choice is wrong (misconception it represents)

B: Describes a traditional IRA
C: Overstates
D: Mixes the two tax benefits

Type: instruction

MAIN — Explain what an IRA is and compare traditional and Roth IRA tax treatment · Question 4 of 5

Learn: Traditional IRA: contributions may be tax-deductible (depending on income and workplace plan coverage). The account grows tax-deferred, and withdrawals are taxed as ordinary income, except for any after-tax (nondeductible) contributions, which come out partly tax-free under a pro-rata rule.

Which describes a TRADITIONAL IRA?

A. Contributions are after-tax; qualified withdrawals are completely tax-free
B. Contributions may be tax-deductible; withdrawals are generally taxed
C. It can be opened only by employers
D. It pays a fixed interest rate set by law

CORRECT ANSWER

B. Contributions may be tax-deductible; withdrawals are generally taxed

Feedback (shown after answering)

Traditional = possible deduction now, generally taxes on withdrawals later.

Why each other choice is wrong (misconception it represents)

A: Describes a Roth IRA
C: Confuses with a 401(k)
D: Confuses an IRA with a CD or bond

Type: instruction

MAIN — Explain what an IRA is and compare traditional and Roth IRA tax treatment · Question 5 of 5

Learn: Roth: tax first, then tax-free growth. Traditional: grow first, then tax. If the tax rate is the same now and later, the results match.

$1,000 of earnings is put toward retirement. In a Roth, tax of 12% is paid first, so $880 is invested; in a traditional IRA, the full $1,000 is invested and taxed at 12% on withdrawal. Both grow 4 times. After taxes, what does each provide?

A. Roth $3,520; traditional $4,000
B. Roth $880; traditional $1,000
C. Both provide $3,520
D. Roth $4,000; traditional $3,520

CORRECT ANSWER

C. Both provide $3,520

Feedback (shown after answering)

Roth: $880 × 4 = $3,520. Traditional: $1,000 × 4 = $4,000, minus 12% = $3,520.

Recomputed independently by the build: 3520

Why each other choice is wrong (misconception it represents)

A: Ignores tax on withdrawal
B: Ignores growth
D: Swaps the accounts

Type: instruction

BACKWARD B1 · concept review — Pay tax now or pay tax later · Question 1 of 5

Learn: Two ways to get a tax break: pay tax now and skip it later (Roth), or skip tax now and pay it later (traditional).

With a Roth account, WHEN is income tax paid on the money you contribute?

A. When it is withdrawn in retirement
B. Never; Roth money is never taxed
C. Every year on all growth
D. Before it goes in

CORRECT ANSWER

D. Before it goes in

Feedback (shown after answering)

Roth contributions are made with already-taxed money.

Why each other choice is wrong (misconception it represents)

A: Describes traditional
B: Believes no tax is ever paid
C: Describes taxable accounts

Type: instruction

BACKWARD B1 · concept review — Pay tax now or pay tax later · Question 2 of 5

Learn: In a traditional account, tax is usually put off until the money is withdrawn.

With a traditional account, WHEN is income tax usually paid?

A. When money is withdrawn
B. Before it goes in
C. Never; traditional money is never taxed
D. Every year on the account's growth

CORRECT ANSWER

A. When money is withdrawn

Feedback (shown after answering)

Traditional accounts defer tax to withdrawal.

Why each other choice is wrong (misconception it represents)

B: Describes Roth
C: Believes no tax is ever paid
D: Describes a taxable account

Type: instruction

BACKWARD B1 · concept review — Pay tax now or pay tax later · Question 3 of 5

Learn: Paying tax when your rate is lower saves money.

If someone expects a HIGHER tax rate in retirement than now, which type often makes more sense?

A. Traditional
B. Roth
C. Neither; it never matters
D. A regular taxable account

CORRECT ANSWER

B. Roth

Feedback (shown after answering)

Pay tax now at the lower rate with a Roth.

Why each other choice is wrong (misconception it represents)

A: Defers tax to a higher rate
C: Ignores rates
D: No tax advantage

Type: instruction

BACKWARD B1 · concept review — Pay tax now or pay tax later · Question 4 of 5

Learn: Many young workers are in low tax brackets now.

A young worker in a low tax bracket today expects to earn more later. Which IRA is often recommended?

A. A traditional IRA
B. No IRA
C. A Roth IRA
D. A taxable brokerage account

CORRECT ANSWER

C. A Roth IRA

Feedback (shown after answering)

Low rates now make paying tax up front attractive.

Why each other choice is wrong (misconception it represents)

A: Defers to likely higher rates
B: Misses tax advantages
D: Gives up the tax advantage

Type: instruction

BACKWARD B1 · concept review — Pay tax now or pay tax later · Question 5 of 5

Which statement is TRUE for both Roth and traditional IRAs?

A. Contributions are always deductible from taxable income
B. Withdrawals are always tax-free
C. They are FDIC insured
D. Investments inside grow without yearly taxes

CORRECT ANSWER

D. Investments inside grow without yearly taxes

Feedback (shown after answering)

Both shelter growth from yearly taxes; they differ in when tax is paid.

Why each other choice is wrong (misconception it represents)

A: Only traditional, sometimes
B: Only qualified Roth
C: Investments are not

Type: knowledge check

GO DEEPER 1 — When Roth or traditional comes out ahead · Question 1 of 5

Learn: When the tax rate later is higher than now, paying tax now (Roth) wins; when it is lower later, traditional wins.

$1,000 of earnings: Roth taxed at 12% now; traditional taxed at 22% at withdrawal. Both grow 4 times. Which provides more after tax?

A. Traditional: $3,520 vs $3,120
B. They are equal at $3,520
C. Roth: $3,520 vs $3,120
D. Traditional: $4,000 vs $3,520

CORRECT ANSWER

C. Roth: $3,520 vs $3,120

Feedback (shown after answering)

Roth: $880 × 4 = $3,520. Traditional: $4,000 × 0.78 = $3,120.

Recomputed independently by the build: 3520

Why each other choice is wrong (misconception it represents)

A: Swaps
B: Ignores the rate change
D: Ignores withdrawal tax

Type: instruction

GO DEEPER 1 — When Roth or traditional comes out ahead · Question 2 of 5

Learn: Roth: tax now at today's rate, then tax-free. Traditional: full amount grows, then taxed at the later rate.

If the rate now is 22% and later 12%, which provides more from $1,000 that grows 4 times?

A. Roth: $3,520 vs $3,120
B. They are equal
C. Roth: $4,000 vs $3,520 after tax
D. Traditional: $3,520 vs $3,120

CORRECT ANSWER

D. Traditional: $3,520 vs $3,120

Feedback (shown after answering)

Roth: $780 × 4 = $3,120. Traditional: $4,000 × 0.88 = $3,520.

Recomputed independently by the build: 3520

Why each other choice is wrong (misconception it represents)

A: Swaps
B: Ignores the rate change
C: Ignores tax now

Type: instruction

GO DEEPER 1 — When Roth or traditional comes out ahead · Question 3 of 5

Learn: No one knows their future tax rate for sure.

Why do some people split savings between Roth and traditional accounts?

A. Future tax rates are uncertain, so splitting spreads the risk
B. The law requires both account types
C. Splitting doubles the contribution limit
D. Splitting removes all taxes

CORRECT ANSWER

A. Future tax rates are uncertain, so splitting spreads the risk

Feedback (shown after answering)

Tax diversification hedges against unknown future rates.

Why each other choice is wrong (misconception it represents)

B: Invents a requirement
C: Believes limits are per account type
D: Overstates tax benefits

Type: instruction

GO DEEPER 1 — When Roth or traditional comes out ahead · Question 4 of 5

Learn: Traditional IRAs require minimum withdrawals starting in your 70s (the exact age depends on birth year). Roth IRAs do not require withdrawals during the original owner's life.

Which account has NO required minimum distributions during the original owner's lifetime?

A. A traditional IRA
B. A Roth IRA
C. A traditional 401(k) for a retired worker
D. Every retirement account

CORRECT ANSWER

B. A Roth IRA

Feedback (shown after answering)

Roth IRAs have no lifetime RMDs for the original owner.

Why each other choice is wrong (misconception it represents)

A: Has required distributions later in life
C: Has required distributions
D: Overgeneralizes

Type: instruction

GO DEEPER 1 — When Roth or traditional comes out ahead · Question 5 of 5

Learn: A deduction lowers taxable income; tax saved ≈ deduction × tax rate.

A traditional IRA contribution is deductible for Ana, whose rate is 12%. She contributes $2,000. About how much tax does she save now?

A. $24
B. $240
C. $1,760
D. $2,000

CORRECT ANSWER

B. $240

Feedback (shown after answering)

$2,000 × 0.12 = $240.

Recomputed independently by the build: 240

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Subtracts
D: Treats the contribution as savings

Type: instruction

GO DEEPER 2 — IRAs compared with 401(k)s · Question 1 of 5

Learn: 401(k) and 403(b) plans are set up by employers, often with matches and payroll deductions. Traditional and Roth IRAs are usually opened individually at a financial institution. (Employers can also offer IRA-based plans, such as SEP and SIMPLE IRAs.)

Which statement compares a 401(k) with a traditional or Roth IRA correctly?

A. Only IRAs can have employer matches
B. 401(k)s cannot hold mutual funds
C. A 401(k) is offered through an employer; a traditional or Roth IRA is usually opened by an individual
D. Traditional and Roth IRAs are offered only by employers

CORRECT ANSWER

C. A 401(k) is offered through an employer; a traditional or Roth IRA is usually opened by an individual

Feedback (shown after answering)

Employer plans vs individually opened IRAs.

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Confuses plan menus with restrictions
D: Reverses

Type: instruction

GO DEEPER 2 — IRAs compared with 401(k)s · Question 2 of 5

Learn: Employer plans offer a set menu of funds. IRAs at brokerage firms can usually hold almost any stock, bond, or fund.

Which account usually offers the WIDER choice of investments?

A. An IRA at a brokerage firm
B. A 401(k) with a set menu of funds
C. A checking account
D. A certificate of deposit

CORRECT ANSWER

A. An IRA at a brokerage firm

Feedback (shown after answering)

Brokerage IRAs typically allow a broad range of investments.

Why each other choice is wrong (misconception it represents)

B: Limited menu
C: Not investments
D: Single product

Type: instruction

GO DEEPER 2 — IRAs compared with 401(k)s · Question 3 of 5

Learn: Workplace plan participation can affect whether a traditional IRA contribution is deductible, but you can generally contribute to both.

Can a worker contribute to both a 401(k) and an IRA in the same year?

A. No, it is illegal to have both
B. Yes, within each account's rules
C. Only if the saver is over age 50
D. Only if the 401(k) has no match

CORRECT ANSWER

B. Yes, within each account's rules

Feedback (shown after answering)

Both are allowed; deductibility of traditional IRA contributions may be limited.

Why each other choice is wrong (misconception it represents)

A: Believes accounts are exclusive
C: Confuses with catch-up contributions
D: Invents a condition

Type: instruction

GO DEEPER 2 — IRAs compared with 401(k)s · Question 4 of 5

Learn: A common priority: contribute enough to get the full employer match, then use an IRA, then add more to the workplace plan.

A worker's employer offers a 401(k) with a match. Which order of saving do many planners suggest?

A. Skip the match and use only an IRA
B. Use only a taxable account
C. Save nothing until 40
D. Get the full 401(k) match first, then consider an IRA

CORRECT ANSWER

D. Get the full 401(k) match first, then consider an IRA

Feedback (shown after answering)

The match is an immediate return on your contribution.

Why each other choice is wrong (misconception it represents)

A: Leaves free money
B: Misses tax benefits
C: Delays

Type: instruction

GO DEEPER 2 — IRAs compared with 401(k)s · Question 5 of 5

Learn: IRAs belong to the individual, not to an employer.

Which account follows a worker from job to job without a rollover?

A. An IRA
B. A 401(k) at a past employer
C. A pension at a former job
D. An employer stock plan

CORRECT ANSWER

A. An IRA

Feedback (shown after answering)

IRAs are independent of employers.

Why each other choice is wrong (misconception it represents)

B: Tied to the employer
C: Tied to the employer
D: Tied to the employer

Type: instruction

SET 58 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

Roth IRA eligibility and contribution rules

MAIN skill: Apply Roth IRA eligibility, earned-income, contribution-limit, and deadline rules

Outcome FL.RETIRE.58 · National topic: Earning Income · NJSLS 9.1.12: PB, EG

Learning target: 12-8a distinguish earned from unearned income; retirement account eligibility rules

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Earned versus unearned income (5 questions)
  Why: IRA eligibility depends on telling earned income apart from other money (national outcome 12-8a).
- B2 · Math link → G7-S34-M (Grade 7 7.EE.B.4.b): Solve word problems that lead to inequalities of the form px + q > r or px + q < r
  Why: Contribution rules are inequalities: contribution ≤ the limit and ≤ earned income.
- B3 · Math link → G4-S18-M (Grade 4 4.NBT.A.2): Compare multi-digit whole numbers using >, =, and <
  Why: "The lesser of" two amounts requires comparing numbers.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Custodial Roth IRAs for teens (5 questions)
- Go Deeper 2: Contribution mistakes and fixes (5 questions)

Practical skills beyond the standards: Custodial Roth IRAs for teens; Correcting excess contributions

Content status: time-sensitive

Source: IRS (Publication 590-A) — IRA contributions require taxable compensation (a spousal IRA can use a working spouse's compensation on a joint return); one annual limit covers traditional and Roth IRAs combined, capped at compensation; Roth contributions are not deductible. https://www.irs.gov/publications/p590a

Source: IRS (Retirement topics: IRA contribution limits) — The IRA contribution limit and Roth income limits change by tax year; this course uses stated hypothetical amounts. https://www.irs.gov/retirement-plans/plan-participant-employee/retirement-topics-ira-contribution-limits

Source: IRS (Publication 590-A) — Excess IRA contributions are subject to a 6% excise tax for each year they remain in the account; regular contributions for a year are due by the return due date without extensions, while an excess and its earnings can be withdrawn tax-free by the due date including extensions. https://www.irs.gov/publications/p590a

Note: Contribution and income limits are stated as hypothetical amounts; check irs.gov for the current tax year.

Answer key for this set: M-Q1 B, M-Q2 B, M-Q3 B, M-Q4 D, M-Q5 C, B1-Q1 D, B1-Q2 B, B1-Q3 C, B1-Q4 C, B1-Q5 A, F1-Q1 D, F1-Q2 B, F1-Q3 C, F1-Q4 A, F1-Q5 B, F2-Q1 B, F2-Q2 B, F2-Q3 A, F2-Q4 C, F2-Q5 D

MAIN — Apply Roth IRA eligibility, earned-income, contribution-limit, and deadline rules · Question 1 of 5

Learn: To contribute to an IRA, you generally need taxable compensation (earned income): wages, salaries, tips, or net self-employment earnings. Gifts, allowances, interest, and dividends do not count. There is no minimum age. One exception: a married couple filing jointly can use the working spouse's compensation for a spousal IRA.

Kai, 16 and unmarried, wants to contribute to a Roth IRA. Which of his income counts as compensation (earned income) for IRA purposes?

A. $500 of birthday gifts from relatives
B. $2,400 in wages from a part-time job
C. $300 of interest from a savings account
D. A $1,000 weekly allowance from parents

CORRECT ANSWER

B. $2,400 in wages from a part-time job

Feedback (shown after answering)

Wages are compensation; gifts, allowance, and interest are not.

Why each other choice is wrong (misconception it represents)

A: Gifts are not earned income
C: Interest is unearned income
D: Allowance is not earned income

Type: instruction

MAIN — Apply Roth IRA eligibility, earned-income, contribution-limit, and deadline rules · Question 2 of 5

Learn: The most you can contribute to all your IRAs for a year (traditional and Roth combined, not per account) is the LESSER of the annual limit or your taxable compensation for that year.

For this scenario, assume the annual IRA contribution limit is $7,000, counting traditional and Roth IRAs together. Kai is unmarried and earned $3,200 from his job this year. What is the most he can contribute to a Roth IRA for the year?

A. $0
B. $3,200
C. $7,000
D. $10,200

CORRECT ANSWER

B. $3,200

Feedback (shown after answering)

$3,200 is less than $7,000, so his limit is $3,200.

Recomputed independently by the build: 3200

Why each other choice is wrong (misconception it represents)

A: Thinks minors cannot contribute
C: Ignores the compensation cap
D: Adds the limit and earnings

Type: instruction · rule as of Hypothetical $7,000 limit for this scenario

MAIN — Apply Roth IRA eligibility, earned-income, contribution-limit, and deadline rules · Question 3 of 5

Assume a $7,000 limit. Ana earned $45,000 this year. What is the most she can put into her Roth IRA?

A. $4,500
B. $7,000
C. $45,000
D. $52,000

CORRECT ANSWER

B. $7,000

Feedback (shown after answering)

The lesser of $7,000 and $45,000 is $7,000.
Recomputed independently by the build: 7000

Why each other choice is wrong (misconception it represents)

A: Uses 10%
C: Ignores the annual limit
D: Adds

Type: knowledge check · rule as of Hypothetical $7,000 limit for this scenario

MAIN — Apply Roth IRA eligibility, earned-income, contribution-limit, and deadline rules · Question 4 of 5

Learn: Roth IRAs have income limits: above a certain modified adjusted gross income (MAGI), direct Roth contributions are reduced or not allowed. The limits change each year. Traditional IRA contributions have no income cap, though deductibility can be limited.

Roth IRA eligibility also depends on income. For this scenario, assume single filers can contribute fully below $150,000 of modified income and not at all above $165,000. Leo's modified income is $172,000. Can he contribute directly to a Roth IRA?

A. Yes, the full amount, because he has earned income
B. Yes, but only half the limit
C. Yes, if he contributes before January
D. No; his income is above the limit

CORRECT ANSWER

D. No; his income is above the limit

Feedback (shown after answering)

$172,000 is above the $165,000 upper limit in this scenario.

Why each other choice is wrong (misconception it represents)

A: Ignores the income limit
B: Applies a phase-out above the range
C: Invents a timing rule

Type: instruction · rule as of Hypothetical income limits for this scenario

MAIN — Apply Roth IRA eligibility, earned-income, contribution-limit, and deadline rules · Question 5 of 5

Learn: IRA contributions for a tax year can be made from January 1 of that year through the tax return due date (usually mid-April of the next year), not including extensions.

Until when can a contribution for a given tax year usually be made?

A. Only until December 31 of that year
B. Any time in the next five years
C. Until the tax-filing deadline the following April
D. Only during the calendar month of the person's next birthday

CORRECT ANSWER

C. Until the tax-filing deadline the following April

Feedback (shown after answering)

Contributions for a year can be made through the tax deadline the next April.

Why each other choice is wrong (misconception it represents)

A: Common misconception
B: Too long
D: Invents a rule

Type: instruction · rule as of IRS rule as of 2026

BACKWARD B1 · concept review — Earned versus unearned income · Question 1 of 5

Learn: Earned income is pay for work: wages, salaries, tips, and self-employment earnings. Unearned income includes interest, dividends, and capital gains. Gifts are not income to the person receiving them for tax purposes.

Which is EARNED income?

A. Interest on savings deposits
B. Stock dividends
C. A cash gift
D. Tips from waiting tables

CORRECT ANSWER

D. Tips from waiting tables

Feedback (shown after answering)

Tips are earned by working.

Why each other choice is wrong (misconception it represents)

A: Unearned
B: Unearned
C: Not income for this purpose

Type: instruction

BACKWARD B1 · concept review — Earned versus unearned income · Question 2 of 5

Learn: Unearned income comes from money or property, not from work.

Which is UNEARNED income?

A. Wages from a summer job
B. Dividends from a stock fund
C. Pay for babysitting
D. Self-employment earnings from mowing lawns

CORRECT ANSWER

B. Dividends from a stock fund

Feedback (shown after answering)

Dividends are investment income: unearned.

Why each other choice is wrong (misconception it represents)

A: Earned
C: Earned
D: Earned

Type: instruction

BACKWARD B1 · concept review — Earned versus unearned income · Question 3 of 5

Learn: Only pay for work counts as earned income.

Mia earned $1,800 babysitting and received $600 in gifts. How much earned income does she have?

A. $600
B. $1,200
C. $1,800
D. $2,400

CORRECT ANSWER

C. $1,800

Feedback (shown after answering)

Only the $1,800 from work is earned income.

Recomputed independently by the build: 1800

Why each other choice is wrong (misconception it represents)

A: Uses gifts
B: Subtracts
D: Adds gifts

Type: instruction

BACKWARD B1 · concept review — Earned versus unearned income · Question 4 of 5

Learn: The IRA rule uses the lesser (smaller) of two numbers.

Which number is SMALLER: $2,500 or $7,000?

A. $7,000
B. They are equal
C. $2,500
D. $9,500

CORRECT ANSWER

C. $2,500

Feedback (shown after answering)

$2,500 < $7,000.

Recomputed independently by the build: 2500

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Misreads
D: Adds

Type: instruction

BACKWARD B1 · concept review — Earned versus unearned income · Question 5 of 5

Learn: Earned income has no age requirement.

Does a 15-year-old with a paying job have earned income?

A. Yes, the wages are earned income
B. No, minors cannot have earned income
C. Only after age 18
D. Only if paid in cash

CORRECT ANSWER

A. Yes, the wages are earned income

Feedback (shown after answering)

Wages are earned income at any age.

Why each other choice is wrong (misconception it represents)

B: Believes age limits earned income
C: Invents an age rule
D: Believes payment method matters

Type: instruction

GO DEEPER 1 — Custodial Roth IRAs for teens · Question 1 of 5

Learn: Minors with earned income can have Roth IRAs. Many providers offer custodial Roth IRAs: an adult custodian opens and manages the account for the minor, and the minor gains control at the age set by law.

Kai, 16, has earned income. How can he have a Roth IRA if the provider requires adult account owners?

A. He cannot have one until age 21
B. He uses a friend's Roth IRA
C. His employer must open it for him
D. A parent or guardian opens a custodial Roth IRA for him

CORRECT ANSWER

D. A parent or guardian opens a custodial Roth IRA for him

Feedback (shown after answering)

Custodial Roth IRAs let minors with earned income save for retirement.

Why each other choice is wrong (misconception it represents)

A: Invents an age rule
B: Not allowed
C: Not required

Type: instruction · practical how-to

GO DEEPER 1 — Custodial Roth IRAs for teens · Question 2 of 5

Learn: The contribution amount is limited by earned income, but the actual dollars contributed do not have to be the same dollars earned.

Kai's parents give him $1,000 to put into his Roth IRA, and he earned $1,500 at work. Assuming a $7,000 limit, can $1,000 be contributed?

A. No, contributions must come from his own paycheck dollars only
B. Yes, as long as the total contributed does not exceed $1,500
C. Yes, up to $7,000 total
D. No, gifts are never allowed in IRAs

CORRECT ANSWER

B. Yes, as long as the total contributed does not exceed $1,500

Feedback (shown after answering)

The limit is $1,500 (his earned income); the money can come from a gift.

Why each other choice is wrong (misconception it represents)

A: Misunderstands the rule
C: Ignores the earned-income cap
D: Misunderstands

Type: instruction

GO DEEPER 1 — Custodial Roth IRAs for teens · Question 3 of 5

Learn: If questioned, you must show earned income at least equal to IRA contributions.

Why keep records of a teen's earned income, such as pay stubs or a babysitting log?

A. Because the IRS requires the records to be mailed in every month
B. Because records raise the yearly limit
C. To show the IRA contributions did not exceed earned income
D. Because the provider must approve each contribution

CORRECT ANSWER

C. To show the IRA contributions did not exceed earned income

Feedback (shown after answering)

Records prove the contributions were allowed.

Why each other choice is wrong (misconception it represents)

A: Invents a rule
B: Believes records change limits
D: Believes providers verify income

Type: instruction · practical how-to

GO DEEPER 1 — Custodial Roth IRAs for teens · Question 4 of 5

Learn: A = P(1 + r)^t.

Kai contributes $1,500 at 16, and it grows at an assumed 7% until 65 (49 years). About how much will it be?

A. About $41,000
B. About $1,600
C. About $6,600
D. About $105,000

CORRECT ANSWER

A. About $41,000

Feedback (shown after answering)

1,500 × 1.07^49 ≈ $41,000 (with returns assumed; actual returns vary).

Recomputed independently by the build: 41294.894948

Why each other choice is wrong (misconception it represents)

B: Uses one year
C: Uses simple interest
D: Uses too many years

Type: instruction

GO DEEPER 1 — Custodial Roth IRAs for teens · Question 5 of 5

Learn: In a custodial account, the minor owns the assets; the adult manages them until control transfers.

Who owns the money in Kai's custodial Roth IRA?

A. His parent, permanently
B. Kai
C. The brokerage firm
D. The IRS

CORRECT ANSWER

B. Kai

Feedback (shown after answering)

The account belongs to the minor.

Why each other choice is wrong (misconception it represents)

A: Misunderstands custodial ownership
C: Misunderstands
D: Misunderstands

Type: instruction

GO DEEPER 2 — Contribution mistakes and fixes · Question 1 of 5

Learn: Contributions above the allowed amount are "excess contributions." They are charged a 6% excise tax for each year they remain in the account, unless corrected in time.

For this scenario, assume a $7,000 limit. Ana contributes $7,500 to her Roth IRA. How much is an excess contribution?

A. $0
B. $500
C. $7,000
D. $7,500

CORRECT ANSWER

B. $500

Feedback (shown after answering)

$7,500 − $7,000 = $500 excess.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Ignores the limit
C: Gives the limit
D: Treats the whole amount as excess

Type: instruction · rule as of Hypothetical $7,000 limit for this scenario

GO DEEPER 2 — Contribution mistakes and fixes · Question 2 of 5

Learn: The excise tax on an excess contribution = excess × 6%, for each year it remains.

If the $500 excess stays in the account for a year, what is the 6% excise tax?

A. $3
B. $30
C. $300
D. $450

CORRECT ANSWER

B. $30

Feedback (shown after answering)

$500 × 0.06 = $30 per year until corrected.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Uses 0.6%
C: Uses 60%
D: Uses 90%

Type: instruction

GO DEEPER 2 — Contribution mistakes and fixes · Question 3 of 5

Learn: An excess contribution can be corrected by withdrawing the excess and any earnings on it by the due date of the tax return, including extensions. This is different from the deadline for making a contribution for a year, which is usually the April filing date without extensions.

How can Ana usually fix an excess IRA contribution?

A. Withdraw the excess (and its earnings) by the tax return due date, including extensions
B. Ignore it; it fixes itself
C. Contribute more to balance it
D. Move it to her checking and tell no one

CORRECT ANSWER

A. Withdraw the excess (and its earnings) by the tax return due date, including extensions

Feedback (shown after answering)

Removing the excess and its earnings in time avoids the 6% tax.

Why each other choice is wrong (misconception it represents)

B: Ignores the yearly excess tax
C: Makes it worse
D: Incomplete fix

Type: instruction · practical how-to

GO DEEPER 2 — Contribution mistakes and fixes · Question 4 of 5

Learn: IRA contributions require taxable compensation (earned income). A spousal IRA can use a working spouse's compensation on a joint return, but Leo is single.

Leo is single, has no job this year, and has only $200 of interest income. Can he contribute to an IRA?

A. Yes, up to $200 of interest
B. Yes, up to the full limit
C. No; he has no compensation
D. Yes, if he contributes in January

CORRECT ANSWER

C. No; he has no compensation

Feedback (shown after answering)

Single with no compensation, he cannot contribute.

Why each other choice is wrong (misconception it represents)

A: Interest is not compensation
B: Ignores the rule
D: Believes timing changes eligibility

Type: instruction

GO DEEPER 2 — Contribution mistakes and fixes · Question 5 of 5

Learn: Contributions for a tax year can be made during that year and up to the tax filing deadline the following spring.

Which contribution timing is allowed for the tax year 2026?

A. Only on December 31, 2026
B. Any time through 2030
C. Only in January 2026
D. Any time from January 2026 through the April 2027 deadline

CORRECT ANSWER

D. Any time from January 2026 through the April 2027 deadline

Feedback (shown after answering)

Contributions for a year can be made up to the next April's deadline.

Why each other choice is wrong (misconception it represents)

A: Too narrow
B: Too long
C: Too narrow

Type: instruction · rule as of IRS rule as of 2026

SET 59 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

Opening a Roth IRA

MAIN skill: Choose a provider and complete the steps to open a Roth IRA

Outcome FL.RETIRE.59 · National topic: Investing · NJSLS 9.1.12: PB, FI

Learning target: Describe how to open and manage a retirement account

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: What an IRA account is (5 questions)
  Why: Opening a Roth IRA requires knowing it is an account type, not an investment or a government program.
- B2 · Math link → G5-S22-M (Grade 5 5.NBT.B.7): Solve real-world problems with decimal operations
  Why: Comparing providers adds account fees and fund costs.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Step by step: from application to first investment (5 questions)
- Go Deeper 2: Keeping the account safe and organized (5 questions)

Practical skills beyond the standards: Comparing IRA providers; Opening, funding, and verifying a Roth IRA

Content status: time-sensitive

Source: IRS (Individual retirement arrangements) — IRAs are set up with banks, brokerage firms, and other financial institutions; contributions for a year may be made until the tax return due date.
https://www.irs.gov/retirement-plans/individual-retirement-arrangements-iras

Answer key for this set: M-Q1 C, M-Q2 A, M-Q3 D, M-Q4 D, M-Q5 B, B1-Q1 C, B1-Q2 B, B1-Q3 A, B1-Q4 D, B1-Q5 A, F1-Q1 B, F1-Q2 C, F1-Q3 D, F1-Q4 D, F1-Q5 C, F2-Q1 A, F2-Q2 B, F2-Q3 B, F2-Q4 A, F2-Q5 C

MAIN — Choose a provider and complete the steps to open a Roth IRA · Question 1 of 5

Learn: Roth IRAs are opened at financial institutions, such as brokerage firms, banks, credit unions, and online investment services. Each provider sets its own fees, account minimums, and investment choices, so the first step is comparing providers that offer Roth IRAs.

Jordan has earned income and wants to open a Roth IRA. Which action would be a reasonable first step?

A. Apply for a home mortgage.
B. Request an IRA directly from the Social Security Administration.
C. Compare eligible financial institutions offering Roth IRAs.
D. Apply for a credit card.

CORRECT ANSWER

C. Compare eligible financial institutions offering Roth IRAs.

Feedback (shown after answering)

Comparing providers comes first; the government does not open IRAs for individuals.

Why each other choice is wrong (misconception it represents)

A: Confuses retirement saving with borrowing
B: Thinks the government opens IRAs
D: Confuses credit with investing

Type: instruction · practical how-to

MAIN — Choose a provider and complete the steps to open a Roth IRA · Question 2 of 5

Learn: Many providers offer IRAs: brokerage firms (wide investment choice), banks and credit unions (often CDs and savings), and automated investment services ("robo-advisors"). Naming firms is not an endorsement.

Which type of institution commonly offers Roth IRAs with a wide choice of investments?

A. A brokerage firm such as Fidelity, Charles Schwab, or Vanguard
B. The Social Security Administration's local field office downtown
C. A credit bureau such as Experian
D. A payroll company that prints paychecks

CORRECT ANSWER

A. A brokerage firm such as Fidelity, Charles Schwab, or Vanguard

Feedback (shown after answering)

Brokerage firms commonly offer IRAs with many investment options.

Why each other choice is wrong (misconception it represents)

B: Government does not offer IRAs
C: Credit bureaus do not hold accounts
D: Not an IRA provider

Type: instruction

MAIN — Choose a provider and complete the steps to open a Roth IRA · Question 3 of 5

Learn: Comparing providers means adding all yearly costs: account fees plus fund expenses (amount × expense ratio).

Provider A charges no account fee and offers index funds with 0.05% expense ratios. Provider B charges a $30 yearly account fee and offers funds with 0.60% expense ratios. For a $3,000 Roth IRA, about how much more does Provider B cost per year?

A. $1.50
B. $16.50
C. $30.00
D. $46.50

CORRECT ANSWER

D. $46.50

Feedback (shown after answering)

A: $3,000 × 0.0005 = $1.50. B: $30 + $3,000 × 0.006 = $48. Difference: $46.50.

Recomputed independently by the build: 46.5

Why each other choice is wrong (misconception it represents)

A: Gives Provider A's fund cost
B: Counts only the fund cost difference
C: Counts only the account fee

Type: instruction · practical how-to

MAIN — Choose a provider and complete the steps to open a Roth IRA · Question 4 of 5

Learn: IRA applications collect identity and tax information, like other investment accounts. Many also ask you to name beneficiaries, the people who would receive the account if you die.

Which information is generally needed to open a Roth IRA?

A. A home mortgage statement and car title
B. A credit card and its PIN
C. A list of every past purchase
D. Name, address, date of birth, Social Security number, and employment details

CORRECT ANSWER

D. Name, address, date of birth, Social Security number, and employment details

Feedback (shown after answering)

Identity and tax information are required; beneficiaries are named too.

Why each other choice is wrong (misconception it represents)

A: Not required
B: Not required and unsafe
C: Not required

Type: instruction · practical how-to

MAIN — Choose a provider and complete the steps to open a Roth IRA · Question 5 of 5

Learn: Choosing the correct account type matters: the tax rules attach to the account, not to the investments in it.

On a provider's website, Jordan sees choices: "Individual brokerage account," "Traditional IRA," "Roth IRA," and "529 college plan." Which should he select?

A. Individual brokerage account
B. Roth IRA
C. Traditional IRA
D. 529 college plan

CORRECT ANSWER

B. Roth IRA

Feedback (shown after answering)

Only the "Roth IRA" account type gives Roth tax treatment.

Why each other choice is wrong (misconception it represents)

A: Taxable account, no Roth benefits
C: Different tax treatment
D: Education account

Type: instruction · practical how-to

BACKWARD B1 · concept review — What an IRA account is · Question 1 of 5

Learn: An IRA is like a container. The container has tax rules; inside it, you choose investments such as funds, stocks, or bonds.

An IRA is best described as…

A. a single investment, like one stock
B. a government payment program
C. an account type that holds investments with special tax rules
D. a loan for retirement

CORRECT ANSWER

C. an account type that holds investments with special tax rules

Feedback (shown after answering)

The IRA is the container; investments go inside it.

Why each other choice is wrong (misconception it represents)

A: Confuses the account with what it holds
B: Confuses with Social Security
D: Misreads

Type: instruction

BACKWARD B1 · concept review — What an IRA account is · Question 2 of 5

Learn: IRAs are opened by individuals (or by a custodian for a minor) at financial institutions.

Who opens a Roth IRA?

A. The government, which opens one automatically at age 18
B. The individual, at a financial institution
C. Every employer, for all workers
D. A credit bureau, after a credit check

CORRECT ANSWER

B. The individual, at a financial institution

Feedback (shown after answering)

Individuals open IRAs at banks, brokers, or similar providers.

Why each other choice is wrong (misconception it represents)

A: Confuses IRAs with Social Security
C: Confuses IRAs with 401(k)s
D: Confuses account opening with credit

Type: instruction

BACKWARD B1 · concept review — What an IRA account is · Question 3 of 5

Learn: IRAs can hold many investments: stocks, bonds, funds, CDs, and cash.

A Roth IRA can hold which of these?

A. Stock and bond index funds
B. A car title
C. A deed to the house you live in
D. A debit card

CORRECT ANSWER

A. Stock and bond index funds

Feedback (shown after answering)

Funds are common IRA investments.

Why each other choice is wrong (misconception it represents)

B: Not a permitted investment
C: Not typical
D: Not an investment

Type: instruction

BACKWARD B1 · concept review — What an IRA account is · Question 4 of 5

Learn: "Roth" names a tax treatment (from the senator who proposed it), not an investment.

What does the word "Roth" tell you about an IRA?

A. That it holds only government bonds
B. That it is insured by the FDIC
C. That it pays a fixed interest rate
D. Its tax treatment: after-tax contributions, tax-free qualified withdrawals

CORRECT ANSWER

D. Its tax treatment: after-tax contributions, tax-free qualified withdrawals

Feedback (shown after answering)

"Roth" describes how the account is taxed.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
C: Misreads

Type: instruction

BACKWARD B1 · concept review — What an IRA account is · Question 5 of 5

Learn: Official federal agencies, such as the IRS (irs.gov), use .gov web addresses.

Which website ending suggests an official U.S. government source for IRA rules?

A. .gov
B. .biz
C. .shop
D. .xyz

CORRECT ANSWER

A. .gov

Feedback (shown after answering)

IRS rules are published on irs.gov.

Why each other choice is wrong (misconception it represents)

B: Commercial
C: Commercial
D: Commercial

Type: instruction · practical how-to

GO DEEPER 1 — Step by step: from application to first investment · Question 1 of 5

Learn: Opening a Roth IRA follows an order: compare providers, open the account (identity checks), link a bank and fund it, then choose and buy investments, then check that everything posted correctly.

Put the Roth IRA steps in order: (1) fund the account, (2) choose an investment, (3) open the account, (4) compare providers.

A. 3, 4, 2, 1
B. 4, 3, 1, 2
C. 1, 2, 3, 4
D. 4, 2, 3, 1

CORRECT ANSWER

B. 4, 3, 1, 2

Feedback (shown after answering)

Compare → open → fund → invest.

Why each other choice is wrong (misconception it represents)

A: Opens before comparing; invests before funding
C: Funds before opening
D: Invests before opening

Type: instruction · practical how-to

GO DEEPER 1 — Step by step: from application to first investment · Question 2 of 5

Learn: Providers verify a linked bank account securely, for example with two small "micro-deposits" you confirm, or through a secure bank login service. No legitimate provider asks for a PIN.

Jordan links his checking account to his new Roth IRA. What does the provider usually do to confirm the link?

A. Asks for his debit card PIN and online banking password by email
B. Calls his employer
C. Sends small test deposits or uses secure bank verification
D. Requires a paper check mailed to the IRS

CORRECT ANSWER

C. Sends small test deposits or uses secure bank verification

Feedback (shown after answering)

Micro-deposits or secure verification confirm the link.

Why each other choice is wrong (misconception it represents)

A: Unsafe; a scam sign
B: Not how linking works
D: Not how linking works

Type: instruction · practical how-to

GO DEEPER 1 — Step by step: from application to first investment · Question 3 of 5

Learn: Between January 1 and the tax deadline, IRA contributions can be designated for the previous tax year or the current one.

When contributing, the form asks which tax year the contribution is for. It is March 2027. Jordan wants to count it toward 2026 and has not yet contributed for that year. Is that allowed?

A. No, contributions always count for the current calendar year
B. Only if he files for an extension
C. Only for contributions over $5,000
D. Yes, until the April 2027 tax deadline

CORRECT ANSWER

D. Yes, until the April 2027 tax deadline

Feedback (shown after answering)

Prior-year contributions are allowed until the tax-filing deadline (not extensions).

Why each other choice is wrong (misconception it represents)

A: Ignores the prior-year rule
B: Extensions do not extend the deadline
C: Invents a rule

Type: instruction · practical how-to

GO DEEPER 1 — Step by step: from application to first investment · Question 4 of 5

Learn: Verifying transactions catches errors early: confirm deposits posted and purchases show the right investment and amount.

A few days after buying a fund, what should Jordan check in his account?

A. Nothing; accounts never contain errors
B. His credit score, which trades affect
C. Whether the IRS approved the trade
D. That the purchase shows the right fund, amount, and price

CORRECT ANSWER

D. That the purchase shows the right fund, amount, and price

Feedback (shown after answering)

Checking confirmations catches mistakes early.

Why each other choice is wrong (misconception it represents)

A: Overconfident
B: Confuses investing with credit
C: IRS does not approve trades

Type: instruction · practical how-to

GO DEEPER 1 — Step by step: from application to first investment · Question 5 of 5

Learn: A beneficiary designation tells the provider who inherits the account. It usually overrides a will for that account.

Why name a beneficiary on a Roth IRA?

A. It lets the beneficiary withdraw money from it right now
B. It doubles the contribution limit
C. It says who receives the account if the owner dies
D. It is required to buy investments

CORRECT ANSWER

C. It says who receives the account if the owner dies

Feedback (shown after answering)

Beneficiary designations direct who inherits the account.

Why each other choice is wrong (misconception it represents)

A: Confuses a beneficiary with an owner
B: Believes beneficiaries change limits
D: Invents a requirement

Type: instruction

GO DEEPER 2 — Keeping the account safe and organized · Question 1 of 5

Learn: Retirement accounts can hold large balances, so protect them with strong unique passwords and multi-factor authentication.

Which security step is MOST important for an online Roth IRA account?

A. Turning on multi-factor authentication
B. Using the same password as on social media
C. Saving the password on a shared computer
D. Sharing the login with a friend

CORRECT ANSWER

A. Turning on multi-factor authentication

Feedback (shown after answering)

Multi-factor authentication adds a second check, so a stolen password alone is not enough to get in.

Why each other choice is wrong (misconception it represents)

B: Password reuse risk
C: Unsafe
D: Unsafe

Type: instruction · practical how-to

GO DEEPER 2 — Keeping the account safe and organized · Question 2 of 5

Learn: Phishing emails imitate real companies to steal logins.

An email says, "Your IRA is locked — log in here to fix it," with a link. What should Jordan do?

A. Click the link and log in quickly
B. Go to the provider's site directly, not through the link
C. Reply with his password
D. Forward it to friends

CORRECT ANSWER

B. Go to the provider's site directly, not through the link

Feedback (shown after answering)

Typing the address yourself avoids phishing sites.

Why each other choice is wrong (misconception it represents)

A: Phishing risk
C: Phishing
D: Spreads the scam

Type: instruction · practical how-to

GO DEEPER 2 — Keeping the account safe and organized · Question 3 of 5

Learn: IRA providers report contributions on Form 5498 and distributions on Form 1099-R.

What tax form does an IRA provider send after a contribution year?

A. Form W-2
B. Form 5498, which reports IRA contributions
C. Form W-4
D. Form 1098-T

CORRECT ANSWER

B. Form 5498, which reports IRA contributions

Feedback (shown after answering)

Form 5498 reports IRA contributions.

Why each other choice is wrong (misconception it represents)

A: Wages
C: Withholding
D: Tuition

Type: instruction · practical how-to

GO DEEPER 2 — Keeping the account safe and organized · Question 4 of 5

Learn: Regular Roth contributions that have not already been withdrawn can be taken out any time without tax or penalty, so knowing your remaining contribution amount matters.

Jordan keeps a simple record: date, amount, and tax year of each Roth contribution, and of any withdrawals. Why is this especially useful for a Roth IRA?

A. It shows how much can be withdrawn later as contributions
B. It raises his contribution limit
C. It is required to buy funds inside the IRA
D. It proves he paid tax on the earnings

CORRECT ANSWER

A. It shows how much can be withdrawn later as contributions

Feedback (shown after answering)

Tracking contributions and withdrawals shows what can still come out tax- and penalty-free.

Why each other choice is wrong (misconception it represents)

B: Believes records change limits
C: Invents a requirement
D: Confuses contributions with earnings

Type: instruction · practical how-to

GO DEEPER 2 — Keeping the account safe and organized · Question 5 of 5

Learn: Total fees over a period = yearly fee × number of years.

Jordan opens a Roth IRA at a provider that charges no account fee. Over 40 years, how much does avoiding a $25 yearly fee save (not counting growth)?

A. $25
B. $100
C. $1,000
D. $10,000

CORRECT ANSWER

C. $1,000

Feedback (shown after answering)

$25 × 40 = $1,000, and more counting lost growth.

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: One year
B: Four years
D: Adds a zero

Type: instruction

SET 60 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

Contributing to and investing inside an IRA

MAIN skill: Distinguish contributing from investing in an IRA and track contributions, earnings, and returns

Outcome FL.RETIRE.60 · National topic: Investing · NJSLS 9.1.12: PB, FI

Learning target: Explain how money is invested within a retirement account and how returns and losses affect it

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Depositing versus investing (5 questions)
  Why: The cash-versus-invested confusion is the most common IRA mistake; this branch isolates it.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Earnings are the balance minus contributions.
- B3 · Math link → G7-S08-M (Grade 7 7.RP.A.3): Find a percent increase or a percent decrease
  Why: Gains and losses in an IRA are percent changes.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Investment fees inside an IRA (5 questions)
- Go Deeper 2: Watching contributions and earnings over time (5 questions)

Practical skills beyond the standards: Investing new contributions; Tracking contributions and earnings

Content status: stable

Answer key for this set: M-Q1 C, M-Q2 D, M-Q3 A, M-Q4 D, M-Q5 A, B1-Q1 C, B1-Q2 B, B1-Q3 A, B1-Q4 D, B1-Q5 A, F1-Q1 B, F1-Q2 B, F1-Q3 C, F1-Q4 B, F1-Q5 D, F2-Q1 A, F2-Q2 B, F2-Q3 A, F2-Q4 C, F2-Q5 B

MAIN — Distinguish contributing from investing in an IRA and track contributions, earnings, and returns · Question 1 of 5

Learn: Contributing moves money into the IRA. The money often lands in a cash position, such as a bank sweep, or in a money market fund. Choosing and buying the long-term investments, such as stock or bond funds, is a separate step.

Taylor contributed $500 to a Roth IRA, but the money remains in the account's cash position. What has Taylor not necessarily done yet?

A. Opened the IRA.
B. Made a contribution.
C. Purchased an investment.
D. Transferred money into the account.

CORRECT ANSWER

C. Purchased an investment.

Feedback (shown after answering)

Money in the cash position has been contributed, but Taylor has not necessarily bought the long-term investment she intends.

Why each other choice is wrong (misconception it represents)

A: The account exists
B: The contribution was made
D: The money arrived

Type: instruction

MAIN — Distinguish contributing from investing in an IRA and track contributions, earnings, and returns · Question 2 of 5

Learn: Common IRA investments include index funds and target-date funds. A target-date fund holds a diversified mix of stock and bond funds and becomes more conservative as its target year approaches.

Taylor wants one broadly diversified investment for a retirement 45 years away. Which choice fits?

A. All of it in a single small company's stock
B. A savings account inside the IRA, forever
C. A short-term CD that is renewed every month for decades
D. A low-cost target-date fund near the year she turns 65

CORRECT ANSWER

D. A low-cost target-date fund near the year she turns 65

Feedback (shown after answering)

A target-date fund offers broad diversification in one choice.

Why each other choice is wrong (misconception it represents)

A: Concentrated risk
B: Very low long-term growth
C: Very low long-term growth

Type: instruction

MAIN — Distinguish contributing from investing in an IRA and track contributions, earnings, and returns · Question 3 of 5

Learn: In an IRA, contributions are the money you put in; earnings are the growth (dividends, interest, and gains). Balance = contributions + earnings.

Over several years, Ana contributed $6,000 to her Roth IRA. It is now worth $7,800. How much are earnings?

A. $1,800
B. $6,000
C. $7,800
D. $13,800

CORRECT ANSWER

A. $1,800

Feedback (shown after answering)

$7,800 − $6,000 = $1,800 of earnings.

Recomputed independently by the build: 1800

Why each other choice is wrong (misconception it represents)

B: Gives contributions
C: Gives the balance
D: Adds

Type: instruction

MAIN — Distinguish contributing from investing in an IRA and track contributions, earnings, and returns · Question 4 of 5

Learn: Investments in an IRA can rise or fall. A loss lowers the balance but does not change how much you contributed.

Ana's $7,800 Roth IRA falls 10% in a market drop. What is it worth, and what are her total contributions?

A. $7,020; contributions fall to $5,400 too
B. $7,800; IRAs cannot lose value
C. $6,000; the loss erases all earnings
D. $7,020; contributions are still $6,000

CORRECT ANSWER

D. $7,020; contributions are still $6,000

Feedback (shown after answering)

$7,800 × 0.90 = $7,020. Her contribution total stays $6,000.

Recomputed independently by the build: 7020

Why each other choice is wrong (misconception it represents)

A: Thinks losses change contributions
B: Thinks IRAs are insured
C: Arithmetic error

Type: instruction

MAIN — Distinguish contributing from investing in an IRA and track contributions, earnings, and returns · Question 5 of 5

Why does compounding work especially well in a Roth IRA?

A. Earnings grow without yearly taxes and qualified withdrawals are tax-free
B. The IRS adds 7% every year
C. Roth IRAs cannot go down in value
D. The provider pays a guaranteed bonus rate

CORRECT ANSWER

A. Earnings grow without yearly taxes and qualified withdrawals are tax-free

Feedback (shown after answering)

No yearly tax drag, and tax-free qualified withdrawals, let more of the growth compound.

Why each other choice is wrong (misconception it represents)

B: Believes the government pays returns
C: Confuses tax treatment with safety
D: Confuses an IRA with a bank promotion

Type: knowledge check

BACKWARD B1 · concept review — Depositing versus investing · Question 1 of 5

Learn: Uninvested cash in an IRA typically sits in a bank sweep or a money market fund that pays a modest rate. A money market fund is a low-risk investment, but not the long-term mix most savers intend.

Money contributed to an IRA but not yet put into the investments the owner chose usually earns...

A. the stock market's return
B. a guaranteed 10%
C. only the low rate of the cash or money market position
D. nothing ever, and it is lost after a year

CORRECT ANSWER

C. only the low rate of the cash or money market position

Feedback (shown after answering)

It earns only the cash or money market rate until the owner invests it.

Why each other choice is wrong (misconception it represents)

A: Not invested in stocks
B: Invents a return
D: Invents a forfeit rule

Type: instruction

BACKWARD B1 · concept review — Depositing versus investing · Question 2 of 5

Learn: Buying requires an order, just like in a regular brokerage account.

Which step actually BUYS an investment in an IRA?

A. Transferring money from checking
B. Placing an order to buy a fund
C. Opening the account
D. Naming a beneficiary

CORRECT ANSWER

B. Placing an order to buy a fund

Feedback (shown after answering)

An order to buy is what invests the money.

Why each other choice is wrong (misconception it represents)

A: Funds the account
C: Creates the account
D: Administrative

Type: instruction

BACKWARD B1 · concept review — Depositing versus investing · Question 3 of 5

Ben contributes $1,000 and buys $900 of an index fund. How much cash remains in the IRA?

A. $100
B. $900
C. $1,000
D. $1,900

CORRECT ANSWER

A. $100

Feedback (shown after answering)

$1,000 − $900 = $100 in cash.

Recomputed independently by the build: 100

Why each other choice is wrong (misconception it represents)

B: Gives the fund amount
C: Ignores the purchase
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Depositing versus investing · Question 4 of 5

Learn: Automatic investing directs each contribution into chosen funds so money does not sit in cash.

Some IRAs let you set "automatic investing" for new contributions. What does it do?

A. Withdraws money automatically
B. Raises the contribution limit
C. Moves money to checking
D. Buys chosen funds automatically when money arrives

CORRECT ANSWER

D. Buys chosen funds automatically when money arrives

Feedback (shown after answering)

It invests new money automatically in your chosen funds.

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Believes features change limits
C: Reverses

Type: instruction

BACKWARD B1 · concept review — Depositing versus investing · Question 5 of 5

What is a common, costly IRA mistake?

A. Contributing for years but never investing the cash
B. Choosing a low-cost index fund
C. Checking the account balance occasionally on her phone
D. Naming a beneficiary

CORRECT ANSWER

A. Contributing for years but never investing the cash

Feedback (shown after answering)

Uninvested cash misses years of potential growth.

Why each other choice is wrong (misconception it represents)

B: Sensible choice
C: Sensible
D: Sensible

Type: knowledge check

GO DEEPER 1 — Investment fees inside an IRA · Question 1 of 5

Learn: Expense ratios apply inside IRAs just as in taxable accounts: yearly cost = balance × expense ratio.

Taylor's target-date fund has a 0.12% expense ratio. On a $10,000 balance, what is the yearly cost?

A. $1.20
B. $12
C. $120
D. $1,200

CORRECT ANSWER

B. $12

Feedback (shown after answering)

$10,000 × 0.0012 = $12.

Recomputed independently by the build: 12

Why each other choice is wrong (misconception it represents)

A: Uses 0.012%
C: Uses 1.2%
D: Uses 12%

Type: instruction

GO DEEPER 1 — Investment fees inside an IRA · Question 2 of 5

Learn: Compare fees in dollars: difference in expense ratios × balance.

Another target-date fund charges 0.75%. How much more per year does it cost on $10,000 than a 0.12% fund?

A. $12
B. $63
C. $75
D. $630

CORRECT ANSWER

B. $63

Feedback (shown after answering)

0.63% × $10,000 = $63.

Recomputed independently by the build: 63

Why each other choice is wrong (misconception it represents)

A: Gives the lower fee only
C: Gives the higher fee only
D: Adds a zero

Type: instruction

GO DEEPER 1 — Investment fees inside an IRA · Question 3 of 5

Which choice lowers costs inside an IRA the MOST over decades?

A. Trading frequently
B. Choosing funds with sales loads
C. Selecting low-expense funds
D. Paying for add-on services you do not use

CORRECT ANSWER

C. Selecting low-expense funds

Feedback (shown after answering)

Low expense ratios compound in the investor's favor.

Why each other choice is wrong (misconception it represents)

A: Adds costs
B: Adds costs
D: Adds costs

Type: knowledge check

GO DEEPER 1 — Investment fees inside an IRA · Question 4 of 5

Learn: Providers list each fund's expense ratio on its detail page and in the prospectus.

Where in the IRA provider's website can Taylor find a fund's expense ratio?

A. Her bank's monthly statement
B. The fund's details page or prospectus
C. Her Form 1099-R
D. The IRS website

CORRECT ANSWER

B. The fund's details page or prospectus

Feedback (shown after answering)

Fund pages and prospectuses list expense ratios.

Why each other choice is wrong (misconception it represents)

A: Looks in the wrong document
C: Confuses a distribution form with fund details
D: Does not list fund fees

Type: instruction · practical how-to

GO DEEPER 1 — Investment fees inside an IRA · Question 5 of 5

Do fees in a Roth IRA reduce tax-free growth?

A. No; fees in IRAs are refunded
B. No; fees are taken only from contributions, not growth
C. Only if the fund loses money
D. Yes; every fee dollar is a dollar that cannot grow tax-free

CORRECT ANSWER

D. Yes; every fee dollar is a dollar that cannot grow tax-free

Feedback (shown after answering)

Fees reduce the money compounding tax-free.

Why each other choice is wrong (misconception it represents)

A: Believes IRA fees are returned
B: Misses that fees reduce the whole balance
C: Believes fees apply only on losses

Type: knowledge check

GO DEEPER 2 — Watching contributions and earnings over time · Question 1 of 5

Learn: Earnings = current value − total contributions.

Taylor contributes $3,000 a year for 3 years. The account is worth $10,500. What are her earnings?

A. $1,500
B. $4,500
C. $9,000
D. $10,500

CORRECT ANSWER

A. $1,500

Feedback (shown after answering)

Contributions $9,000; earnings $10,500 − $9,000 = $1,500.

Recomputed independently by the build: 1500

Why each other choice is wrong (misconception it represents)

B: Arithmetic error
C: Gives contributions
D: Gives the balance

Type: instruction

GO DEEPER 2 — Watching contributions and earnings over time · Question 2 of 5

Learn: Return = change in value ÷ starting value × 100.

Taylor's account rises from $10,500 to $11,340 in a year with no new contributions. What was the return?

A. 7.4%
B. 8%
C. 108%
D. $840

CORRECT ANSWER

B. 8%

Feedback (shown after answering)

$840 ÷ $10,500 = 0.08 = 8%.

Recomputed independently by the build: 8

Why each other choice is wrong (misconception it represents)

A: Divides by the new value
C: Gives the new value as a percent
D: Gives dollars, not percent

Type: instruction

GO DEEPER 2 — Watching contributions and earnings over time · Question 3 of 5

Learn: Regular Roth IRA contributions that have not been withdrawn can be taken out at any time without tax or penalty, up to the money in the account; earnings follow stricter rules. Once contributions are withdrawn, they cannot be withdrawn again.

Taylor has made only regular contributions to her Roth IRA, with no withdrawals, conversions, or rollovers. Which number determines how much she can withdraw now without tax or penalty?

A. Her total contributions
B. Her total earnings
C. Her current balance today
D. Her yearly return

CORRECT ANSWER

A. Her total contributions

Feedback (shown after answering)

With no earlier withdrawals, her total regular contributions can come out tax- and penalty-free.

Why each other choice is wrong (misconception it represents)

B: Earnings have stricter rules
C: Includes earnings
D: Not a withdrawal amount

Type: instruction

GO DEEPER 2 — Watching contributions and earnings over time · Question 4 of 5

Learn: Market drops happen often over long periods, and recoveries are not guaranteed. Panic selling turns a paper loss into a realized loss and can mean missing a later recovery.

After a 20% market drop, Taylor's $11,340 Roth IRA, invested in a diversified fund for a goal decades away, is worth about $9,072. What should a long-term investor usually avoid doing?

A. Continuing regular contributions
B. Keeping a diversified fund
C. Selling everything out of fear
D. Rebalancing to a target mix

CORRECT ANSWER

C. Selling everything out of fear

Feedback (shown after answering)

Selling in a panic locks in the current loss and risks missing a recovery; a diversified, long-term plan is usually kept, while knowing losses are possible.

Why each other choice is wrong (misconception it represents)

A: Usually sensible
B: Usually sensible
D: Usually sensible

Type: instruction

GO DEEPER 2 — Watching contributions and earnings over time · Question 5 of 5

Learn: Buying and selling within an IRA does not create current taxes.

Taylor sells one fund and buys another inside her Roth IRA. Does she owe tax on the sale this year?

A. Yes; every sale is taxed
B. No; trades inside an IRA are not taxed when made
C. Yes, at 10%
D. Only if she made a profit

CORRECT ANSWER

B. No; trades inside an IRA are not taxed when made

Feedback (shown after answering)

IRA trades are sheltered; only withdrawals follow tax rules.

Why each other choice is wrong (misconception it represents)

A: Applies taxable-account rules
C: Invents a tax
D: Applies taxable-account rules

Type: instruction

SET 61 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

Roth IRA withdrawals and qualified distributions

MAIN skill: Apply the rules for withdrawing Roth IRA contributions and earnings

Outcome FL.RETIRE.61 · National topic: Investing · NJSLS 9.1.12: PB, EG

Learning target: Explain withdrawal rules and tax treatment of retirement accounts

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Contributions versus earnings (5 questions)
  Why: Withdrawal rules treat contributions and earnings differently; students must separate them first.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Separating contributions from earnings subtracts amounts.
- B3 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Taxes and the additional tax are percents of a withdrawal.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Traditional IRA withdrawals (5 questions)
- Go Deeper 2: Common Roth IRA mistakes and misconceptions (5 questions)

Practical skills beyond the standards: Applying Roth ordering rules

Content status: time-sensitive

Source: IRS (Publication 590-B) — Roth IRA regular contributions can be withdrawn at any time; distributions come out in order: regular contributions, then conversions and rollovers, then earnings; qualified distributions need a 5-year period and age 59½ (or death, disability, or a first-time home purchase up to $10,000); nonqualified earnings may be taxed plus a 10% additional tax. https://www.irs.gov/publications/p590b

Source: IRS (Publication 590-A) — One annual contribution limit covers all of a person's traditional and Roth IRAs combined. https://www.irs.gov/publications/p590a

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 C, M-Q4 D, M-Q5 A, B1-Q1 D, B1-Q2 A, B1-Q3 A, B1-Q4 C, B1-Q5 B, F1-Q1 D, F1-Q2 B, F1-Q3 D, F1-Q4 B, F1-Q5 B, F2-Q1 D, F2-Q2 C, F2-Q3 A, F2-Q4 B, F2-Q5 D

MAIN — Apply the rules for withdrawing Roth IRA contributions and earnings · Question 1 of 5

Learn: Roth IRA withdrawals come out in a set order: regular contributions first, then conversion and rollover amounts (which have their own rules), then earnings. Regular contributions were made with after-tax money, so they can be withdrawn at any time, at any age, without tax or penalty.

Mia, 30, made $8,000 of regular contributions to her Roth IRA over several years, with no conversions, rollovers, or earlier withdrawals. It is worth $11,000. She withdraws $5,000. Under the ordering rules, what is taxed or penalized?

A. All $5,000, at income tax plus 10%
B. Nothing; the $5,000 comes from contributions
C. $3,000 of earnings
D. Only the 10% additional tax, which would be $500

CORRECT ANSWER

B. Nothing; the $5,000 comes from contributions

Feedback (shown after answering)

Her first $8,000 withdrawn counts as regular contributions, so $5,000 is tax- and penalty-free.

Why each other choice is wrong (misconception it represents)

A: Thinks every early withdrawal is taxed
C: Ignores the ordering rules
D: Applies a penalty to contributions

Type: instruction

MAIN — Apply the rules for withdrawing Roth IRA contributions and earnings · Question 2 of 5

Learn: Earnings withdrawn before a "qualified distribution" are generally taxable as income, and before age 59½ they usually also face a 10% additional tax, unless an exception applies.

Mia later withdraws $2,000 of EARNINGS at age 32, and no exception applies. Assume her tax rate is 12%. How much tax and additional tax is due?

A. $0
B. $200
C. $240
D. $440

CORRECT ANSWER

D. $440

Feedback (shown after answering)

Income tax: $2,000 × 0.12 = $240. Additional tax: $2,000 × 0.10 = $200. Total: $440.

Recomputed independently by the build: 440

Why each other choice is wrong (misconception it represents)

A: Treats earnings like contributions
B: Leaves out income tax
C: Leaves out the 10% additional tax

Type: instruction

MAIN — Apply the rules for withdrawing Roth IRA contributions and earnings · Question 3 of 5

Learn: A qualified Roth distribution meets two tests: the 5-year rule (5 tax years since your first Roth IRA contribution) and a qualifying event: age 59½, disability, death, or a first-time home purchase (up to $10,000 lifetime).

Which conditions make a Roth IRA distribution QUALIFIED (tax-free, including earnings)?

A. Any withdrawal after the account is one year old
B. Any withdrawal after age 50
C. Five years since the first Roth contribution AND age 59½ (or another qualifying event)
D. Any withdrawal at all, because Roth means tax-free

CORRECT ANSWER

C. Five years since the first Roth contribution AND age 59½ (or another qualifying event)

Feedback (shown after answering)

Both the 5-year period and a qualifying event (usually age 59½) are required.

Why each other choice is wrong (misconception it represents)

A: Too short
B: Wrong age, ignores 5 years
D: Overstates

Type: instruction · rule as of IRS rules as of 2026

MAIN — Apply the rules for withdrawing Roth IRA contributions and earnings · Question 4 of 5

Learn: The 5-year clock starts January 1 of the tax year of the first Roth IRA contribution.

Leo opens his first Roth IRA at age 58 with a contribution for tax year 2026. At what point does he first meet BOTH tests for qualified distributions?

A. At 59½, in 2027
B. Immediately, because he is already over age 55 and retired
C. Never, because he started after 50
D. In 2031, when 5 years have passed and he is over 59½

CORRECT ANSWER

D. In 2031, when 5 years have passed and he is over 59½

Feedback (shown after answering)

The clock starts January 1, 2026; five years later is January 1, 2031, when he is already over 59½.

Why each other choice is wrong (misconception it represents)

A: Ignores the 5-year rule
B: Invents a rule
C: Invents an age cutoff

Type: instruction

MAIN — Apply the rules for withdrawing Roth IRA contributions and earnings · Question 5 of 5

Which statement about Roth IRAs is a MISCONCEPTION?

A. Money in a Roth IRA can never be touched before retirement
B. Contributions can be withdrawn at any time without tax or penalty
C. Qualified distributions are tax-free
D. Investments inside can lose value

CORRECT ANSWER

A. Money in a Roth IRA can never be touched before retirement

Feedback (shown after answering)

Contributions can be withdrawn anytime; it is the earnings that have rules.

Why each other choice is wrong (misconception it represents)

B: True
C: True
D: True

Type: knowledge check

BACKWARD B1 · concept review — Contributions versus earnings · Question 1 of 5

Learn: Balance = contributions + earnings.

A Roth IRA has $4,000 of contributions and $1,000 of earnings. What is the balance?

A. $1,000
B. $3,000
C. $4,000
D. $5,000

CORRECT ANSWER

D. $5,000

Feedback (shown after answering)

$4,000 + $1,000 = $5,000.

Recomputed independently by the build: 5000

Why each other choice is wrong (misconception it represents)

A: Earnings only
B: Subtracts
C: Contributions only

Type: instruction

BACKWARD B1 · concept review — Contributions versus earnings · Question 2 of 5

Learn: Earnings = balance − contributions.

A Roth IRA balance is $9,000, and $7,000 was contributed. What are the earnings?

A. $2,000
B. $7,000
C. $9,000
D. $16,000

CORRECT ANSWER

A. $2,000

Feedback (shown after answering)

$9,000 − $7,000 = $2,000.

Recomputed independently by the build: 2000

Why each other choice is wrong (misconception it represents)

B: Contributions
C: Balance
D: Adds

Type: instruction

BACKWARD B1 · concept review — Contributions versus earnings · Question 3 of 5

Learn: Roth contributions come from income that was already taxed.

Which part of a Roth IRA was already taxed before going in?

A. The contributions
B. The earnings
C. Neither part
D. Only the dividends

CORRECT ANSWER

A. The contributions

Feedback (shown after answering)

Contributions were made with after-tax dollars.

Why each other choice is wrong (misconception it represents)

B: Not yet taxed
C: Contributions were taxed
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Contributions versus earnings · Question 4 of 5

Learn: Roth IRA withdrawals are treated as coming from regular contributions first, then conversions and rollovers, then earnings. Ana has made only regular contributions.

Ana's Roth IRA holds $4,000 of contributions and $1,000 of earnings. At age 30 she withdraws $3,000. How is the withdrawal treated?

A. As $3,000 of earnings
B. As $2,400 of contributions and $600 of earnings
C. As $3,000 of contributions
D. As $1,000 of earnings, then $2,000 of contributions

CORRECT ANSWER

C. As $3,000 of contributions

Feedback (shown after answering)

Her $4,000 of contributions covers the whole $3,000, so it is all contributions: no tax or penalty.

Why each other choice is wrong (misconception it represents)

A: Reverses the ordering rule
B: Splits by share of the balance
D: Takes earnings first

Type: instruction

BACKWARD B1 · concept review — Contributions versus earnings · Question 5 of 5

Learn: In the simple Roth examples here (regular contributions only, no conversions), the 10% additional tax on an early withdrawal applies to the taxable earnings withdrawn.

What is 10% of $3,000?

A. $30
B. $300
C. $2,700
D. $3,000

CORRECT ANSWER

B. $300

Feedback (shown after answering)

$3,000 × 0.10 = $300.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

A: Uses 1%
C: Gives the remainder
D: Uses 100%

Type: instruction

GO DEEPER 1 — Traditional IRA withdrawals · Question 1 of 5

Learn: Withdrawals of pre-tax money from a traditional IRA are taxed as ordinary income. Before 59½, a 10% additional tax usually applies too, unless an exception applies.

Raj, 45, withdraws $5,000 from a traditional IRA that holds only pre-tax money (no after-tax contributions), and no exception applies. Assume a 22% tax rate. How much tax and additional tax is due?

A. $0
B. $500
C. $1,100
D. $1,600

CORRECT ANSWER

D. $1,600

Feedback (shown after answering)

$5,000 × (0.22 + 0.10) = $1,600.

Recomputed independently by the build: 1600

Why each other choice is wrong (misconception it represents)

A: Treats it like Roth contributions
B: Leaves out income tax
C: Leaves out the 10% additional tax

Type: instruction

GO DEEPER 1 — Traditional IRA withdrawals · Question 2 of 5

Learn: After 59½, the 10% additional tax no longer applies, but withdrawals of pre-tax money are still taxed as income.

At age 66, Raj withdraws $5,000 from his traditional IRA, which holds only pre-tax money. Assume a 12% tax rate. What is owed?

A. $1,100
B. $600 of income tax
C. $0
D. $500

CORRECT ANSWER

B. $600 of income tax

Feedback (shown after answering)

$5,000 × 0.12 = $600; no additional tax after 59½.

Recomputed independently by the build: 600

Why each other choice is wrong (misconception it represents)

A: Adds a penalty after 59½
C: Thinks traditional withdrawals are tax-free
D: Applies only the 10% additional tax

Type: instruction

GO DEEPER 1 — Traditional IRA withdrawals · Question 3 of 5

Learn: Required minimum distributions (RMDs) are yearly withdrawals the IRS requires so that tax-deferred money is eventually taxed. They start in an owner's 70s, depending on birth year. Money taxed before it went in is treated differently.

Which IRA type requires minimum withdrawals starting in the owner's 70s?

A. Roth IRA (for the original owner)
B. Neither type
C. Both, starting at age 50
D. Traditional IRA

CORRECT ANSWER

D. Traditional IRA

Feedback (shown after answering)

Traditional IRAs have RMDs; Roth IRAs do not for the original owner.

Why each other choice is wrong (misconception it represents)

A: No lifetime RMDs for the original owner
B: Ignores RMDs
C: Wrong age

Type: instruction

GO DEEPER 1 — Traditional IRA withdrawals · Question 4 of 5

Learn: The first-time homebuyer exception lets up to $10,000 of Roth IRA earnings over a lifetime be a qualified distribution, if the 5-year rule is met.

Leo used $4,000 of the first-time homebuyer exception years ago. He again qualifies as a first-time buyer, his Roth IRA meets the 5-year rule, and he wants $15,000 of earnings. How much more can qualify under this exception?

A. $0
B. $6,000
C. $10,000
D. $15,000

CORRECT ANSWER

B. $6,000

Feedback (shown after answering)

$10,000 lifetime cap − $4,000 already used = $6,000.

Recomputed independently by the build: 6000

Why each other choice is wrong (misconception it represents)

A: Believes the exception can be used only once
C: Forgets the $4,000 already used
D: Ignores the lifetime cap

Type: instruction · rule as of IRS rules as of 2026

GO DEEPER 1 — Traditional IRA withdrawals · Question 5 of 5

Why are early IRA withdrawals generally discouraged?

A. They are illegal
B. They can trigger taxes and shrink long-term retirement growth
C. They raise contribution limits
D. They lower future contribution limits permanently

CORRECT ANSWER

B. They can trigger taxes and shrink long-term retirement growth

Feedback (shown after answering)

Early withdrawals can cost taxes and lost compounding.

Why each other choice is wrong (misconception it represents)

A: Overstates
C: Believes withdrawals change limits
D: Invents a penalty

Type: knowledge check

GO DEEPER 2 — Common Roth IRA mistakes and misconceptions · Question 1 of 5

Learn: Many mistakes come from misunderstanding what a Roth IRA is: it is an account with tax rules, not an investment itself.

Which statement about what a Roth IRA is reflects a MISCONCEPTION?

A. "A Roth IRA is an account that holds investments."
B. "Contributing generally requires compensation (or a spouse's, on a joint return)."
C. "Roth IRA investments can lose value."
D. "A Roth IRA is an investment, like a stock."

CORRECT ANSWER

D. "A Roth IRA is an investment, like a stock."

Feedback (shown after answering)

A Roth IRA is the container, not the investment.

Why each other choice is wrong (misconception it represents)

A: Correct statement
B: Correct statement
C: Correct statement

Type: instruction

GO DEEPER 2 — Common Roth IRA mistakes and misconceptions · Question 2 of 5

Learn: Roth and traditional IRAs differ in when tax is paid.

Which statement about Roth IRA taxes is a MISCONCEPTION?

A. "Roth contributions are made with after-tax money."
B. "Qualified withdrawals are tax-free."
C. "Roth contributions are tax-deductible."
D. "There are income limits for direct contributions."

CORRECT ANSWER

C. "Roth contributions are tax-deductible."

Feedback (shown after answering)

Roth contributions are not deductible; traditional contributions may be.

Why each other choice is wrong (misconception it represents)

A: Correct
B: Correct
D: Correct

Type: instruction

GO DEEPER 2 — Common Roth IRA mistakes and misconceptions · Question 3 of 5

Learn: Total IRA contributions for a year cannot exceed your taxable compensation (except spousal IRAs on a joint return).

Sam is single and has no spouse's income to use. He contributed $6,000 to a Roth IRA this year but earned only $2,500. What mistake occurred?

A. He contributed more than his compensation
B. None; contributions are not limited by income
C. He should have contributed more to reach the full limit
D. He contributed in the wrong tax year

CORRECT ANSWER

A. He contributed more than his compensation

Feedback (shown after answering)

$6,000 − $2,500 = $3,500 excess, subject to a 6% tax for each year it stays uncorrected.

Why each other choice is wrong (misconception it represents)

B: Ignores the rule
C: Makes it worse
D: Misreads the error

Type: instruction

GO DEEPER 2 — Common Roth IRA mistakes and misconceptions · Question 4 of 5

Which mistake costs Roth IRA owners the most growth over decades?

A. Choosing a low-cost, diversified index fund
B. Leaving contributions in cash for years
C. Naming a beneficiary
D. Contributing regularly

CORRECT ANSWER

B. Leaving contributions in cash for years

Feedback (shown after answering)

Uninvested cash misses decades of potential growth.

Why each other choice is wrong (misconception it represents)

A: Sensible
C: Sensible
D: Sensible

Type: knowledge check

GO DEEPER 2 — Common Roth IRA mistakes and misconceptions · Question 5 of 5

A friend says, "You can't open a Roth IRA as a teenager." What is the accurate reply?

A. That is true until age 21
B. Teens can open one only through an employer
C. Only the government can open one for a teen
D. Teens with earned income can, often through a custodial Roth IRA

CORRECT ANSWER

D. Teens with earned income can, often through a custodial Roth IRA

Feedback (shown after answering)

Earned income, not age, determines eligibility.

Why each other choice is wrong (misconception it represents)

A: Invents an age rule
B: Confuses IRAs with workplace plans
C: Confuses IRAs with Social Security

Type: knowledge check

SET 62 · Retirement Accounts: IRAs, Roth IRAs, 401(k)s, and 403(b)s

Social Security and retirement income

MAIN skill: Explain how Social Security works and how claiming age changes benefits

Outcome FL.RETIRE.62 · National topic: Earning Income · NJSLS 9.1.12: EG, PB

Learning target: Explain Social Security and how payroll taxes fund benefits; retirement income planning

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Payroll taxes fund benefits (5 questions)
  - Why: Social Security makes sense once students connect FICA on their pay stub to future benefits.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Benefit reductions and increases are percents of a benefit.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Pensions and other retirement income (5 questions)
- Go Deeper 2: Choosing when to claim Social Security (5 questions)

Practical skills beyond the standards: Checking a Social Security earnings record

Content status: time-sensitive

Source: Social Security Administration — Full retirement age is 67 for people born in 1960 or later; claiming at 62 reduces the benefit by about 30%; delaying past full retirement age raises it 8% a year until 70; workers need 40 credits (up to 4 per year). https://www.ssa.gov/benefits/retirement/planner/agereduction.html

Answer key for this set: M-Q1 C, M-Q2 A, M-Q3 B, M-Q4 C, M-Q5 B, B1-Q1 C, B1-Q2 B, B1-Q3 C, B1-Q4 D, B1-Q5 A, F1-Q1 D, F1-Q2 C, F1-Q3 B, F1-Q4 A, F1-Q5 A, F2-Q1 C, F2-Q2 C, F2-Q3 C, F2-Q4 D, F2-Q5 A

MAIN — Explain how Social Security works and how claiming age changes benefits · Question 1 of 5

Learn: Social Security is a federal program that pays retirement, disability, and survivor benefits. It is funded mainly by payroll taxes: workers pay 6.2% of wages (up to a yearly limit), and employers pay a matching 6.2%.

How is Social Security mainly paid for?

A. Voluntary donations from retirees
B. Profits the government earns from the stock market
C. Payroll taxes on workers' wages and employers
D. Federal income tax on all income

CORRECT ANSWER

C. Payroll taxes on workers' wages and employers

Feedback (shown after answering)

Payroll taxes from workers and employers fund it.

Why each other choice is wrong (misconception it represents)

A: Misunderstands funding
B: Confuses Social Security with an investment fund
D: Confuses payroll tax with income tax

Type: instruction

MAIN — Explain how Social Security works and how claiming age changes benefits · Question 2 of 5

Learn: Credits are earned by working and paying Social Security taxes. You can earn at most 4 credits per year, and you generally need 40 credits for retirement benefits.

Workers earn up to 4 Social Security credits per year and generally need 40 credits to qualify for retirement benefits. What is the fewest years of work needed?

A. 10 years
B. 40 years
C. 4 years
D. 20 years

CORRECT ANSWER

A. 10 years

Feedback (shown after answering)

40 ÷ 4 = 10 years.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

B: Treats credits as years
C: Treats credits per year as years
D: Uses 2 credits per year

Type: instruction

MAIN — Explain how Social Security works and how claiming age changes benefits · Question 3 of 5

Learn: Full retirement age is 67 for people born in 1960 or later. You can claim as early as 62, but the monthly benefit is permanently reduced (about 30% at 62). Waiting past full retirement age raises it.

Tia's full retirement age is 67, when her benefit would be $1,800 a month. Claiming at 62 reduces it by 30%. What would she receive at 62?

A. $540
B. $1,260
C. $1,800
D. $2,340

CORRECT ANSWER

B. $1,260

Feedback (shown after answering)

$1,800 × 0.70 = $1,260.

Recomputed independently by the build: 1260

Why each other choice is wrong (misconception it represents)

A: Gives the reduction
C: Ignores the reduction
D: Adds 30%

Type: instruction · rule as of SSA rules as of 2026

MAIN — Explain how Social Security works and how claiming age changes benefits · Question 4 of 5

Learn: Delayed retirement credits increase the benefit by 8% per year (for those born 1943 or later) until age 70.

If Tia delays claiming until 70, her benefit rises 8% for each year after 67. What would $1,800 become?

A. $1,800
B. $1,944
C. $2,232
D. $2,340

CORRECT ANSWER

C. $2,232

Feedback (shown after answering)

3 years × 8% = 24%. $1,800 × 1.24 = $2,232.

Recomputed independently by the build: 2232

Why each other choice is wrong (misconception it represents)

A: Ignores delayed credits
B: Counts one year
D: Uses 30%

Type: instruction

MAIN — Explain how Social Security works and how claiming age changes benefits · Question 5 of 5

For an average worker, Social Security replaces about what share of pre-retirement earnings?

A. About 100%
B. About 40%
C. About 90%
D. About 5%

CORRECT ANSWER

B. About 40%

Feedback (shown after answering)

About 40% for average earners, so personal savings fill the rest.

Recomputed independently by the build: 40

Why each other choice is wrong (misconception it represents)

A: Overstates
C: Overstates
D: Understates

Type: knowledge check

BACKWARD B1 · concept review — Payroll taxes fund benefits · Question 1 of 5

Learn: The Social Security line on a pay stub (sometimes labeled OASDI) is the worker's 6.2% share that funds the program.

On a pay stub, which line pays for Social Security?

A. State income tax
B. Health insurance premium deduction
C. Social Security (OASDI) tax
D. 401(k) contribution

CORRECT ANSWER

C. Social Security (OASDI) tax

Feedback (shown after answering)

The Social Security (OASDI) tax funds the program.

Why each other choice is wrong (misconception it represents)

A: State tax
B: Insurance
D: Personal savings

Type: instruction

BACKWARD B1 · concept review — Payroll taxes fund benefits · Question 2 of 5

Learn: Employee Social Security tax = wages × 6.2%.

A worker earns $2,000. What is the employee Social Security tax at 6.2%?

A. $12.40
B. $124
C. $248
D. $1,240

CORRECT ANSWER

B. $124

Feedback (shown after answering)

$2,000 × 0.062 = $124.

Recomputed independently by the build: 124

Why each other choice is wrong (misconception it represents)

A: Uses 0.62%
C: Doubles
D: Uses 62%

Type: instruction

BACKWARD B1 · concept review — Payroll taxes fund benefits · Question 3 of 5

Learn: Employers match the employee's 6.2% Social Security tax.

A worker earns $2,000, and 6.2% Social Security tax is withheld. How much does the employer pay in Social Security tax on that $2,000?

A. $0
B. $62
C. $124
D. $248

CORRECT ANSWER

C. $124

Feedback (shown after answering)

The employer matches 6.2%: $124.

Recomputed independently by the build: 124

Why each other choice is wrong (misconception it represents)

A: Employers match
B: Halves
D: Doubles

Type: instruction

BACKWARD B1 · concept review — Payroll taxes fund benefits · Question 4 of 5

Learn: Social Security pays retirement, disability, and survivor benefits.

Which benefit does Social Security NOT usually provide?

A. Retirement benefits
B. Disability benefits
C. Survivor benefits
D. Payment of everyday bills for workers under 62 with no disability

CORRECT ANSWER

D. Payment of everyday bills for workers under 62 with no disability

Feedback (shown after answering)

It is not a general income program for working-age people without a qualifying event.

Why each other choice is wrong (misconception it represents)

A: Provided
B: Provided
C: Provided

Type: instruction

BACKWARD B1 · concept review — Payroll taxes fund benefits · Question 5 of 5

Learn: The SSA keeps a record of your earnings. Checking it helps catch errors that could lower future benefits.

Where can a worker see the earnings Social Security has on record for them?

A. In a "my Social Security" account at ssa.gov
B. On a credit report
C. On a bank statement
D. On Form W-4

CORRECT ANSWER

A. In a "my Social Security" account at ssa.gov

Feedback (shown after answering)

SSA's online account shows earnings records and estimates.

Why each other choice is wrong (misconception it represents)

B: Confuses earnings records with credit
C: Shows deposits, not earnings records
D: Confuses a withholding form with an earnings record

Type: instruction · practical how-to

GO DEEPER 1 — Pensions and other retirement income · Question 1 of 5

Learn: A defined-benefit (DB) pension promises a set payment based on a formula, and the employer bears the investment risk. A defined-contribution (DC) plan, such as a 401(k), depends on what is contributed and how investments perform; the worker bears the risk.

What is a defined-benefit pension?

A. A personal savings account that you invest yourself
B. A government benefit every worker gets
C. An annuity you buy with your own savings
D. A plan that promises a set monthly payment in retirement, often based on salary and years worked

CORRECT ANSWER

D. A plan that promises a set monthly payment in retirement, often based on salary and years worked

Feedback (shown after answering)

DB pensions promise a formula-based payment.

Why each other choice is wrong (misconception it represents)

A: Describes defined-contribution plans
B: Confuses a pension with Social Security
C: Confuses an employer promise with a purchase

Type: instruction

GO DEEPER 1 — Pensions and other retirement income · Question 2 of 5

Learn: A pension formula multiplies a percent per year of service by years worked and by salary.

A pension pays 1.5% of final salary for each year worked. Ana worked 30 years with a final salary of $60,000. What is her yearly pension?

A. $900
B. $18,000
C. $27,000
D. $45,000

CORRECT ANSWER

C. $27,000

Feedback (shown after answering)

1.5% × 30 = 45%; 45% × $60,000 = $27,000.

Recomputed independently by the build: 27000

Why each other choice is wrong (misconception it represents)

A: Counts one year
B: Uses 1%
D: Uses 2.5%

Type: instruction

GO DEEPER 1 — Pensions and other retirement income · Question 3 of 5

Learn: In defined-contribution plans like 401(k)s, the account value depends on contributions and investment results.

Who bears the investment risk in a 401(k)?

A. The employer
B. The worker
C. The government
D. The stock exchange

CORRECT ANSWER

B. The worker

Feedback (shown after answering)

The worker bears the investment risk in a 401(k).

Why each other choice is wrong (misconception it represents)

A: DB pensions
C: Not in a 401(k)
D: Not a party

Type: instruction

GO DEEPER 1 — Pensions and other retirement income · Question 4 of 5

Learn: Retirement income often comes from several sources; savings fill the remaining gap.

Ana expects $27,000 from her pension and $20,000 from Social Security. She wants $55,000 a year. How much must come from savings?

A. $8,000
B. $28,000
C. $47,000
D. $55,000

CORRECT ANSWER

A. $8,000

Feedback (shown after answering)

$55,000 − $27,000 − $20,000 = $8,000.

Recomputed independently by the build: 8000

Why each other choice is wrong (misconception it represents)

B: Ignores the pension
C: Gives other income
D: Ignores other income

Type: instruction

GO DEEPER 1 — Pensions and other retirement income · Question 5 of 5

Learn: Many public employees participate in state or local pension systems; whether they also pay into Social Security varies by state and employer.

Why are many public school teachers in some states covered by pensions instead of, or in addition to, Social Security?

A. Some state and local employers run their own retirement systems
B. Teachers are banned from saving
C. Pensions are required for all workers nationwide by federal law
D. Social Security pays only private workers

CORRECT ANSWER

A. Some state and local employers run their own retirement systems

Feedback (shown after answering)

Public employers in some states run their own pension systems.

Why each other choice is wrong (misconception it represents)

B: Misreads the rules
C: Invents a rule
D: Overgeneralizes

Type: instruction

GO DEEPER 2 — Choosing when to claim Social Security · Question 1 of 5

Learn: Claiming early gives smaller payments for more months; claiming later gives larger payments for fewer months.

Tia can get $1,260 a month at 62 or $1,800 at 67. Ignoring growth and taxes, how much would she receive from 62 to 67 by claiming early?

A. $6,300
B. $15,120
C. $75,600
D. $108,000

CORRECT ANSWER

C. $75,600

Feedback (shown after answering)

5 years × 12 × $1,260 = $75,600.

Recomputed independently by the build: 75600

Why each other choice is wrong (misconception it represents)

A: Uses five months
B: Uses one year
D: Uses $1,800

Type: instruction

GO DEEPER 2 — Choosing when to claim Social Security · Question 2 of 5

Learn: A "break-even" age compares the head start from claiming early with the larger later payments: months = head start ÷ monthly difference.

After 67, claiming at 67 instead of 62 pays $540 more per month. How many months of the larger payment make up the $75,600 head start (nearest whole month)?

A. 60 months
B. 14 months
C. 140 months
D. 120 months

CORRECT ANSWER

C. 140 months

Feedback (shown after answering)

$75,600 ÷ $540 = 140 months (about age 78 2/3).

Recomputed independently by the build: 140

Why each other choice is wrong (misconception it represents)

A: Gives the early period
B: Misplaces the decimal
D: Arithmetic error

Type: instruction

GO DEEPER 2 — Choosing when to claim Social Security · Question 3 of 5

Learn: The best claiming age depends on health, life expectancy, other income, and family situation.

Which factor would most support DELAYING Social Security?

A. Needing the money immediately with no other income
B. Expecting a short life span due to illness
C. Expecting a long life and having other income until then
D. Wanting the smallest possible monthly benefit for the rest of life

CORRECT ANSWER

C. Expecting a long life and having other income until then

Feedback (shown after answering)

Longer lives and other income make delaying more valuable.

Why each other choice is wrong (misconception it represents)

A: Supports claiming early
B: Supports claiming early
D: Misreads

Type: instruction

GO DEEPER 2 — Choosing when to claim Social Security · Question 4 of 5

Learn: COLAs adjust benefits based on inflation.

Social Security benefits get a cost-of-living adjustment (COLA) most years. Why?

A. To reward people who claimed their benefits early
B. To lower benefits each year
C. To match the stock market's return
D. To help benefits keep up with inflation

CORRECT ANSWER

D. To help benefits keep up with inflation

Feedback (shown after answering)

COLAs help protect purchasing power.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Reverses
C: Confuses inflation with investment returns

Type: instruction

GO DEEPER 2 — Choosing when to claim Social Security · Question 5 of 5

Which statement about Social Security planning is MOST accurate?

A. Check your SSA estimate and plan savings to fill the gap
B. Social Security alone covers most retirees' full budgets
C. Social Security will pay nothing to today's teens
D. Benefits are the same for everyone

CORRECT ANSWER

A. Check your SSA estimate and plan savings to fill the gap

Feedback (shown after answering)

Your earnings record determines your benefit; savings fill the rest.

Why each other choice is wrong (misconception it represents)

B: Overstates
C: Overstates
D: Ignores earnings history

Type: knowledge check

SET 63 · Taxes and Tax Filing

Types of taxes and how they work

MAIN skill: Identify major taxes and classify taxes as progressive, regressive, or proportional

Outcome FL.TAX.63 · National topic: Earning Income · NJSLS 9.1.12: EG

Learning target: 12-6b types of taxes; 12-6c purposes of taxes; 12-6a tax calculations

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: What taxes pay for (5 questions)
  - Why: Classifying taxes is easier once students connect taxes to the public services they fund.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Taxes are percents of a price, income, or value.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: State and local taxes in New Jersey (5 questions)
- Go Deeper 2: Who bears a tax, and fairness debates (5 questions)

Practical skills beyond the standards: New Jersey state and sales tax basics

Content status: time-sensitive

Source: New Jersey Division of Taxation (Income tax) — New Jersey has a state income tax (Form NJ-1040) with graduated rates. https://www.nj.gov/treasury/taxation/njit25.shtml

Answer key for this set: M-Q1 B, M-Q2 C, M-Q3 D, M-Q4 C, M-Q5 A, B1-Q1 B, B1-Q2 C, B1-Q3 B, B1-Q4 D, B1-Q5 B, F1-Q1 A, F1-Q2 D, F1-Q3 B, F1-Q4 B, F1-Q5 C, F2-Q1 A, F2-Q2 B, F2-Q3 D, F2-Q4 C, F2-Q5 A

MAIN — Identify major taxes and classify taxes as progressive, regressive, or proportional · Question 1 of 5

Learn: Governments collect several kinds of taxes: income taxes on earnings (federal and most states), payroll taxes for Social Security and Medicare, sales taxes on purchases (state and local), property taxes on real estate (local), and excise taxes on specific goods such as gasoline.

Which tax is charged when you buy a taxable item at a store?

A. Income tax on wages
B. Sales tax
C. Property tax on a home
D. Payroll tax for Social Security

CORRECT ANSWER

B. Sales tax

Feedback (shown after answering)

Sales tax is charged on purchases.

Why each other choice is wrong (misconception it represents)

A: Charged on earnings
C: Charged on owned property
D: Charged on wages

Type: instruction

MAIN — Identify major taxes and classify taxes as progressive, regressive, or proportional · Question 2 of 5

Learn: A progressive tax takes a larger percentage from higher incomes (the federal income tax). A proportional ("flat") tax takes the same percentage from everyone. A regressive tax takes a larger percentage of income from lower incomes, for example a sales tax on necessities.

Under a PROGRESSIVE tax, what happens as income rises?

A. The same percentage is paid at every income level
B. A smaller percentage is paid in tax
C. A larger percentage of income is paid in tax
D. Everyone pays the same dollar amount

CORRECT ANSWER

C. A larger percentage of income is paid in tax

Feedback (shown after answering)

Progressive taxes rise as a share of income when income rises.

Why each other choice is wrong (misconception it represents)

A: Describes a proportional (flat) tax
B: Describes a regressive tax
D: Describes a per-person (head) tax

Type: instruction

MAIN — Identify major taxes and classify taxes as progressive, regressive, or proportional · Question 3 of 5

Learn: To see whether a tax is regressive, compare the tax paid with each person's income.

Two people each buy $500 of taxable goods with a 6% sales tax. One earns $25,000 a year; the other earns $250,000. What percent of income does each pay in this tax?

A. 6% vs 6%
B. $30 vs $300
C. 0.012% vs 0.12%
D. 0.12% vs 0.012%

CORRECT ANSWER

D. 0.12% vs 0.012%

Feedback (shown after answering)

Tax: $500 × 0.06 = $30 each. $30 ÷ $25,000 = 0.12%; $30 ÷ $250,000 = 0.012%. The lower earner pays a larger share, so this is regressive.

Why each other choice is wrong (misconception it represents)

A: Uses the tax rate instead of share of income
B: Assumes the tax depends on income
C: Swaps the results

Type: instruction

MAIN — Identify major taxes and classify taxes as progressive, regressive, or proportional · Question 4 of 5

Learn: Property taxes fund local services such as schools, police, and roads. Yearly tax = assessed value × tax rate.

A town's property tax rate is 1.2% of a home's assessed value. What is the yearly tax on a home assessed at $350,000?

A. $420
B. $1,200
C. $4,200
D. $42,000

CORRECT ANSWER

C. $4,200

Feedback (shown after answering)

$350,000 × 0.012 = $4,200.

Recomputed independently by the build: 4200

Why each other choice is wrong (misconception it represents)

A: Uses 0.12%
B: Uses the rate as thousands
D: Uses 12%

Type: instruction

MAIN — Identify major taxes and classify taxes as progressive, regressive, or proportional · Question 5 of 5

Which tax pays for Social Security and Medicare?

A. Payroll taxes (FICA)
B. Sales tax
C. Property tax
D. Excise tax on gasoline

CORRECT ANSWER

A. Payroll taxes (FICA)

Feedback (shown after answering)

FICA payroll taxes on wages fund Social Security and Medicare.

Why each other choice is wrong (misconception it represents)

B: Funds states and towns
C: Funds local services
D: Funds specific programs

Type: knowledge check

BACKWARD B1 · concept review — What taxes pay for · Question 1 of 5

Learn: Taxes pay for public goods and services: schools, roads, police and fire departments, national defense, and programs such as Social Security and Medicare.

Which public service is commonly paid for with local property taxes?

A. A private gym membership
B. Public schools
C. A streaming service
D. A personal phone plan

CORRECT ANSWER

B. Public schools

Feedback (shown after answering)

Local property taxes often fund schools.

Why each other choice is wrong (misconception it represents)

A: Private
C: Private
D: Private

Type: instruction

BACKWARD B1 · concept review — What taxes pay for · Question 2 of 5

Why do governments collect taxes?

A. To make individual government officials rich
B. To lower everyone's income
C. To pay for public services and programs
D. To pay for private purchases

CORRECT ANSWER

C. To pay for public services and programs

Feedback (shown after answering)

Taxes fund services that governments provide.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Misunderstands
D: Misunderstands

Type: knowledge check

BACKWARD B1 · concept review — What taxes pay for · Question 3 of 5

Learn: There is no general federal sales tax; most states and some localities charge sales taxes.

Which government level usually collects sales tax?

A. Only the federal government
B. State and sometimes local governments
C. Private companies, for their own use only
D. Schools directly

CORRECT ANSWER

B. State and sometimes local governments

Feedback (shown after answering)

Sales taxes are state and local.

Why each other choice is wrong (misconception it represents)

A: No federal sales tax
C: Misunderstands
D: Misunderstands

Type: instruction

BACKWARD B1 · concept review — What taxes pay for · Question 4 of 5

Learn: Excise taxes apply to particular products, often included in the price.

An excise tax is charged on…

A. all wages
B. the value of a house
C. every bank deposit
D. specific goods, such as gasoline or tobacco

CORRECT ANSWER

D. specific goods, such as gasoline or tobacco

Feedback (shown after answering)

Excise taxes target specific goods.

Why each other choice is wrong (misconception it represents)

A: Payroll tax
B: Property tax
C: Not a tax

Type: instruction

BACKWARD B1 · concept review — What taxes pay for · Question 5 of 5

Learn: Tax at a rate = amount × rate.

What is 6% of $40?

A. $0.24
B. $2.40
C. $24.00
D. $42.40

CORRECT ANSWER

B. $2.40

Feedback (shown after answering)

$40 × 0.06 = $2.40.

Recomputed independently by the build: 2.4

Why each other choice is wrong (misconception it represents)

A: Uses 0.6%
C: Uses 60%
D: Adds

Type: instruction

GO DEEPER 1 — State and local taxes in New Jersey · Question 1 of 5

Learn: Most states, including New Jersey, have their own income tax and their own return, filed in addition to the federal Form 1040. State return forms usually carry the state's abbreviation in their name.

New Jersey has a state income tax. Which form do New Jersey residents use to file it?

A. Form NJ-1040
B. Form W-4
C. Form 1099-NEC
D. Form W-2

CORRECT ANSWER

A. Form NJ-1040

Feedback (shown after answering)

New Jersey residents file the NJ-1040.

Why each other choice is wrong (misconception it represents)

B: Federal withholding form
C: Reports contractor pay
D: Employer wage statement

Type: instruction · rule as of New Jersey rules as of 2026

GO DEEPER 1 — State and local taxes in New Jersey · Question 2 of 5

Learn: New Jersey exempts most clothing and footwear and most grocery food from its 6.625% sales tax.

In New Jersey, which purchase is generally EXEMPT from sales tax?

A. A laptop computer
B. A video game console
C. A desk lamp
D. A pair of jeans

CORRECT ANSWER

D. A pair of jeans

Feedback (shown after answering)

Most clothing is exempt from New Jersey sales tax.

Why each other choice is wrong (misconception it represents)

A: Taxable
B: Taxable
C: Taxable

Type: instruction · rule as of New Jersey rules as of 2026

GO DEEPER 1 — State and local taxes in New Jersey · Question 3 of 5

Learn: New Jersey's general sales tax rate is 6.625%.

A New Jersey shopper buys a $120 taxable tablet. At 6.625%, what is the sales tax (nearest cent)?

A. $7.20
B. $7.95
C. $79.50
D. $127.95

CORRECT ANSWER

B. $7.95

Feedback (shown after answering)

$120 × 0.06625 = $7.95.

Recomputed independently by the build: 7.95

Why each other choice is wrong (misconception it represents)

A: Uses 6%
C: Misplaces the decimal
D: Gives the total

Type: instruction · rule as of New Jersey rate as of 2026

GO DEEPER 1 — State and local taxes in New Jersey · Question 4 of 5

Learn: States choose different mixes of taxes.

Some states have NO state income tax. How do such states usually raise money instead?

A. They print money
B. Through higher sales, property, or other taxes
C. They have no services
D. They borrow money from other states to make up the gap

CORRECT ANSWER

B. Through higher sales, property, or other taxes

Feedback (shown after answering)

States without income taxes rely more on other taxes.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
C: Ignores other revenue
D: Misunderstands state finance

Type: instruction

GO DEEPER 1 — State and local taxes in New Jersey · Question 5 of 5

Why should a student moving to another state check its tax rules?

A. Federal taxes change by state
B. Taxes are the same everywhere
C. Income, sales, and property taxes differ by state
D. Students never pay state taxes

CORRECT ANSWER

C. Income, sales, and property taxes differ by state

Feedback (shown after answering)

State tax rules vary and affect budgets.

Why each other choice is wrong (misconception it represents)

A: Federal rules are national
B: Ignores state differences
D: Believes students are exempt

Type: knowledge check

GO DEEPER 2 — Who bears a tax, and fairness debates · Question 1 of 5

Learn: Three patterns: a progressive tax takes a larger share of income as income rises; a regressive tax takes a larger share from lower incomes; a proportional tax takes the same share from everyone.

A flat tax of 10% on all income is an example of which kind of tax?

A. Proportional
B. Progressive tax
C. Regressive
D. Excise

CORRECT ANSWER

A. Proportional

Feedback (shown after answering)

Same rate for all = proportional.

Why each other choice is wrong (misconception it represents)

B: Rate would rise with income
C: Share would fall with income
D: Applies to particular goods

Type: instruction

GO DEEPER 2 — Who bears a tax, and fairness debates · Question 2 of 5

Learn: Under a flat tax, tax = income × the same rate for everyone.

Under a 10% flat tax, how much does someone earning $30,000 pay, and someone earning $300,000?

A. $3,000 and $3,000
B. $3,000 and $30,000
C. $30,000 and $3,000
D. $300 and $3,000

CORRECT ANSWER

B. $3,000 and $30,000

Feedback (shown after answering)

10% of each income: $3,000 and $30,000.

Recomputed independently by the build: 30000

Why each other choice is wrong (misconception it represents)

A: Same dollars
C: Swapped
D: Uses 1%

Type: instruction

GO DEEPER 2 — Who bears a tax, and fairness debates · Question 3 of 5

Learn: When lower-income households spend more of their income on taxed items, the tax takes a larger share of their income.

Why are taxes on necessities often called regressive?

A. Necessities are taxed at higher rates
B. Necessities are taxed only for low-income buyers
C. Necessities are never taxed
D. Lower-income households spend a larger share of income on necessities

CORRECT ANSWER

D. Lower-income households spend a larger share of income on necessities

Feedback (shown after answering)

The same dollar tax is a bigger share of a smaller income.

Why each other choice is wrong (misconception it represents)

A: Not the reason
B: Confuses who pays with how much it weighs
C: Overgeneralizes exemptions

Type: instruction

GO DEEPER 2 — Who bears a tax, and fairness debates · Question 4 of 5

Which tax is MOST visible to young workers on every paycheck?

A. Estate taxes
B. Corporate income taxes
C. Payroll (FICA) taxes and income tax withholding
D. Import tariffs

CORRECT ANSWER

C. Payroll (FICA) taxes and income tax withholding

Feedback (shown after answering)

Pay stubs show FICA and income tax withholding each period.

Why each other choice is wrong (misconception it represents)

A: Rare
B: Not on paychecks
D: Not on paychecks

Type: knowledge check

GO DEEPER 2 — Who bears a tax, and fairness debates · Question 5 of 5

Learn: When buyers have few alternatives, more of a tax is passed on to them in prices.

Economists say a gasoline excise tax is partly paid by consumers through higher prices. Why might drivers keep buying gas anyway?

A. Many need it to get to work, so demand changes little
B. Gas stations must absorb the whole tax by law
C. The tax is refunded at the pump
D. Drivers do not notice prices

CORRECT ANSWER

A. Many need it to get to work, so demand changes little

Feedback (shown after answering)

Necessary goods have less flexible demand, so taxes pass through to buyers.

Why each other choice is wrong (misconception it represents)

B: Believes sellers pay all of it
C: Invents a refund
D: Overgeneralizes

Type: instruction

SET 64 · Taxes and Tax Filing

Tax forms: W-2, 1099s, and Form 1040

MAIN skill: Identify the tax forms workers receive and file

Outcome FL.TAX.64 · National topic: Earning Income · NJSLS 9.1.12: EG

Learning target: Identify tax forms associated with earning income and filing a tax return

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Information forms versus the tax return (5 questions)
  Why: Students must see W-2s and 1099s as inputs to the 1040, not separate bills.
- B2 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  Why: Totaling income from several forms adds amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Reading a W-2 box by box (5 questions)
- Go Deeper 2: Other common tax forms (5 questions)

Practical skills beyond the standards: Reading a W-2 box by box

Content status: time-sensitive

Source: IRS — Form 1040 is the individual income tax return; employers issue Form W-2; payers issue Forms 1099 for other income. https://www.irs.gov/forms-instructions

Answer key for this set: M-Q1 B, M-Q2 A, M-Q3 C, M-Q4 D, M-Q5 A, B1-Q1 B, B1-Q2 C, B1-Q3 D, B1-Q4 C, B1-Q5 C, F1-Q1 A, F1-Q2 C, F1-Q3 B, F1-Q4 B, F1-Q5 D, F2-Q1 D, F2-Q2 B, F2-Q3 C, F2-Q4 A, F2-Q5 A

MAIN — Identify the tax forms workers receive and file · Question 1 of 5

Learn: At tax time, you gather forms that report your income: Form W-2 from each employer (wages and taxes withheld); Forms 1099 from others, such as 1099-NEC for contract work, 1099-INT for interest, and 1099-DIV for dividends. You then file Form 1040, the federal individual income tax return.

Kayla had a part-time job at a store. Which form will her employer send showing her wages and taxes withheld for the year?

A. Form 1099-NEC
B. Form W-2
C. Form W-4
D. Form 1040

CORRECT ANSWER

B. Form W-2

Feedback (shown after answering)

Employers send Form W-2.

Why each other choice is wrong (misconception it represents)

A: Used for independent contractors
C: Used to set withholding
D: The tax return she files

Type: instruction

MAIN — Identify the tax forms workers receive and file · Question 2 of 5

Learn: Businesses may report payments to independent contractors on Form 1099-NEC (nonemployee compensation).

Ravi did freelance graphic design for a business. Which form might the business send him?

A. Form 1099-NEC
B. Form W-2
C. Form W-4
D. Form 1098-T (tuition)

CORRECT ANSWER

A. Form 1099-NEC

Feedback (shown after answering)

Contractor pay is reported on Form 1099-NEC.

Why each other choice is wrong (misconception it represents)

B: For employees
C: For setting withholding
D: Tuition statement

Type: instruction

MAIN — Identify the tax forms workers receive and file · Question 3 of 5

Which form is the federal individual income tax return itself?

A. Form W-2
B. Form 1099-INT
C. Form 1040
D. Form W-4

CORRECT ANSWER

C. Form 1040

Feedback (shown after answering)

Form 1040 is the return; W-2s and 1099s are information forms.

Why each other choice is wrong (misconception it represents)

A: Reports wages
B: Reports interest
D: Sets withholding

Type: knowledge check

MAIN — Identify the tax forms workers receive and file · Question 4 of 5

Learn: Form W-2 boxes: Box 1 shows taxable wages; Box 2 shows federal income tax withheld; other boxes show Social Security and Medicare wages and taxes, and state amounts.

Kayla's W-2 shows Box 1 wages of $8,400 and Box 2 federal income tax withheld of $310. What does the $310 represent?

A. Her total tax bill for the year, which she must pay again
B. Social Security tax only
C. A refund already sent to her
D. Federal income tax already paid through withholding

CORRECT ANSWER

D. Federal income tax already paid through withholding

Feedback (shown after answering)

Box 2 is federal income tax withheld; it counts toward her tax when she files.

Why each other choice is wrong (misconception it represents)

A: Double counts
B: Different box
C: Misreads

Type: instruction · practical how-to

MAIN — Identify the tax forms workers receive and file · Question 5 of 5

Kayla earned $45 of interest from her savings account. Which form reports it?

A. Form 1099-INT
B. Form 1099-DIV
C. Form W-2
D. Form 1099-NEC

CORRECT ANSWER

A. Form 1099-INT

Feedback (shown after answering)

Bank interest is reported on Form 1099-INT.

Why each other choice is wrong (misconception it represents)

B: Dividends
C: Wages
D: Contractor pay

Type: knowledge check

BACKWARD B1 · concept review — Information forms versus the tax return · Question 1 of 5

Learn: Information forms report income to you and the IRS. You use them to complete your return.

What does an "information form" like a W-2 do?

A. It is a bill that must be paid by April
B. It reports income and amounts withheld
C. It is a refund check
D. It sets next year's salary

CORRECT ANSWER

B. It reports income and amounts withheld

Feedback (shown after answering)

Information forms report numbers used on your return.

Why each other choice is wrong (misconception it represents)

A: Misreads
C: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Information forms versus the tax return · Question 2 of 5

Learn: Each person (or married couple) files their own Form 1040.

Who files Form 1040?

A. The employer
B. The bank
C. The taxpayer
D. The school

CORRECT ANSWER

C. The taxpayer

Feedback (shown after answering)

Taxpayers file their own returns.

Why each other choice is wrong (misconception it represents)

A: Employers file W-2s
B: Banks file 1099-INTs
D: Not a filer

Type: instruction

BACKWARD B1 · concept review — Information forms versus the tax return · Question 3 of 5

Learn: Every W-2 and 1099 reports income that belongs on the return.

Kayla has two W-2s from two jobs. How many should she use when filing?

A. Only the larger one
B. Neither
C. Only the first one received
D. Both

CORRECT ANSWER

D. Both

Feedback (shown after answering)

All income must be reported, so both W-2s are used.

Why each other choice is wrong (misconception it represents)

A: Leaves out income
B: Leaves out income
C: Leaves out income

Type: instruction

BACKWARD B1 · concept review — Information forms versus the tax return · Question 4 of 5

Wages of $3,200 and $5,200 from two W-2s total how much?

A. $2,000
B. $5,200
C. $8,400
D. $16,640,000

CORRECT ANSWER

C. $8,400

Feedback (shown after answering)

$3,200 + $5,200 = $8,400.

Recomputed independently by the build: 8400

Why each other choice is wrong (misconception it represents)

A: Subtracts
B: Uses one
D: Multiplies

Type: knowledge check

BACKWARD B1 · concept review — Information forms versus the tax return · Question 5 of 5

When should most workers expect to receive their W-2s?

A. In July
B. With every paycheck
C. By early February (employers generally must send them by January 31)
D. Only if they ask

CORRECT ANSWER

C. By early February (employers generally must send them by January 31)

Feedback (shown after answering)

Employers generally must furnish W-2s by January 31 (or the next business day if it falls on a weekend or holiday).

Why each other choice is wrong (misconception it represents)

A: Too late
B: Confuses with a pay stub
D: Employers must send them

Type: knowledge check

GO DEEPER 1 — Reading a W-2 box by box · Question 1 of 5

Learn: Box 1 shows wages subject to federal income tax. Box 3 shows wages subject to Social Security tax. Traditional 401(k) contributions lower Box 1 but not Box 3.

Ana's W-2 is correct. It shows Box 1 wages $28,500 and Box 3 Social Security wages $30,000, and she made $1,500 of traditional (pre-tax) 401(k) contributions. Why is Box 1 lower?

A. Pre-tax 401(k) contributions reduce Box 1 but not Box 3
B. Box 1 leaves out her overtime pay
C. Box 3 includes her tips only
D. Box 1 is always half of Box 3

CORRECT ANSWER

A. Pre-tax 401(k) contributions reduce Box 1 but not Box 3

Feedback (shown after answering)

$30,000 − $1,500 pre-tax 401(k) = $28,500 in Box 1.

Why each other choice is wrong (misconception it represents)

B: Invents a rule about overtime
C: Misreads Box 3
D: Misreads

Type: instruction

GO DEEPER 1 — Reading a W-2 box by box · Question 2 of 5

Learn: Box 4 shows the Social Security tax withheld: Box 3 wages × 6.2%.

Box 3 Social Security wages are $30,000. What should Box 4 (Social Security tax withheld at 6.2%) show?

A. $186
B. $435
C. $1,860
D. $4,590

CORRECT ANSWER

C. $1,860

Feedback (shown after answering)

$30,000 × 0.062 = $1,860.

Recomputed independently by the build: 1860

Why each other choice is wrong (misconception it represents)

A: Uses 0.62%
B: Uses the Medicare rate
D: Uses 15.3%

Type: instruction

GO DEEPER 1 — Reading a W-2 box by box · Question 3 of 5

Learn: Box 6 shows Medicare tax withheld: Box 5 wages × 1.45%.

Box 5 Medicare wages are $30,000. What should Box 6 (Medicare tax at 1.45%) show?

A. $43.50
B. $435
C. $1,860
D. $4,350

CORRECT ANSWER

B. $435

Feedback (shown after answering)

$30,000 × 0.0145 = $435.

Recomputed independently by the build: 435

Why each other choice is wrong (misconception it represents)

A: Uses 0.145%
C: Uses the Social Security rate
D: Uses 14.5%

Type: instruction

GO DEEPER 1 — Reading a W-2 box by box · Question 4 of 5

Learn: The bottom of the W-2 reports state and local wages and taxes.

Which W-2 boxes show state wages and state income tax?

A. Boxes 1 and 2
B. Boxes 16 and 17
C. Boxes 3 and 4 only
D. Boxes 5 and 6

CORRECT ANSWER

B. Boxes 16 and 17

Feedback (shown after answering)

Boxes 16–17 report state wages and tax.

Why each other choice is wrong (misconception it represents)

A: Federal
C: Social Security
D: Medicare

Type: instruction · practical how-to

GO DEEPER 1 — Reading a W-2 box by box · Question 5 of 5

Learn: Employers issue corrected W-2s (Form W-2c) for errors.

Kayla's W-2 has the wrong Social Security number. What should she do?

A. File with the wrong number
B. Change the number on the form by hand
C. Ignore it
D. Ask her employer for a corrected W-2

CORRECT ANSWER

D. Ask her employer for a corrected W-2

Feedback (shown after answering)

The employer must issue a corrected W-2 (W-2c).

Why each other choice is wrong (misconception it represents)

A: Causes problems
B: Not proper
C: Causes problems

Type: instruction · practical how-to

GO DEEPER 2 — Other common tax forms · Question 1 of 5

Learn: Form 1098-T reports qualified tuition and related expenses, which can help claim education credits.

A college sends a student Form 1098-T. What does it report?

A. Wages from a campus job
B. Interest she paid on student loans during the year
C. Gifts from relatives
D. Tuition and related expenses for education credits

CORRECT ANSWER

D. Tuition and related expenses for education credits

Feedback (shown after answering)

1098-T supports education credits.

Why each other choice is wrong (misconception it represents)

A: W-2
B: Form 1098-E
C: Not reported

Type: instruction

GO DEEPER 2 — Other common tax forms · Question 2 of 5

Learn: Payment platforms report payments for goods and services on Form 1099-K. Personal gifts and reimbursements between friends are not income.

A payment app sends Form 1099-K. What does it report?

A. Money sent to friends as gifts
B. Payments received through the app for goods or services
C. Your bank balance
D. Your credit card limit

CORRECT ANSWER

B. Payments received through the app for goods or services

Feedback (shown after answering)

1099-K reports business payments received through platforms.

Why each other choice is wrong (misconception it represents)

A: Personal transfers are not income
C: Not reported
D: Not reported

Type: instruction

GO DEEPER 2 — Other common tax forms · Question 3 of 5

Learn: Brokers send 1099-DIV for dividends, 1099-INT for interest, and 1099-B for sales.

Which form reports dividends from a brokerage account?

A. Form 1099-INT
B. Form 1099-B
C. Form 1099-DIV
D. Form W-2

CORRECT ANSWER

C. Form 1099-DIV

Feedback (shown after answering)

Dividends are on 1099-DIV.

Why each other choice is wrong (misconception it represents)

A: Interest
B: Sales
D: Wages

Type: instruction

GO DEEPER 2 — Other common tax forms · Question 4 of 5

Learn: Retirement accounts send two common forms: Form 5498 reports contributions made to an IRA, and Form 1099-R reports money taken out (distributions).

Which form reports a distribution from an IRA or 401(k)?

A. Form 1099-R
B. Form 5498
C. Form W-4
D. Form 1099-NEC

CORRECT ANSWER

A. Form 1099-R

Feedback (shown after answering)

Retirement distributions are reported on Form 1099-R.

Why each other choice is wrong (misconception it represents)

B: Reports contributions, not withdrawals
C: Sets withholding
D: Reports contractor pay

Type: instruction

GO DEEPER 2 — Other common tax forms · Question 5 of 5

Learn: Income is reportable whether or not you receive a form.

Kayla receives no 1099 for $300 of babysitting income. Must she report it if she files?

A. Yes; income is reportable even without a form
B. No; only income reported on a tax form counts
C. No; babysitting is never income
D. Only if over $10,000

CORRECT ANSWER

A. Yes; income is reportable even without a form

Feedback (shown after answering)

All income is reportable, form or no form.

Why each other choice is wrong (misconception it represents)

B: Misunderstands
C: Believes informal work is exempt
D: Invents a threshold

Type: instruction

SET 65 · Taxes and Tax Filing

Filing requirements, filing status, and dependents

MAIN skill: Decide whether to file, choose a filing status, and explain dependency

Outcome FL.TAX.65 · National topic: Earning Income · NJSLS 9.1.12: EG

Learning target: Explain filing requirements, filing status, and dependency for income tax

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Who files and why (5 questions)
  - Why: Filing decisions depend on knowing what a tax return does.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Refunds and balances due compare amounts withheld and owed.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Head of household and other statuses (5 questions)
- Go Deeper 2: Dependents who work (5 questions)

Practical skills beyond the standards: Filing to claim a refund of withholding

Content status: time-sensitive

Source: IRS (Interactive Tax Assistant: Do I need to file?) — Filing requirements depend on income, filing status, age, and dependency; people may file to get a refund of withheld tax even when not required. https://www.irs.gov/help/ita/do-i-need-to-file-a-tax-return

Note: Deduction and threshold amounts are hypothetical for each scenario; check irs.gov for the current year.

Answer key for this set: M-Q1 C, M-Q2 D, M-Q3 B, M-Q4 C, M-Q5 D, B1-Q1 B, B1-Q2 A, B1-Q3 A, B1-Q4 D, B1-Q5 C, F1-Q1 B, F1-Q2 A, F1-Q3 A, F1-Q4 C, F1-Q5 D, F2-Q1 C, F2-Q2 A, F2-Q3 B, F2-Q4 B, F2-Q5 C

MAIN — Decide whether to file, choose a filing status, and explain dependency · Question 1 of 5

Learn: Whether you must file depends on your income, filing status, age, and whether someone can claim you as a dependent. Even if you are not required to file, filing can get you a refund of tax that was withheld.

Kayla earned $3,000, and $180 of federal income tax was withheld. Her income is below the filing requirement. Why might she file anyway?

A. Because filing always raises taxes
B. Because the IRS fines everyone who does not file
C. To get the $180 of withheld tax back as a refund
D. To receive her W-2

CORRECT ANSWER

C. To get the $180 of withheld tax back as a refund

Feedback (shown after answering)

Filing lets her claim a refund of the $180 withheld.

Recomputed independently by the build: 180

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Overstates
D: W-2 comes from the employer

Type: instruction

MAIN — Decide whether to file, choose a filing status, and explain dependency · Question 2 of 5

Learn: Filing status affects tax brackets and the standard deduction. Statuses include single, married filing jointly, married filing separately, head of household, and qualifying surviving spouse.

Which filing status fits an unmarried person with no dependents?

A. Married filing jointly
B. Head of household
C. Qualifying surviving spouse
D. Single

CORRECT ANSWER

D. Single

Feedback (shown after answering)

An unmarried person with no dependents files as single.

Why each other choice is wrong (misconception it represents)

A: Requires marriage
B: Requires a qualifying person and paying most household costs
C: Requires a deceased spouse and dependent child

Type: instruction

MAIN — Decide whether to file, choose a filing status, and explain dependency · Question 3 of 5

Learn: A dependent is a person, such as a child, whom another taxpayer can claim. Dependents can still file their own returns (for example, to get a refund). They indicate that someone can claim them, and their standard deduction may be limited, often based on their earned income up to a yearly cap.

Jordan, 17, lives with his parents, who pay most of his support. What does it usually mean that his parents can claim him as a dependent?

A. Jordan cannot file a return at all
B. They may get tax benefits for him, and he checks that he can be claimed on his own return
C. Jordan pays his parents' taxes
D. Jordan's wages are added to his parents' W-2

CORRECT ANSWER

B. They may get tax benefits for him, and he checks that he can be claimed on his own return

Feedback (shown after answering)

Dependents can file, but they must note that someone can claim them.

Why each other choice is wrong (misconception it represents)

A: Dependents can file
C: Misreads
D: Misreads

Type: instruction

MAIN — Decide whether to file, choose a filing status, and explain dependency · Question 4 of 5

Learn: Married couples can file jointly (one return together) or separately. Joint filing usually results in lower combined tax.

Married couples usually choose which filing status for the lowest combined tax?

A. Single
B. Head of household
C. Married filing jointly
D. Married filing separately in every case

CORRECT ANSWER

C. Married filing jointly

Feedback (shown after answering)

Joint filing usually produces the lower combined tax for married couples.

Why each other choice is wrong (misconception it represents)

A: Not available to married people
B: Generally not for married people living together
D: Usually costs more

Type: instruction

MAIN — Decide whether to file, choose a filing status, and explain dependency · Question 5 of 5

Kayla's income was $3,000 and $180 was withheld. She does not file. What happens to the $180?

A. The IRS mails it automatically
B. Her employer returns it
C. It is applied automatically to her parents' taxes
D. She does not get it back unless she files

CORRECT ANSWER

D. She does not get it back unless she files

Feedback (shown after answering)

Refunds generally require filing a return (within the time allowed).

Why each other choice is wrong (misconception it represents)

A: Refunds require a return
B: Employer sent it to the IRS
C: Confuses a dependent's withholding with the parents'

Type: knowledge check

BACKWARD B1 · concept review — Who files and why · Question 1 of 5

Learn: A tax return reports income, figures the tax owed for the year, and compares it with what was already paid (withholding), resulting in a refund or a balance due.

What does filing a tax return do?

A. It pays a fixed fee to the IRS
B. It calculates the year's tax and settles up with what was paid
C. It pays the year's tax for the first time
D. It is required only to get a refund

CORRECT ANSWER

B. It calculates the year's tax and settles up with what was paid

Feedback (shown after answering)

The return settles the year's tax.

Why each other choice is wrong (misconception it represents)

A: Misunderstands
C: Ignores withholding already paid
D: Misses filing requirements

Type: instruction

BACKWARD B1 · concept review — Who files and why · Question 2 of 5

Learn: Refund = amount paid (withheld) − tax owed, when positive.

If $500 was withheld and the actual tax is $200, what does filing produce?

A. A $300 refund
B. A $300 bill
C. A $700 refund
D. Nothing

CORRECT ANSWER

A. A $300 refund

Feedback (shown after answering)

$500 − $200 = $300 refund.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Adds
D: Ignores the difference

Type: instruction

BACKWARD B1 · concept review — Who files and why · Question 3 of 5

Learn: Marital status on December 31 is a key factor for filing status.

Which question helps decide filing status?

A. Were you married on the last day of the year?
B. How much did you earn this year?
C. Did you get a refund last year?
D. What was your credit score at the end of the year?

CORRECT ANSWER

A. Were you married on the last day of the year?

Feedback (shown after answering)

Marital status at year end shapes filing status.

Why each other choice is wrong (misconception it represents)

B: Income affects the tax, not the status
C: Last year's refund does not set status
D: Confuses credit with taxes

Type: instruction

BACKWARD B1 · concept review — Who files and why · Question 4 of 5

Learn: Dependents can and sometimes must file their own returns.

Can a dependent teen file her own tax return?

A. No, never
B. Only after age 21
C. Only if her parents do not file
D. Yes

CORRECT ANSWER

D. Yes

Feedback (shown after answering)

Dependents can file their own returns.

Why each other choice is wrong (misconception it represents)

A: Believes dependents cannot file
B: Invents an age rule
C: Invents a condition

Type: instruction

BACKWARD B1 · concept review — Who files and why · Question 5 of 5

What is a "dependent"?

A. Anyone who has a job
B. A type of bank account
C. A person another taxpayer can claim, such as a child
D. A person who owes taxes

CORRECT ANSWER

C. A person another taxpayer can claim, such as a child

Feedback (shown after answering)

Dependents are people, usually children or relatives, whom a taxpayer can claim.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
D: Misreads

Type: knowledge check

GO DEEPER 1 — Head of household and other statuses · Question 1 of 5

Learn: Head of household is for unmarried taxpayers who pay more than half the cost of a home for themselves and a qualifying person. It has a larger standard deduction and wider brackets than single.

Rosa is unmarried, pays more than half the cost of keeping up a home, and her son lives with her. Which status may she qualify for?

A. Single
B. Head of household
C. Married filing jointly
D. Married filing separately

CORRECT ANSWER

B. Head of household

Feedback (shown after answering)

She meets the main tests for head of household.

Why each other choice is wrong (misconception it represents)

A: May qualify for better status
C: Not married
D: Not married

Type: instruction

GO DEEPER 1 — Head of household and other statuses · Question 2 of 5

Learn: Each filing status has its own standard deduction and bracket thresholds, which are used to figure the tax on the return. (A W-4 also asks for a status, but that only sets withholding during the year.)

How does filing status affect the calculation of the final tax on a federal return?

A. It sets the standard deduction and tax brackets used
B. It sets the employer's pay rate
C. It changes which forms the employer uses
D. It has no effect on the tax calculation

CORRECT ANSWER

A. It sets the standard deduction and tax brackets used

Feedback (shown after answering)

Status changes the deduction and brackets, and so the tax.

Why each other choice is wrong (misconception it represents)

B: Confuses taxes with wages
C: Misunderstands who uses filing status
D: Ignores deductions and brackets

Type: instruction

GO DEEPER 1 — Head of household and other statuses · Question 3 of 5

Learn: The standard deduction is an amount subtracted from income before tax is figured; it depends on filing status. Amounts change yearly; these are stated for this scenario.

For this scenario, assume the standard deduction is $15,000 for single and $22,500 for head of household. How much more income does head of household shield from tax?

A. $7,500
B. $15,000
C. $22,500
D. $37,500

CORRECT ANSWER

A. $7,500

Feedback (shown after answering)

$22,500 − $15,000 = $7,500.

Recomputed independently by the build: 7500

Why each other choice is wrong (misconception it represents)

B: Gives the single deduction
C: Gives the HoH deduction
D: Adds

Type: instruction · rule as of Hypothetical amounts for this scenario

GO DEEPER 1 — Head of household and other statuses · Question 4 of 5

Learn: Married filing separately usually costs more tax but can make sense in some situations.

A married person filing separately often loses some credits. Why might a couple still choose it?

A. It always lowers total tax
B. It is required for newlyweds
C. Special situations, such as keeping finances separate
D. It doubles the standard deduction

CORRECT ANSWER

C. Special situations, such as keeping finances separate

Feedback (shown after answering)

Some couples file separately for legal or financial reasons, accepting higher tax.

Why each other choice is wrong (misconception it represents)

A: Usually untrue
B: Invents a rule
D: Misreads the rules

Type: instruction

GO DEEPER 1 — Head of household and other statuses · Question 5 of 5

Learn: The IRS offers free interactive tools ("Interactive Tax Assistant") and instructions on irs.gov.

Which tool can help decide filing status?

A. A social media poll
B. Her employer's HR office
C. Last year's return, copied as is
D. The IRS's free online filing-status tool and instructions

CORRECT ANSWER

D. The IRS's free online filing-status tool and instructions

Feedback (shown after answering)

IRS tools walk through the filing status rules.

Why each other choice is wrong (misconception it represents)

A: Unreliable
B: HR handles payroll, not filing status
C: Ignores changes in her situation

Type: instruction · practical how-to

GO DEEPER 2 — Dependents who work · Question 1 of 5

Learn: A dependent's standard deduction may be limited, often to earned income plus a small amount, up to the regular cap. Some dependents with enough earnings reach the same cap as anyone else. Amounts change yearly; these are stated for this scenario.

A dependent's standard deduction is limited when they can be claimed by someone else. For this scenario, assume it equals the greater of $1,350 or earned income plus $450 (up to $15,000). Kayla earned $3,000. What is her standard deduction?

A. $1,350
B. $3,000
C. $3,450
D. $15,000

CORRECT ANSWER

C. $3,450

Feedback (shown after answering)

$3,000 + $450 = $3,450, which is more than $1,350 and less than $15,000.

Recomputed independently by the build: 3450

Why each other choice is wrong (misconception it represents)

A: Uses the minimum
B: Leaves out the $450
D: Uses the full single amount

Type: instruction · rule as of Hypothetical amounts for this scenario

GO DEEPER 2 — Dependents who work · Question 2 of 5

Learn: Taxable income = income − deductions, but never below zero.

Kayla earned $3,000 and her standard deduction is $3,450. What is her taxable income?

A. $0
B. $450
C. $3,000
D. $6,450

CORRECT ANSWER

A. $0

Feedback (shown after answering)

$3,000 − $3,450 is below zero, so taxable income is $0.

Recomputed independently by the build: 0

Why each other choice is wrong (misconception it represents)

B: Subtracts the wrong way
C: Ignores the deduction
D: Adds

Type: instruction

GO DEEPER 2 — Dependents who work · Question 3 of 5

Learn: Withholding counts as tax already paid. If the tax owed is $0, the withheld amount can be refunded when you file.

With $0 taxable income, what federal income tax does Kayla owe, and what happens to the $180 withheld?

A. $180 owed again
B. $0 owed; she can get the $180 back by filing
C. $450 owed
D. $0 owed, and the $180 that was withheld is lost

CORRECT ANSWER

B. $0 owed; she can get the $180 back by filing

Feedback (shown after answering)

No tax is owed, so the full $180 withheld is refunded when she files.

Why each other choice is wrong (misconception it represents)

A: Double counts
C: Misreads
D: Ignores the refund

Type: instruction

GO DEEPER 2 — Dependents who work · Question 4 of 5

Learn: FICA (Social Security and Medicare) taxes are separate from income tax. Owing no income tax does not make them refundable; only income tax that was withheld beyond what is owed comes back.

Kayla owes $0 of federal income tax this year, but Social Security and Medicare (FICA) taxes were withheld from her $3,000 of wages. Are those FICA taxes refunded when she files?

A. Yes, always, along with any income tax withheld
B. No; FICA taxes are not refunded just because income tax is $0
C. Only if she asks her employer
D. Only for teens under 18

CORRECT ANSWER

B. No; FICA taxes are not refunded just because income tax is $0

Feedback (shown after answering)

FICA is separate from income tax and is not refunded because income tax is $0.

Why each other choice is wrong (misconception it represents)

A: Treats FICA like income tax withholding
C: Misunderstands who handles it
D: Invents an age rule

Type: instruction

GO DEEPER 2 — Dependents who work · Question 5 of 5

Why should Kayla check "someone can claim you as a dependent" on her return?

A. To get a larger refund illegally
B. To avoid paying FICA
C. To use the correct standard deduction and avoid conflicts with her parents' return
D. Because it raises her refund

CORRECT ANSWER

C. To use the correct standard deduction and avoid conflicts with her parents' return

Feedback (shown after answering)

Answering accurately prevents errors and conflicting claims.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Confuses income tax with payroll tax
D: Misunderstands the effect

Type: knowledge check · practical how-to

SET 66 · Taxes and Tax Filing

From gross income to taxable income

MAIN skill: Calculate adjusted gross income and taxable income using adjustments and deductions

Outcome FL.TAX.66 · National topic: Earning Income · NJSLS 9.1.12: EG

Learning target: Calculate taxable income from gross income using adjustments and deductions

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Subtracting in steps (5 questions)
  - Why: Taxable income comes from a sequence of subtractions; students must apply them in order.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: AGI and taxable income come from subtracting adjustments and deductions.
- B3 · Math link → G8-S18-M (Grade 8 8.EE.C.7.b): Write and solve linear equations with rational coefficients for real-world problems
  - Why: Taxable income = income − adjustments − deduction is a linear relationship.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Itemized deductions (5 questions)
- Go Deeper 2: Adjustments and AGI (5 questions)

Practical skills beyond the standards: Choosing standard vs itemized deductions

Content status: time-sensitive

Source: IRS (Federal income tax rates and brackets) — The U.S. uses progressive marginal brackets; bracket thresholds and the standard deduction change every year. This course uses stated hypothetical amounts.
https://www.irs.gov/filing/federal-income-tax-rates-and-brackets

Source: IRS (Working Families Tax Cuts) — Beginning in tax year 2026, taxpayers who do not itemize can deduct up to $1,000 ($2,000 married filing jointly) of eligible cash gifts to qualified charities.
https://www.irs.gov/newsroom/working-families-tax-cuts

Note: Standard deduction and other amounts are hypothetical for each scenario; check irs.gov for the current year.

Answer key for this set: M-Q1 B, M-Q2 B, M-Q3 A, M-Q4 D, M-Q5 A, B1-Q1 A, B1-Q2 B, B1-Q3 C, B1-Q4 A, B1-Q5 D, F1-Q1 D, F1-Q2 A, F1-Q3 B, F1-Q4 D, F1-Q5 B, F2-Q1 C, F2-Q2 B, F2-Q3 D, F2-Q4 A, F2-Q5 A

MAIN — Calculate adjusted gross income and taxable income using adjustments and deductions · Question 1 of 5

Learn: Taxable income is the income that tax rates are applied to. In simplified form: total (gross) income − adjustments = adjusted gross income (AGI); AGI − deductions = taxable income. Deductions are the standard deduction or itemized deductions, plus some newer deductions allowed without itemizing (such as, starting in 2026, a limited charitable deduction). This example has none of those extras.

For this scenario, assume the standard deduction for a single filer is $15,000, and Omar has no adjustments and no other deductions. His total income is $55,000. What is his taxable income?

A. $15,000
B. $40,000
C. $55,000
D. $70,000

CORRECT ANSWER

B. $40,000

Feedback (shown after answering)

$55,000 − $15,000 = $40,000.

Recomputed independently by the build: 40000

Why each other choice is wrong (misconception it represents)

A: Gives the deduction
C: Ignores the deduction
D: Adds the deduction

Type: instruction · rule as of Hypothetical amounts for this scenario

MAIN — Calculate adjusted gross income and taxable income using adjustments and deductions · Question 2 of 5

Learn: Adjustments ("above-the-line" deductions) are subtracted from total income to get adjusted gross income (AGI).

Ana has total income of $48,000 and a $2,000 adjustment for a deductible traditional IRA contribution. What is her AGI?

A. $2,000
B. $46,000
C. $48,000
D. $50,000

CORRECT ANSWER

B. $46,000

Feedback (shown after answering)

$48,000 − $2,000 = $46,000.

Recomputed independently by the build: 46000

Why each other choice is wrong (misconception it represents)

A: Gives the adjustment
C: Ignores the adjustment
D: Adds the adjustment

Type: instruction

MAIN — Calculate adjusted gross income and taxable income using adjustments and deductions · Question 3 of 5

With AGI of $46,000 and a $15,000 standard deduction (this scenario), what is Ana's taxable income?

A. $31,000
B. $33,000
C. $46,000
D. $61,000

CORRECT ANSWER

A. $31,000

Feedback (shown after answering)

$46,000 − $15,000 = $31,000.

Recomputed independently by the build: 31000

Why each other choice is wrong (misconception it represents)

B: Uses gross income
C: Ignores the deduction
D: Adds

Type: knowledge check · rule as of Hypothetical amounts for this scenario

MAIN — Calculate adjusted gross income and taxable income using adjustments and deductions · Question 4 of 5

Learn: Taxpayers choose EITHER the standard deduction (a fixed amount based on filing status) OR itemized deductions (such as state and local taxes, mortgage interest, and charitable gifts, within limits), whichever is larger.

Leo can take a $15,000 standard deduction or itemize deductions that total $11,200. Which should he choose?

A. Itemize, because itemizing is always the better choice
B. Both, to subtract $26,200
C. Neither, to pay more tax
D. The standard deduction, because it is larger

CORRECT ANSWER

D. The standard deduction, because it is larger

Feedback (shown after answering)

Choose the larger: $15,000 > $11,200.

Why each other choice is wrong (misconception it represents)

A: Ignores the amounts
B: Cannot take both
C: Unhelpful

Type: instruction

MAIN — Calculate adjusted gross income and taxable income using adjustments and deductions · Question 5 of 5

Which is GROSS income for a worker?

A. All wages before any deductions or taxes
B. Take-home pay deposited each payday
C. Taxable income after the standard deduction
D. Only overtime earnings

CORRECT ANSWER

A. All wages before any deductions or taxes

Feedback (shown after answering)

Gross income is total income before deductions.

Why each other choice is wrong (misconception it represents)

B: Net pay
C: Later step
D: Incomplete

Type: knowledge check

BACKWARD B1 · concept review — Subtracting in steps · Question 1 of 5

Learn: Multi-step subtraction: do each subtraction in order.

Start with $50,000. Subtract $3,000, then subtract $15,000. What is left?

A. $32,000
B. $35,000
C. $47,000
D. $68,000

CORRECT ANSWER

A. $32,000

Feedback (shown after answering)

$50,000 − $3,000 = $47,000; − $15,000 = $32,000.

Recomputed independently by the build: 32000

Why each other choice is wrong (misconception it represents)

B: Stops after the second step only
C: Stops after the first step
D: Adds

Type: instruction

BACKWARD B1 · concept review — Subtracting in steps · Question 2 of 5

Learn: The order is: total income → AGI → taxable income → tax.

Which comes FIRST when figuring taxable income?

A. Subtracting the standard deduction
B. Adding up all income
C. Applying tax rates
D. Calculating a refund

CORRECT ANSWER

B. Adding up all income

Feedback (shown after answering)

Start with total income.

Why each other choice is wrong (misconception it represents)

A: Comes later
C: Comes last
D: Comes last

Type: instruction

BACKWARD B1 · concept review — Subtracting in steps · Question 3 of 5

Learn: Taxable income cannot go below zero.

If deductions are larger than income, what is taxable income?

A. A negative number that the IRS pays
B. Equal to the deductions
C. $0
D. Equal to income

CORRECT ANSWER

C. $0

Feedback (shown after answering)

Taxable income stops at $0.

Recomputed independently by the build: 0

Why each other choice is wrong (misconception it represents)

A: Misunderstands
B: Misreads
D: Ignores deductions

Type: instruction

BACKWARD B1 · concept review — Subtracting in steps · Question 4 of 5

Which is larger: $11,200 or $15,000?

A. $15,000
B. $11,200
C. They are equal
D. $26,200

CORRECT ANSWER

A. $15,000

Feedback (shown after answering)

$15,000 > $11,200.

Recomputed independently by the build: 15000

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Misreads
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Subtracting in steps · Question 5 of 5

What does "deduction" mean on a tax return?

A. A tax added to income
B. A refund check
C. A tax credit that lowers tax dollar for dollar
D. An amount subtracted from income before tax is figured

CORRECT ANSWER

D. An amount subtracted from income before tax is figured

Feedback (shown after answering)

Deductions lower the income that is taxed.

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Misreads
C: Confuses a deduction with a credit

Type: knowledge check

GO DEEPER 1 — Itemized deductions · Question 1 of 5

Learn: Itemized deductions include certain state and local taxes (up to a limit), home mortgage interest, charitable contributions, and some medical expenses above a threshold.

Sam's possible itemized deductions: state and local taxes $6,000, mortgage interest $7,500, charitable gifts $1,200. What is the total?

A. $7,500
B. $8,700
C. $13,500
D. $14,700

CORRECT ANSWER

D. $14,700

Feedback (shown after answering)

$6,000 + $7,500 + $1,200 = $14,700.

Recomputed independently by the build: 14700

Why each other choice is wrong (misconception it represents)

A: Uses one item
B: Leaves out mortgage interest
C: Leaves out charity

Type: instruction

GO DEEPER 1 — Itemized deductions · Question 2 of 5

Learn: Taxpayers choose the larger of the standard deduction or itemized deductions.

With $14,700 of itemized deductions and a $15,000 standard deduction (this scenario), which should Sam take?

A. The standard deduction
B. Itemized, because it is more detailed
C. Both together
D. Neither

CORRECT ANSWER

A. The standard deduction

Feedback (shown after answering)

$15,000 > $14,700, so the standard deduction is better.

Why each other choice is wrong (misconception it represents)

B: Ignores amounts
C: Not allowed
D: Unhelpful

Type: instruction

GO DEEPER 1 — Itemized deductions · Question 3 of 5

Learn: Itemizing only helps by the amount it exceeds the standard deduction. (Starting in 2026, people who do not itemize may also deduct up to $1,000 of cash gifts, or $2,000 married filing jointly, which can change this comparison.)

Use pre-2026 rules for this scenario, when people taking the standard deduction could not also deduct charitable gifts. Sam's standard deduction would be $15,000. He gives $600 more to charity, raising his itemized deductions to $15,300. How much more is deducted by itemizing than with the standard deduction?

A. $0
B. $300
C. $600
D. $15,300

CORRECT ANSWER

B. $300

Feedback (shown after answering)

$15,300 − $15,000 = $300 more.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

A: Ignores the change
C: Counts the whole gift
D: Gives the total

Type: instruction

GO DEEPER 1 — Itemized deductions · Question 4 of 5

Learn: Itemized deductions must be supported by records.

Which records support itemized deductions?

A. Social media posts
B. Verbal promises
C. Screenshots of a bank logo
D. Receipts, mortgage statements, and donation acknowledgments

CORRECT ANSWER

D. Receipts, mortgage statements, and donation acknowledgments

Feedback (shown after answering)

Documentation proves the deductions.

Why each other choice is wrong (misconception it represents)

A: Not records
B: Not records
C: Not records

Type: instruction · practical how-to

GO DEEPER 1 — Itemized deductions · Question 5 of 5

Why do most taxpayers take the standard deduction?

A. Itemizing is allowed only for homeowners
B. It is larger than their itemized deductions
C. The standard deduction is always $0
D. Itemizing would raise their total taxable income

CORRECT ANSWER

B. It is larger than their itemized deductions

Feedback (shown after answering)

For most households, the standard deduction is bigger and simpler.

Why each other choice is wrong (misconception it represents)

A: Invents a restriction
C: Misreads the rules
D: Misunderstands deductions

Type: knowledge check

GO DEEPER 2 — Adjustments and AGI · Question 1 of 5

Learn: Adjustments (subtracted to get AGI) include certain student loan interest, deductible traditional IRA contributions, HSA contributions, and half of self-employment tax.

Which item is an ADJUSTMENT to income (reducing AGI)?

A. Mortgage interest (an itemized one)
B. A child tax credit
C. Deductible student loan interest
D. A sales tax refund

CORRECT ANSWER

C. Deductible student loan interest

Feedback (shown after answering)

Student loan interest is an adjustment.

Why each other choice is wrong (misconception it represents)

A: Itemized deduction
B: Credit
D: Not an adjustment

Type: instruction

GO DEEPER 2 — Adjustments and AGI · Question 2 of 5

Learn: Self-employed people may subtract half of their self-employment tax as an adjustment.

A self-employed worker's self-employment tax is $1,400. Half of it is an adjustment. How much reduces AGI?

A. $350
B. $700
C. $1,400
D. $2,800

CORRECT ANSWER

B. $700

Feedback (shown after answering)

Half of $1,400 = $700.

Recomputed independently by the build: 700

Why each other choice is wrong (misconception it represents)

A: Uses a quarter
C: Uses the full tax
D: Doubles

Type: instruction

GO DEEPER 2 — Adjustments and AGI · Question 3 of 5

Learn: AGI, or a modified version of it (MAGI), is used to decide eligibility for many tax benefits. For example, Roth IRA contribution limits use modified AGI, which adds back certain items.

Why does a lower AGI matter beyond the tax itself?

A. AGI sets your credit score
B. AGI determines your filing status
C. AGI is not used anywhere else
D. Many credits and deductions phase out at higher AGI

CORRECT ANSWER

D. Many credits and deductions phase out at higher AGI

Feedback (shown after answering)

AGI or modified AGI controls eligibility for many tax benefits.

Why each other choice is wrong (misconception it represents)

A: Confuses taxes with credit
B: Confuses AGI with status
C: Misses phase-outs

Type: instruction

GO DEEPER 2 — Adjustments and AGI · Question 4 of 5

Learn: Taxable income = total income − adjustments − deduction.

Leo's income is $40,000; adjustments $2,500; standard deduction $15,000 (this scenario). What is his taxable income?

A. $22,500
B. $25,000
C. $37,500
D. $57,500

CORRECT ANSWER

A. $22,500

Feedback (shown after answering)

$40,000 − $2,500 − $15,000 = $22,500.

Recomputed independently by the build: 22500

Why each other choice is wrong (misconception it represents)

B: Ignores adjustments
C: Ignores the deduction
D: Adds

Type: instruction · rule as of Hypothetical amounts for this scenario

GO DEEPER 2 — Adjustments and AGI · Question 5 of 5

Learn: The IRS publishes instructions for every form.

Which free resource explains which items are adjustments?

A. The Form 1040 instructions on irs.gov
B. Her W-2 form
C. Her bank's year-end summary
D. A tax-preparer's refund loan advertisement

CORRECT ANSWER

A. The Form 1040 instructions on irs.gov

Feedback (shown after answering)

Form instructions explain each line.

Why each other choice is wrong (misconception it represents)

B: Shows wages, not adjustments
C: Not an IRS guide
D: An advertisement, not an official source

Type: instruction · practical how-to

SET 67 · Taxes and Tax Filing

Marginal and effective tax rates

MAIN skill: Calculate income tax with marginal brackets and compare marginal and effective rates

Outcome FL.TAX.67 · National topic: Earning Income · NJSLS 9.1.12: EG

Learning target: Calculate income tax using progressive brackets; compare marginal and effective rates

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Taxing income in layers (5 questions)
  - Why: Bracket tax works like tiered pricing: each tier is charged its own rate.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  - Why: Each bracket's tax is a percent of the income in it.
- B3 · Math link → G7-S29-M (Grade 7 7.EE.B.3): Solve multistep problems with positive and negative rational numbers in any form
  - Why: Bracket calculations combine several subtraction and percent steps.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Three brackets and effective rates (5 questions)
- Go Deeper 2: The "higher bracket" myth (5 questions)

Practical skills beyond the standards: Debunking the higher-bracket myth

Content status: time-sensitive

Source: IRS (Federal income tax rates and brackets) — Federal income tax uses progressive marginal brackets; thresholds change yearly. This course uses stated hypothetical brackets.
https://www.irs.gov/filing/federal-income-tax-rates-and-brackets

Note: Brackets are hypothetical; actual brackets change each year.

Answer key for this set: M-Q1 B, M-Q2 B, M-Q3 C, M-Q4 B, M-Q5 C, B1-Q1 B, B1-Q2 A, B1-Q3 B, B1-Q4 C, B1-Q5 A, F1-Q1 C, F1-Q2 C, F1-Q3 A, F1-Q4 C, F1-Q5 D, F2-Q1 B, F2-Q2 B, F2-Q3 A, F2-Q4 B, F2-Q5 B

MAIN — Calculate income tax with marginal brackets and compare marginal and effective rates · Question 1 of 5

Learn: Federal income tax uses marginal brackets: income is taxed in layers. Each layer of income is taxed at its own rate. Moving into a higher bracket raises the rate only on the dollars in that bracket, not on all your income.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.

Under a bracket system like this, what rate applies to the FIRST $12,000 of everyone's taxable income?

A. The person's highest bracket rate
B. 10%
C. 22%
D. 0%

CORRECT ANSWER

B. 10%

Feedback (shown after answering)

Every filer's first $12,000 is taxed at 10% under these brackets.

Recomputed independently by the build: 10

Why each other choice is wrong (misconception it represents)

A: Thinks one rate applies to all income
C: Uses the top rate shown
D: Ignores the first bracket

Type: instruction

MAIN — Calculate income tax with marginal brackets and compare marginal and effective rates · Question 2 of 5

Learn: To compute tax with brackets: tax each layer of income at its rate, then add the layers.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.
Omar's taxable income is $40,000. What is his federal income tax?

A. $4,000
B. $4,560
C. $4,800
D. $8,800

CORRECT ANSWER

B. $4,560

Feedback (shown after answering)

10% × $12,000 = $1,200. 12% × ($40,000 − $12,000) = 12% × $28,000 = $3,360. Total: $4,560.

Recomputed independently by the build: 4560

Why each other choice is wrong (misconception it represents)

A: Taxes all income at 10%
C: Taxes all income at 12%
D: Taxes all income at 22%

Type: instruction

MAIN — Calculate income tax with marginal brackets and compare marginal and effective rates · Question 3 of 5

Learn: The marginal rate is the rate on your last (next) dollar of income. The effective (average) rate is total tax ÷ income × 100, which is lower than the marginal rate because lower layers are taxed less.

Omar's taxable income is $40,000 and his tax is $4,560. What is his EFFECTIVE tax rate?

A. 8.8%
B. 10%
C. 11.4%
D. 12%

CORRECT ANSWER

C. 11.4%

Feedback (shown after answering)

$4,560 ÷ $40,000 = 0.114 = 11.4%.

Recomputed independently by the build: 11.4

Why each other choice is wrong (misconception it represents)

A: Divides income by tax and misplaces the decimal
B: Uses the lowest rate
D: Uses the marginal rate

Type: instruction

MAIN — Calculate income tax with marginal brackets and compare marginal and effective rates · Question 4 of 5

Learn: A raise is taxed at the marginal rate of the bracket it falls in. Moving further into a bracket never makes total take-home pay go down from income tax alone.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.

Leo's taxable income is $60,000. He gets a $1,000 raise. How much more federal income tax does he owe?

A. $120
B. $220
C. $1,000
D. $1,540

CORRECT ANSWER

B. $220

Feedback (shown after answering)

The extra $1,000 is in the 22% bracket: $1,000 × 0.22 = $220.

Recomputed independently by the build: 220

Why each other choice is wrong (misconception it represents)

A: Uses the 12% rate
C: Thinks the raise is taxed 100%
D: Re-taxes all income at 22% plus more

Type: instruction

MAIN — Calculate income tax with marginal brackets and compare marginal and effective rates · Question 5 of 5

Which statement about marginal tax brackets is TRUE?

A. Entering a higher bracket raises the tax rate on all of a person's income
B. Everyone pays the same rate on all income
C. Only the income inside a higher bracket is taxed at the higher rate
D. Brackets apply only to people over 65

CORRECT ANSWER

C. Only the income inside a higher bracket is taxed at the higher rate

Feedback (shown after answering)

Higher rates apply only to the dollars in the higher bracket.

Why each other choice is wrong (misconception it represents)

A: Common misconception
B: Describes a flat tax
D: Invents a rule

Type: knowledge check

BACKWARD B1 · concept review — Taxing income in layers · Question 1 of 5

Learn: Tiered pricing charges different rates for different layers. Income tax brackets work the same way.

A water bill charges $2 per unit for the first 10 units and $3 per unit after that. What is the bill for 14 units?

A. $28
B. $32
C. $34
D. $42

CORRECT ANSWER

B. $32

Feedback (shown after answering)

10 × $2 = $20; 4 × $3 = $12; total $32.

Recomputed independently by the build: 32

Why each other choice is wrong (misconception it represents)

A: Charges all units at $2
C: Arithmetic error
D: Charges all units at $3

Type: instruction

BACKWARD B1 · concept review — Taxing income in layers · Question 2 of 5

Learn: Income in a bracket = total income − the bottom of that bracket (up to the bracket's top).

Using 10% on the first $12,000 and 12% above it, how much income is in the 12% layer for taxable income of $20,000?

A. $8,000
B. $12,000
C. $20,000
D. $32,000

CORRECT ANSWER

A. $8,000

Feedback (shown after answering)

$20,000 − $12,000 = $8,000.

Recomputed independently by the build: 8000

Why each other choice is wrong (misconception it represents)

B: Uses the first layer
C: Uses all income
D: Adds

Type: instruction

BACKWARD B1 · concept review — Taxing income in layers · Question 3 of 5

Learn: Tax on a layer = income in the layer × rate.

What is 12% of $8,000?

A. $96
B. $960
C. $8,960
D. $9,600

CORRECT ANSWER

B. $960

Feedback (shown after answering)

$8,000 × 0.12 = $960.

Recomputed independently by the build: 960

Why each other choice is wrong (misconception it represents)

A: Uses 1.2%
C: Adds
D: Uses 120%

Type: instruction

BACKWARD B1 · concept review — Taxing income in layers · Question 4 of 5

Learn: Total tax = tax on each layer, added together.

Using 10% on the first $12,000 and 12% above it, what is the total tax on $20,000?

A. $960
B. $2,000
C. $2,160
D. $2,400

CORRECT ANSWER

C. $2,160

Feedback (shown after answering)

$1,200 + $960 = $2,160.

Recomputed independently by the build: 2160

Why each other choice is wrong (misconception it represents)

A: Leaves out the first layer
B: Taxes all at 10%
D: Taxes all at 12%

Type: instruction

BACKWARD B1 · concept review — Taxing income in layers · Question 5 of 5

What is a "marginal" rate?

A. The rate on the next dollar earned
B. The average rate paid across the whole income
C. The lowest rate in the system
D. A rate set by the taxpayer

CORRECT ANSWER

A. The rate on the next dollar earned

Feedback (shown after answering)

Marginal = the rate on the last or next dollar.

Why each other choice is wrong (misconception it represents)

B: Describes effective rate
C: Misreads
D: Misreads

Type: knowledge check

GO DEEPER 1 — Three brackets and effective rates · Question 1 of 5

Learn: With three brackets, figure the tax in each of the three layers and add them.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.

What is the tax on $60,000 of taxable income?

A. $5,520
B. $7,200
C. $8,160
D. $13,200

CORRECT ANSWER

C. $8,160

Feedback (shown after answering)

$1,200 + 12% × $36,000 ($4,320) + 22% × $12,000 ($2,640) = $8,160.

Recomputed independently by the build: 8160

Why each other choice is wrong (misconception it represents)

A: Stops at the 12% bracket
B: Taxes all at 12%
D: Taxes all at 22%

Type: instruction

GO DEEPER 1 — Three brackets and effective rates · Question 2 of 5

Learn: Effective rate = total tax ÷ taxable income × 100.

Tax of $8,160 on $60,000 of taxable income is what effective rate?

A. 7.4%
B. 12%
C. 13.6%
D. 22%

CORRECT ANSWER

C. 13.6%

Feedback (shown after answering)

$8,160 ÷ $60,000 = 0.136 = 13.6%.

Recomputed independently by the build: 13.6

Why each other choice is wrong (misconception it represents)

A: Divides incorrectly
B: Uses the middle rate
D: Uses the marginal rate

Type: instruction

GO DEEPER 1 — Three brackets and effective rates · Question 3 of 5

Learn: Tax as a share of total income is lower still than the effective rate on taxable income, because deductions shield part of income.

A person earns $55,000 of wages and has $40,000 of taxable income. Their tax is $4,560. What share of their WAGES goes to federal income tax (nearest tenth)?

A. 8.3%
B. 11.4%
C. 12.0%
D. 83%

CORRECT ANSWER

A. 8.3%

Feedback (shown after answering)

$4,560 ÷ $55,000 ≈ 8.3%.

Recomputed independently by the build: 8.290909

Why each other choice is wrong (misconception it represents)

B: Divides by taxable income
C: Uses the marginal rate
D: Misplaces the decimal

Type: instruction

GO DEEPER 1 — Three brackets and effective rates · Question 4 of 5

Learn: The marginal rate is the rate on the next dollar of income. The effective rate is total tax ÷ total income, an average across all brackets. Extra income is stacked on top of what you already earn.

Which rate should be used to estimate the tax on extra income from a side job?

A. The effective rate
B. The rate for the lowest bracket
C. The marginal rate
D. Zero, because side income is not taxed

CORRECT ANSWER

C. The marginal rate

Feedback (shown after answering)

Additional income is taxed at the marginal rate.

Why each other choice is wrong (misconception it represents)

A: Underestimates extra tax
B: Underestimates the tax
D: Believes small side income is untaxed

Type: instruction

GO DEEPER 1 — Three brackets and effective rates · Question 5 of 5

Learn: If all income is within the first bracket, only the first rate applies.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.

What is the tax on $10,000 of taxable income?

A. $1,200
B. $1,200 plus 12%
C. $2,200
D. $1,000

CORRECT ANSWER

D. $1,000

Feedback (shown after answering)

$10,000 × 0.10 = $1,000.

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: Uses the full first bracket
B: Adds a layer that does not apply
C: Uses 22%

Type: instruction

GO DEEPER 2 — The "higher bracket" myth · Question 1 of 5

Learn: Under marginal brackets, earning more always increases after-income-tax pay, because only the extra income is taxed at the higher rate.

Rosa turns down extra shifts, saying, "If I earn more I'll be in a higher bracket and take home less." Under marginal brackets, what is TRUE?

A. She is right; all her income would be taxed more
B. She keeps most of each extra dollar; only that income is taxed at the higher rate
C. She would owe more tax than she earns
D. Extra income is never taxed

CORRECT ANSWER

B. She keeps most of each extra dollar; only that income is taxed at the higher rate

Feedback (shown after answering)

Extra income is taxed at the marginal rate, leaving most of it for her.

Why each other choice is wrong (misconception it represents)

A: Myth
C: Impossible with marginal rates
D: Overcorrects

Type: instruction

GO DEEPER 2 — The "higher bracket" myth · Question 2 of 5

Learn: Extra wages face both income tax at the marginal rate and FICA (7.65%).

Rosa earns $1,000 more, taxed at 22% income tax and 7.65% FICA. How much of the $1,000 does she keep?

A. $0
B. $703.50
C. $780.00
D. $923.50

CORRECT ANSWER

B. $703.50

Feedback (shown after answering)

$1,000 × (1 − 0.22 − 0.0765) = $703.50.

Recomputed independently by the build: 703.5

Why each other choice is wrong (misconception it represents)

A: Believes the myth
C: Ignores FICA
D: Ignores income tax

Type: instruction

GO DEEPER 2 — The "higher bracket" myth · Question 3 of 5

Learn: Some benefits shrink as income rises (phase-outs), which can feel like a higher tax, but brackets alone never reduce take-home pay.

Which situation CAN reduce a person's benefits when income rises?

A. Losing eligibility for some income-based credits or aid
B. Tax brackets themselves
C. FICA taxes
D. Sales tax

CORRECT ANSWER

A. Losing eligibility for some income-based credits or aid

Feedback (shown after answering)

Phase-outs of credits or aid can matter; brackets alone do not reduce take-home pay.

Why each other choice is wrong (misconception it represents)

B: Brackets never lower take-home pay
C: Flat rate
D: Unrelated to income

Type: instruction

GO DEEPER 2 — The "higher bracket" myth · Question 4 of 5

Learn: Only the dollars above the bracket threshold are taxed at the higher rate.

A person moves from $47,000 to $49,000 of taxable income, crossing into the 22% bracket at $48,000 (this scenario). How much of the extra $2,000 is taxed at 22%?

A. $0
B. $1,000
C. $2,000
D. $49,000

CORRECT ANSWER

B. $1,000

Feedback (shown after answering)

Only the $1,000 above $48,000 is taxed at 22%; the other $1,000 is taxed at 12%.

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: Ignores the bracket
C: Taxes all the extra at 22%
D: Taxes all income at 22%

Type: instruction

GO DEEPER 2 — The "higher bracket" myth · Question 5 of 5

Learn: Tax on the extra income = (amount in the lower bracket × its rate) + (amount in the higher bracket × its rate).

For that $2,000 increase (from $47,000 to $49,000, crossing $48,000), how much more tax is owed?

A. $240
B. $340
C. $440
D. $10,780

CORRECT ANSWER

B. $340

Feedback (shown after answering)

$1,000 × 12% + $1,000 × 22% = $120 + $220 = $340.

Recomputed independently by the build: 340

Why each other choice is wrong (misconception it represents)

A: Taxes all $2,000 at 12%
C: Taxes all $2,000 at 22%
D: Re-taxes all income

Type: instruction

SET 68 · Taxes and Tax Filing

Deductions and credits

MAIN skill: Compare the value of tax deductions and tax credits, including refundable credits

Outcome FL.TAX.68 · National topic: Earning Income · NJSLS 9.1.12: EG
Learning target: Explain how deductions and credits affect tax owed

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Lowering income versus lowering tax (5 questions)
  Why: The deduction-versus-credit difference is about which number is reduced.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: A deduction's value is the deduction times the tax rate.
- B3 · Math link → G7-S15-M (Grade 7 7.NS.A.1.b): Interpret sums of rational numbers in real-world situations
  Why: Refundable credits can push tax below zero, producing a refund.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Education credits and other common credits (5 questions)
- Go Deeper 2: Putting deductions and credits together (5 questions)

Practical skills beyond the standards: Claiming refundable credits

Content status: time-sensitive
Source: IRS (Credits and deductions for individuals) — Deductions reduce taxable income; credits reduce tax dollar for dollar; refundable credits can produce a refund beyond tax owed (for example, the Earned Income Tax Credit). https://www.irs.gov/credits-deductions-for-individuals
Note: Credit and bracket amounts are hypothetical; check irs.gov for the current year.

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 B, M-Q4 D, M-Q5 B, B1-Q1 C, B1-Q2 D, B1-Q3 B, B1-Q4 C, B1-Q5 A, F1-Q1 B, F1-Q2 B, F1-Q3 D, F1-Q4 B, F1-Q5 C, F2-Q1 B, F2-Q2 C, F2-Q3 B, F2-Q4 A, F2-Q5 C

MAIN — Compare the value of tax deductions and tax credits, including refundable credits · Question 1 of 5

Learn: A deduction lowers taxable income, so it saves tax equal to the deduction × your marginal rate. A credit lowers the tax itself, dollar for dollar.

Omar's marginal tax rate is 12%. Which saves him more tax: a $1,000 deduction or a $1,000 credit?

A. The deduction: $1,000 vs $120
B. They save the same amount
C. The credit: $1,000 vs $120
D. The deduction: $1,120 vs $1,000

CORRECT ANSWER

C. The credit: $1,000 vs $120

Feedback (shown after answering)

Deduction: $1,000 × 12% = $120 saved. Credit: $1,000 saved.

Recomputed independently by the build: 1000

Why each other choice is wrong (misconception it represents)

A: Swaps their effects
B: Confuses deductions and credits
D: Adds the rate

Type: instruction

MAIN — Compare the value of tax deductions and tax credits, including refundable credits · Question 2 of 5

Learn: Tax after credits = tax before credits − credits.

Omar's tax before credits is $4,560. He qualifies for a $1,500 credit. What is his tax after the credit?

A. $1,500
B. $3,060
C. $4,380
D. $6,060

CORRECT ANSWER

B. $3,060

Feedback (shown after answering)

$4,560 − $1,500 = $3,060.

Recomputed independently by the build: 3060

Why each other choice is wrong (misconception it represents)

A: Gives the credit
C: Treats the credit like a deduction at 12%
D: Adds the credit

Type: instruction

MAIN — Compare the value of tax deductions and tax credits, including refundable credits · Question 3 of 5

Learn: A nonrefundable credit can reduce your tax to zero but not below. A refundable credit can reduce tax below zero, and the extra is paid to you as a refund. Some nonrefundable credits let unused amounts carry forward to later years; others do not.

Tia's tax before credits is $300. She qualifies for a $1,000 NONREFUNDABLE credit that, in this example, has no carryforward. What is her tax after the credit?

A. −$700, paid to her as a refund
B. $0
C. $300
D. $700

CORRECT ANSWER

B. $0

Feedback (shown after answering)

A nonrefundable credit stops at $0. The unused $700 is not refunded, and with no carryforward it cannot be used later.

Recomputed independently by the build: 0

Why each other choice is wrong (misconception it represents)

A: Treats it as refundable
C: Ignores the credit
D: Subtracts the wrong way

Type: instruction

MAIN — Compare the value of tax deductions and tax credits, including refundable credits · Question 4 of 5

Learn: Refundable credits are paid out even when they exceed the tax owed.

Tia owes $300 of tax before credits and qualifies for a $1,000 REFUNDABLE credit. What happens?

A. Her tax becomes $0 and the extra $700 is lost
B. Her tax rises to $1,300
C. Nothing, because refundable credits need $1,000 of tax
D. Her tax becomes $0 and she receives $700 more

CORRECT ANSWER

D. Her tax becomes $0 and she receives $700 more

Feedback (shown after answering)

$300 − $1,000 = −$700, paid to her (plus any withholding refund).

Why each other choice is wrong (misconception it represents)

A: Treats it as nonrefundable
B: Adds
C: Misunderstands

Type: instruction

MAIN — Compare the value of tax deductions and tax credits, including refundable credits · Question 5 of 5

Learn: The Earned Income Tax Credit helps low- to moderate-income workers, especially families with children. It is refundable, so it can result in a refund even if no tax is owed. Many eligible workers do not claim it.

Which credit is designed for low- to moderate-income workers and is refundable?

A. The standard deduction
B. The Earned Income Tax Credit (EITC)
C. Itemized mortgage interest
D. The yearly 401(k) contribution limit

CORRECT ANSWER

B. The Earned Income Tax Credit (EITC)

Feedback (shown after answering)

The EITC is a refundable credit for working people with lower incomes.

Why each other choice is wrong (misconception it represents)

A: Not a credit
C: Not a credit
D: Not a credit

Type: instruction

BACKWARD B1 · concept review — Lowering income versus lowering tax · Question 1 of 5

Learn: Deductions reduce the income that is taxed. Credits reduce the tax itself.

A deduction reduces which number?

A. The tax owed, dollar for dollar
B. Gross pay on the W-2
C. Taxable income
D. The refund only

CORRECT ANSWER

C. Taxable income

Feedback (shown after answering)

Deductions reduce taxable income.

Why each other choice is wrong (misconception it represents)

A: Describes a credit
B: Confuses tax figures with wages
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Lowering income versus lowering tax · Question 2 of 5

Learn: Credits come off the tax bill directly.

A credit reduces which number?

A. Gross income
B. Taxable income
C. Wages
D. The tax owed

CORRECT ANSWER

D. The tax owed

Feedback (shown after answering)

Credits reduce the tax bill directly.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Describes a deduction
C: Misreads

Type: instruction

BACKWARD B1 · concept review — Lowering income versus lowering tax · Question 3 of 5

Learn: Tax saved by a deduction = deduction × marginal rate.

A $500 deduction at a 10% rate saves how much tax?

A. $5
B. $50
C. $500
D. $550

CORRECT ANSWER

B. $50

Feedback (shown after answering)

$500 × 0.10 = $50.

Recomputed independently by the build: 50

Why each other choice is wrong (misconception it represents)

A: Uses 1%
C: Treats it like a credit
D: Adds

Type: instruction

BACKWARD B1 · concept review — Lowering income versus lowering tax · Question 4 of 5

Learn: A credit saves its full amount, dollar for dollar, if enough tax is owed.

A $500 credit saves how much tax (if at least $500 of tax is owed)?

A. $0
B. $50
C. $500
D. $5,000

CORRECT ANSWER

C. $500

Feedback (shown after answering)

Credits save dollar for dollar.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Ignores the credit
B: Treats it like a deduction
D: Adds a zero

Type: instruction

BACKWARD B1 · concept review — Lowering income versus lowering tax · Question 5 of 5

Which word describes a credit that can create a refund beyond the tax owed?

A. Refundable
B. Nonrefundable
C. Itemized
D. Adjusted

CORRECT ANSWER

A. Refundable

Feedback (shown after answering)

Refundable credits can produce a refund beyond tax owed.

Why each other choice is wrong (misconception it represents)

B: Stops at zero
C: Describes deductions
D: Describes AGI

Type: knowledge check

GO DEEPER 1 — Education credits and other common credits · Question 1 of 5

Learn: Education credits can lower tax for college costs. Rules and amounts are set by law and can change; this question states its amounts.

For this scenario, assume an education credit equals 100% of the first $2,000 of tuition plus 25% of the next $2,000. Kim paid $3,000 of tuition. What is the credit?

A. $750
B. $2,250
C. $2,500
D. $3,000

CORRECT ANSWER

B. $2,250

Feedback (shown after answering)

$2,000 + 25% × $1,000 = $2,000 + $250 = $2,250.

Recomputed independently by the build: 2250

Why each other choice is wrong (misconception it represents)

A: Uses only 25%
C: Uses $4,000 of tuition
D: Credits the full tuition

Type: instruction · rule as of Hypothetical amounts for this scenario

GO DEEPER 1 — Education credits and other common credits · Question 2 of 5

Learn: Education tax forms: colleges send Form 1098-T reporting tuition and related expenses; loan servicers send Form 1098-E reporting student loan interest paid.

Which form from a college supports an education credit?

A. Form 1098-E
B. Form 1098-T
C. Form 1099-INT
D. Form W-4

CORRECT ANSWER

B. Form 1098-T

Feedback (shown after answering)

1098-T reports tuition for education credits.

Why each other choice is wrong (misconception it represents)

A: Reports student loan interest paid
C: Reports interest earned
D: Sets withholding

Type: instruction · practical how-to

GO DEEPER 1 — Education credits and other common credits · Question 3 of 5

Learn: Refundable credits like the EITC generally require filing a return.

Many eligible workers do not claim the EITC. What is a likely reason?

A. The EITC is only for people with children
B. Claiming it is only for business owners
C. It is paid automatically to everyone without filing
D. They do not know they qualify or do not file

CORRECT ANSWER

D. They do not know they qualify or do not file

Feedback (shown after answering)

Not filing or not knowing about it leaves money unclaimed.

Why each other choice is wrong (misconception it represents)

A: Overlooks childless workers
B: Confuses earned income with business income
C: Ignores the need to file

Type: instruction

GO DEEPER 1 — Education credits and other common credits · Question 4 of 5

Learn: A deduction is worth more to someone in a higher bracket; a credit is worth the same to everyone who can use it.

Two taxpayers each get a $2,000 deduction. One is in the 22% bracket, the other in the 10% bracket. How much more does the deduction save the first taxpayer?

A. $200
B. $240
C. $440
D. $2,000

CORRECT ANSWER

B. $240

Feedback (shown after answering)

$2,000 × 0.22 = $440 vs $2,000 × 0.10 = $200: a $240 difference.

Recomputed independently by the build: 240

Why each other choice is wrong (misconception it represents)

A: Gives the second taxpayer's savings
C: Gives the first taxpayer's savings
D: Treats it as a credit

Type: instruction

GO DEEPER 1 — Education credits and other common credits · Question 5 of 5

Which is generally worth the same dollar amount to taxpayers in different brackets?

A. A deduction
B. An adjustment
C. A credit (if fully usable)
D. An itemized deduction of $1,000

CORRECT ANSWER

C. A credit (if fully usable)

Feedback (shown after answering)

Credits reduce tax dollar for dollar regardless of bracket.

Why each other choice is wrong (misconception it represents)

A: Varies by bracket
B: Varies by bracket
D: Varies by bracket

Type: knowledge check

GO DEEPER 2 — Putting deductions and credits together · Question 1 of 5

Learn: Deductions come off income first; credits come off the tax at the end.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.
Ana's total income is $52,000, her standard deduction is $15,000 (this scenario), and she has a $1,000 credit. What is her taxable income?

A. $36,000
B. $37,000
C. $51,000
D. $52,000

CORRECT ANSWER

B. $37,000

Feedback (shown after answering)

$52,000 − $15,000 = $37,000 (the credit is used later).

Recomputed independently by the build: 37000

Why each other choice is wrong (misconception it represents)

A: Subtracts the credit from income
C: Subtracts only the credit
D: Ignores the deduction

Type: instruction

GO DEEPER 2 — Putting deductions and credits together · Question 2 of 5

Learn: Apply the brackets to taxable income, layer by layer.

For this scenario, use these hypothetical single-filer brackets: 10% on taxable income up to $12,000; 12% on income from $12,000 to $48,000; 22% on income from $48,000 to $100,000.
Ana's taxable income is $37,000. What is her tax before credits?

A. $3,000
B. $3,700
C. $4,200
D. $4,440

CORRECT ANSWER

C. $4,200

Feedback (shown after answering)

$1,200 + 12% × $25,000 = $1,200 + $3,000 = $4,200.

Recomputed independently by the build: 4200

Why each other choice is wrong (misconception it represents)

A: Uses $30,000
B: Taxes all at 10%
D: Taxes all at 12%

Type: instruction

GO DEEPER 2 — Putting deductions and credits together · Question 3 of 5

Learn: Final tax = tax before credits − credits.

Ana's tax before credits is $4,200, and she has a $1,000 credit. What is her final tax?

A. $1,000
B. $3,200
C. $4,080
D. $5,200

CORRECT ANSWER

B. $3,200

Feedback (shown after answering)

$4,200 − $1,000 = $3,200.

Recomputed independently by the build: 3200

Why each other choice is wrong (misconception it represents)

A: Gives the credit
C: Treats the credit as a deduction
D: Adds

Type: instruction

GO DEEPER 2 — Putting deductions and credits together · Question 4 of 5

Learn: The last section of the return compares tax with withholding and payments.

Which step comes LAST on the 1040?

A. Comparing the final tax with payments to find the refund or amount owed
B. Adding up income
C. Subtracting the standard deduction
D. Listing wages from W-2s

CORRECT ANSWER

A. Comparing the final tax with payments to find the refund or amount owed

Feedback (shown after answering)

The return ends by comparing tax owed with tax paid.

Why each other choice is wrong (misconception it represents)

B: First step
C: Middle step
D: First step

Type: instruction

GO DEEPER 2 — Putting deductions and credits together · Question 5 of 5

Learn: Refund = amount withheld − tax owed (when positive).

Ana's final tax is $3,200 and her W-2 shows $3,650 withheld. What is the result?

A. A $450 balance due
B. A $6,850 refund
C. A $450 refund
D. No refund or bill

CORRECT ANSWER

C. A $450 refund

Feedback (shown after answering)

$3,650 − $3,200 = $450 refund.

Recomputed independently by the build: 450

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Adds
D: Ignores the difference

Type: instruction

SET 69 · Taxes and Tax Filing

Refund or balance due

MAIN skill: Compare tax liability with withholding to find a refund or balance due, and interpret refunds correctly

Outcome FL.TAX.69 · National topic: Earning Income · NJSLS 9.1.12: EG, PB

Learning target: Explain why taxpayers receive refunds or owe tax; a refund is not extra income

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Tax owed versus tax paid (5 questions)
  - Why: Refund problems depend on separating what was owed from what was already paid.
- B2 · Math link → G7-S15-M (Grade 7 7.NS.A.1.b): Interpret sums of rational numbers in real-world situations
  - Why: A refund is a positive result and a balance due a negative one.
- B3 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  - Why: Refunds and balances compare two amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Fixing withholding after a surprise (5 questions)
- Go Deeper 2: If you cannot pay in full (5 questions)

Practical skills beyond the standards: Adjusting withholding after a refund or bill; IRS payment plans

Content status: time-sensitive

Source: IRS — Individual returns are generally due April 15 (next business day if on a weekend or holiday); an extension extends the time to file, not to pay; IRS Free File and VITA offer free filing help to eligible taxpayers. https://www.irs.gov/filing

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 A, M-Q4 B, M-Q5 B, B1-Q1 D, B1-Q2 C, B1-Q3 A, B1-Q4 B, B1-Q5 C, F1-Q1 B, F1-Q2 D, F1-Q3 A, F1-Q4 B, F1-Q5 A, F2-Q1 D, F2-Q2 C, F2-Q3 D, F2-Q4 B, F2-Q5 B

MAIN — Compare tax liability with withholding to find a refund or balance due, and interpret refunds correctly · Question 1 of 5

Learn: Your tax liability is the total tax you owe for the year. Withholding and estimated payments are prepayments. If prepayments are more than the liability, you get a refund; if less, you owe the difference (a balance due).

Omar's total tax for the year is $4,560. His employer withheld $5,200. What happens when he files?

A. He owes $640
B. He gets a $640 refund
C. He gets a $5,200 refund
D. He owes $9,760

CORRECT ANSWER

B. He gets a $640 refund

Feedback (shown after answering)

$5,200 − $4,560 = $640 refund.

Recomputed independently by the build: 640

Why each other choice is wrong (misconception it represents)

A: Reverses
C: Treats all withholding as refundable
D: Adds

Type: instruction

MAIN — Compare tax liability with withholding to find a refund or balance due, and interpret refunds correctly · Question 2 of 5

Leo's total tax is $4,560, and only $4,000 was withheld. What happens?

A. He gets a $560 refund
B. He owes $4,560 again
C. Nothing; withholding settles everything
D. He owes $560

CORRECT ANSWER

D. He owes $560

Feedback (shown after answering)

$4,560 − $4,000 = $560 balance due.
Recomputed independently by the build: 560

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Double counts
C: Misunderstands

Type: knowledge check

MAIN — Compare tax liability with withholding to find a refund or balance due, and interpret refunds correctly · Question 3 of 5

Learn: A refund happens when tax payments (withholding and estimated payments) plus refundable credits are more than your tax. The size of a refund is not the same as how much tax you owed; that is your liability.

Kim says, "I got a $1,200 refund — free money from the government!" Her refund came only from too much withholding; she had no refundable credits. Which statement is accurate?

A. The refund is her own overpaid tax being returned
B. The refund is a bonus on top of her pay
C. A big refund means she paid less tax
D. Refunds are loans from the IRS that must be repaid later

CORRECT ANSWER

A. The refund is her own overpaid tax being returned

Feedback (shown after answering)

Here the refund returns money she already paid through withholding.

Why each other choice is wrong (misconception it represents)

B: Assumes a tax refund represents free additional income
C: Confuses refund with liability
D: Misunderstands

Type: instruction

MAIN — Compare tax liability with withholding to find a refund or balance due, and interpret refunds correctly · Question 4 of 5

Learn: Over-withholding is like an interest-free loan to the government. Adjusting your W-4 can put that money in each paycheck instead.

Kim's $1,200 refund came entirely from over-withholding, about $100 a month. If she had kept that $100 a month in savings at 4%, roughly how much interest might she have earned over the year (about half a year on average)?

A. $0
B. $24
C. $48
D. $1,200

CORRECT ANSWER

B. $24

Feedback (shown after answering)

About $1,200 × 0.04 × 0.5 ≈ $24, a small but real opportunity cost.

Recomputed independently by the build: 24

Why each other choice is wrong (misconception it represents)

A: Ignores the opportunity cost
C: Uses the full year on all $1,200
D: Gives the refund

Type: instruction

MAIN — Compare tax liability with withholding to find a refund or balance due, and interpret refunds correctly · Question 5 of 5

Learn: When withholding is the only payment and there are no refundable credits: tax liability = withholding − refund, or withholding + amount owed.

Two workers each had $5,000 withheld and had no refundable credits or other tax payments. Ana gets a $1,000 refund; Ben owes $200. Who had the larger tax liability?

A. Ana, because she got a refund
B. Ben: $5,200 vs $4,000
C. They had equal liabilities
D. Ana: $6,000 vs $4,800

CORRECT ANSWER

B. Ben: $5,200 vs $4,000

Feedback (shown after answering)

Ana: $5,000 − $1,000 = $4,000. Ben: $5,000 + $200 = $5,200.

Recomputed independently by the build: 5200

Why each other choice is wrong (misconception it represents)

A: Confuses refund with liability
C: Ignores the difference
D: Reverses the arithmetic

Type: instruction

BACKWARD B1 · concept review — Tax owed versus tax paid · Question 1 of 5

Learn: Liability is what you owe for the year. Withholding is what you already paid toward it.

What is "tax liability"?

A. The amount withheld from each paycheck
B. The refund amount
C. Gross income
D. The total tax owed for the year

CORRECT ANSWER

D. The total tax owed for the year

Feedback (shown after answering)

Liability = total tax owed.

Why each other choice is wrong (misconception it represents)

A: Payment, not liability
B: Result, not liability
C: Misreads

Type: instruction

BACKWARD B1 · concept review — Tax owed versus tax paid · Question 2 of 5

Learn: Paid − owed: positive means refund; negative means balance due.

Owed $2,000; paid $2,500. What is the result?

A. A $500 balance due
B. A $4,500 refund
C. A $500 refund
D. A $2,500 refund

CORRECT ANSWER

C. A $500 refund

Feedback (shown after answering)

$2,500 − $2,000 = $500 refund.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Adds
D: Ignores liability

Type: instruction

BACKWARD B1 · concept review — Tax owed versus tax paid · Question 3 of 5

Owed $2,000; paid $1,700. What is the result?

A. A $300 balance due
B. A $300 refund
C. A $3,700 balance due
D. No result

CORRECT ANSWER

A. A $300 balance due

Feedback (shown after answering)

$1,700 − $2,000 = −$300: $300 is owed.

Recomputed independently by the build: 300

Why each other choice is wrong (misconception it represents)

B: Reverses
C: Adds
D: Ignores

Type: knowledge check

BACKWARD B1 · concept review — Tax owed versus tax paid · Question 4 of 5

Learn: A refund is paid when your tax payments (withholding and estimated tax) plus refundable credits add up to more than your tax.

Which can produce a federal tax refund?

A. A government gift program for workers
B. Overpaid tax or refundable credits
C. The employer's profits
D. A bank loan

CORRECT ANSWER

B. Overpaid tax or refundable credits

Feedback (shown after answering)

Refunds come from payments above your tax, plus any refundable credits.

Why each other choice is wrong (misconception it represents)

A: Treats a refund as a gift
C: Confuses employer money with tax
D: Confuses a refund with borrowing

Type: instruction

BACKWARD B1 · concept review — Tax owed versus tax paid · Question 5 of 5

Which number on a 1040 shows tax already paid through work?

A. Taxable income
B. Standard deduction
C. Federal income tax withheld
D. Adjusted gross income (AGI)

CORRECT ANSWER

C. Federal income tax withheld

Feedback (shown after answering)

Withholding from W-2s is the payment line.

Why each other choice is wrong (misconception it represents)

A: Income, not payment
B: Deduction
D: Income

Type: knowledge check

GO DEEPER 1 — Fixing withholding after a surprise · Question 1 of 5

Learn: If you owed at filing, you can add extra withholding on Form W-4 (Step 4(c)) to spread the amount across paychecks.

Leo owed $560 at filing. To avoid that next year with 26 paychecks, about how much extra should he have withheld per paycheck (nearest dollar)?

A. $11
B. $22
C. $47
D. $560

CORRECT ANSWER

B. $22

Feedback (shown after answering)

$560 ÷ 26 ≈ $21.54, about $22 per paycheck.

Recomputed independently by the build: 22

Why each other choice is wrong (misconception it represents)

A: Uses 52 paychecks
C: Uses 12 paychecks
D: Puts it all in one check

Type: instruction

GO DEEPER 1 — Fixing withholding after a surprise · Question 2 of 5

Learn: Form W-4 controls how much income tax is withheld from each paycheck; you can update it at any time.

Kim's $1,200 refund came entirely from too much withholding, and she would rather have that money in each paycheck. What should she do?

A. Ask the IRS to send her a smaller refund
B. Stop filing a return
C. Quit her job
D. Update her W-4 so less is withheld

CORRECT ANSWER

D. Update her W-4 so less is withheld

Feedback (shown after answering)

A new W-4 reduces withholding going forward.

Why each other choice is wrong (misconception it represents)

A: Not how it works
B: Can lose refunds and cause problems
C: Overreacts

Type: instruction · practical how-to

GO DEEPER 1 — Fixing withholding after a surprise · Question 3 of 5

Learn: Some people like getting a lump sum. The trade-off is less money in each paycheck during the year.

Why do some people prefer a refund anyway?

A. It works like forced saving for a planned purchase
B. Refunds earn high interest from the IRS while they wait
C. Refunds lower total tax
D. Refunds are tax-free bonuses

CORRECT ANSWER

A. It works like forced saving for a planned purchase

Feedback (shown after answering)

Some use over-withholding as a saving habit, though the money earns nothing in the meantime.

Why each other choice is wrong (misconception it represents)

B: Believes overpaid tax earns interest
C: Confuses a refund with a tax cut
D: Misunderstands

Type: instruction

GO DEEPER 1 — Fixing withholding after a surprise · Question 4 of 5

Learn: The IRS publishes a free Tax Withholding Estimator on irs.gov that uses your pay stubs to suggest W-4 settings.

Which tool helps set withholding close to the actual tax?

A. Her last pay stub alone
B. The IRS Tax Withholding Estimator
C. A credit report
D. A paycheck calculator from her bank

CORRECT ANSWER

B. The IRS Tax Withholding Estimator

Feedback (shown after answering)

The estimator suggests W-4 settings to match withholding to tax.

Why each other choice is wrong (misconception it represents)

A: Does not project the year's tax
C: Confuses credit with taxes
D: Estimates pay, not the right withholding

Type: instruction · practical how-to

GO DEEPER 1 — Fixing withholding after a surprise · Question 5 of 5

Learn: Tax on side income can be covered by extra withholding at a regular job or by quarterly estimated payments.

A worker with a side gig owes $900 extra each year. Which approach pays it gradually?

A. Raise W-4 withholding at the main job or make quarterly estimated payments
B. Ignore it until April each year
C. Ask the client to pay the tax
D. Pay the whole $900 in April each year

CORRECT ANSWER

A. Raise W-4 withholding at the main job or make quarterly estimated payments

Feedback (shown after answering)

Extra withholding or estimated payments spread the tax over the year.

Why each other choice is wrong (misconception it represents)

B: Risks penalties
C: Not how it works
D: Risks underpayment penalties

Type: instruction

GO DEEPER 2 — If you cannot pay in full · Question 1 of 5

Learn: The penalty for not filing is usually larger than the penalty for not paying. The IRS offers payment plans (installment agreements). Interest and penalties still apply to unpaid amounts.

Leo owes $560 but can pay only $200 by the deadline. What is the best step?

A. Do not file at all until he can pay every single dollar
B. Ignore the bill
C. Use a payday loan
D. File on time, pay $200, and set up a payment plan

CORRECT ANSWER

D. File on time, pay $200, and set up a payment plan

Feedback (shown after answering)

Filing on time avoids the bigger penalty; a payment plan handles the rest.

Why each other choice is wrong (misconception it represents)

A: Adds the larger failure-to-file penalty
B: Penalties grow
C: High cost

Type: instruction · practical how-to

GO DEEPER 2 — If you cannot pay in full · Question 2 of 5

Learn: The IRS charges separate penalties for filing late and paying late; the late-filing penalty is generally larger.

Which penalty is generally LARGER per month: failure to file or failure to pay?

A. Failure to pay
B. They are always identical
C. Failure to file
D. Neither exists if a refund is due

CORRECT ANSWER

C. Failure to file

Feedback (shown after answering)

Failure-to-file penalties are generally larger, so file on time even if you cannot pay.

Why each other choice is wrong (misconception it represents)

A: Reverses
B: Assumes penalties match
D: Overgeneralizes

Type: instruction

GO DEEPER 2 — If you cannot pay in full · Question 3 of 5

Learn: An extension (Form 4868) gives more time to file, but any tax owed is still due by the original deadline.

Does a filing extension give more time to PAY taxes owed?

A. Yes, six more months to pay with no interest
B. Yes, but only for students
C. Yes, if requested by phone
D. No; it extends the time to file, not to pay

CORRECT ANSWER

D. No; it extends the time to file, not to pay

Feedback (shown after answering)

Tax owed is still due by the April deadline; interest applies after.

Why each other choice is wrong (misconception it represents)

A: Common misconception
B: Invents a rule
C: Invents a rule

Type: instruction

GO DEEPER 2 — If you cannot pay in full · Question 4 of 5

Learn: Equal payments = total owed ÷ number of payments.

Leo owes $360 and sets up a 6-month payment plan, ignoring interest and fees. What is each payment?

A. $36
B. $60
C. $360
D. $2,160

CORRECT ANSWER

B. $60

Feedback (shown after answering)

$360 ÷ 6 = $60 (interest and fees add a little more).

Recomputed independently by the build: 60

Why each other choice is wrong (misconception it represents)

A: Divides by 10
C: One payment
D: Multiplies

Type: instruction

GO DEEPER 2 — If you cannot pay in full · Question 5 of 5

Learn: The IRS lists official payment options on irs.gov. It never demands gift cards or crypto.

Which payment method should be used to pay the IRS?

A. Gift cards bought at a store
B. Official options listed on irs.gov, such as direct debit
C. Cryptocurrency sent to a caller
D. Cash mailed to a P.O. box given by someone on a phone call

CORRECT ANSWER

B. Official options listed on irs.gov, such as direct debit

Feedback (shown after answering)

Use official IRS payment options only.

Why each other choice is wrong (misconception it represents)

A: Scam sign
C: Scam sign
D: Scam sign

Type: instruction · practical how-to

SET 70 · Taxes and Tax Filing

Filing a return: methods, deadlines, and scams

MAIN skill: Choose a filing method, meet deadlines, and avoid tax scams

Outcome FL.TAX.70 · National topic: Earning Income · NJSLS 9.1.12: EG, FI

Learning target: Explain how to file taxes, filing deadlines, and how to avoid tax fraud

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

B1 · Concept review: Deadlines and dates (5 questions)

Why: Filing questions rely on reading deadlines and counting time.

After 5 of 5 correct, Go Deeper unlocks (a chain):

Go Deeper 1: Protecting your tax identity (5 questions)

Go Deeper 2: State returns and amending mistakes (5 questions)

Practical skills beyond the standards: Free filing options (IRS Free File, VITA); Getting an IRS Identity Protection PIN

Content status: time-sensitive

Source: IRS — Individual returns are generally due April 15 (next business day if on a weekend or holiday); an extension extends the time to file, not to pay; IRS Free File and VITA offer free filing help to eligible taxpayers. https://www.irs.gov/filing

Source: IRS (Tax scams) — The IRS does not demand immediate payment by gift card, wire, or cryptocurrency, or threaten arrest by phone. https://www.irs.gov/newsroom/tax-scams-consumer-alerts

Source: IRS (Notice 2011-17) — Emancipation Day (April 16) is a legal holiday in the District of Columbia that can move the federal filing deadline when it falls on or next to April 15. https://www.irs.gov/pub/irs-drop/n-11-17.pdf

Answer key for this set: M-Q1 C, M-Q2 A, M-Q3 D, M-Q4 B, M-Q5 A, B1-Q1 C, B1-Q2 C, B1-Q3 B, B1-Q4 D, B1-Q5 A, F1-Q1 D, F1-Q2 A, F1-Q3 C, F1-Q4 B, F1-Q5 D, F2-Q1 C, F2-Q2 A, F2-Q3 A, F2-Q4 B, F2-Q5 D

MAIN — Choose a filing method, meet deadlines, and avoid tax scams · Question 1 of 5

Learn: Federal returns for a calendar year are generally due April 15 of the following year. If that day falls on a weekend or legal holiday, the deadline moves to the next business day.

When are federal individual income tax returns generally due?

A. December 31 of the tax year
B. January 31
C. April 15 (next business day if it falls on a weekend or holiday)
D. July 4

CORRECT ANSWER

C. April 15 (next business day if it falls on a weekend or holiday)

Feedback (shown after answering)

Returns are generally due April 15 (or the next business day).

Why each other choice is wrong (misconception it represents)

A: Too early
B: W-2 deadline
D: Invents a date

Type: instruction · rule as of IRS rules as of 2026

MAIN — Choose a filing method, meet deadlines, and avoid tax scams · Question 2 of 5

Learn: Ways to file: tax software (including IRS Free File for eligible incomes), free in-person help through VITA (Volunteer Income Tax Assistance) for eligible taxpayers, a paid preparer, or paper forms. E-filing with direct deposit gets refunds fastest.

Kayla, a student with simple taxes, wants to file for free. Which options may be available?

A. IRS Free File or a VITA free tax help site
B. Only an expensive paid preparer
C. Filing through a social media influencer's link
D. Mailing her W-2 to her employer

CORRECT ANSWER

A. IRS Free File or a VITA free tax help site

Feedback (shown after answering)

IRS Free File and VITA offer free filing for many taxpayers.

Why each other choice is wrong (misconception it represents)

B: Ignores free options
C: Unsafe
D: Not filing

Type: instruction · practical how-to

MAIN — Choose a filing method, meet deadlines, and avoid tax scams · Question 3 of 5

Learn: IRS impersonation scams are common. The IRS generally contacts people first by mail, never demands immediate payment by gift card, wire, or cryptocurrency, and does not threaten arrest by phone.

A caller says he is from the IRS and that Kayla will be arrested unless she pays $900 today with gift cards. What should she do?

A. Buy the gift cards to avoid arrest
B. Give her Social Security number to verify
C. Pay half now to show good faith
D. Hang up; the IRS does not demand gift-card payment or threaten arrest by phone

CORRECT ANSWER

D. Hang up; the IRS does not demand gift-card payment or threaten arrest by phone

Feedback (shown after answering)

Threats and gift-card demands are signs of an IRS scam.

Why each other choice is wrong (misconception it represents)

A: Falls for the scam
B: Shares identity data
C: Still pays a scammer

Type: instruction

MAIN — Choose a filing method, meet deadlines, and avoid tax scams · Question 4 of 5

Learn: An automatic extension (Form 4868) moves the filing deadline about six months, generally to October 15, but tax owed is still due in April.

Kayla files for a 6-month extension. What new deadline does she have, and what is NOT extended?

A. About October 15 to file and to pay
B. About October 15 to file; payment of any tax owed is not extended
C. About June 15 for everything
D. No deadline at all

CORRECT ANSWER

B. About October 15 to file; payment of any tax owed is not extended

Feedback (shown after answering)

The extension covers filing only; payment is still due in April.

Why each other choice is wrong (misconception it represents)

A: Thinks payment is extended
C: Invents a date
D: Misunderstands

Type: instruction · rule as of IRS rules as of 2026

MAIN — Choose a filing method, meet deadlines, and avoid tax scams · Question 5 of 5

How long does the IRS generally recommend keeping tax records?

A. At least 3 years after filing
B. 1 week
C. Until the refund arrives only
D. There is no reason to keep records

CORRECT ANSWER

A. At least 3 years after filing

Feedback (shown after answering)

Keep returns and supporting records at least 3 years (longer in some cases).

Recomputed independently by the build: 3

Why each other choice is wrong (misconception it represents)

B: Too short
C: Too short
D: Unhelpful

Type: knowledge check

BACKWARD B1 · concept review — Deadlines and dates · Question 1 of 5

Learn: A federal tax deadline that falls on a Saturday, Sunday, or legal holiday moves to the next business day. Emancipation Day, a Washington, D.C. holiday, counts for federal filing deadlines.

In one year, April 15 falls on a Saturday, and Monday, April 17 is Emancipation Day, a legal holiday in Washington, D.C. When is the federal filing deadline?

A. Monday, April 17
B. Friday, April 14
C. Tuesday, April 18
D. Saturday, April 15

CORRECT ANSWER

C. Tuesday, April 18

Feedback (shown after answering)

Saturday and Sunday are skipped, and Monday is a legal holiday, so the deadline is Tuesday, April 18.

Why each other choice is wrong (misconception it represents)

A: Ignores the D.C. holiday
B: Moves the deadline earlier
D: Ignores the weekend rule

Type: instruction

BACKWARD B1 · concept review — Deadlines and dates · Question 2 of 5

How many months is a 6-month extension from April 15?

A. Three months, to about July 15th
B. One year
C. Six months, to about October 15
D. Two weeks

CORRECT ANSWER

C. Six months, to about October 15

Feedback (shown after answering)

April 15 + 6 months ≈ October 15.

Why each other choice is wrong (misconception it represents)

A: Arithmetic error
B: Overstates
D: Understates

Type: knowledge check

BACKWARD B1 · concept review — Deadlines and dates · Question 3 of 5

Learn: Count the days left in each month: January, February, March, then April.

Kayla receives her W-2 on January 28. How many days until April 15 in a non-leap year?

A. 105 days
B. 77 days
C. 45 days
D. 3 days

CORRECT ANSWER

B. 77 days

Feedback (shown after answering)

3 (Jan 29–31) + 28 (Feb) + 31 (Mar) + 15 (Apr) = 77 days.

Recomputed independently by the build: 77

Why each other choice is wrong (misconception it represents)

A: Counts too many
C: Counts too few
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Deadlines and dates · Question 4 of 5

Learn: E-filing sends your return electronically through software or a preparer.

What does "e-file" mean?

A. Mailing paper forms
B. Calling the IRS to file over the phone
C. Emailing a photo of a W-2
D. Filing a tax return electronically

CORRECT ANSWER

D. Filing a tax return electronically

Feedback (shown after answering)

E-file = electronic filing.

Why each other choice is wrong (misconception it represents)

A: Paper filing
B: Not a filing method
C: Unsafe and not filing

Type: instruction

BACKWARD B1 · concept review — Deadlines and dates · Question 5 of 5

Which is generally the fastest way to receive a refund?

A. E-file with direct deposit
B. Paper return with a mailed check
C. Paper return with direct deposit
D. Filing in December before the year ends

CORRECT ANSWER

A. E-file with direct deposit

Feedback (shown after answering)

E-filing with direct deposit is fastest.

Why each other choice is wrong (misconception it represents)

B: Slowest
C: Paper processing is slower
D: Year must end first

Type: knowledge check

GO DEEPER 1 — Protecting your tax identity · Question 1 of 5

Learn: In tax-related identity theft, someone uses your Social Security number to file a fraudulent return and claim a refund. Filing early and using an IRS Identity Protection PIN help prevent it.

A thief files a return using Kayla's Social Security number to steal her refund. What is this called?

A. A tax credit claimed by mistake
B. An amended return
C. An audit
D. Tax-related identity theft

CORRECT ANSWER

D. Tax-related identity theft

Feedback (shown after answering)

Using someone's SSN to file is tax identity theft.

Why each other choice is wrong (misconception it represents)

A: Misnames the problem
B: Confuses fraud with a correction
C: Confuses fraud with an IRS review

Type: instruction

GO DEEPER 1 — Protecting your tax identity · Question 2 of 5

Learn: An IP PIN is a six-digit number known only to you and the IRS that must appear on your return. An e-filed return without the correct IP PIN is rejected; a paper return without it faces extra checks and delays.

What does an IRS Identity Protection PIN (IP PIN) do?

A. It must be entered on the return, helping block others from filing with your SSN
B. It lowers your tax rate
C. It replaces your Social Security number
D. It speeds up refunds to any account

CORRECT ANSWER

A. It must be entered on the return, helping block others from filing with your SSN

Feedback (shown after answering)

The IP PIN makes it much harder for someone else to file with your SSN, though no tool makes identity theft impossible.

Why each other choice is wrong (misconception it represents)

B: Confuses security with tax
C: Overstates the PIN
D: Misreads

Type: instruction · practical how-to

GO DEEPER 1 — Protecting your tax identity · Question 3 of 5

Learn: The IRS generally does not initiate contact by email, text, or social media to request personal or financial information.

An email "from the IRS" asks Kayla to click a link to claim a refund. What should she know?

A. The IRS always sends refunds by email links
B. She should reply with her bank details
C. The IRS does not start contact by email asking for personal information
D. Emails with logos are always real

CORRECT ANSWER

C. The IRS does not start contact by email asking for personal information

Feedback (shown after answering)

Unexpected IRS emails asking for information are phishing.

Why each other choice is wrong (misconception it represents)

A: Believes the scam
B: Unsafe
D: Trusts appearance

Type: instruction

GO DEEPER 1 — Protecting your tax identity · Question 4 of 5

Learn: TIGTA investigates IRS impersonation scams; phishing emails can be forwarded to phishing@irs.gov.

Where can someone report an IRS impersonation scam?

A. The scammer's phone number
B. The Treasury Inspector General for Tax Administration (TIGTA)
C. A credit card company only
D. A social media post

CORRECT ANSWER

B. The Treasury Inspector General for Tax Administration (TIGTA)

Feedback (shown after answering)

Report impersonation to TIGTA and phishing to the IRS.

Why each other choice is wrong (misconception it represents)

A: Unsafe
C: Incomplete
D: Not reporting

Type: instruction · practical how-to

GO DEEPER 1 — Protecting your tax identity · Question 5 of 5

Learn: You are responsible for what is on your return, even if someone else prepares it. Choose preparers carefully and review your return before signing.

A paid preparer offers a larger refund if Kayla signs a blank return. What should she do?

A. Sign it to save time
B. Sign it if the preparer's fee is low
C. Sign it but keep a photo
D. Refuse; never sign a blank return

CORRECT ANSWER

D. Refuse; never sign a blank return

Feedback (shown after answering)

Signing a blank return allows fraud in your name.

Why each other choice is wrong (misconception it represents)

A: Unsafe
B: Unsafe
C: Still unsafe

Type: instruction · practical how-to

GO DEEPER 2 — State returns and amending mistakes · Question 1 of 5

Learn: States with income taxes have their own returns, with their own filing thresholds and deadlines.

Kayla lives and works in New Jersey and had state tax withheld. Which return(s) might she need to file?

A. Only the federal return
B. Only the New Jersey return
C. A federal Form 1040 and a New Jersey NJ-1040
D. No returns, as a full-time student who earns under $10,000

CORRECT ANSWER

C. A federal Form 1040 and a New Jersey NJ-1040

Feedback (shown after answering)

She may need both a federal and a New Jersey return.

Why each other choice is wrong (misconception it represents)

A: Ignores state tax
B: Ignores federal tax
D: Overgeneralizes

Type: instruction · rule as of New Jersey rules as of 2026

GO DEEPER 2 — State returns and amending mistakes · Question 2 of 5

Learn: Mistakes on a filed return are corrected with Form 1040-X, the amended return.

After filing, Kayla finds a second W-2 she forgot. What should she do?

A. File an amended return (Form 1040-X)
B. Ignore it
C. File a second original return to replace it
D. Mail the W-2 to her employer

CORRECT ANSWER

A. File an amended return (Form 1040-X)

Feedback (shown after answering)

Form 1040-X corrects a filed return.

Why each other choice is wrong (misconception it represents)

B: Leaves income unreported
C: Not the correct form
D: Does not fix the return

Type: instruction · practical how-to

GO DEEPER 2 — State returns and amending mistakes · Question 3 of 5

Learn: On an amended return, the extra tax is compared with any extra withholding.

After filing, Lena finds a forgotten W-2 that adds $1,200 of income and $90 of withholding. If her extra tax is $120, what is the net amount she owes on the amended return?

A. $30
B. $90
C. $120
D. $210

CORRECT ANSWER

A. $30

Feedback (shown after answering)

$120 − $90 = $30 more owed.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

B: Gives the withholding
C: Ignores the withholding
D: Adds

Type: instruction

GO DEEPER 2 — State returns and amending mistakes · Question 4 of 5

Learn: VITA sites offer free tax preparation by IRS-certified volunteers for eligible taxpayers.

Which free program offers in-person tax help for many low- and moderate-income taxpayers?

A. FDIC
B. VITA (Volunteer Income Tax Assistance)
C. FINRA
D. SIPC

CORRECT ANSWER

B. VITA (Volunteer Income Tax Assistance)

Feedback (shown after answering)

VITA provides free tax help.

Why each other choice is wrong (misconception it represents)

A: Deposit insurance
C: Broker regulation
D: Broker failures

Type: instruction · practical how-to

GO DEEPER 2 — State returns and amending mistakes · Question 5 of 5

Learn: A simple checklist prevents missing income or credits.

Before filing, which documents should Kayla gather?

A. Only her final pay stub of the year
B. Her credit card statements only
C. Nothing; the IRS has everything
D. Her W-2s, any 1099s, ID, and last year's return if she filed one

CORRECT ANSWER

D. Her W-2s, any 1099s, ID, and last year's return if she filed one

Feedback (shown after answering)

Gathering all income forms and ID prevents errors.

Why each other choice is wrong (misconception it represents)

A: Pay stubs can miss forms such as 1099s
B: Usually unnecessary
C: Unrealistic

Type: instruction · practical how-to

SET 71 · Renting and Leasing a Home

Finding a rental and avoiding rental scams

MAIN skill: Search for legitimate rental listings and recognize rental scams

Outcome FL.RENT.71 · National topic: Spending · NJSLS 9.1.12: PB, RM

Learning target: Compare housing options and recognize rental fraud

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Renting basics: landlords, tenants, and leases (5 questions)
  Why: Students need the basic vocabulary of renting before evaluating listings.
- B2 · Math link → G5-S22-M (Grade 5 5.NBT.B.7): Solve real-world problems with decimal operations
  Why: Comparing rentals adds rent, utilities, and fees.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Comparing rentals beyond the rent (5 questions)
- Go Deeper 2: Spotting and reporting rental scams (5 questions)

Practical skills beyond the standards: Comparing total monthly housing costs; Verifying rental listings

Content status: time-sensitive

Source: FTC — Rental listing scams include fake listings, requests to wire money or pay before seeing a unit, and owners who claim to be out of the country. https://consumer.ftc.gov/articles/rental-listing-scams

Answer key for this set: M-Q1 C, M-Q2 A, M-Q3 B, M-Q4 A, M-Q5 D, B1-Q1 B, B1-Q2 C, B1-Q3 D, B1-Q4 D, B1-Q5 A, F1-Q1 B, F1-Q2 D, F1-Q3 C, F1-Q4 B, F1-Q5 D, F2-Q1 B, F2-Q2 D, F2-Q3 A, F2-Q4 C, F2-Q5 C

MAIN — Search for legitimate rental listings and recognize rental scams · Question 1 of 5

Learn: Rental scammers copy real listings or invent fake ones. Red flags: rent far below similar units, an owner who cannot meet in person, pressure to pay quickly, requests to wire money or use gift cards or payment apps, and requests for payment before you see the unit or sign a lease.

A listing offers a 2-bedroom apartment for $700 a month when similar ones nearby rent for $1,500. The "owner" is overseas and asks for a deposit by wire before anyone sees the unit. What is most likely happening?

A. A rare bargain that should be secured quickly
B. A normal practice for overseas landlords
C. A rental scam
D. A government housing program

CORRECT ANSWER

C. A rental scam

Feedback (shown after answering)

Below-market rent, an absent owner, and a wire request before viewing are classic scam signs.

Why each other choice is wrong (misconception it represents)

A: Falls for urgency
B: Normalizes red flags
D: Misidentifies

Type: instruction

MAIN — Search for legitimate rental listings and recognize rental scams · Question 2 of 5

Learn: Before paying, see the unit in person (or have someone you trust visit), meet the landlord or property manager, and check who owns the property, for example through local property records.

Which step BEST confirms that a listing is real before paying anything?

A. Visit the unit in person and verify the owner or manager
B. Ask the poster to send more photos of the unit before deciding
C. Pay a small deposit to hold it
D. Trust the listing because it is on a big website

CORRECT ANSWER

A. Visit the unit in person and verify the owner or manager

Feedback (shown after answering)

Seeing the unit and confirming who owns or manages it guards against fake listings, where scammers advertise places they do not control.

Why each other choice is wrong (misconception it represents)

B: Photos are easy to copy
C: Pays before verifying
D: Scams appear on big sites

Type: instruction · practical how-to

MAIN — Search for legitimate rental listings and recognize rental scams · Question 3 of 5

Learn: Compare total monthly housing cost, not just rent: rent + utilities + parking + renters insurance + other fees.

Jen compares two apartments. A: rent $1,150, utilities included. B: rent $1,050, plus about $130 a month in utilities. Which costs less per month, and by how much?

A. B, by $100
B. A, by $30
C. B, by $30
D. They cost the same

CORRECT ANSWER

B. A, by $30

Feedback (shown after answering)

A: $1,150. B: $1,050 + $130 = $1,180. A is $30 cheaper.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Compares rent only
C: Reverses
D: Does not compute

Type: instruction

MAIN — Search for legitimate rental listings and recognize rental scams · Question 4 of 5

Which payment request is MOST likely a sign of a scam?

A. Paying an application fee with gift cards
B. Paying first month's rent by check after signing a lease
C. Paying a security deposit to a property management company with a receipt
D. Paying rent through the landlord's official online portal after signing

CORRECT ANSWER

A. Paying an application fee with gift cards

Feedback (shown after answering)

Legitimate landlords do not ask for gift cards; scammers do because they cannot be traced or reversed.

Why each other choice is wrong (misconception it represents)

B: Normal
C: Normal
D: Normal

Type: knowledge check

MAIN — Search for legitimate rental listings and recognize rental scams · Question 5 of 5

Learn: Application fees cover processing and background checks and are usually not refundable. Applying to many places adds up.

Jen pays $65 application fees at 4 apartments before being approved. What does she spend on applications?

A. $16.25
B. $65
C. $69
D. $260

CORRECT ANSWER

D. $260

Feedback (shown after answering)

$65 × 4 = $260.

Recomputed independently by the build: 260

Why each other choice is wrong (misconception it represents)

A: Divides
B: Counts one
C: Adds instead of multiplying

Type: instruction

BACKWARD B1 · concept review — Renting basics: landlords, tenants, and leases · Question 1 of 5

Learn: A landlord owns (or manages) a rental property. A tenant pays rent to live there. A lease is the contract that sets the terms.

In a rental, who is the TENANT?

A. The person who owns the building
B. The person who pays rent to live in the home
C. The bank that holds the mortgage on the building
D. The city housing inspector

CORRECT ANSWER

B. The person who pays rent to live in the home

Feedback (shown after answering)

The tenant pays rent to live in the unit.

Why each other choice is wrong (misconception it represents)

A: Landlord
C: Lender
D: Official

Type: instruction

BACKWARD B1 · concept review — Renting basics: landlords, tenants, and leases · Question 2 of 5

Learn: A lease is a legal agreement that states the rent, length of the rental, rules, and responsibilities of each side.

What is a lease?

A. A loan agreement that lets the tenant buy the apartment over time
B. A receipt for one month's rent
C. A contract between landlord and tenant setting the rental terms
D. Renters insurance for the apartment

CORRECT ANSWER

C. A contract between landlord and tenant setting the rental terms

Feedback (shown after answering)

The lease is the rental contract.

Why each other choice is wrong (misconception it represents)

A: Confuses with a mortgage
B: Confuses a payment record with a contract
D: Confuses the lease with insurance

Type: instruction

BACKWARD B1 · concept review — Renting basics: landlords, tenants, and leases · Question 3 of 5

Rent is $950 a month. What does a 12-month lease total in rent?

A. $950
B. $1,140
C. $9,500
D. $11,400

CORRECT ANSWER

D. $11,400

Feedback (shown after answering)

$950 × 12 = $11,400.

Recomputed independently by the build: 11400

Why each other choice is wrong (misconception it represents)

A: One month
B: Divides
C: Uses 10 months

Type: knowledge check

BACKWARD B1 · concept review — Renting basics: landlords, tenants, and leases · Question 4 of 5

Learn: Utilities, such as electricity, gas, water, and internet, may or may not be included in rent. Listings should say which are included.

Which cost is often NOT included in rent?

A. The right to live in the unit
B. Use of the kitchen inside the unit
C. Using the front door
D. Electricity

CORRECT ANSWER

D. Electricity

Feedback (shown after answering)

Electricity is often paid separately by tenants.

Why each other choice is wrong (misconception it represents)

A: That is what rent pays for
B: Included
C: Included

Type: instruction

BACKWARD B1 · concept review — Renting basics: landlords, tenants, and leases · Question 5 of 5

Why do landlords check rental applications?

A. To judge whether the applicant will pay and care for the home
B. To decide the applicant's rent based on income
C. To sell applicants' information
D. Because the law requires every landlord to approve everyone

CORRECT ANSWER

A. To judge whether the applicant will pay and care for the home

Feedback (shown after answering)

Applications help landlords judge reliability.

Why each other choice is wrong (misconception it represents)

B: Believes rent is set by income
C: Improper
D: Misreads

Type: knowledge check

GO DEEPER 1 — Comparing rentals beyond the rent · Question 1 of 5

Learn: Location affects costs: commuting, parking, and time.

Apartment C rents for $1,000 and is a 20-minute walk from work. Apartment D rents for $900 but requires a $120 monthly bus pass. Which costs less per month for housing plus commuting?

A. D, by $100
B. C, by $20
C. D, by $20
D. They cost the same

CORRECT ANSWER

B. C, by $20

Feedback (shown after answering)

C: $1,000. D: $900 + $120 = $1,020. C is $20 cheaper.

Recomputed independently by the build: 20

Why each other choice is wrong (misconception it represents)

A: Ignores commuting
C: Reverses
D: Does not compute

Type: instruction

GO DEEPER 1 — Comparing rentals beyond the rent · Question 2 of 5

Learn: Extra monthly fees, such as parking, pet rent, or amenity fees, add to yearly housing costs: yearly cost = monthly fee × 12.

A building charges $75 a month for parking. Over a 12-month lease, what does parking cost?

A. $75
B. $87
C. $750
D. $900

CORRECT ANSWER

D. $900

Feedback (shown after answering)

$75 × 12 = $900.

Recomputed independently by the build: 900

Why each other choice is wrong (misconception it represents)

A: One month
B: Adds
C: Uses 10 months

Type: instruction

GO DEEPER 1 — Comparing rentals beyond the rent · Question 3 of 5

Learn: Asking about included utilities and extra fees before signing prevents surprise costs.

Which question should Jen ask before signing?

A. How many people applied before me?
B. Is the photo in the listing recent?
C. Which utilities and fees are included in the rent?
D. Will the landlord let me skip the security deposit?

CORRECT ANSWER

C. Which utilities and fees are included in the rent?

Feedback (shown after answering)

Knowing what rent covers prevents surprise costs.

Why each other choice is wrong (misconception it represents)

A: Focuses on competition, not costs
B: Useful, but not about monthly costs
D: Asks to avoid a standard term instead of checking costs

Type: instruction · practical how-to

GO DEEPER 1 — Comparing rentals beyond the rent · Question 4 of 5

Learn: Averaging seasonal bills gives a better monthly budget estimate.

Average utility bills at a unit are $90 in spring, $150 in summer, $180 in winter, and $100 in fall. What is the average monthly utility cost?

A. $90
B. $130
C. $180
D. $520

CORRECT ANSWER

B. $130

Feedback (shown after answering)

($90 + $150 + $180 + $100) ÷ 4 = $130.

Recomputed independently by the build: 130

Why each other choice is wrong (misconception it represents)

A: Uses the lowest
C: Uses the highest
D: Adds without dividing

Type: instruction

GO DEEPER 1 — Comparing rentals beyond the rent · Question 5 of 5

Learn: Roommates split rent and utilities, but a shared lease means shared responsibility.

Which choice is a reasonable way to lower rent costs?

A. Signing a lease you cannot afford and hoping for a raise
B. Paying rent with a cash advance
C. Skipping renters insurance to afford a nicer unit
D. Sharing a larger apartment with a roommate

CORRECT ANSWER

D. Sharing a larger apartment with a roommate

Feedback (shown after answering)

Splitting costs with a roommate can lower housing costs significantly.

Why each other choice is wrong (misconception it represents)

A: Risky
B: Expensive
C: Removes protection

Type: instruction

GO DEEPER 2 — Spotting and reporting rental scams · Question 1 of 5

Learn: Scammers often promise to mail keys and avoid meeting in person.

A "landlord" says, "Send the deposit through a payment app and I'll mail you the keys." What should Jen do?

A. Send it, since apps are safe
B. Refuse and look for another listing
C. Send half to test it
D. Ask a friend to send the deposit instead

CORRECT ANSWER

B. Refuse and look for another listing

Feedback (shown after answering)

Never pay before seeing the unit and verifying the landlord.

Why each other choice is wrong (misconception it represents)

A: Payments to scammers are hard to reverse
C: Still risky
D: Still risky

Type: instruction

GO DEEPER 2 — Spotting and reporting rental scams · Question 2 of 5

Learn: Local governments publish property ownership records.

How can Jen check who owns a property?

A. Ask the person posting the listing to promise
B. Look at the listing's photos
C. Check a social media profile
D. Search local property tax or deed records

CORRECT ANSWER

D. Search local property tax or deed records

Feedback (shown after answering)

Public property records show the owner.

Why each other choice is wrong (misconception it represents)

A: Not verification
B: Easily copied
C: Easily faked

Type: instruction · practical how-to

GO DEEPER 2 — Spotting and reporting rental scams · Question 3 of 5

Learn: A reverse image search can reveal photos copied from other listings.

Jen finds the same photos on another listing with a different address and price. What does that suggest?

A. One listing may be a copied scam
B. Both are definitely real
C. The photos are from a model unit, so both are guaranteed real
D. Both listings are fine since photos can be reused

CORRECT ANSWER

A. One listing may be a copied scam

Feedback (shown after answering)

Copied photos are a common scam sign.

Why each other choice is wrong (misconception it represents)

B: Ignores red flag
C: Assumes
D: Ignores a red flag

Type: instruction

GO DEEPER 2 — Spotting and reporting rental scams · Question 4 of 5

Learn: Reporting helps authorities and websites remove scams.

Where can Jen report a rental scam?

A. The scammer's email address
B. Her school
C. ReportFraud.ftc.gov and the site where it was listed
D. A credit bureau

CORRECT ANSWER

C. ReportFraud.ftc.gov and the site where it was listed

Feedback (shown after answering)

The FTC and the listing site accept scam reports.

Why each other choice is wrong (misconception it represents)

A: Unhelpful
B: Not the right place
D: Not the right place

Type: instruction · practical how-to

GO DEEPER 2 — Spotting and reporting rental scams · Question 5 of 5

Which listing detail is LEAST concerning?

A. Rent far below the area average
B. An owner who is "out of the country"
C. A manager who shows the unit and a lease to review
D. Pressure to pay today to hold it

CORRECT ANSWER

C. A manager who shows the unit and a lease to review

Feedback (shown after answering)

In-person showings and a lease to review are normal and reassuring.

Why each other choice is wrong (misconception it represents)

A: Red flag
B: Red flag
D: Red flag

Type: knowledge check

SET 72 · Renting and Leasing a Home

Rental applications and affordability

MAIN skill: Estimate affordable rent and prepare a rental application

Outcome FL.RENT.72 · National topic: Spending · NJSLS 9.1.12: PB, CP

Learning target: Evaluate housing affordability and the rental application process

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Percents of income for housing (5 questions)
  Why: Affordability rules are percents and multiples of income.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Affordability guidelines are percents of income.
- B3 · Math link → G6-S52-M (Grade 6 6.EE.B.7): Solve one-step equations of the form px = q
  Why: Finding maximum rent from "40 × rent ≤ income" solves a one-step equation.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Budgeting for the first apartment (5 questions)
- Go Deeper 2: Credit checks and fair housing (5 questions)

Practical skills beyond the standards: Assembling a rental application; Fair housing rights

Content status: time-sensitive

Source: HUD (Fair Housing Act) — The Fair Housing Act prohibits housing discrimination based on race, color, national origin, religion, sex, familial status, and disability.
https://www.hud.gov/program_offices/fair_housing_equal_opp/fair_housing_act_overview

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 A, M-Q4 B, M-Q5 D, B1-Q1 B, B1-Q2 B, B1-Q3 D, B1-Q4 B, B1-Q5 A, F1-Q1 D, F1-Q2 A, F1-Q3 D, F1-Q4 C, F1-Q5 B, F2-Q1 C, F2-Q2 B, F2-Q3 C, F2-Q4 D, F2-Q5 B

MAIN — Estimate affordable rent and prepare a rental application · Question 1 of 5

Learn: A common affordability guideline: rent of no more than about 30% of gross (before-tax) monthly income. It is a rule of thumb, not a law; your full budget matters too.

A common guideline suggests spending no more than 30% of gross monthly income on rent. Mo earns $3,200 a month before taxes. What is the most rent under that guideline?

A. $96
B. $960
C. $1,067
D. $3,200

CORRECT ANSWER

B. $960

Feedback (shown after answering)

$3,200 × 0.30 = $960.

Recomputed independently by the build: 960

Why each other choice is wrong (misconception it represents)

A: Uses 3%
C: Divides by 3
D: Uses all income

Type: instruction

MAIN — Estimate affordable rent and prepare a rental application · Question 2 of 5

Learn: Landlords often set income requirements, such as "yearly income at least 40× the monthly rent" or "monthly income at least 3× the rent."

Some landlords require yearly gross income of at least 40 times the monthly rent. Rent is $1,200. What yearly income is required?

A. $1,200
B. $14,400
C. $30,000
D. $48,000

CORRECT ANSWER

D. $48,000

Feedback (shown after answering)

$1,200 × 40 = $48,000.

Recomputed independently by the build: 48000

Why each other choice is wrong (misconception it represents)

A: Uses rent
B: Multiplies by 12
C: Uses 25 times

Type: instruction

MAIN — Estimate affordable rent and prepare a rental application · Question 3 of 5

Learn: To find the maximum rent under an income rule, divide yearly income by the multiple.

Mo earns $36,000 a year. Under a "40 times the rent" rule, what is the highest rent he qualifies for?

A. $900
B. $1,200
C. $1,440
D. $3,000

CORRECT ANSWER

A. $900

Feedback (shown after answering)

$36,000 ÷ 40 = $900.

Recomputed independently by the build: 900

Why each other choice is wrong (misconception it represents)

B: Uses 30 times
C: Uses 25 times
D: Divides by 12

Type: instruction

MAIN — Estimate affordable rent and prepare a rental application · Question 4 of 5

Learn: Applications usually require photo ID, proof of income (pay stubs or an offer letter), past landlord references, and consent to a credit and background check. An application fee is common.

Which documents does a rental application commonly ask for?

A. A high school diploma and report cards
B. ID, proof of income, rental history, and credit consent
C. A car title and insurance card
D. A list of friends' phone numbers

CORRECT ANSWER

B. ID, proof of income, rental history, and credit consent

Feedback (shown after answering)

Landlords verify identity, income, history, and credit.

Why each other choice is wrong (misconception it represents)

A: Not typical
C: Not typical
D: Not typical

Type: instruction · practical how-to

MAIN — Estimate affordable rent and prepare a rental application · Question 5 of 5

Learn: A guarantor agrees to pay the rent if the tenant does not. Deposit limits depend on state law.

Mo has no rental history and a thin credit file. What might a landlord ask for?

A. Nothing; landlords cannot ask for anything else
B. Proof that he has never borrowed money
C. His Social Security card mailed in
D. A guarantor (cosigner) or a larger deposit, where legal

CORRECT ANSWER

D. A guarantor (cosigner) or a larger deposit, where legal

Feedback (shown after answering)

Guarantors (or deposits within legal limits) reduce the landlord's risk.

Why each other choice is wrong (misconception it represents)

A: Misses common options
B: Misreads a thin file
C: Confuses ID with financial assurance

Type: instruction

BACKWARD B1 · concept review — Percents of income for housing · Question 1 of 5

Learn: Percent of an amount = amount × rate as a decimal.

What is 30% of $2,500?

A. $75
B. $750
C. $833
D. $7,500

CORRECT ANSWER

B. $750

Feedback (shown after answering)

$2,500 × 0.30 = $750.

Recomputed independently by the build: 750

Why each other choice is wrong (misconception it represents)

A: Uses 3%
C: Divides by 3
D: Uses 300%

Type: instruction

BACKWARD B1 · concept review — Percents of income for housing · Question 2 of 5

Learn: Percent of income = rent ÷ income × 100.

$900 rent on $3,000 monthly income is what percent?

A. 3.3%
B. 30%
C. 33%
D. 90%

CORRECT ANSWER

B. 30%

Feedback (shown after answering)

$900 ÷ $3,000 = 0.30 = 30%.

Recomputed independently by the build: 30

Why each other choice is wrong (misconception it represents)

A: Divides the wrong way
C: Arithmetic error
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Percents of income for housing · Question 3 of 5

Monthly income is $2,800. What is yearly income?

A. $233
B. $2,800
C. $28,000
D. $33,600

CORRECT ANSWER

D. $33,600

Feedback (shown after answering)

$2,800 × 12 = $33,600.

Recomputed independently by the build: 33600

Why each other choice is wrong (misconception it represents)

A: Divides
B: One month
C: Uses 10 months

Type: knowledge check

BACKWARD B1 · concept review — Percents of income for housing · Question 4 of 5

Learn: Under a "40 times rent" rule, the most rent = yearly income ÷ 40.

Yearly income is $33,600. Dividing by 40 gives what monthly rent limit?

A. $84
B. $840
C. $2,800
D. $1,344,000

CORRECT ANSWER

B. $840

Feedback (shown after answering)

$33,600 ÷ 40 = $840.

Recomputed independently by the build: 840

Why each other choice is wrong (misconception it represents)

A: Divides by 400
C: Divides by 12
D: Multiplies

Type: instruction

BACKWARD B1 · concept review — Percents of income for housing · Question 5 of 5

Learn: The 30% rent rule of thumb is a quick budgeting check. The government's formal "cost-burdened" measure counts total housing costs, including utilities, above 30% of income.

A common rule of thumb flags spending more than 30% of income on rent. Why does that matter?

A. Less money remains for other needs and saving
B. Landlords charge more to such tenants
C. It lowers credit scores automatically each month
D. It is illegal to rent above 30%

CORRECT ANSWER

A. Less money remains for other needs and saving

Feedback (shown after answering)

High housing costs crowd out other needs and saving.

Why each other choice is wrong (misconception it represents)

B: Confuses the term with pricing
C: Confuses rent with credit
D: Invents a rule

Type: instruction

GO DEEPER 1 — Budgeting for the first apartment · Question 1 of 5

Learn: Move-in costs often include first month's rent, a security deposit, fees, and moving expenses, all due before or at move-in.

Move-in costs: first month's rent $1,000, security deposit $1,500, and a $50 application fee. How much cash does Mo need?

A. $1,000
B. $1,550
C. $2,500
D. $2,550

CORRECT ANSWER

D. $2,550

Feedback (shown after answering)

$1,000 + $1,500 + $50 = $2,550.

Recomputed independently by the build: 2550

Why each other choice is wrong (misconception it represents)

A: Counts rent only
B: Leaves out rent
C: Leaves out the fee

Type: instruction

GO DEEPER 1 — Budgeting for the first apartment · Question 2 of 5

Learn: Months needed = amount needed ÷ monthly saving, rounded up to a whole month.

Mo saves $300 a month toward $2,550 of move-in costs. How many months until he has enough (rounded up)?

A. 9 months
B. 8 months
C. 85 months
D. 3 months

CORRECT ANSWER

A. 9 months

Feedback (shown after answering)

$2,550 ÷ $300 = 8.5, so 9 months.

Recomputed independently by the build: 9

Why each other choice is wrong (misconception it represents)

B: Rounds down and falls short
C: Misplaces a decimal
D: Divides by $1,000

Type: instruction

GO DEEPER 1 — Budgeting for the first apartment · Question 3 of 5

Learn: First apartments often need furniture, kitchen basics, and utility deposits or setup fees.

Which expense is often forgotten in a first apartment budget?

A. Rent
B. The lease itself
C. Rent for the first month, which the landlord already listed
D. Furniture, kitchen supplies, and utility setup fees

CORRECT ANSWER

D. Furniture, kitchen supplies, and utility setup fees

Feedback (shown after answering)

One-time setup costs can be large.

Why each other choice is wrong (misconception it represents)

A: Rarely forgotten
B: Not an expense
C: Not the tenant's

Type: instruction

GO DEEPER 1 — Budgeting for the first apartment · Question 4 of 5

Learn: Housing share = total housing costs ÷ income × 100.

Mo's take-home pay is $2,500. Rent is $900, utilities $120, renters insurance $15, and internet $50. What share of take-home pay do these housing costs use (nearest whole percent)?

A. 30%
B. 36%
C. 43%
D. 57%

CORRECT ANSWER

C. 43%

Feedback (shown after answering)

$900 + $120 + $15 + $50 = $1,085; $1,085 ÷ $2,500 = 43.4%.

Recomputed independently by the build: 43.4

Why each other choice is wrong (misconception it represents)

A: Uses the guideline
B: Uses rent only
D: Gives what remains

Type: instruction

GO DEEPER 1 — Budgeting for the first apartment · Question 5 of 5

Which choice would most lower Mo's housing share?

A. Adding cable TV
B. Finding a roommate to split rent and utilities
C. Taking a bigger unit so a future roommate can join later
D. Paying rent with a credit card

CORRECT ANSWER

B. Finding a roommate to split rent and utilities

Feedback (shown after answering)

Splitting fixed costs is one of the biggest savings available.

Why each other choice is wrong (misconception it represents)

A: Raises costs
C: Raises costs
D: Adds fees and debt

Type: knowledge check

GO DEEPER 2 — Credit checks and fair housing · Question 1 of 5

Learn: Landlords may check credit reports (with permission). Some checks are recorded as inquiries.

A landlord runs a credit check on Mo. Does this affect his credit score?

A. It erases his credit history
B. It always drops his score by 100 points
C. It may appear as an inquiry; it does not reveal income
D. It shows his bank balances and pay to the landlord directly

CORRECT ANSWER

C. It may appear as an inquiry; it does not reveal income

Feedback (shown after answering)

Tenant screening may add an inquiry; reports do not show income or bank balances.

Why each other choice is wrong (misconception it represents)

A: Misunderstands inquiries
B: Overstates the effect
D: Misreads credit reports

Type: instruction

GO DEEPER 2 — Credit checks and fair housing · Question 2 of 5

Learn: The Fair Housing Act prohibits housing discrimination based on race, color, national origin, religion, sex, familial status, and disability. Some exemptions exist, such as certain senior housing.

A landlord refuses to rent to a family because they have young children. Under the federal Fair Housing Act, this is...

A. legal in every building
B. illegal discrimination based on familial status
C. allowed whenever the landlord prefers a quiet building
D. required by fire codes

CORRECT ANSWER

B. illegal discrimination based on familial status

Feedback (shown after answering)

Familial status is a protected class under the Fair Housing Act.

Why each other choice is wrong (misconception it represents)

A: Ignores the law
C: Ignores the law
D: Misreads

Type: instruction

GO DEEPER 2 — Credit checks and fair housing · Question 3 of 5

Learn: HUD and state agencies enforce fair housing laws.

Where can someone report housing discrimination?

A. The IRS
B. The credit bureau that reported his score
C. HUD or the state civil rights agency
D. The landlord's friend

CORRECT ANSWER

C. HUD or the state civil rights agency

Feedback (shown after answering)

HUD and state agencies accept fair housing complaints.

Why each other choice is wrong (misconception it represents)

A: Wrong agency
B: Wrong agency
D: Not an authority

Type: instruction · practical how-to

GO DEEPER 2 — Credit checks and fair housing · Question 4 of 5

Learn: When a landlord takes adverse action based on a consumer report, the applicant must be told and can get a free copy of the report.

A landlord denies Mo because of information in a tenant screening report. What right does Mo have under federal law?

A. None at all
B. To have the landlord approve him anyway
C. To sue the landlord for checking
D. To be told and to get a free copy to dispute errors

CORRECT ANSWER

D. To be told and to get a free copy to dispute errors

Feedback (shown after answering)

Adverse action notices let applicants check and dispute reports.

Why each other choice is wrong (misconception it represents)

A: Ignores FCRA
B: Overstates the right
C: Misreads the right

Type: instruction

GO DEEPER 2 — Credit checks and fair housing · Question 5 of 5

Learn: Under a "monthly income at least 3× rent" rule, the most rent = monthly income ÷ 3.

Mo earns $2,800 a month. A landlord requires monthly income of 3 times the rent. What is the highest rent he qualifies for?

A. $700
B. $933.33
C. $2,800
D. $8,400

CORRECT ANSWER

B. $933.33

Feedback (shown after answering)

$2,800 ÷ 3 ≈ $933.33.

Recomputed independently by the build: 933.333333

Why each other choice is wrong (misconception it represents)

A: Divides by 4
C: Uses income
D: Multiplies

Type: instruction

SET 73 · Renting and Leasing a Home

Reading a lease and security deposits

MAIN skill: Read key lease terms and apply security deposit rules

Outcome FL.RENT.73 · National topic: Spending · NJSLS 9.1.12: PB

Learning target: Interpret a lease and explain tenant financial responsibilities including security deposits

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Reading contract terms (5 questions)
  - Why: Lease questions require reading specific terms and applying them.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  - Why: Deposit caps and fees multiply rent by factors like 1.5.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Move-in and move-out inspections (5 questions)
- Go Deeper 2: Breaking a lease, renewals, and roommates (5 questions)

Practical skills beyond the standards: Reading a lease section by section; Move-in and move-out documentation

Content status: time-sensitive

Source: New Jersey Department of Community Affairs (Truth in Renting) — In New Jersey, a security deposit may not exceed 1.5 times one month's rent, and the landlord must return it with interest, less itemized charges, within 30 days after the tenancy ends. https://www.nj.gov/dca/codes/publications/pdf_lti/t_i_r.pdf

Answer key for this set: M-Q1 C, M-Q2 A, M-Q3 C, M-Q4 C, M-Q5 B, B1-Q1 D, B1-Q2 A, B1-Q3 A, B1-Q4 C, B1-Q5 B, F1-Q1 D, F1-Q2 C, F1-Q3 B, F1-Q4 B, F1-Q5 D, F2-Q1 C, F2-Q2 A, F2-Q3 C, F2-Q4 B, F2-Q5 C

MAIN — Read key lease terms and apply security deposit rules · Question 1 of 5

Learn: A lease lists the rent, due date, grace period, late fees, length of the lease, who pays which utilities, rules (pets, guests, noise), maintenance duties, renewal terms, and what happens if you leave early. Read every section before signing.

A lease says: "Rent $1,100 due on the 1st. Late fee $50 if not received by the 5th." Jen pays on the 7th. What does she owe for that month?

A. $1,050
B. $1,100
C. $1,150
D. $1,200

CORRECT ANSWER

C. $1,150

Feedback (shown after answering)

$1,100 + $50 late fee = $1,150.

Recomputed independently by the build: 1150

Why each other choice is wrong (misconception it represents)

A: Subtracts the fee
B: Ignores the late fee
D: Charges two late fees

Type: instruction · practical how-to

MAIN — Read key lease terms and apply security deposit rules · Question 2 of 5

Learn: A security deposit protects the landlord against unpaid rent or damage beyond normal wear and tear. It is generally returned, minus allowed deductions, after the lease ends. State laws limit amounts and set return deadlines.

A security deposit is...

A. money held to cover unpaid rent or damage beyond normal wear
B. a fee the landlord keeps no matter what condition the unit is in
C. the last month's rent, automatically
D. a payment for the landlord's insurance

CORRECT ANSWER

A. money held to cover unpaid rent or damage beyond normal wear

Feedback (shown after answering)

Deposits are held and returned minus allowed deductions.

Why each other choice is wrong (misconception it represents)

B: Misunderstands
C: Misunderstands
D: Misunderstands

Type: instruction

MAIN — Read key lease terms and apply security deposit rules · Question 3 of 5

Learn: New Jersey law caps security deposits at 1.5 months' rent. Other states have different limits.

In New Jersey, a security deposit may not exceed 1.5 times one month's rent. Rent is $1,200. What is the largest deposit allowed?

A. $600
B. $1,200
C. $1,800
D. $2,400

CORRECT ANSWER

C. $1,800

Feedback (shown after answering)

$1,200 × 1.5 = $1,800.

Recomputed independently by the build: 1800

Why each other choice is wrong (misconception it represents)

A: Uses half a month
B: Uses one month
D: Uses two months

Type: instruction · rule as of New Jersey rules as of 2026

MAIN — Read key lease terms and apply security deposit rules · Question 4 of 5

Learn: Normal wear and tear (small nail holes, faded paint) is generally not deducted. Damage beyond that can be. New Jersey requires the landlord to return the deposit with interest, less itemized charges, within 30 days after the lease ends.

Jen's lease ends. Her $1,500 deposit has $200 deducted for a broken door and $0 for small nail holes. In New Jersey, about how much should she get back, and by when?

A. $1,500 within one year
B. $0, because deposits are never returned
C. $1,300 (plus any interest) within 30 days
D. $1,300 whenever the landlord chooses to pay

CORRECT ANSWER

C. $1,300 (plus any interest) within 30 days

Feedback (shown after answering)

$1,500 − $200 = $1,300, plus any interest, with an itemized list, within 30 days in New Jersey.

Recomputed independently by the build: 1300

Why each other choice is wrong (misconception it represents)

A: Ignores the deduction and the deadline
B: Ignores deposit law
D: Ignores the deadline

Type: instruction · rule as of New Jersey rules as of 2026

MAIN — Read key lease terms and apply security deposit rules · Question 5 of 5

Which lease term should Jen check before getting a pet?

A. The renters insurance deductible only
B. The pet policy and any pet deposit or monthly pet fee
C. Only the monthly rent, since pets never change lease terms
D. The parking rules for guests

CORRECT ANSWER

B. The pet policy and any pet deposit or monthly pet fee

Feedback (shown after answering)

Pet rules and fees are set in the lease.

Why each other choice is wrong (misconception it represents)

A: Misses pet terms
C: Ignores pet clauses
D: Unrelated lease term

Type: knowledge check · practical how-to

BACKWARD B1 · concept review — Reading contract terms · Question 1 of 5

Learn: The lease term is the length of the agreement.

A lease runs from August 1 to July 31. How long is it?

A. 6 months
B. 11 months
C. 24 months
D. 12 months

CORRECT ANSWER

D. 12 months

Feedback (shown after answering)

August 1 to July 31 is 12 months.

Recomputed independently by the build: 12

Why each other choice is wrong (misconception it represents)

A: Arithmetic error
B: Undercounts
C: Overcounts

Type: instruction

BACKWARD B1 · concept review — Reading contract terms · Question 2 of 5

Learn: Leases assign each bill to the landlord or tenant.

"Tenant pays electricity and gas; landlord pays water." Who pays the water bill?

A. The landlord
B. The tenant who lives there
C. The city
D. Neither

CORRECT ANSWER

A. The landlord

Feedback (shown after answering)

The lease assigns water to the landlord.

Why each other choice is wrong (misconception it represents)

B: Misreads
C: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Reading contract terms · Question 3 of 5

Learn: A grace period is a short time after a due date during which payment is still accepted without a late fee.

A "grace period" for rent means...

A. days after the due date before a late fee applies
B. a discount for paying early
C. a free month of rent
D. a period at the start of the lease when rent is not owed

CORRECT ANSWER

A. days after the due date before a late fee applies

Feedback (shown after answering)

Grace periods delay late fees for a few days.

Why each other choice is wrong (misconception it represents)

B: Misreads
C: Misreads
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Reading contract terms · Question 4 of 5

1.5 times $1,000 is...

A. $150
B. $1,005
C. $1,500
D. $2,500

CORRECT ANSWER

C. $1,500

Feedback (shown after answering)

1.5 × $1,000 = $1,500.

Recomputed independently by the build: 1500

Why each other choice is wrong (misconception it represents)

A: Uses 0.15
B: Adds 5
D: Adds

Type: knowledge check

BACKWARD B1 · concept review — Reading contract terms · Question 5 of 5

Why should Jen read a lease BEFORE signing?

A. Leases can be changed by the tenant alone later
B. Signing makes her legally bound to its terms
C. Only the landlord is bound by a lease
D. Leases are not legal documents

CORRECT ANSWER

B. Signing makes her legally bound to its terms

Feedback (shown after answering)

A signed lease is a binding contract.

Why each other choice is wrong (misconception it represents)

A: Believes one party can change a contract
C: Misunderstands contracts
D: Misunderstands contracts

Type: knowledge check · practical how-to

GO DEEPER 1 — Move-in and move-out inspections · Question 1 of 5

Learn: A move-in checklist and dated photos protect your deposit by recording existing damage.

Why should Jen document the unit's condition with dated photos at move-in?

A. To post them online for future renters
B. To ask the landlord to lower the rent right away
C. Because photos replace the need for a lease
D. To show which damage existed before she moved in

CORRECT ANSWER

D. To show which damage existed before she moved in

Feedback (shown after answering)

Records prove pre-existing damage so it is not charged to you.

Why each other choice is wrong (misconception it represents)

A: Not the purpose
B: Not the purpose
C: Misunderstands documentation

Type: instruction · practical how-to

GO DEEPER 1 — Move-in and move-out inspections · Question 2 of 5

Learn: Deductions generally cover damage beyond normal wear and tear, plus unpaid rent.

Which charge is MOST likely to be allowed from a deposit?

A. Small nail holes from hanging pictures
B. Faded paint after three years
C. Replacing a carpet ruined by a pet
D. Minor scuffs on floors

CORRECT ANSWER

C. Replacing a carpet ruined by a pet

Feedback (shown after answering)

Pet damage is beyond normal wear and tear.

Why each other choice is wrong (misconception it represents)

A: Normal wear
B: Normal wear
D: Normal wear

Type: instruction

GO DEEPER 1 — Move-in and move-out inspections · Question 3 of 5

Learn: Landlords need a forwarding address to return deposits and statements.

At move-out, Jen cleans, returns keys, and gives a forwarding address. Why the address?

A. So the landlord can mail her future bills
B. So the landlord can send the deposit and itemized list
C. Because a forwarding address raises the deposit refund
D. To end her renters insurance

CORRECT ANSWER

B. So the landlord can send the deposit and itemized list

Feedback (shown after answering)

A forwarding address ensures the deposit reaches her.

Why each other choice is wrong (misconception it represents)

A: Misreads the purpose
C: Misreads the purpose
D: Confuses separate tasks

Type: instruction · practical how-to

GO DEEPER 1 — Move-in and move-out inspections · Question 4 of 5

Learn: New Jersey requires deposits to be held in an interest-bearing account, with interest credited to the tenant.

Jen's deposit of $1,800 earned 1% interest for one year in New Jersey. About how much interest is owed?

A. $1.80
B. $18
C. $180
D. $1,818

CORRECT ANSWER

B. $18

Feedback (shown after answering)

$1,800 × 0.01 = $18.

Recomputed independently by the build: 18

Why each other choice is wrong (misconception it represents)

A: Uses 0.1%
C: Uses 10%
D: Gives the total

Type: instruction · rule as of New Jersey rules as of 2026

GO DEEPER 1 — Move-in and move-out inspections · Question 5 of 5

Learn: Tenants can pursue unreturned deposits; New Jersey law provides remedies when deposits are wrongfully withheld.

A landlord keeps a deposit without explanation past the legal deadline. What can a New Jersey tenant do?

A. Nothing
B. Post a bad review and wait
C. Take the landlord's property
D. Request it in writing, then use small claims court if needed

CORRECT ANSWER

D. Request it in writing, then use small claims court if needed

Feedback (shown after answering)

Written requests and small claims court are common remedies.

Why each other choice is wrong (misconception it represents)

A: Ignores rights
B: Does not use legal remedies
C: Illegal

Type: instruction · practical how-to

GO DEEPER 2 — Breaking a lease, renewals, and roommates · Question 1 of 5

Learn: Leaving early can mean paying rent until a new tenant is found or paying an early-termination fee, depending on the lease and state law.

Jen must move 4 months before her 12-month lease ends. Rent is $1,100. If the lease makes her liable for remaining rent until the unit is re-rented, and it takes 2 months to re-rent, how much might she owe?

A. $0
B. $1,100
C. $2,200
D. $4,400

CORRECT ANSWER

C. $2,200

Feedback (shown after answering)

2 × $1,100 = $2,200.

Recomputed independently by the build: 2200

Why each other choice is wrong (misconception it represents)

A: Ignores the lease
B: Charges one month
D: Charges all 4 months

Type: instruction

GO DEEPER 2 — Breaking a lease, renewals, and roommates · Question 2 of 5

Learn: Leases often require advance written notice to end or renew.

Jen's lease renews automatically unless she gives 60 days' written notice. Her lease ends June 30. By about when must she give notice to leave?

A. Early May
B. June 29
C. July 15
D. There is no deadline

CORRECT ANSWER

A. Early May

Feedback (shown after answering)

60 days before June 30 is about May 1.

Why each other choice is wrong (misconception it represents)

B: Too late
C: After the end
D: Ignores the lease

Type: instruction

GO DEEPER 2 — Breaking a lease, renewals, and roommates · Question 3 of 5

Learn: When roommates sign the same lease, each is often responsible for the full rent ("joint and several" liability).

Two roommates sign one lease for $1,600 rent. One stops paying. What can the landlord usually do?

A. Collect only half from each roommate, no matter what
B. Collect from the paying roommate only her half
C. Hold either roommate responsible for the full rent
D. Lower the rent to $800

CORRECT ANSWER

C. Hold either roommate responsible for the full rent

Feedback (shown after answering)

On a joint lease, each tenant can be held responsible for all of the rent.

Why each other choice is wrong (misconception it represents)

A: Ignores joint liability
B: Ignores joint liability
D: Misreads the lease

Type: instruction

GO DEEPER 2 — Breaking a lease, renewals, and roommates · Question 4 of 5

Learn: Percent change = (new − old) ÷ old × 100.

A landlord offers a renewal with rent rising from $1,100 to $1,155. What is the percent increase?

A. 4.8%
B. 5%
C. 10%
D. 55%

CORRECT ANSWER

B. 5%

Feedback (shown after answering)

$55 ÷ $1,100 = 5%.

Recomputed independently by the build: 5

Why each other choice is wrong (misconception it represents)

A: Divides by the new rent
C: Arithmetic error
D: Uses dollars

Type: instruction

GO DEEPER 2 — Breaking a lease, renewals, and roommates · Question 5 of 5

Learn: Many leases require the landlord's written permission to sublet.

Subletting means…

A. the landlord selling the building
B. paying rent late
C. renting your unit to someone else while still the tenant
D. breaking the lease with no notice

CORRECT ANSWER

C. renting your unit to someone else while still the tenant

Feedback (shown after answering)

Subletting puts another person in your unit under your lease; check the lease first.

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Misreads
D: Misreads

Type: instruction

SET 74 · Renting and Leasing a Home

Tenant responsibilities, rights, and renters insurance

MAIN skill: Explain tenant duties and rights and evaluate renters insurance
Outcome FL.RENT.74 · National topic: Managing Risk · NJSLS 9.1.12: RM, PB
Learning target: Explain tenant responsibilities and the purpose of renters insurance

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Premiums and deductibles (5 questions)
  Why: Renters insurance questions depend on distinguishing a premium from a deductible.
- B2 · Math link → G5-S22-M (Grade 5 5.NBT.B.7): Solve real-world problems with decimal operations
  Why: Claim payments subtract deductibles; premiums multiply by months.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Choosing renters insurance coverage (5 questions)
- Go Deeper 2: Tenant rights and when to get help (5 questions)

Practical skills beyond the standards: Requesting repairs in writing; Creating a home inventory

Content status: time-sensitive
Source: New Jersey Department of Community Affairs (Truth in Renting) — In New Jersey, a security deposit may not exceed 1.5 times one month's rent, and the landlord must return it with interest, less itemized charges, within 30 days after the tenancy ends. https://www.nj.gov/dca/codes/publications/pdf_lti/t_i_r.pdf

Answer key for this set: M-Q1 A, M-Q2 B, M-Q3 D, M-Q4 B, M-Q5 C, B1-Q1 A, B1-Q2 C, B1-Q3 B, B1-Q4 D, B1-Q5 A, F1-Q1 D, F1-Q2 B, F1-Q3 A, F1-Q4 D, F1-Q5 C, F2-Q1 B, F2-Q2 C, F2-Q3 D, F2-Q4 A, F2-Q5 D

MAIN — Explain tenant duties and rights and evaluate renters insurance · Question 1 of 5

Learn: A landlord's insurance covers the building, not tenants' belongings. Renters insurance covers your personal property (for theft, fire, and other listed causes) and liability if someone is injured in your home or you damage others' property. It often costs about $10–$25 a month.

Jen's belongings are stolen from her apartment. The landlord has building insurance. Which policy covers HER belongings?

A. Her own renters insurance policy
B. The landlord's building insurance
C. The city's emergency fund
D. Her car insurance, for anything inside a home

CORRECT ANSWER

A. Her own renters insurance policy

Feedback (shown after answering)

Tenant belongings are covered only by the tenant's renters insurance.

Why each other choice is wrong (misconception it represents)

B: Covers the building, not tenant property
C: Not insurance
D: Generally not

Type: instruction

MAIN — Explain tenant duties and rights and evaluate renters insurance · Question 2 of 5

Learn: A premium is what you pay for the policy. A deductible is the amount you pay toward a claim before insurance pays the rest.

Jen's renters policy costs $16 a month with a $500 deductible. A fire destroys $4,000 of her belongings (covered). How much does the insurer pay?

A. $500
B. $3,500
C. $3,984
D. $4,000

CORRECT ANSWER

B. $3,500

Feedback (shown after answering)

$4,000 − $500 deductible = $3,500.

Recomputed independently by the build: 3500

Why each other choice is wrong (misconception it represents)

A: Gives the deductible
C: Subtracts the premium
D: Ignores the deductible

Type: instruction

MAIN — Explain tenant duties and rights and evaluate renters insurance · Question 3 of 5

Learn: Tenants generally must pay rent on time, keep the unit clean, avoid damage, follow the lease, and report repairs. Landlords generally must keep the unit safe and livable (heat, water, structural repairs) and follow notice rules.

Which is usually the TENANT's responsibility?

A. Replacing the building's roof
B. Fixing a broken furnace or a leaking water heater herself
C. Paying the building's property tax
D. Keeping the unit clean and reporting problems promptly

CORRECT ANSWER

D. Keeping the unit clean and reporting problems promptly

Feedback (shown after answering)

Tenants keep the unit clean and report problems.

Why each other choice is wrong (misconception it represents)

A: Landlord
B: Landlord
C: Landlord

Type: instruction

MAIN — Explain tenant duties and rights and evaluate renters insurance · Question 4 of 5

Learn: Landlords must keep homes habitable, including heat. Tenants should report problems in writing and keep records. State law sets remedies if repairs are not made.

In winter, Jen's heat stops working. What should she do FIRST?

A. Stop paying rent immediately
B. Notify the landlord in writing and keep a copy
C. Hire a contractor and deduct any cost she chooses
D. Wait until spring

CORRECT ANSWER

B. Notify the landlord in writing and keep a copy

Feedback (shown after answering)

A written notice creates a record and starts the repair process.

Why each other choice is wrong (misconception it represents)

A: Can violate the lease without proper steps
C: May not follow legal procedures
D: Unsafe

Type: instruction · practical how-to

MAIN — Explain tenant duties and rights and evaluate renters insurance · Question 5 of 5

Over a year, how much does a $16-per-month renters policy cost?

A. $16
B. $160
C. $192
D. $1,920

CORRECT ANSWER

C. $192

Feedback (shown after answering)

$16 × 12 = $192, often far less than replacing belongings.

Recomputed independently by the build: 192

Why each other choice is wrong (misconception it represents)

A: One month
B: Uses 10 months
D: Adds a zero

Type: knowledge check

BACKWARD B1 · concept review — Premiums and deductibles · Question 1 of 5

Learn: The premium is the price of insurance, paid monthly or yearly. The deductible is what you pay out of pocket on a claim before insurance pays.

What is an insurance PREMIUM?

A. The amount paid regularly to keep the policy
B. The amount the policyholder pays toward each claim first
C. The maximum the insurer pays
D. A refund from the insurer

CORRECT ANSWER

A. The amount paid regularly to keep the policy

Feedback (shown after answering)

The premium is the regular cost of the policy.

Why each other choice is wrong (misconception it represents)

B: Describes a deductible
C: Describes a limit
D: Misreads

Type: instruction

BACKWARD B1 · concept review — Premiums and deductibles · Question 2 of 5

What is a DEDUCTIBLE?

A. The monthly cost of the policy
B. The most the insurer will pay
C. The amount you pay on a claim before insurance pays
D. A bonus the insurer pays you when you file no claims

CORRECT ANSWER

C. The amount you pay on a claim before insurance pays

Feedback (shown after answering)

The deductible comes out of your pocket on each claim.

Why each other choice is wrong (misconception it represents)

A: Describes a premium
B: Confuses with the policy limit
D: Misreads

Type: knowledge check

BACKWARD B1 · concept review — Premiums and deductibles · Question 3 of 5

Learn: Insurance pays the loss minus the deductible.

A covered $1,200 loss with a $250 deductible is paid how?

A. Insurance pays $1,200
B. You pay $250; insurance pays $950
C. You pay $950; insurance pays $250
D. You pay $1,200

CORRECT ANSWER

B. You pay $250; insurance pays $950

Feedback (shown after answering)

$1,200 − $250 = $950 paid by insurance.

Recomputed independently by the build: 950

Why each other choice is wrong (misconception it represents)

A: Ignores deductible
C: Swaps
D: Ignores coverage

Type: instruction

BACKWARD B1 · concept review — Premiums and deductibles · Question 4 of 5

Learn: Taking on more cost per claim (higher deductible) usually lowers the premium.

Which choice usually LOWERS the premium?

A. Choosing a much lower deductible
B. Adding more coverage
C. Filing more claims
D. Choosing a higher deductible

CORRECT ANSWER

D. Choosing a higher deductible

Feedback (shown after answering)

Higher deductible → lower premium.

Why each other choice is wrong (misconception it represents)

A: Raises premium
B: Raises premium
C: Can raise premium

Type: instruction

BACKWARD B1 · concept review — Premiums and deductibles · Question 5 of 5

Which loss is MOST likely covered by renters insurance?

A. A laptop stolen in a break-in
B. Wear on old furniture over years
C. The building's cracked foundation
D. A planned vacation

CORRECT ANSWER

A. A laptop stolen in a break-in

Feedback (shown after answering)

Theft of personal property is a typical covered loss.

Why each other choice is wrong (misconception it represents)

B: Not a sudden loss
C: Landlord's
D: Not a loss

Type: knowledge check

GO DEEPER 1 — Choosing renters insurance coverage · Question 1 of 5

Learn: A home inventory, a list of belongings with values, helps choose coverage and file claims.

Jen lists her belongings: electronics $2,500, furniture $1,800, clothes $1,500, other $1,200. How much personal property coverage does she need at minimum?

A. $1,800
B. $2,500
C. $5,800
D. $7,000

CORRECT ANSWER

D. $7,000

Feedback (shown after answering)

$2,500 + $1,800 + $1,500 + $1,200 = $7,000.

Recomputed independently by the build: 7000

Why each other choice is wrong (misconception it represents)

A: Uses furniture only
B: Uses electronics only
C: Leaves out clothes

Type: instruction · practical how-to

GO DEEPER 1 — Choosing renters insurance coverage · Question 2 of 5

Learn: Policies may pay replacement cost (new item) or actual cash value (replacement cost minus depreciation). Replacement cost policies usually cost more.

"Replacement cost" coverage pays to replace items with new ones. "Actual cash value" pays...

A. double the original price, to cover the cost of shopping
B. what the items were worth after depreciation
C. the item's original price
D. the price of a used item of any age

CORRECT ANSWER

B. what the items were worth after depreciation

Feedback (shown after answering)

Actual cash value subtracts depreciation.

Why each other choice is wrong (misconception it represents)

A: Overstates coverage
C: Describes replacement cost
D: Misreads depreciation

Type: instruction

GO DEEPER 1 — Choosing renters insurance coverage · Question 3 of 5

Learn: Actual cash value = today's replacement cost − depreciation. Replacement cost coverage pays the full replacement cost instead.

A 4-year-old TV would cost $1,000 to replace with a similar new one today. The policy figures its depreciation at 60%. Under actual cash value, before the deductible, what is it worth?

A. $400
B. $600
C. $940
D. $1,000

CORRECT ANSWER

A. $400

Feedback (shown after answering)

$1,000 × (1 − 0.60) = $400.

Recomputed independently by the build: 400

Why each other choice is wrong (misconception it represents)

B: Gives the depreciation
C: Subtracts 60 dollars
D: Gives replacement cost

Type: instruction

GO DEEPER 1 — Choosing renters insurance coverage · Question 4 of 5

Learn: Liability coverage helps pay if you are legally responsible for injuring someone or damaging their property.

A guest slips in Jen's apartment and is hurt. Which part of renters insurance may help?

A. Personal property coverage
B. Loss-of-use coverage
C. Nothing; insurance never covers injuries
D. Liability coverage

CORRECT ANSWER

D. Liability coverage

Feedback (shown after answering)

Liability coverage addresses injuries to others.

Why each other choice is wrong (misconception it represents)

A: Covers belongings
B: Covers temporary housing
C: Misses liability coverage

Type: instruction

GO DEEPER 1 — Choosing renters insurance coverage · Question 5 of 5

Learn: Loss-of-use coverage pays extra living costs when a covered event makes your home unlivable.

After a covered fire, Jen must stay in a hotel for 2 weeks. Which coverage may help pay?

A. Liability coverage for injuries to guests
B. The landlord's security deposit
C. Loss of use (additional living expenses)
D. Health insurance

CORRECT ANSWER

C. Loss of use (additional living expenses)

Feedback (shown after answering)

Loss-of-use pays temporary living costs.

Why each other choice is wrong (misconception it represents)

A: Others' injuries
B: Confuses a deposit with insurance
D: Covers medical costs, not housing

Type: instruction

GO DEEPER 2 — Tenant rights and when to get help · Question 1 of 5

Learn: In most states, including New Jersey, landlords must go through the court eviction process; lockouts and utility shutoffs to force tenants out are generally illegal.

Can a landlord in most states change the locks to force a tenant out without a court order?

A. Yes, any time the rent is even one day past due
B. No; self-help evictions are generally illegal
C. Yes, with one day's notice
D. Yes, if the lease allows it

CORRECT ANSWER

B. No; self-help evictions are generally illegal

Feedback (shown after answering)

Evictions require court process; lockouts are generally illegal.

Why each other choice is wrong (misconception it represents)

A: Untrue in most states
C: Believes notice replaces a court order
D: Believes leases override eviction law

Type: instruction

GO DEEPER 2 — Tenant rights and when to get help · Question 2 of 5

Learn: Leases and state or local laws usually require reasonable notice before non-emergency entry.

A landlord wants to enter Jen's apartment for a non-emergency repair. What is generally expected?

A. No notice at any time
B. A full month's written notice before every visit, even emergencies
C. Reasonable advance notice, as set by law or the lease
D. Permission from the city

CORRECT ANSWER

C. Reasonable advance notice, as set by law or the lease

Feedback (shown after answering)

Non-emergency entry generally requires reasonable notice.

Why each other choice is wrong (misconception it represents)

A: Usually not allowed
B: Overstates
D: Confuses entry rules

Type: instruction

GO DEEPER 2 — Tenant rights and when to get help · Question 3 of 5

Learn: New Jersey publishes a "Truth in Renting" guide explaining tenant and landlord rights; landlords of most rental units must give tenants a copy.

Where can a New Jersey tenant learn about rights and responsibilities?

A. A national rental website's general tips page online
B. The landlord's own rules sheet
C. A national renters insurance ad
D. New Jersey's official "Truth in Renting" guide

CORRECT ANSWER

D. New Jersey's official "Truth in Renting" guide

Feedback (shown after answering)

The state guide explains New Jersey tenant rights.

Why each other choice is wrong (misconception it represents)

A: Unreliable
B: Not a neutral source
C: Not an official source

Type: instruction · practical how-to

GO DEEPER 2 — Tenant rights and when to get help · Question 4 of 5

Learn: Eviction cases have deadlines. Legal aid organizations offer free or low-cost help.

Jen receives an eviction notice she believes is wrong. Which step is MOST important?

A. Respond by the deadline and seek legal aid
B. Ignore it
C. Move out immediately without responding to it
D. Stop paying rent

CORRECT ANSWER

A. Respond by the deadline and seek legal aid

Feedback (shown after answering)

Responding on time protects rights.

Why each other choice is wrong (misconception it represents)

B: Can lead to default judgment
C: Gives up rights
D: Weakens her position

Type: instruction · practical how-to

GO DEEPER 2 — Tenant rights and when to get help · Question 5 of 5

Learn: Some landlords and rent-reporting services report on-time rent payments to credit bureaus.

Paying rent on time is reported to credit bureaus by some landlords or services. Why can that help Jen?

A. It erases older late payments
B. It lowers next year's rent
C. It guarantees approval for a mortgage when she buys a home
D. It can add positive payment history to her credit file

CORRECT ANSWER

D. It can add positive payment history to her credit file

Feedback (shown after answering)

On-time rent reported to bureaus can strengthen credit history.

Why each other choice is wrong (misconception it represents)

A: Overstates the effect
B: Confuses credit with rent pricing
C: Overstates

Type: instruction

SET 75 · Mortgages and Homeownership

Renting versus owning, and what a mortgage is

MAIN skill: Compare renting and owning and explain the parts of a mortgage

Outcome FL.HOME.75 · National topic: Managing Credit · NJSLS 9.1.12: CDM, PB

Learning target: Compare renting and buying a home and explain how a mortgage works

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Principal, interest, and collateral in home loans (5 questions)
  Why: Mortgage questions build on knowing principal, interest, and collateral from earlier loan sets.
- B2 · Math link → G6-S10-M (Grade 6 6.RP.A.3.c): Find a percent of a quantity as a rate per 100
  Why: Down payments are percents of the price.
- B3 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Loan amounts and equity are differences.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Down payments and their effects (5 questions)
- Go Deeper 2: The true cost of renting versus owning (5 questions)

Practical skills beyond the standards: Rent-versus-buy comparison

Content status: stable

Source: CFPB (Buying a House) — Mortgage payments often include principal, interest, property taxes, and homeowners insurance (PITI); private mortgage insurance is usually required with less than 20% down on a conventional loan. https://www.consumerfinance.gov/owning-a-home/

Answer key for this set: M-Q1 C, M-Q2 B, M-Q3 B, M-Q4 A, M-Q5 A, B1-Q1 B, B1-Q2 A, B1-Q3 D, B1-Q4 B, B1-Q5 C, F1-Q1 C, F1-Q2 B, F1-Q3 B, F1-Q4 C, F1-Q5 A, F2-Q1 C, F2-Q2 C, F2-Q3 B, F2-Q4 D, F2-Q5 B

MAIN — Compare renting and owning and explain the parts of a mortgage · Question 1 of 5

Learn: A mortgage is a loan used to buy a home. The home is collateral: if the borrower does not repay, the lender can foreclose (take and sell the home). Mortgages usually last 15 or 30 years and are repaid with monthly payments of principal and interest.

What is a mortgage?

A. A monthly rent payment to a landlord
B. Insurance that protects a home and its contents from fire
C. A loan to buy a home, with the home as collateral
D. A savings account for a down payment

CORRECT ANSWER

C. A loan to buy a home, with the home as collateral

Feedback (shown after answering)

A mortgage is a home loan secured by the home.

Why each other choice is wrong (misconception it represents)

A: Confuses mortgage with rent
B: Confuses with homeowners insurance
D: Confuses with saving

Type: instruction

MAIN — Compare renting and owning and explain the parts of a mortgage · Question 2 of 5

Learn: The down payment is the part of the price paid up front in cash. The rest is borrowed: loan (principal) = price − down payment.

The Lees buy a $300,000 home with a 20% down payment. How much do they borrow?

A. $60,000
B. $240,000
C. $300,000
D. $360,000

CORRECT ANSWER

B. $240,000

Feedback (shown after answering)

Down payment: $300,000 × 0.20 = $60,000. Loan: $240,000.

Recomputed independently by the build: 240000

Why each other choice is wrong (misconception it represents)

A: Gives the down payment
C: Ignores the down payment
D: Adds the down payment

Type: instruction

MAIN — Compare renting and owning and explain the parts of a mortgage · Question 3 of 5

Learn: Owning can build equity, the part of the home you own (value − mortgage balance), and gives stability and control. Renting offers flexibility and fewer responsibilities: landlords handle major repairs and you can move more easily.

Which is an advantage of OWNING compared with renting?

A. No repair or maintenance costs
B. Payments can build equity (ownership) over time
C. No property taxes
D. It is easier to move on short notice when owning

CORRECT ANSWER

B. Payments can build equity (ownership) over time

Feedback (shown after answering)

Equity grows as the loan is paid down and if the home rises in value.

Why each other choice is wrong (misconception it represents)

A: Owners pay repairs
C: Owners pay property taxes
D: Renting is usually easier

Type: instruction

MAIN — Compare renting and owning and explain the parts of a mortgage · Question 4 of 5

Learn: Equity = home value − mortgage balance.

A home is worth $320,000, and the mortgage balance is $230,000. What is the owner's equity?

A. $90,000
B. $230,000
C. $320,000
D. $550,000

CORRECT ANSWER

A. $90,000

Feedback (shown after answering)

$320,000 − $230,000 = $90,000.

Recomputed independently by the build: 90000

Why each other choice is wrong (misconception it represents)

B: Gives the balance
C: Gives the value
D: Adds

Type: instruction

MAIN — Compare renting and owning and explain the parts of a mortgage · Question 5 of 5

Which situation favors RENTING over buying?

A. Expecting to move for a new job within two years
B. Planning to stay in one town for 15 years
C. Having saved a large down payment and emergency fund
D. Wanting to renovate freely

CORRECT ANSWER

A. Expecting to move for a new job within two years

Feedback (shown after answering)

Buying and selling costs make owning expensive for short stays.

Why each other choice is wrong (misconception it represents)

B: Favors buying
C: Favors buying
D: Favors buying

Type: knowledge check

BACKWARD B1 · concept review — Principal, interest, and collateral in home loans · Question 1 of 5

Learn: Principal is the amount borrowed. Interest is the cost of borrowing. Collateral is property the lender can take if the loan is not repaid.

The Lees buy a $300,000 home with a $60,000 down payment and borrow the rest. What is the principal of their mortgage?

A. $60,000
B. $240,000
C. $300,000
D. $360,000

CORRECT ANSWER

B. $240,000

Feedback (shown after answering)

$300,000 − $60,000 = $240,000 borrowed.

Recomputed independently by the build: 240000

Why each other choice is wrong (misconception it represents)

A: Gives the down payment
C: Uses the home's price, including the down payment
D: Adds the down payment

Type: instruction

BACKWARD B1 · concept review — Principal, interest, and collateral in home loans · Question 2 of 5

What is the collateral for a mortgage?

A. The home being bought
B. The buyer's car
C. The buyer's savings account
D. The buyer's future salary

CORRECT ANSWER

A. The home being bought

Feedback (shown after answering)

The home secures the mortgage.

Why each other choice is wrong (misconception it represents)

B: Not for a mortgage
C: Not usually
D: Confuses income with collateral

Type: knowledge check

BACKWARD B1 · concept review — Principal, interest, and collateral in home loans · Question 3 of 5

Learn: Foreclosure is the legal process by which a lender takes a home after the borrower stops paying.

What can a lender do if a mortgage is not repaid?

A. Forgive the loan automatically
B. Take the borrower's retirement account
C. Raise the interest rate on a fixed loan
D. Foreclose and sell the home

CORRECT ANSWER

D. Foreclose and sell the home

Feedback (shown after answering)

Foreclosure lets the lender recover the loan.

Why each other choice is wrong (misconception it represents)

A: Misunderstands default
B: Confuses collateral
C: Misreads fixed-rate terms

Type: instruction

BACKWARD B1 · concept review — Principal, interest, and collateral in home loans · Question 4 of 5

20% of $250,000 is...

A. $5,000
B. $50,000
C. $200,000
D. $500,000

CORRECT ANSWER

B. $50,000

Feedback (shown after answering)

$250,000 × 0.20 = $50,000.
Recomputed independently by the build: 50000

Why each other choice is wrong (misconception it represents)

A: Uses 2%
C: Gives the remainder
D: Uses 200%

Type: knowledge check

BACKWARD B1 · concept review — Principal, interest, and collateral in home loans · Question 5 of 5

Which word means the part of a home you truly own?

A. Escrow
B. Premium
C. Equity
D. Lien

CORRECT ANSWER

C. Equity

Feedback (shown after answering)

Equity = value − what you owe.

Why each other choice is wrong (misconception it represents)

A: Account for taxes and insurance
B: Insurance cost
D: Lender's claim

Type: knowledge check

GO DEEPER 1 — Down payments and their effects · Question 1 of 5

Learn: A smaller down payment means a larger loan, usually higher payments and more interest, and often mortgage insurance.

With 10% down on a $300,000 home, how much is borrowed?

A. $30,000
B. $240,000
C. $270,000
D. $330,000

CORRECT ANSWER

C. $270,000

Feedback (shown after answering)

$300,000 − $30,000 = $270,000.

Recomputed independently by the build: 270000

Why each other choice is wrong (misconception it represents)

A: Down payment
B: Uses 20% down
D: Adds

Type: instruction

GO DEEPER 1 — Down payments and their effects · Question 2 of 5

Learn: The extra monthly cost of borrowing more = larger payment − smaller payment.

At 6.5% for 30 years, a $240,000 loan has a $1,516.96 payment and a $270,000 loan has a $1,706.58 payment. How much more per month does the smaller down payment cost?

A. $170.66
B. $189.62
C. $1,706.58
D. $30,000

CORRECT ANSWER

B. $189.62

Feedback (shown after answering)

$1,706.58 − $1,516.96 = $189.62.

Recomputed independently by the build: 189.62

Why each other choice is wrong (misconception it represents)

A: Arithmetic error
C: Gives the larger payment
D: Gives the extra borrowing

Type: instruction

GO DEEPER 1 — Down payments and their effects · Question 3 of 5

Learn: Low-down-payment programs make buying possible sooner but raise costs.

Some loan programs allow down payments as low as 3–3.5%. What is a trade-off?

A. A smaller loan, because the bank covers the missing down payment
B. A larger loan, higher payments, and usually mortgage insurance
C. No closing costs are charged
D. Property taxes disappear

CORRECT ANSWER

B. A larger loan, higher payments, and usually mortgage insurance

Feedback (shown after answering)

Borrowing more raises costs and often requires mortgage insurance.

Why each other choice is wrong (misconception it represents)

A: Reverses the effect
C: Invents a benefit
D: Invents a benefit

Type: instruction

GO DEEPER 1 — Down payments and their effects · Question 4 of 5

Learn: Months to save = goal ÷ monthly saving.

The Lees want 20% down on a $300,000 home and save $1,000 a month. Starting from $0, how many months to save the down payment?

A. 20 months
B. 300 months
C. 60 months
D. 6 months

CORRECT ANSWER

C. 60 months

Feedback (shown after answering)

$60,000 ÷ $1,000 = 60 months.

Recomputed independently by the build: 60

Why each other choice is wrong (misconception it represents)

A: Arithmetic error
B: Uses the full price
D: Divides by $10,000

Type: instruction

GO DEEPER 1 — Down payments and their effects · Question 5 of 5

Learn: Buyers usually need cash for closing costs and should keep an emergency reserve.

Besides the down payment, what other cash do buyers usually need at closing?

A. Closing costs and reserves
B. The full purchase price in cash
C. Nothing else
D. A year of property taxes only

CORRECT ANSWER

A. Closing costs and reserves

Feedback (shown after answering)

Closing costs plus reserves are needed beyond the down payment.

Why each other choice is wrong (misconception it represents)

B: Overstates
C: Understates
D: Incomplete

Type: instruction

GO DEEPER 2 — The true cost of renting versus owning · Question 1 of 5

Learn: Part of a mortgage payment (principal) builds equity, which is like saving. Comparing renting and owning fairly separates costs that are spent from money that builds ownership.

Rent is $1,800 a month. An owner's total monthly cost is $2,400 (mortgage, tax, insurance, upkeep), of which $500 is principal that builds equity. What is the owner's monthly cost NOT counting principal?

A. $500
B. $1,800
C. $1,900
D. $2,400

CORRECT ANSWER

C. $1,900

Feedback (shown after answering)

$2,400 − $500 = $1,900 of costs that do not build equity.

Recomputed independently by the build: 1900

Why each other choice is wrong (misconception it represents)

A: Gives principal
B: Gives rent
D: Ignores equity

Type: instruction

GO DEEPER 2 — The true cost of renting versus owning · Question 2 of 5

Learn: Selling a home involves costs such as agent commissions, which have often been around 5–6% but are negotiable.

Selling a $300,000 home with 6% agent commissions costs how much in commissions?

A. $1,800
B. $6,000
C. $18,000
D. $180,000

CORRECT ANSWER

C. $18,000

Feedback (shown after answering)

$300,000 × 0.06 = $18,000.

Recomputed independently by the build: 18000

Why each other choice is wrong (misconception it represents)

A: Uses 0.6%
B: Uses 2%
D: Uses 60%

Type: instruction

GO DEEPER 2 — The true cost of renting versus owning · Question 3 of 5

Learn: Transaction costs at purchase and sale are large compared with the equity built in a short time.

Why can buying be costly for someone who sells after only two years?

A. Homes always lose value during their first two years
B. Buying and selling costs may exceed equity gained
C. Mortgages cannot be paid off early
D. Owners pay no interest early in the loan

CORRECT ANSWER

B. Buying and selling costs may exceed equity gained

Feedback (shown after answering)

Transaction costs are spread over few years, raising the yearly cost of owning.

Why each other choice is wrong (misconception it represents)

A: Overgeneralizes
C: Usually untrue
D: Reverses amortization

Type: instruction

GO DEEPER 2 — The true cost of renting versus owning · Question 4 of 5

Learn: Renting vs owning depends on many factors; neither is always better.

A renter invests the $600 a month an owner would spend extra. What matters for which option builds more wealth?

A. Only the rent amount
B. Only the mortgage rate
C. Neither renting nor owning can ever build any wealth
D. Investment returns, home price changes, and costs

CORRECT ANSWER

D. Investment returns, home price changes, and costs

Feedback (shown after answering)

Both can build wealth; the outcome depends on returns, prices, and costs.

Why each other choice is wrong (misconception it represents)

A: Too narrow
B: Too narrow
C: Overgeneralizes

Type: instruction

GO DEEPER 2 — The true cost of renting versus owning · Question 5 of 5

Learn: Rent-vs-buy calculators combine prices, rates, taxes, and time.

Which tool helps compare renting and buying for a specific situation?

A. A mortgage payment calculator alone
B. A rent-versus-buy calculator with local costs
C. A tax refund estimator from a tax-filing website
D. A home value estimate for one house

CORRECT ANSWER

B. A rent-versus-buy calculator with local costs

Feedback (shown after answering)

A rent-vs-buy calculator uses your own numbers.

Why each other choice is wrong (misconception it represents)

A: Ignores the cost of renting
C: Partly relevant at most
D: Ignores both sets of costs

Type: instruction · practical how-to

SET 76 · Mortgages and Homeownership

Mortgage payments and loan terms

MAIN skill: Compare monthly payments and total interest for different mortgage terms and rates

Outcome FL.HOME.76 · National topic: Managing Credit · NJSLS 9.1.12: CDM

Learning target: Compare mortgage terms, rates, and total costs

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Payments times months (5 questions)
  - Why: Mortgage totals are payment × number of payments; students must count months correctly.
- B2 · Math link → G6-S19-M (Grade 6 6.NS.B.3): Multiply multi-digit decimals
  - Why: Totals multiply a decimal payment by the number of payments.
- B3 · Math link → G7-S25-M (Grade 7 7.NS.A.3): Solve real-world problems with the four operations on rational numbers
  - Why: Comparing loans subtracts and multiplies money amounts.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Using the mortgage payment formula (5 questions)
- Go Deeper 2: Shopping for a mortgage rate (5 questions)

Practical skills beyond the standards: Comparing 15- and 30-year mortgages; Evaluating discount points

Content status: stable

Source: CFPB (Interest rate vs. APR) — The interest rate is the cost of borrowing the principal; the APR also includes certain fees, so payment math uses the note interest rate, and APR equals that rate only when there are no other finance charges.
https://www.consumerfinance.gov/ask-cfpb/what-is-the-difference-between-a-loan-interest-rate-and-the-apr-en-733/

Answer key for this set: M-Q1 D, M-Q2 C, M-Q3 C, M-Q4 C, M-Q5 B, B1-Q1 C, B1-Q2 C, B1-Q3 C, B1-Q4 A, B1-Q5 A, F1-Q1 D, F1-Q2 C, F1-Q3 A, F1-Q4 C, F1-Q5 B, F2-Q1 D, F2-Q2 C, F2-Q3 D, F2-Q4 C, F2-Q5 A

MAIN — Compare monthly payments and total interest for different mortgage terms and rates · Question 1 of 5

Learn: Total paid on a mortgage = monthly payment × number of payments. Total interest = total paid − amount borrowed. On long loans, interest can exceed the original loan.

A $240,000 mortgage at 6.5% for 30 years has a principal-and-interest payment of $1,516.96. What is the total of all 360 payments?

A. $18,203.52
B. $240,000.00
C. $255,600.00
D. $546,105.60

CORRECT ANSWER

D. $546,105.60

Feedback (shown after answering)

$1,516.96 × 360 = $546,105.60.

Recomputed independently by the build: 546105.6

Why each other choice is wrong (misconception it represents)

A: Uses 12 payments
B: Ignores interest
C: Adds one year of interest

Type: instruction

MAIN — Compare monthly payments and total interest for different mortgage terms and rates · Question 2 of 5

A $240,000 loan's 360 monthly payments total $546,105.60. How much interest is paid over 30 years?

A. $15,600.00
B. $240,000.00
C. $306,105.60
D. $546,105.60

CORRECT ANSWER

C. $306,105.60

Feedback (shown after answering)

$546,105.60 − $240,000 = $306,105.60.
Recomputed independently by the build: 306105.6

Why each other choice is wrong (misconception it represents)

A: Uses one year of interest
B: Gives the loan
D: Gives total paid

Type: knowledge check

MAIN — Compare monthly payments and total interest for different mortgage terms and rates · Question 3 of 5

Learn: Shorter terms have higher monthly payments but much less total interest, and often lower rates.

A $240,000 loan at 6.0% for 15 years has a $2,025.26 payment, totaling $364,546.80. Compared with the 30-year loan ($306,105.60 of interest), how much interest does the 15-year loan save?

A. $508.30
B. $124,546.80
C. $181,558.80
D. $306,105.60

CORRECT ANSWER

C. $181,558.80

Feedback (shown after answering)

15-year interest: $364,546.80 − $240,000 = $124,546.80. Savings: $306,105.60 − $124,546.80 = $181,558.80.

Recomputed independently by the build: 181558.8

Why each other choice is wrong (misconception it represents)

A: Compares monthly payments
B: Gives the 15-year interest
D: Gives the 30-year interest

Type: instruction

MAIN — Compare monthly payments and total interest for different mortgage terms and rates · Question 4 of 5

Why might a buyer choose the 30-year loan despite its higher total interest?

A. It always has a lower interest rate than a 15-year loan
B. It is paid off sooner
C. Its lower monthly payment is easier to afford
D. It has lower total interest because payments are smaller

CORRECT ANSWER

C. Its lower monthly payment is easier to afford

Feedback (shown after answering)

The 30-year loan trades higher total cost for a lower monthly payment.

Why each other choice is wrong (misconception it represents)

A: Usually reversed
B: Reverses
D: Confuses payment size with total cost

Type: knowledge check

MAIN — Compare monthly payments and total interest for different mortgage terms and rates · Question 5 of 5

Learn: Small rate differences change monthly payments and, over many years, total interest a lot.

A $200,000, 30-year loan costs $1,330.60 a month at 7% and $1,199.10 at 6%. How much does the 1-point lower rate save per month?

A. $13.15
B. $131.50
C. $1,199.10
D. $2,000.00

CORRECT ANSWER

B. $131.50

Feedback (shown after answering)

$1,330.60 − $1,199.10 = $131.50 a month (over $47,000 across 30 years).

Recomputed independently by the build: 131.5

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
C: Gives the lower payment
D: Uses 1% of the loan

Type: instruction

BACKWARD B1 · concept review — Payments times months · Question 1 of 5

Learn: Monthly payments = 12 × years.

How many monthly payments are in a 30-year mortgage?

A. 30
B. 300
C. 360
D. 3,600

CORRECT ANSWER

C. 360

Feedback (shown after answering)

30 × 12 = 360.

Recomputed independently by the build: 360

Why each other choice is wrong (misconception it represents)

A: Counts years
B: Arithmetic error
D: Adds a zero

Type: instruction

BACKWARD B1 · concept review — Payments times months · Question 2 of 5

How many monthly payments are in a 15-year mortgage?

A. 15
B. 150
C. 180
D. 360

CORRECT ANSWER

C. 180

Feedback (shown after answering)

15 × 12 = 180.

Recomputed independently by the build: 180

Why each other choice is wrong (misconception it represents)

A: Counts years
B: Arithmetic error
D: Uses 30 years

Type: knowledge check

BACKWARD B1 · concept review — Payments times months · Question 3 of 5

Learn: Total paid = payment × number of payments.

A payment of $1,000 for 180 months totals...

A. $1,180
B. $18,000
C. $180,000
D. $1,800,000

CORRECT ANSWER

C. $180,000

Feedback (shown after answering)

$1,000 × 180 = $180,000.

Recomputed independently by the build: 180000

Why each other choice is wrong (misconception it represents)

A: Adds
B: Drops a zero
D: Adds a zero

Type: instruction

BACKWARD B1 · concept review — Payments times months · Question 4 of 5

Learn: Interest = total paid − amount borrowed.

Borrowed $150,000; total paid $250,000. What was the interest?

A. $100,000
B. $150,000
C. $250,000
D. $400,000

CORRECT ANSWER

A. $100,000

Feedback (shown after answering)

$250,000 − $150,000 = $100,000.

Recomputed independently by the build: 100000

Why each other choice is wrong (misconception it represents)

B: Principal
C: Total
D: Adds

Type: instruction

BACKWARD B1 · concept review — Payments times months · Question 5 of 5

Learn: Repaying the same amount in fewer months means larger payments.

Which usually has the HIGHER monthly payment for the same loan amount and rate?

A. A 15-year loan
B. A 30-year loan
C. They are equal
D. It depends only on the down payment

CORRECT ANSWER

A. A 15-year loan

Feedback (shown after answering)

Fewer months means larger payments.

Why each other choice is wrong (misconception it represents)

B: Lower payment
C: Ignores term
D: Ignores the effect of term

Type: instruction

GO DEEPER 1 — Using the mortgage payment formula · Question 1 of 5

Learn: Monthly mortgage payments use the same formula as other installment loans, with the monthly rate r = annual note (interest) rate ÷ 12 and n = number of monthly payments. A mortgage APR also includes fees, so it is not the rate used in this formula.

The payment formula is M = P · r ÷ (1 − (1 + r)^(−n)). For a 30-year loan with a 6.5% interest (note) rate, what are r and n?

A. r = 0.065; n = 30
B. r = 6.5; n = 360
C. r = 0.005417; n = 30
D. r = 0.065 ÷ 12 ≈ 0.005417; n = 360

CORRECT ANSWER

D. r = 0.065 ÷ 12 ≈ 0.005417; n = 360

Feedback (shown after answering)

Monthly rate = annual interest rate ÷ 12; 30 years = 360 months.

Why each other choice is wrong (misconception it represents)

A: Uses yearly values
B: Uses the percent
C: Uses years for n

Type: instruction

GO DEEPER 1 — Using the mortgage payment formula · Question 2 of 5

Learn: Evaluate the formula with a calculator: find r = annual interest rate ÷ 12 and n = 360, compute (1 + r)^(−n), then the payment.

Using the formula, what is the monthly principal-and-interest payment on $240,000 at a 5.5% interest rate for 30 years (nearest cent)?

A. $666.67
B. $1,100.00
C. $1,362.69
D. $1,516.96

CORRECT ANSWER

C. $1,362.69

Feedback (shown after answering)

r ≈ 0.0045833, n = 360; M ≈ $1,362.69.

Recomputed independently by the build: 1362.693603

Why each other choice is wrong (misconception it represents)

A: Ignores interest
B: Uses one month of interest
D: Uses 6.5%

Type: instruction

GO DEEPER 1 — Using the mortgage payment formula · Question 3 of 5

Learn: Comparing terms at the same rate shows the monthly cost of paying off faster.

A 15-year loan of $240,000 at 6.5% has a payment of $2,090.66. How much more is this per month than the 30-year payment of $1,516.96?

A. $573.70
B. $1,516.96
C. $2,090.66
D. $3,607.62

CORRECT ANSWER

A. $573.70

Feedback (shown after answering)

$2,090.66 − $1,516.96 = $573.70.

Recomputed independently by the build: 573.7

Why each other choice is wrong (misconception it represents)

B: Gives the 30-year payment
C: Gives the 15-year payment
D: Adds

Type: instruction

GO DEEPER 1 — Using the mortgage payment formula · Question 4 of 5

Learn: Interest saved = difference in total paid (the principal is the same).

At the same 6.5% rate, the 15-year loan totals $376,318.80 and the 30-year loan $546,105.60. How much interest does the 15-year loan save?

A. $573.70
B. $136,318.80
C. $169,786.80
D. $240,000.00

CORRECT ANSWER

C. $169,786.80

Feedback (shown after answering)

$546,105.60 − $376,318.80 = $169,786.80.

Recomputed independently by the build: 169786.8

Why each other choice is wrong (misconception it represents)

A: Compares monthly payments
B: Gives the 15-year interest
D: Gives the loan

Type: instruction

GO DEEPER 1 — Using the mortgage payment formula · Question 5 of 5

Learn: With any positive interest rate, each payment must cover interest as well as principal.

Which check confirms a calculated payment is reasonable?

A. It is less than the loan ÷ number of months
B. It is more than the loan ÷ number of months
C. It equals the yearly interest
D. It is the same at every rate

CORRECT ANSWER

B. It is more than the loan ÷ number of months

Feedback (shown after answering)

With interest, payments must exceed principal ÷ months.

Why each other choice is wrong (misconception it represents)

A: Impossible with interest
C: Confuses a payment with interest
D: Ignores the rate

Type: instruction

GO DEEPER 2 — Shopping for a mortgage rate · Question 1 of 5

Learn: Shopping several lenders can lower the rate. Small differences add up over a long loan.

Lender A offers 6.5%; Lender B offers 6.25% on the same $240,000, 30-year loan. Payments are $1,516.96 and $1,477.72. About how much does Lender B save over 30 years?

A. $39.24
B. $470.88
C. $600.00
D. $14,126.40

CORRECT ANSWER

D. $14,126.40

Feedback (shown after answering)

$39.24 × 360 = $14,126.40.

Recomputed independently by the build: 14126.4

Why each other choice is wrong (misconception it represents)

A: Gives the monthly difference
B: Uses one year
C: Uses 0.25% of the loan

Type: instruction

GO DEEPER 2 — Shopping for a mortgage rate · Question 2 of 5

Learn: Discount points are prepaid interest: you pay more at closing to get a lower rate.

Paying "points" means paying a fee up front to lower the rate. One point equals 1% of the loan. On $240,000, what is one point?

A. $1
B. $240
C. $2,400
D. $24,000

CORRECT ANSWER

C. $2,400

Feedback (shown after answering)

1% × $240,000 = $2,400.

Recomputed independently by the build: 2400

Why each other choice is wrong (misconception it represents)

A: Misreads
B: Uses 0.1%
D: Uses 10%

Type: instruction

GO DEEPER 2 — Shopping for a mortgage rate · Question 3 of 5

Learn: Break-even months = up-front cost ÷ monthly savings.

One point ($2,400) lowers the payment by $39.24 a month. About how many months until the savings repay the point?

A. About 6 months
B. About 24 months
C. About 360 months
D. About 61 months

CORRECT ANSWER

D. About 61 months

Feedback (shown after answering)

$2,400 ÷ $39.24 ≈ 61 months (about 5 years).

Recomputed independently by the build: 61.16208

Why each other choice is wrong (misconception it represents)

A: Misplaces the decimal
B: Arithmetic error
C: Uses the full term

Type: instruction

GO DEEPER 2 — Shopping for a mortgage rate · Question 4 of 5

When is paying points usually a poor choice?

A. When you will keep the loan 30 years
B. When rates are fixed
C. When you expect to sell or refinance before the break-even point
D. When you want a lower rate and will keep the home for many decades

CORRECT ANSWER

C. When you expect to sell or refinance before the break-even point

Feedback (shown after answering)

If you leave before break-even, you never recover the cost.

Why each other choice is wrong (misconception it represents)

A: Usually favorable
B: Not the issue
D: Misreads

Type: knowledge check

GO DEEPER 2 — Shopping for a mortgage rate · Question 5 of 5

Learn: Mortgage rates change frequently. Comparing standardized Loan Estimates gathered at the same time gives a fair comparison.

Why compare Loan Estimates from several lenders on the same day?

A. Rates change daily, so same-day quotes compare fairly
B. Lenders must match each other's rates by law each day
C. It locks the rate with every lender at once
D. Each extra quote lowers your score a lot

CORRECT ANSWER

A. Rates change daily, so same-day quotes compare fairly

Feedback (shown after answering)

Same-day Loan Estimates compare like with like.

Why each other choice is wrong (misconception it represents)

B: Invents a rule
C: Confuses quotes with rate locks
D: Overstates the effect of rate shopping

Type: instruction · practical how-to

SET 77 · Mortgages and Homeownership

Property taxes, insurance, PMI, and escrow

MAIN skill: Calculate a full monthly housing payment including taxes, insurance, and mortgage insurance

Outcome FL.HOME.77 · National topic: Managing Risk · NJSLS 9.1.12: RM, CDM

Learning target: Calculate the full cost of homeownership including taxes, insurance, and mortgage insurance

If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:

- B1 · Concept review: Yearly costs as monthly payments (5 questions)
  - Why: Housing budgets convert yearly bills (taxes, insurance) into monthly amounts.
- B2 · Math link → G6-S20-M (Grade 6 6.NS.B.3): Divide multi-digit decimals
  - Why: Yearly taxes and insurance are divided into monthly amounts.
- B3 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  - Why: PITI adds several monthly costs.

After 5 of 5 correct, Go Deeper unlocks (a chain):

- Go Deeper 1: Property tax in practice (5 questions)
- Go Deeper 2: Removing PMI and insurance choices (5 questions)

Practical skills beyond the standards: Escrow accounts; Removing PMI

Content status: time-sensitive

Source: CFPB (Buying a House) — Mortgage payments often include principal, interest, property taxes, and homeowners insurance (PITI); private mortgage insurance is usually required with less than 20% down on a conventional loan. https://www.consumerfinance.gov/owning-a-home/

Answer key for this set: M-Q1 B, M-Q2 D, M-Q3 D, M-Q4 B, M-Q5 B, B1-Q1 A, B1-Q2 B, B1-Q3 C, B1-Q4 A, B1-Q5 A, F1-Q1 C, F1-Q2 B, F1-Q3 B, F1-Q4 B, F1-Q5 A, F2-Q1 B, F2-Q2 C, F2-Q3 D, F2-Q4 C, F2-Q5 A

MAIN — Calculate a full monthly housing payment including taxes, insurance, and mortgage insurance · Question 1 of 5

Learn: Monthly housing costs for owners usually include PITI: Principal, Interest, property Taxes, and homeowners Insurance. Taxes and insurance are often billed yearly but budgeted (and often paid) monthly.

A home's property tax is $6,000 a year. How much is that per month?

A. $50
B. $500
C. $600
D. $6,000

CORRECT ANSWER

B. $500

Feedback (shown after answering)

$6,000 ÷ 12 = $500 per month.

Recomputed independently by the build: 500

Why each other choice is wrong (misconception it represents)

A: Divides by 120
C: Divides by 10
D: Uses the yearly amount

Type: instruction

MAIN — Calculate a full monthly housing payment including taxes, insurance, and mortgage insurance · Question 2 of 5

Learn: PITI = principal and interest + monthly property taxes + monthly homeowners insurance.

Principal and interest: $1,516.96. Property tax: $500 a month. Homeowners insurance: $150 a month. What is the monthly PITI?

A. $650.00
B. $1,516.96
C. $2,016.96
D. $2,166.96

CORRECT ANSWER

D. $2,166.96

Feedback (shown after answering)

$1,516.96 + $500 + $150 = $2,166.96.

Recomputed independently by the build: 2166.96

Why each other choice is wrong (misconception it represents)

A: Gives taxes and insurance only
B: Leaves out taxes and insurance
C: Leaves out insurance

Type: instruction

MAIN — Calculate a full monthly housing payment including taxes, insurance, and mortgage insurance · Question 3 of 5

Learn: PMI is insurance that protects the LENDER (not you) if you stop paying. It is usually required on conventional loans with less than 20% down and can typically be removed once you reach enough equity.

Lenders usually require private mortgage insurance (PMI) on a conventional loan when the down payment is under 20%. What does PMI protect?

A. The borrower's belongings
B. The borrower's health
C. The house against damage from a fire
D. The lender, if the borrower defaults

CORRECT ANSWER

D. The lender, if the borrower defaults

Feedback (shown after answering)

PMI protects the lender.

Why each other choice is wrong (misconception it represents)

A: Homeowners insurance
B: Health insurance
C: Homeowners insurance

Type: instruction